Shaily (SHAILY)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

SEPL/SE/Jun/22-23
August 16, 2022

The General Manager,
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Scrip Code : 501423 The Manager,
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Mumbai – 400 051
Scrip Code : SHAILY

Sub : Q1FY23 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated August 08, 2022, wherein the Company updated the audio link of Earnings call held on 8th August, 2022 to discuss the operational & financial performance of the Company for the quarter ended on June 30, 2022.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/investor-presentation-updates .

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Preeti Sheth
Asst. Company Secretary
ICSI M. No. ACS36624

"Shaily Engineering Plastics Limited Q1 FY23
Earnings Conference Call"

August 08, 2022

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR

MR. SANJAY SHAH – CHIEF STRATEGY OFFICER

Moderator: Ladies and gentlemen, good day and welcome to Shaily Engineering Plastics Limited Q1 FY23 Earnings Conference Call. This conference call may contain forward looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Sanghvi – MD, Shaily Engineering Plastics Limited. Thank you and over to you, Sir.

Amit Sanghvi: Thank you very much. Good morning and a very warm welcome to all the participants to the Post-Results Earnings Call of Shaily Engineering Plastics. I have with me, Mr. Sanjay Shah, – our Chief Strategy Officer and SGA, our Investor Relations Advisors. I hope you have had a chance to look at our investor presentation that is uploaded both on our website as well as the Stock Exchange.

I am very happy to share that while we have registered our highest quarterly revenue in Quarter 1 of FY23 at Rs.172 crores. However, I'm sure everyone has this question on their mind, so I'd like to address it upfront that we've also registered lower than normalized margin. We've had some very significant challenges in Quarter 1 of FY23 particularly with respect to rising material prices, as well as weakening rupee against the dollar, which have both resulted in margins taking a hit. We anticipate these margins to normalize by Quarter 3 of this financial year. We have witnessed significant improvement, improved traction across various verticals. We have very strong visibility that gives us immense confidence that we will be able to scale up further and grow including margins.

We are deepening our foray into the intellectual property that we're developing in the UK for Healthcare. Healthcare is now our second largest revenue contributing segment. During the quarter, we finalized contracts for two additional pen injectors with leading pharmaceutical companies. We built a scalable model which will help us achieve higher revenue growth in the coming years.

We've also embarked on a journey to create a new drug delivery technology that will be groundbreaking and leading world leading for oncology, where currently therapies are administered by healthcare practitioners in hospitals; we intend to change this by taking the drug delivery at home.

We're also deepening our foray in contract manufacturing of medical devices, where I'm happy to announce that we've just signed an agreement with the customer to manufacture dry powder inhalers for them.

Under our automotive and engineering we have started commercializing orders that we received and expect ramp up in the current year as we had mentioned in earlier calls. Last year, we raised funds and have started utilizing it to expand our core business of home furnishing, toys as well as towards healthcare. We are planning a CAPEX spend of approximately 200 crores over the next two years out of which more than half of the spending will be towards the pharma part of our business. This will be towards scaling up the existing devices that we have spent years developing and putting on clinical batches for customers as well as for new IP led devices that we're currently in the process of developing them and handing over to customers.

That is all from my side. I shall now hand over the call to Sanjay Shah, our Chief Strategy Office

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to give you the operating and financial highlights. Thank you very much.

Sanjay Shah: Thank you Amit. Good morning, everyone. I shall share with you the highlights of our operational and financial performance of Q1 FY23 following which we will be happy to respond to your queries.

During the quarter we processed 6,544 tons of polymer as against 4,098 tons in Q1 FY22 an increase of 60% year on year. In Q1 FY23, we've already achieved 24% of the volumes of FY22 in the current quarter. Machine utilization rate stood at around 50% in Q1 FY23. Exports during FY22 stood at 80.4% of total revenue as compared to 76.1% in FY22.

I shall now brief you on the standalone result highlights.:

Revenue stood at Rs.172 crores during FY23 as compared to Rs.121 crores during Q1 FY22 a growth of 43%. This is our highest quarterly sales as mentioned already. EBITDA stood at

Rs.21.7 crores during Q1 FY23 as compared to Rs.20.2 crores during Q1 FY22 a growth of 8%. EBITDA margin stood at 12.6% for Q1 FY23. As mentioned by Amit, margins have been under pressure for a couple of quarters due to increase in raw material prices. These costs would be passed on as we go in the future. PAT stood at Rs.7.4 crores during Q1 FY23 as compared to Rs. 8 crores during Q1 FY22. PAT margin stood at 4.3%. Cash PAT for Q1 FY23 was reported at Rs.15.2 crores as compared to Rs.13.9 crores during Q1 FY22 a growth of 9%. On a consolidated basis, revenues stood at Rs.175 crores, EBITDA at Rs.24.3 crores and PAT at Rs.9.5 crores for Q1 FY23. We don't have a comparable for Q1 FY22, so we're not having any comparable numbers there.

We would like to highlight that on the basis of recent developments, including operational and financial performance of the Company:

CARE ratings have upgraded our bank loan ratings from A – to A stable outlook for our long-term facilities of Rs. 270.17 crores and the short-term bank facilities have been upgraded from Care A2 to Care A1.

This is all from our side. We can now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Manish Gupta from Solidarity Advisors. Please go ahead.

Manish Gupta: My question Amit is that my understanding is that your business model is primarily a complete raw material pass through model and with our largest customer our billing is in rupees. So, we are also hedged for currency. My question is that, how does one interpret the quarter-on-quarter gross margin decline, I'm saying practically from a medium-term perspective, this metric, does it mean anything? Because if your revenue is on a formula basis, linked to raw material prices, even if raw material prices were to crash or move up, over the medium term your absolute cash gross margin remains the same. Is that understanding correct?

Amit Sanghvi: Yes and no. . See, there is a material margin that is charged and there's also a manufacturing margin, which is charged. What happens in a scenario when you have rising material prices, quarter on quarter is that we get the effect of the rise in the last quarter during this quarter and the rise of this quarter, in the next quarter. Then the other thing that plays out is the product mix for each quarter and the volumes that we manufacture and sell. For example, if we've done the best quarter we have in the current quarter and sales go up and we get the price increase, we benefit out of it or we at least negate the margin erosion of the previous quarter. But if volume comes down, even though you get a material revision, you benefit less; you will have some losses that you make because you've not done the same volume. Product mix volume also plays a little bit of role throughout. In a given year it balances out. But unfortunately, we are in some unusual times at the moment. So, we are seeing product

mix changes. We are seeing certain products going up in volume, certain products coming down in volume. It has a little to do with the customer strategy as well, because there's limited capacity in terms of logistics available. Prioritizing products which are their best sellers is always going to be key for them to sustain their business. Does that make sense for you?

Manish Gupta: Yes, so I have a follow-up on this. What I hear you say is that under the assumption, for example, you were only selling one SKU and let's say it was hundred unit and that remains flat, then no matter what happens to commodity prices or the rupee, your cash flow remains preserved over time is that understanding right?

Amit Sanghvi: Yes, as a percentage it goes up or down, but the value part probably remains the same over a period of time.

Manish Gupta: Okay. What I didn't understand is that now I understand product mix, but if volumes go up. Let's say that you're growing pretty rapidly your volumes are up 50% QoQ give or take. If commodity prices have gone up, are you saying that you will lose out because you will get a lower raw material adjustment based on the higher volume is that what you're saying?

Amit Sanghvi: No. So, think about it. Our raw material buying cycles on average are we will keep, we will have stock of no more than 20 days in raw material, for example, whereas the price revision with the customer is quarterly. So, you have one price revision every three months, whatever I have supplied in Q1 FY23, I've also bought substantial, barring three weeks I bought the most substantial amount in Q1 FY23. The prices we have paid in Q1 FY23 are substantially higher than Q4 FY22. We will see this revision in Q2. We will get this adjustment in Q2 Manish Gupta: If the prices completely collapse, it's not as if the customer will not give you the adjustment, they will give you the adjustment for the higher price.

Amit Sanghvi: No, the same formula applies. So, prices collapse, our margins go up because for example, we paid the highest I mean, material have been at the highest in Q1 FY23. If prices start to come

down, then we will benefit from prices going down.
Manish Gupta: Okay. My second question and final question on it is that we are seeing across the board, opportunity in China plus one, I guess, in some of the segments that you are in that opportunity is quite strong toys, furnishings. Can you just talk little bit you mentioned some of this in your prior calls, but what are we doing for talent retention as we scale up because this is manufacturing, so, I guess you need a lot of talent on the design and manufacturing side. Can you talk a little about what you're doing for that?
Amit Sanghvi: Sure. I'm glad that you asked this question. We've brought down our attrition from 14-15% down to very close to 10% over the last two quarters. We have great comradery within the teams. What we have done is we've introduced the performance link incentive or a portion of our employee salary up to level of senior management 2 is all based on PLI, based on performance, quarterly performance of the company as well as quarterly performance of the team and then the individual. We've seen that this has been a great motivation for people to a) to perform higher, to do better continuously and we see the results of that especially when it comes to manufacturing. Unfortunately, our utilization is low because the order book, while we've done Rs.175 crores, the order book is not what we anticipated it to be. That's playing a bit of a downer, but in overall, our retention has gone up. Employee retention has gone up substantially and we are introducing long-term wealth creation up to a certain level of employees so that we improve that further.
Manish Gupta: Okay. Perhaps if I can flip in the last one, given what you're seeing, how the world i

s evolving,
I guess there are some recessionary headwinds but there also tailwinds of global supply chains

diversifying on a rolling five-year basis would you venture a number of what you'd be disappointed by if Shaily does not reach in five years from now?
Amit Sanghvi: Well, put me on the spot right. I think if Shaily does not achieve an average CAGR of 17 to 20% year on year, I would be very disappointed. Given here to debag but overall, I think we should still get there,
Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead. Yes.
Ritesh Shah: A couple of questions. First continuing with prior question, what percentage of our volumes will have a cost of arrangement, you explained on the price revision that was useful, but just wanted to get a number on percentage of volumes, which will have a cost pass through arrangement?
Amit Sanghvi: How far is pass through arrangement, some pass through on a quarterly basis, some pass through on a six-monthly basis, some pass through on a yearly basis.
Ritesh Shah: But most of our volumes, right. Did I hear right?
Amit Sanghvi: I would say 80% of our business passes through on a quarterly basis or more.
Ritesh Shah: Okay. That's quite useful. My second question is in your initial remarks, you did mention about healthcare. You did mention about inhaler device and the new mechanism to get the delivery at home. Possible if you could provide some more color over here. Thank you.
Amit Sanghvi: Two separate projects. One is we've developed a new technology. I will explain about it more in upcoming quarterly calls, too soon to talk about it, but basically, it's for oncology therapies where patients are required to take very large volume drips currently at hospitals. We're trying to develop something which where they can do this same activity at home. Second is that we have gotten into a contract with someone to manufacture dry powder inhaler.
Ritesh Shah: This is a dry powder inhaler any quantum any timelines over here, the size of the market that we are looking to cater, approval and other things?
Amit Sanghvi: No, it is a contract manufacturing, because it's a contract manufacturing job, it purely depends on how the customer does. Here I will not be able to give you any further information at this point, once product is fully industrial, we will be able to give you some indications. That's going to be 12 months out.
Ritesh Shah: Lastly, in our prior conference calls, we have indicated about, ramp up trajectory that we are looking at insulin pens. We are also indicated that we have a number of innovative products, which are there any color over here?

Amit Sanghvi: That business is growing well. We are making a lot of headway in now also different geographies of the world. We've currently targeted Middle East where we see great volume opportunity scale up in 24 and 25. The earlier indication stands through even today,
Ritesh Shah: Would it be possible to indicate the number of pens produced? I think the earlier number was I think, 7 million pens per year and we were looking to a ramp up of nearly 20 million over the next two years. Any updates over here and if we could split it up between contract manufacturing versus IP that will be useful?
Amit Sanghvi: All right. Currently. contract manufacturing would account for 60% of the pens. I would say

sixties, maybe 65 or 55 or 65. Let's say somewhere around there, it changes. It's quite dynamic and the rest would be our own IP. We see the IP growing significantly so when we gave the indication of 20 million over three years, most of that will come from our own pens.
Ritesh Shah: That's, that's quite encouraging. And where are we right now, what does this 20 million pens number? Are we roundabout seven or have

we moved up?
Amit Sanghvi: Yes, somewhere around six, six and a half million pens.
Ritesh Shah: Sure. Last question, I think in the prior question, you did indicate that the order book is not to what we expected. Can you provide some color segment wise and any particular reason I would presume it would be on backup logistics or the global macro, if you could provide some color on that?
Amit Sanghvi: Purely the global slowdown and logistics and price rise, but from a segment perspective we've not provided in the past. Unfortunately, I will not be able to provide that right now.
Moderator: Next question is from the line of Ritesh Chheda from Lucky Investment Managers, please go ahead.
Ritesh Chheda: Just two questions. One on the gross margin side, we were about 40%, now we are about 33%. There's about 5 to 7% loss in gross margin. When do you see this, getting recouped? When do you see the incremental contributions or the incremental business from the pharma side start kicking in, which would then influence the next leg of gross margin expansion? So, this is my first question. My second question is usually at the beginning of the year, you have some broader revenue target for fiscal ongoing year. It would be nice if you could share what should be now, the expected revenue for FY23 if it is possible to share?
Amit Sanghvi: Thanks Ritesh. I think, let me answer your second question first. We're very hopeful and we maintain similar momentum as we have done in Quarter 1, Quarter 1 has been exceptional. I will not lie. Quarter 2 is at best going to be as good as Quarter 1, but we anticipate ramp up in Quarter 3 and Quarter 4. On the margin side as well with the pharma kicking in, you will see margin

expansion. You will first see normalizing of margins in Quarter 3 and then an expansion of those margins, I don't know how much, but some expansion of those margins in Quarter 4, because we do have significant deliveries planned in Quarter 4 for the pharma business.
Ritesh Chheda: Okay. When you mentioned that you will be hopeful to maintain Quarter 1 traction, is it 175 crores (x) 4 is that how we should look at your business with Quarter 4 seeing further expansion on the revenue? Because pharma will start kicking, that's how I should read you your answer or different answer?
Amit Sanghvi: It's very difficult for me to tell how demand will pan out this year. What we see is Quarter 4, we'll have additional pharma revenue from the 175 that we have done. So, we should grow in revenue in Quarter 3 and Quarter 4, but Quarter 2, I'm telling you right now because we're already in August, so I know for a fact that at best we're going to do 175 or somewhere a little less than that.
Ritesh Chheda: Lastly, sir, what is the progress now at the furniture factory, which, you were trying to stabilize and ramp up over past 1 and 1.5 years. So where are you on that journey?
Amit Sanghvi: Sorry, Sanjaybhai did you say something?
Sanjay Shah: Yes. Ritesh meant the steel furniture factory, that’s what I clarified.
Amit Sanghvi: Again, steel furniture factory our manufacturing capability has improved. We are come over the learning curve when it comes to fabrication of sheet metal. We have some challenges in powder coating, but we have improved significantly. Again, what we're seeing, Ritesh unfortunately is that we've seen demand drop in Quarter 2. Whatever manufacturing gains we have in terms of efficiency, in terms of quality, in terms of rejection, unfortunately will not really give great numbers in Quarter 2.
Ritesh Chheda: Have you stabilized the teething problems in the factory?
Amit Sanghvi: I would say, I would say 80% of our problems, 85% of our problems have been resolved. We have some for which we have sought external expertise, external consultants as experts and we will be resolving them.
Ritesh Chheda: Wha

t is the utilization at the furniture factory?
Sanjay Shah: We don’t give out individual utilization, you know that.
Ritesh Chheda: No problem. Lastly sir if you could share the CAPEX number now, for 23 and 24.

Sanjay Shah: CAPEX numbers will stand same as what we talked about last time, we are looking at investing about somewhere between Rs.100 and Rs.120 crores this year. A majority of that will go in our expansion of our pharma facility and that's what's going to be on the CAPEX numbers this year.

Moderator: The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: First on the gross margin and EBITDA margin side. Gross margin has fallen by 7-8%, but the fall in EBITDA margin has been less, at around 4%. In Q3 or Q4, we expect gross margin to go back and maybe then pharma will kick in. Can our EBITDA margin be much, if not much but higher than the average 16 -17%, which we used to do historically?
Sanjay Shah: Yes, that's, that's what we expect going forward. I don't know, in terms of a timeframe, what it would be, but Yes, if we were to look at between this year and next year, we do expect a margin improvement happening over the period.
Aman Vij: Next question is to Amit on the pen side, you have talked about, we'll see most of the traction for this year in Q4. Are we on track to our target of around 9 million pens this year and around 12 million pens which you have talked about for next year?
Amit Sanghvi: No, no, it's 6, 6.5 million pens going to 20 in two to three years. That is what we have said. We are on target for that, and we have done decent pharma sales in Quarter 1. We are manufacturing more and selling more in Quarter 2 for pharma as well. You will see good pharma traction before the end of this year.
Aman Vij: That 10 million numbers halfway do we expect to cross next year? Do you mean ramp up will happen next year?
Amit Sanghvi: From filing to launch is a two-year cycle typically. Next year I think we should get somewhere closer to 10 million at least. I don't know how much, maybe 9, maybe 8.5.
Aman Vij: It's totally back ended because from 6 to 20, we are not really sure of this year or next year ramp up happening, but then two and a half years will happen.
Amit Sanghvi: Because there's always going to be like that, that's the cycle, that's the approval cycle.
Sanjay Shah: Aman it’s not that we are not sure.
Amit Sanghvi: Global volumes are there.
Sanjay Shah: It's just about how it's going to happen. There's an agreed plan with the customer in terms of…, as Amit mentioned, there will be exhibit batches, given there will be batches given for trials and

everything. For those trials, you know what quantities we are supposed to give and post that we know with the ramp up, which is going to happen. That's the cycle which happens for this business.
Aman Vij: Sure. Next question on the toys division, we have talked about this year to be a little soft, any change on this part, any new customer addition we are trying any new campaign we are trying because a lot of we hear a lot of emphasis on the toy manufacturing in India given we have a lead we have done quite well up to now, but to reach to the next level, are we putting more effort,are wetrying to talk to more customers, more orders from same customer if you can talk about the steps that we are taking to ramp up toys business?
Sanjay shah What we are doing is that we are in discussions with existing customers to add more products. At the same time, we are in discussions with new customers also. Again, here what's happened is because of the global slowdown and unwinding, which is happening, global demand for toys has come down as compared to last year. So, while we are in discussions, we should be

able to
give you some better clarity as we move forward.
Aman Vij: Sure, sir. Final question on the employee addition which we are targeting for this year, if you can talk about the same.
Sanjay Shah: Sorry, I didn't understand your question.
Aman Vij: We have 1800 to 2000 employees. Any number you have in mind for the addition for this year?
Amit Sanghvi: We are not planning any additions; anything major this year for additions of employees at least.
Sanjay Shah: We are adding people in key positions as required. Amit, do you want to talk about the CEO which we are looking at, give some just some broad picture.
Amit Sanghvi: We have said before, we will close the CEO mandate before the end of this calendar year and we will have someone on board with us and that remains, we are on the right track in terms of timing to achieve that.
Moderator: Thank you. Next question is from the line of Nikhil Jain from Galaxy International. Please go ahead.
Nikhil Jain: Just a couple of questions. Looking at your commentary in the initial commentary, it seems at least to my mind, it was that we are shifting towards more on the healthcare side as an organization. So, three years down the line or three to five years down the line, where do you see Shaily, let’s say the healthcare contribution right now is second largest, will it become the largest contributor to the business in maybe three to five years?

Amit Sanghvi: No, it would remain second largest even in three to five years.

Nikhil Jain: Okay. The second question is related to the patents that you have acquired actually last quarter and this quarter also I think there are some IP on the cards. So, what is that let's say, if you can throw a little bit of light on what are the patents that you acquired and what's the kind of use that you would see on that?
Amit Sanghvi: Last quarter we talked about in auto injector or the quarter before that.
Sanjay Shah: Yes, Amit.
Amit Sanghvi: So, the difference between a pen injector and an auto injector is that typically an auto-injector is a twostep device where the amount of medicine to be injected is already predetermined. So, the user does not have to dial a dose like you do in a pen injector or decide the quantum of the dose. Here the user simply has to take a cap off and inject. So, it's meant for different therapies. And typically, in a pen injector you are delivering lower volumes whereas in an auto-injector you would typically, I am not saying this is true all the time, but you typically deliver I think no less than 0.25 ml to as high as maybe 2.25 ml in one shot.
Nikhil Jain: So, we acquired some IP related to that device, right?
Amit Sanghvi: We developed, yes, we acquired, and we developed further. So, we are looking at commercializing that auto injector in the current financial year.
Nikhil Jain: Okay. And one more question that I just wanted to ask was that on the pen on one of the peptide devices that you have some customers on, so has any of our customers refused the tentative approvals?
Amit Sanghvi: We are anticipating our first part of the approval this year and we seem to be on track for it.
Nikhil Jain: Right. And it would be a global MNC, right?
Amit Sanghvi: It is, yes.
Nikhil Jain: Okay. And just the last question. So, the CAPEX of Rs. 150 odd crores that we are spending over the next 1.5-2 years so can you just give the breakup? I missed it actually in your initial remarks. So, if you can just highlight it again, how much to healthcare and how much to other businesses?
Amit Sanghvi: It is going to be more than 50% to healthcare and I think about 50…we didn't do the exact number; sorry how much is it Sanjay bhai? 60% to healthcare and 40% of non-healthcare?

Sanjay Shah: No, it will probably be 70:30, Amit.
Amit Sanghvi: 70:30

, fair enough.
Nikhil Jain: Right. Okay. And see, generally the terms on especially the healthcare CAPEX should be reasonably high as compared to the other CAPEX that is more on contract manufacturing basis. So, do you agree with that or is my understanding correct?
Amit Sanghvi: No. You have to be patient with time.
Sanjay Shah: Your sales turnover would probably be lower as compared to contract manufacturing, your margins at an EBITDA and a ROCE level on a long-term basis would be much higher.
Moderator: Thank you. Next question is from the line of Bhavin Rupani from Investec. Please go ahead.
Bhavin Rupani: I have one question, sir. Can you give us some visibility and idea about your toys and home furnishing segment, please?
Sanjay Shah: So, home furnishings as compared to what we did last year, we will grow this year. We would probably grow at a slower pace as compared to what we would have thought about growing six months back, but we will still grow this year. On toys, as we had talked last time , whatever we did last time, we would basically be looking at similar numbers in the current year and then growing next year.
Moderator: Thank you. Next question is from the line of Manish Gupta from Solidarity Advisors. Please go ahead.
Manish Gupta: Wanted to check that how many years actually do we depreciate our equipment over and what is the true useful life of the equipment?
Sanjay Shah: So, Manish, typically for all machines we take useful life as 15 years for our equipment and then we run three shifts, so equipment get depreciated between 7 to 10 years. Useful life is 15 years based on a single shift working so when you look at a three-shift working it basically depreciates between 7 to 10 years depending on the usage. At the same time, if you look at injection molding machines and everything, we have machines which are 15-year-old, 20-year-old, or even higher which are in operation and which are running very well.
Manish Gupta: So, would it be fair to say that the useful life is at least 2x the life over which a typical machine is depreciated?
Sanjay Shah: I think that would be a fair sense to assume that, yes.

Manish Gupta: And Sanjay bhai, do we take maintenance CAPEX through the P&L account or through the balance sheet?

Sanjay Shah: Some of it goes through the P&L account, some of it goes through the balance sheet, depending on, say if it's a major overhaul of an equipment where you are adding years to the equipment, it could probably be through the balance sheet. If it's a normal routine wear and tear and everything, it would basically be on the P&L.

Manish Gupta: Okay. And you mentioned that you are undergoing a CAPEX program, a lot of that is for the pen, and there will be a portion of the CAPEX that I guess is for toys and for furnishings. Now, given that you I think either you or Amit made a comment that you are not seeing so much of demand pick up for toys, how do you think about CAPEX in the context of businesses which could face recessionary headwinds, given also that the steel furniture business is not picking up so, how do you guys think about making CAPEX decisions when you see the rest of the world, we are seeing the developed part of the world facing quite a lot of recessionary headwinds. Could you just talk us through the thought process there?

Amit Sanghvi: Manish, typically pharma is a business where we make CAPEX decisions based on our judgment, calculations, discussions with customers and the pipeline that we have. And if you look at this year's CAPEX, a very significant portion is going to the pharma business, not the others. On the other businesses, we only take CAPEX decisions based on confirmed businesses. We don't invest anything without confirmation. Now again, we are in unusual times right now where confirmed businesses have seen drop-in volumes. We

try to be as meticulous in taking CAPEX decisions as possible on the non-pharma business and unless we have confirmation, we will not invest in anything upfront.

Manish Gupta: Okay. And when a particular customer will not meet say a confirmed or a high probability order book, do you get compensated for that in some way, higher margins in future orders or perhaps higher volumes, how does the customer compensate you?

Sanjay Shah: So, Manish that probably takes time to happen. It does not happen immediate, but yes immediate discussions and negotiations which you have with the customer, the customer would take that into account and keep that in mind when new businesses get awarded or higher volumes get pitched for. So, those are the things which the customer does take into consideration in terms of commitments made by them.

Manish Gupta: Okay. And my last question is what are some of the risks that you guys are seeing right now or risks that you are conscious about?

Sanjay Shah: So, Manish let probably Amit answer part of it, but a couple of things which we are seeing is with what's happening on global headwinds, if actually a recession happens in the US or

something, you really do not know how the demand will pan out. So, that's one thing which we see as a risk.

Amit Sanghvi: So, Manish our goal is to create a business vertical which is also more domestic. We need to increase our domestic supply and that's what we see as a risk right now. That's what I see as a very significant risk. And we will continue to do whatever we are doing for exports, but we want to increase our domestic business very significantly.

Manish Gupta: Will you get the same margin on domestic orders vis-à-vis export orders?

Amit Sanghvi: The immediate answer is no. If we do the same thing we do for exports in domestic market, we will not likely get the same margins. We have to think of a different product portfolio. So, there's something in the works, we can't comment on it right now, but we don't think it will pan out in the current financial year, but in the upcoming financial year we would see some progress, good progress there.

Moderator: Thank you. Next question is from the line of Chirag Jain from Kamayakya Wealth Management Pvt. Ltd. Please go ahead.

Chirag Jain: I had a broad question. If we compare Shaily in 2018 versus Shaily in 2022, so we had Shaily in 2018 which had a long order book, but it couldn't be executed due to some labor issues or due to operational issues. But now we are seeing to that, we have order book reducing and operational capacity increasing. So, what would you like to say on that?

Amit Sanghvi: The good thing is we have sorted out our operational issues which means we don't have labor issues. Our efficiencies are also higher in the plants. Our processes have become more streamlined, more robust, and fingers crossed, we will see demand pick up again which will really benefit us.

Chirag Jain: So, what's on the order side. What are we doing to grow the order book currently? Because I see that capacity obviously because it has dipped due to some capacity additions, but it's low which we used to have 70% in 2018-2019.

Amit Sanghvi: Because we have added a lot of capacity in the last two years. If you think about sheet metal capacity as well as the new plastic factory that we added last year. As of now, like I said, quarter two is not going to be better than quarter one, but we anticipate quarter three and four to be better than quarter one.

Chirag Jain: So, do we hope to soon 70% utilization which we used to have historically?

Amit Sanghvi: We hope to end the year with that number.

Chirag Jain: Secondly, on the healthcare segment, so that's also a big drag on our segment because the capacity utilization on the healthcare segment has

n't been as per you have set your targets. So, what would you like to comment on that?
Amit Sanghvi: No, I didn't say anything about capacity utilization on the healthcare segment than what we have anticipated. We don't report individual segment capacities, but utilization on the healthcare segment has been very good.
Chirag Jain: I had joined the previous con calls also, so I had mentioned the same question regarding the healthcare segment. You mentioned that it was below our target, so it was obviously one year prior and that time I asked and that was your response. So that's why I'm asking.
Amit Sanghvi: I think your question was probably to do with CR closures and bottles.
Chirag Jain: Yes.
Amit Sanghvi: This has been mentioned on several calls, we do not actively market those products anymore. The same capacity is fully being utilized to manufacture the pen injectors and the other devices that we have.
Chirag Jain: Okay, got that. Also, lastly would you like to provide a color on the UK subsidiary which we had incorporated, what's going on there?
Amit Sanghvi: We have three active projects in the UK at the moment plus a fourth one that I spoke about briefly on this call where we develop some new technology which we will be taking forward now. Out of the three active projects currently ongoing in the UK, we plan to commercialize two before the end of this financial year. Third one we are going to production only next year. And the fourth one, the new technology is at least 24 months away from being a full product.
Moderator: Thank you. Next question is from the line of Aman Vij from Astute Investments. Please go ahead.
Aman Vij: Sir, we had talked about plastics business on the furniture side, we are becoming third largest this year in terms of supply to our key customers. So, are we on track on that. And if yes, is there opportunity in the next three to five years we can even become second largest.
Amit Sanghvi: I certainly think so. Whether we become third largest this year is a little unknown. We might end up at position four, but in the next three years we certainly do see us Shaily moving up in position.
Aman Vij: Even second, if possible, you are saying that?

Sanjay Shah: Yes.
Aman Vij: On the field side, what we understand again the opportunity even bigger than the plastic, so we had some teething issues initially. You have explained that 85% problem is solved, but the remaining 15% odd, especially on the steel;. So, is that the reason we are ramping up slower than the opportunity, because even if say there is some recession generally in field, but we are so small a player, shouldn't our ramp up be much faster? And any targets we have, like can we reach the top five in the next three, five years in steel also? If you can talk about the same?
Amit Sanghvi: No, top five in 3-5 years is probably not possible because in steel with the customer we are talking about, their typical suppliers are all the way from €100 million to someone being as large as €350 million. So, that's not going to be possible in three years or even five years. We are looking at, steel as an opportunity is larger than plastics within the customer. Customer is ready to give new business provided we are able to ramp up what we have currently taken on. So, I think from an opportunity perspective, there is no lack of opportunity. We are working very closely with the customer, and they are also helping us in this ramp up and solving the issues that we have. So, it's a very active dialogue. It's a very active business where they are also participating, providing us with all the expertise they have. We are very-very hopeful and confident that this year we should be able to solve basically teething issues or learning curve.
Aman Vij: Do you expect ramp up happening or new orders coming mostly next year in steel?
Amit Sanghvi: Ye

s.
Sanjay Shah: Yes.
Aman Vij: Sure, sir. Final question, you have talked about four projects in the UK subsidiary. Two we are maybe commercializing this year, one next year, and maybe the final one which we have recently talked about in two years. The final one, the way you are hinting maybe our understanding what we could guess is something related to the bag or the patches. But is the opportunity big enough in these products, the question was that, maybe I am wrong, but that technology has been there in the last 3-5 years, it hasn't scaled as much. So, if you can talk about that.

Amit Sanghvi: You know wearables or patches as you call it, there is a slight on-body injectors and patch pumps are different. What you are referring to are meant for diabetes treatment which have been on the market for quite some time, they are mostly the pumps. What we are developing is a single use on-body injector. So, there's a difference. And they are meant for different therapies. Yes, you're right that the scale up hasn't happened because new molecules are going into such therapies or existing molecules which are in IV form are going into such devices. We are also targeting a different type of customer for this new device. We are not necessarily targeting the generic

pharma companies that we target with our pen injectors and auto injectors. With the wearable we are also looking at different kinds of customers.

Moderator: Thank you. Next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: I have two questions. One is, given a significant percentage of our incremental CAPEX is going towards healthcare, if I have to understand the payback for this, how should one look at the numbers?

Sanjay Shah: So, Ritesh, payback I would say we would still look at somewhere between four to five-year period for incremental investments which we are making. And this is keeping in fact that we have basically done, we are making investments for developments which have already been done and we are now looking at ramping up on these products.

Ritesh Shah: Sanjay bhai, would it be possible for you to give more color on the CAPEX if you would like to split it between say R&D efforts and physical infrastructure just to better understand the payback five years?

Sanjay Shah: So, a large part of our CAPEX is going to be in physical infrastructure and expansion of facilities and everything. R&D or the development would probably be little lower. I don't have the numbers in front of me right now, but it'll probably be not more than about 10% to 15% of what we are investing overall.

Ritesh Shah: So, say 80%-85% is towards physical infra to my basic understanding, correct me if I am wrong, I think we have significant spare capacity when it comes to insulin pens. So, is there anything incremental that we are looking at, is it towards inhaler or is it towards the pen?

Amit Sanghvi: Ritesh, we don't have capacity when it comes to pens. I mean, we don't have significant capacity when it comes to pen. We are managing whatever we currently are manufacturing and the demand we have in the current facility, but the ramp up for which we have, of course, secured customers as well as the orders needs to come from the new facility, new expansions.

Ritesh Shah: Okay. Do we have land and building already in place for this? And so, the incremental investment will be only towards machinery? Would that understanding be right?

Sanjay shah We have land available, but we are adding 125,000 square feet of building space to our existing pharma facility. This is mainly being added for all the new projects which we have talked about. We are looking at ramp up on these projects happening from this year onwards for the next three years. So, it's essentially for that.

Ritesh Shah: Sure, that's helpful. My other question is for Amit. I'

m just taking a step back. I'm just trying to connect the dots. Basically, for home furnishing what we indicated Rs. 2 crores on a year-on-

year basis but it was not as we expected. Secondly, toys, what we indicated will grow in next year. So, if I have to read between the lines what we are saying is probably will be flattish on a year-on-year basis which looks, put some color over here. And pharma you have indicated the pipeline is actually back ended. And the last year you indicated the order book was lower than expected. How should we read through these whole data points Are we facing headwinds across business segments because of exposure to US? I think one of the participants earlier made a very valid point where time is actually our advantage. So, do you think that the headwinds should actually come to us and hit us when our revenue trajectory actually goes down? How do you look at this?

Amit Sanghvi: Pharma business does not have really any headwinds. It's just very simple process. From the time our customers file to the time they can commercially launch it's a 24-month process. So, when it comes to pharma, I don't think there's any global scenario which is playing out, economic scenario which is playing out against us. It really depends, I mean, portion of that anytime we do a new product in the pharma space, we have 50% of the responsibility and customer also has 50% of the responsibility. So basically, cycle starts from when they file. Some customers have been very good at hitting their targets in terms of filing. Some have had setbacks, various reasons, some could be attributed it to us sometimes or could be attributed to their own formulation or final assembly processes, etc. So, there are various reasons for delays that happened. But right now, what we are seeing and the numbers we have said for pharma remain true because they are mostly for products which have been either filed or are on stability. On the non-pharma side, again when we talk about a slowdown, we are not talking about a slowdown using the last financial year as a yardstick. We are talking about a slowdown from the perspective of the capacity that we have created based on the orders that was awarded to Shaily. So, we are not seeing volume up to that level. We are certainly seeing growth from last week that you guys can see in the quarter one results as well. We are not seeing the volume that we had anticipated and built capacities for in quarter two. We are hoping that ramp up will happen in quarter three and four.

Ritesh Shah: Sure. If I have to just rephrase it, probably Sanjay bhai can chip in, if one has to look at the volume growth versus the value growth, pharma and non-pharma, will it be a right way to look as it, something like toys and home furnishing will be a volume growth, obviously value growth is something which has moved up and probably it now inching down. What would be a right way, a yardstick for us for guys externally to actually look at the company?

Sanjay Shah: So, Ritesh, even on the non-pharma part of the business while there would have been very high or we were looking at very high-volume growth, we were also looking at improvements at a ROCE level. This was basically keeping in mind higher than normal asset turns which we would have gone on that business. Unfortunately, because of what's happening globally, we have not got to those volumes. I hope things get corrected. I do not know whether it's three months, six months, nine months. That's what it is. While pharma, as you rightly said, yes, it's value growth

where you need to make investments upfront which we have done in the past and investments which we are now making basically help us scale up that in the coming years.

Moderator: Thank you very much. I now hand the conference over to t

he management for closing comments.

Amit Sanghvi: Thank you very much. Thanks everyone for joining the call. We hope that we have been able to answer your questions adequately. For any further information I request you to get in touch with SGA, our investor relations advisors. Thanks again and have a great day.

Sanjay Shah: Thank you. Thank you everyone.

Moderator: Thank you very much. On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2022

SEPL/SE/Nov/22-23
November 21, 2022

The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code : 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code : SHAILY

Sub : Q2FY23 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated 15th November, 2022, wherein the Company updated the audio link of Earnings call held on 14th November, 2022 to discuss the operational & financial performance of the Company for the quarter and half year ended on September 30, 2022.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call .

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary & Compliance Officer
M. No. A 31582
DIMPLE
ASHWINBHAI MEHTADigitally signed by DIMPLE ASHWINBHAI MEHTA
DN: c=IN, o=PERSONAL, title=8748,
pseudonym=28dd610549b34b4aadfc7aa64744d799,
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Date: 2022.11.21 14:29:00 +05'30'

"Shaily Engineering Plastics Limited Q2 & H1 FY'23
Earnings Conference Call"

November 14, 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th November 2022 will prevail

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR &
PROMOTER , SHAILY ENGINEERING PLASTICS
LIMITED.
MR. SANJAY SHAH – CHIEF STRATEGY OFFICER,
SHAILY ENGINEERING PLASTICS LIMITED.

Moderator: Good day and welcome to the Shaily Engineering Plastics Limited Q2 & H1 FY'23 Earnings Conference Call.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Sanghvi – MD and Promoter. Thank you, and over to you sir.

Amit Sanghvi : Good afternoon, and a very warm welcome to all the participants to the Post-Results Earnings Call of Shaily Engineering Plastics. I have with me, Mr. Sanjay Shah – our Chief Strategy Officer and SGA our Investor Relations Advisors. I hope you have had a look at our Investor presentation that is uploaded on our website and the Stock Exchange.

Despite a very challenging environment we have registered half-yearly sales of Rs. 332 crores in FY'23. We are an export-oriented company with products and customers based in the overseas market. And given the geopolitical situation across the globe, we expect softness in demand in the coming half. We are working closely with our customers to ensure optimal production inventory levels. We continue to watch this situation closely and will provide timely updates.

Highlights of the Business Performance

As I have mentioned on several calls in the past, we are very focused in deepening our foray in IP related products for Healthcare. We have created a scalable model which will aide growth in revenue in the coming years.

Healthcare is now the second largest revenue contributor through Shaily's business. Through Shaily UK, we now catered to global markets and create innovative products not just for generics but also for global innovative Pharma. The most recent example is our wearable autoinjector meant for delivering large volume injectables for Oncology. I am happy to announce that we showcased our first fully working prototypes at CPHI worldwide in Frankfurt and have received some very encouraging feedback from global innovator Pharma companies.

During the first half of the year, we did Rs. 4 crores of sales through Shaily UK, and we are EBITDA and PAT positive right from the onset. Under our Automotive and Engineering, we

have started commercializing the orders received and expect a ramp up in the current year. In FY'22, the company raised funds and we have started utilizing the same to expand the core business. We are planning CAPEX spend of approximately Rs. 200 crores over the next couple of years, out of which more than half of the spends will be towards the Pharma part of the business, for growing device part of the business, which is led by our own IP, proprietary products.

That is all from my side. I shall now hand over the call to Mr. Sanjay Shah, our Chief Strategy Officer to give you the operating and financial highlights. Thank you very much.

Sanjay Shah : Good evening everyone. I shall share with you the highlights of our operational and financial performance of Q2 & H1 FY'23 following which we will be happy to respond to your queries.

During the quarter we processed 5,145 tons of polymers as against 4,498 tons in Q2 FY'22, an

increase of 14% year-on-year. For the half-year we processed 11,689 tons of polymers as against 8,591 tons in H1 FY'22, an increase of 36% year-on-year.
In this year we have already achieved 60

% of the volumes of FY'22. Machine utilization stood at 45% in Q2 FY'23 and 47% in H1 FY'23. Exports during H1 FY'23 stood at 77.8% of total revenue as compared to 78.7% in H1 FY'22.

Standalone Results

Revenue stood at Rs. 160 crores during Q2 FY'23 as compared to Rs. 145 crores during Q2 FY'22, a growth of 10%. EBITDA stood at Rs. 25.1 crores during Q2 FY'23 as compared to Rs. 23.8 crores during Q2 FY'22 , a growth of 5%. EBITDA margins stood at 15.7% for Q2 FY'23. PAT stood at Rs. 9.4 crores during Q2 FY'23 as compared to Rs. 10.5 crores during Q2 FY'22. PAT margins stood at 5.9%. Cash PAT for Q2 FY'23 was reported at Rs. 17.1 crore as compared to Rs. 16.9 crores for Q2 FY'22.

H1FY'23 Highlights

Revenue stood at Rs. 332 crores as compared to Rs. 265 crores during H1 FY'22, a growth of 25%. EBITDA stood at Rs. 46.8 crores as compared to Rs. 44 crores during H1 FY'22, growth of 6%, EBITDA margins stood at 14.1%. PAT stood at Rs. 16.8 crores as compared to Rs. 18.5 crores during H1 FY'22. PAT margins stood at 5.1%. Cash PAT for H1 FY'23 was reported at Rs. 32.2 crores as compared to Rs. 30.8 crores during H1 FY'22. Our ROCE and ROE stood at 13.6% and 9.1% respectively as on 30th September, '22. Our debt equity stands at 0.6x and our long term debt equity stands at 0.2x.

Consolidated Revenue

On a consolidated basis revenue stood at Rs. 339 crores, EBITDA at Rs. 50.2 crores and PAT at Rs. 19.5 crores for H1 FY'23.

This is all from our side. Now we can open the floor for question and answers. Thank you.

Moderator : Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We have the first question from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani : My first question is on gross margins. During the 2nd Quarter, we reported gross margins of around 35%. However earlier we used to report somewhere around 40%. So, how should one understand about this 5% lower margins? And do you think 40% margins are achievable in the near future? And what would be the sectors which will lead to an increase in margins?

Sanjay Shah : So, Bhavin, one difference between when you look at FY'22 and FY'23, is that our development or part of the Pharma revenue comes out from UK. So, when you look at gross margin, you need to look at combined UK and India P&L together which would basically give you an indication on the gross margins.

Second is, as we have talked about in the past quarter also, we have seen inflationary pressures and raw material pass through happens with a lag. So, that is the reason for some drop in the gross margin, which we would get back to improvement as we speak. Even if you were to look at Q2 FY'23 as compared to Q1 of FY'23, you would have seen improvement in gross margin and that's because some of the raw material pass through has happened.

Bhavin Rupani : Any margin guidance for second half for FY'23?

Sanjay Shah : We don't give a margin guidance, Bhavin, I am sorry about it.

Bhavin Rupani : And how should one understand the incremental margins going ahead. Currently, we are reporting around 15% EBITDA margins, what would be the major drivers for margins going ahead?

Sanjay Shah : Major drivers for margins will basically be increase in volumes, and as we increase the Healthcare part of the business and the Pharma part of the business that's the way increase in margins will happen.

Moderator : Thank you. We have the next question from the line of Aman Vij from Astute Investment Managements. Please go ahead.

Aman Vij : My first question is on the Pharma business, if you can update on the CAPEX, as well as what kind of orders are we expecting in FY'23 in terms of our own IP pens ?

Amit Sanghvi : So, we have a fairly strong pipeline, these are all products that have been filed by v

arious

customers. In FY'23 we definitely see scale up, like we did for the same product, we did some scale up in FY'22, we see further scale up in FY23, especially for our P60 pen, which is the insulin variant of our Protean pen. We also see scale up on our Teriparatide pen which is the

fixed dose pen injector. And then we are seeing a very large opportunity with our, one of our
new devices which has been on showcase for the last four to six months. But we are just
completing the program and we have seen a very significant opportunity at the exhibition this
year as well. So, we anticipate significant revenue coming from the new pen in FY'23 as well.
Sanjay Shah : So, with the total CAPEX which we are doing currently, will be about Rs 125 crores, out of
which part of it has been spent and the balance would be spent during the current year and some
of it during the course of next year.
Aman Vij : In H1, how much have we spent of this Pharma CAPEX?
Sanjay Shah : Aman, I don't have the exact numbers right now in front of me, but I believe we would have
spent about Rs. 40 crores to Rs. 45 crores
Aman Vij : And are we expecting to spend similar number in second half?
Sanjay Shah : The number will be a little higher in second half.
Amit Sanghvi : It's work in progress, right Sanjaybhai.
Sanjay Shah : Yeah.
Aman Vij : The next question is on the toys business and the carbon steel business, if you can give the
update, any further breakthrough in terms of newer orders or newer clients, as well as utilization
level in the carbon steel business currently?
Sanjay Shah : So, on toys, we are working with our existing customers to basically increase our business and
everything. One of the challenges which we are facing as Amit mentioned in the early part of
his speech that we being export-oriented company, we are seeing demand slowing down in
Europe, in the U.S. for most of our customers. So, getting new business in this scenario does
take a little longer time. So, we are working with customers for that. Similarly, we continue to
explore opportunities with some other customers also but given the overall scenario it does take
a little longer time.
Same is the situation on the carbon steel part of the business. What we are also doing is we are
in discussions with our existing customer to basically see how volumes can be built up there.
And that's something which we have been constantly discussing with the customers.

Amit Sanghvi : So, just to add to what Sanjaybhai said on toys, there is a global drop in demand of 25% in toys
that we are hearing from our customers, 25% to 30%, combined with this, the issue is also that
increasingly more Chinese factories have become the, you know, I think the right word is more
competitive, they are just providing throwaway prices, prices that are not sustainable for long
term. And we have stayed away from such practices.
Aman Vij : On the toys part, at the start of the year we were thinking of maintaining this business, which we
did in last year, but given the slowdown, are we expecting like maybe 20% kind of fall compared
to last year in our toys business for this year?
Sanjay Shah : There will be some impact, we are really not sure in terms of the overall impact, which we will
be there, but yeah there will be some impact.
Aman Vij : And what was, utilization part you left for the carbon steel business?
Sanjay Shah : Again, Aman we don't report individual utilization level, what we do is we report the utilization
levels at an overall company level.
Aman Vij : But did it increase versus last quarter or is it at the same levels only?
Sanjay Shah : As compared to Quarter 1 utilization levels have gone down in Quarter 2.
Amit Sanghvi : The demand scenario, unfortunately it impacts all of our consumer businesses.
Aman Vij : So, that means one of the major clients also is facing some kind of de

mand issues, both in plastic
and carbon steel.
Amit Sanghvi : Yes, that's right.
Aman Vij : My final question is on machine utilization. So, what was the machine addition this quarter, as
well as for the H1, we ended up at around 47% utilization. So, for H2, do you expect similar
number or much higher or what is your expectation?
Sanjay Shah : So, we have not added any machines in Q2. So, what you are seeing is on the same base as Q1
and Q2. Utilization level, I think overall for H2 will probably be more or less in line with
whatever we have seen in H1. But I think still an evolving situation with whatever discussions
we had been having with customers.
Moderator : Thank you. We have the next question from the line of Manish Gupta from Solidarity. Please go
ahead.

Manish Gupta : My first question is, Amit, with the benefit of hindsight, do you think the foray into steel furniture
was still the right decision for the company?

Amit Sanghvi : Hindsight it's always slide back Manish, I think, given the impact, we have seen with the steel furnitures having on our business I would say probably not. But really, hindsight has to do more with all the events that occurred post finalization of the business, COVID having the biggest impact on commercializing that business when the opportunity was there. Unfortunately, we just weren't able to do it, because of various technical issues, operating issues that you realize that we put the plant on stream ourselves rather than any of the suppliers coming in and installing any of the equipment. So, this has had a huge impact on how quickly we were able to start the plant and then how we were able to benefit out of it. Unfortunately, the scenario is different right now. So, hindsight, probably a bad idea.
Manish Gupta : Well, my question is two parts to that, Amit. One is obviously the ramp-up which is due to factors beyond your control, COVID and now the recession, but technically do we think we have mastered the steel furniture business as well as we have on the plastic side. So, do you think technically we are there right now or technically still there is something missing.
Amit Sanghvi : You know, mastering any manufacturing process comes with the scale of the manufacturing process, and how much experience and exposure you get to it, which is the unfortunate part with carbon steel that the minute we tried to up the utilization levels, the minute we got to a point where we felt comfortable in taking on more orders from the customer we saw this kind of recession in the West.
I think our fabrication capabilities are very strong today, I am very confident that if we are given more business, we will be able to execute. We had some challenges in surface coating, which is primarily powder coating, but we have overcome most of those issues. So, given a chance today, we can have increased volumes, I think we would be able to perform fairly well.
Manish Gupta : Yeah, but is the customer exhibiting confidence in our competencies or because Sanjaybhai just mentioned that Q2 might be lower than Q1. So, do you think we would be able to get up to full capacity, which is say, Rs. 120 crore in this plant by say FY'25?
Amit Sanghvi : Yes, very confident of that.
Manish Gupta: My next question Amit, is just wanted to understand some dynamics so far of our business. See in the IP industry, people have this concept of farmers and hunters, where people are opening new accounts. And then there are people like RMs who will deepen the relationship. Now, we have obviously got one large client whom we are working with for a long period of time. And now we have got a bunch of relationships that are forming on the Healthcare side. So, just wanted to understand how this thing works for Shaily, is it that people hear about our reputation and

approach us? Or have we hired a bunch of people who are going around opening relationships for us? How does the model work in our business?
Amit Sanghvi: See it's slightly different, I think, maybe on the IP side, you can kick start a project fairly quickly, because there isn't much in terms of development, upfront that probably takes place I could be wrong about this, but it's just my knowledge. When it comes to Shaily, it really comes down to us having been able to showcase to a potential customer what our capability is, and what can we provide. When you try to do that, with too many accounts, at the same time, you end up with too many small projects that take up all of your resources without adding any substantial revenue, because whether we execute a project worth Rs. 50 crores or Rs. 5 crores, the amount of resources that go into executing the project are more or less the same. So, for us, it's very important to try to find customers that can give us scale.
And then it also depends on the segment of the business. For example, on the consumer side, we would not want to take on 5, 6, 7 customers, we probably want to focus on adding one or two accounts in a given 12-month period. And we have been doing that. So, we have been actively pursuing some new business with companies similar to the Home Furnishings Major, a lot of these companies apart from the Home Furnishings Major that we work with, have a model where they buy off the shelf, which means that you already have a portfolio of products that you manufacture. And you can offer something off the shelf, which is your own design, and you have already created the capacities, invested the necessary capital to provide them the product. We have been a contract manufacturer and unfortunately or fortunately, we have not really had an opportunity to create our own portfolio till date. So, we struggle in terms of working with others, like the Home Furnishings Major we work with. But we do pursue these opportunities actively. On the Pharma side, we are very much hunters. So, we very much go out and hunt for new business.
Moderator : Thank you. We have the next question from the line of Nikhil Jain from Galaxy International. Please go ahead.
Nikhil Jain : Just a couple of questions. One is, when do we expect that we would be able to pass on the impact of raw material price hikes to the customers in all our businesses? So, will it be like a couple of months, more quarters, any feedback on that?

And second is specifically on the Healthcare side, I just wanted to understand, let's say on one of the big products that we are expecting launch probably in 2023, 2024, has any of our customer got a tentative approval? Thank you.

Amit Sanghvi : I would like to take the second question first. On both products that we mentioned, on one of those products, we are expecting approval as early as January. We know the process of how the

approval would potentially come and the questions that were raised and the subsequent answers that were given, so we are hoping for approval in January.

For the other product, it is for the Middle East market, where the demand is already there. And the customer also already has the product on the market. So, they will be now using our pen to put the same product on the market. So, really, for the second part, it really depends on how quickly we can work with the customer to provide them a full solution on their assembly, help them with creating their testing protocols and release protocols. And then take it forward from there.

Nikhil Jain : Just a follow up on that, is that a tentative approval that we are talking about? Or is it like final approval from the US FDA for your device part?

Amit Sanghvi : One is the US FDA, one is for the U.S. market, second is for the Middle East, where their drug product is already on the market so we now n

eed to combine it with our combination product and do the relevant testing to provide the data for filing, and it should essentially be immediate approval within a few months, essentially. So, we are working as fast as we can on that program.

Nikhil Jain : Have we already been inspected by the US FDA or do we expect that post this application, we will get inspected?

Amit Sanghvi : We don't know whether we will get inspected or not. The fact is that we are certified to MDSAP with the US FDA scope, which means our MDSAP approval essentially get signed off by the US FDA before us being certified. So, we don't actually know whether we will actually get inspected or not, it might happen at some point in the future, happy to take on the inspection, I think we are geared up from a quality perspective.

Sanjay Shah : Yeah, Nikhil, on the first part of your question, the raw material parts, to some of it has happened in Q2, and the balance of it should happen in Q3.

Nikhil Jain : So, our margins are then let's say in Q4 should revert back to over normal natural margins, let's say historical margins, right.

Sanjay Shah : Provided that we don't see any inflation or anything, again, raw material prices going through some change or something.

Moderator : Thank you. We have the next question from the line of Akshay Jain from Jain Capital. Please go ahead.

Akshay Jain : So, last year, you had announced that we have raised funds and so just wanted to understand where is the allocation of those funds? And how much have you spent till now and what is the plan going forward?

Sanjay Shah : So, we have raised Rs. 150 crores for preferential offer, out of which as of 30th September if you were to look at it, we have spent Rs. 60 crores and Rs. 90 crores are lying with us. This Rs. 50 crores has been spent for CAPEX

Akshay Jain : So, the question is, Europe is under pressure currently, so how do you see demand over there, and how much of that will impact our sales and profitability for this rest of the financial year?

Amit Sanghvi : I mean, it's not good news, by any means. Europe is under substantial pressure and so is North America, to be honest, it's not just Europe. All of our major consumer business is significantly impacted by this. So, we are working with the customer to see how additional markets can be assigned to us. But the reality is that until we see some normalization in Europe, in the U.S., we are not going to have any great impact. We are hoping that as part of the regular business cycle throughout the year, we see increase in demand for the same customer starting in Feb every year, you know, there is always a slowdown period that starts in November and lasts February. February, we see an increase in demand again. We are hoping that the same will continue but to what level will we see further additional increase, it's currently unknown.

Moderator : Thank you. We have the next question from the line of Manish Gupta from Solidarity. Please go ahead.

Manish Gupta : So, Amit I am just continuing on the previous question that I was asking. So, what you had mentioned was that you don't want to take on too many small projects, and therefore you are not actively going out on the plastic side. But we are going far more aggressively on the Pharma side, on the Healthcare side. So, would it be fair to say that most of your growth over the next

couple of years is actually going to come from customers with whom you already have a relationship?
Amit Sanghvi : Most of our growth, the next couple of years, let's give it a little bit larger horizon, if you don't mind. In addition to what we are doing on the Pharma side, Manish we are also working very hard on creating additional verticals of the business. So, today, largely, if you see the business, we have Consumer, we have Healthcare, we have Automotive and Engineering, and Person

al
Care right. Now Automotive and Engineering, we already know what we are focusing on in terms of product, the type of products so we are not going to see any very substantial Rs. 200 crore revenue coming from there. Similarly, with Personal Care. So, really, the only growth areas we have had so far are from Consumer plastics and from Healthcare.
So, Healthcare we continue to build as we are probably more aggressively, we have added strength to the Healthcare business development team. And in addition to that, we are now very actively pursuing other verticals, to grow business. It's too premature for me to tell you what those are the verticals are at the moment, but at the right time, we will inform the Investor Community.

Moderator : Thank you. We have the next question from the line of Utkarsh from FinTree. Please go ahead.
Utkarsh: I just wanted to understand our relationship with some of the entities. I think in the Annual Report, I could find Panex appliances. And it seems we made some investments and we also have some receivables outstanding. So, can you elaborate on the entity and the relationship?
Sanjay Shah : So, Panex was an associate company. It's not doing any business for the last five, seven years. There is some investment which has been made and there is some money that Panex has given us. So, if you have a little bit of a net basis, it's nullified.
Utkarsh: But there is still some receivable outstanding or?
Sanjay Shah : That's already been provided for, so it's a very small one, which has already been provided for.
Utkarsh: And how about Shaily IDC (India) Private Limited and Shaily Medical Plastics?
Sanjay Shah: So, it's similar, so all these three companies which you talked about are associate companies of the group, but they have not been doing any businesses in the past 5 years. So, there is zero income and practically zero transactions in any of these companies.
Utkarsh: But these were not wholly owned subsidiaries right?
Sanjay Shah: No, these are not wholly owned subsidiaries.
Utkarsh: So, the other owners of those entities were from the promoter group itself?
Sanjay Shah: Yes.
Moderator: Thank you. We have the next question from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: First question is, any update on the CEO, the CEO which we were looking, professional CEO?
Amit Sanghvi: Yes, the search is very much ongoing. We did have a finalization of a candidate about a month and a half ago, unfortunately, for whatever reason, it didn't work out at the end. So, the search is still ongoing, and we are actively pursuing candidates.
Aman Vij: Next question is you are talking about, one of the opportunity is a very large opportunity in terms of pens. So, is it like a million plus kind of pens opportunity? Or how do you quantify this, a very large opportunity.
Amit Sanghvi: The molecules we are doing in this particular product earliest we can go into, I mean see we have multiple customers on the same program, which means that we will be making supplies up

to 200,000 to 250,000 pens every year. It's a very high value product. So, the revenue will be quite good. But the real opportunity will only come starting '26/'27 when our customers will be able to do the launch in U.S. and European markets, then the opportunity is upwards of upwards of a million. So, it's several million pens.
Aman Vij: So, this year, you have talked about these two products, one in Middle East and one in U.S., any such big product in pipeline for FY24 launch?
Amit Sanghvi: We will see for the scale up on both these platforms in FY24 and FY25 as well, we will see substantial volumes.
Aman Vij: Okay, but for next two to three years, these two will be the only growth drivers then there are no oth

er products, because remaining you have talked about in FY26 and 27?
Amit Sanghvi: Yeah, you know so you enjoy the one-time fees and the income that you generate out of exhibit batches, because the value of those is fairly high given that it is low volume, your pricing points

are different than commercial production. So, we will enjoy that until FY25. And then we will see commercial production of the same pen in ‘26 and ’27. ’26 and ’27 again is the earliest it can happen so we are also but these are both big molecules, one of them is a $8 billion molecule or in one of them is a $2 billion molecule. So, we were anticipating good volumes when generics make entry.
Aman Vij: And in terms of pens, do you have some numbers that $8 billion molecule when in converted to pens opportunity, how big it can be, in terms of number of pens?
Amit Sanghvi: I can tell you, one is about 10 to 12 million pens, one molecule. And the other one is 2 million pens. So, combined, let's say 15 million, the more number of buyers that jump off the Shaily product the higher the chance that we have of taking substantial volume of that.
Aman Vij: Are we thinking in terms of say maybe 20% to 30% market share in this 15 million pens or even higher?
Amit Sanghvi: I would say at least 20% to 30%.
Aman Vij: Final question from my side is what we have seen in other allied sectors like auto that once a customer becomes big say OEM ask for a price reduction every year. So, is it a similar kind of arrangement, do we see for key clients?
Amit Sanghvi: In what segment particularly?
Aman Vij: So, for example, say in auto because of efficiencies they ask for 1% to 2% price reduction every year because they are compensating with increased volume. So, for say home furnishing, do the

customer expect some kind of price reduction every year, because of our improving efficiency and more volumes?
Amit Sanghvi: Yeah, the short answer is yes, but it's not structured the way Automotive is, I know in automotive we basically guarantee it upfront. In the other businesses you have especially the consumers, we work with the customer in specific improvement programs, improvement programs could be reducing weight of the product, it could be changing material going from a more expensive material to a low cost material or in a lot of cases trying to become more sustainable going for a recycled material. So, we do various projects during the year, which we then depending on the results, the outcome of the project, we share the benefit between Shaily and the customer. There are also times when we go for increases, so it's a very mutual understanding, there are factors which are in our control, there are factors which are beyond our control, nothing is ever fully guaranteed. But we work on these projects very actively with the customers involvement and then try to do what we can in terms of the final outcome.
Aman Vij: So, to summarize this part is it right to assume that in auto ancillary the customer, the OEMs squeeze their clients a lot but here it won't be the case it will be based on --?
Amit Sanghvi: That's right.
Moderator: Thank you. The next question is from the line of Nikhil from PIA. Please go ahead.
Nikhil: Could you explain how do you monetize these intangible assets under development, it seems like in the last six months we have spent Rs. 10 crores on it. I think you just mentioned that you get a one-time fee and then, I mean how does it go? Could you just enlighten me on this?
Sanjay Shah: So, the intangible asset which you see are basically the IPs which we are developing. So, typically the total cost of the development would basically be part of the IP development costs, which we would be spending which is what we capitalize it. And the IP basically depreciated over 10 years.
Nikhil: And how do you quantify the one-time fee with your clients

? I mean is there a mathematical equation or how do you --?
Sanjay Shah: It is difficult for us to get into it, it will depend on molecule to molecule, customer to customer there will be different contract –
Nikhil: But for each client that you impanel for the same platform, do all of them pay you the one-time fee or is it just for a particular client?
Amit Sanghvi: No, all because we try to basically look at it this way that on each molecule or platform we will end up with five or six customers, so then each of them will be charged an equal amount.

Nikhil: So, let's assume a case where you are working on five platforms and or five devices. What's the hit ratio in general?
Amit Sanghvi: Well, we can talk about the hit ratio on our existing platforms, on our fix dose pen platform, we have four accounts. On our Protean platform we have three accounts, on our Harmony platform, we have three accounts, on our Neo platform, we have four accounts at the moment, on Toby, which we basically did the whole development in less than 12 months, we currently have one

account.
Nikhil: And another question is, why do we keep on expanding our capacity when our utilization stands at less than 50%? I mean, this has been happening consistently, for the last few quarters. And how confident are we?
And let me put another question to this is what is the maximum capacity utilization that we can do in our business?
Amit Sanghvi: We are expanding on a very specific capacity at the moment. If you think about our health care unit, all we really have is about 14 machines, out of 180 in Shaily. Now, we cannot use the other capacity, which are not in a cleanroom, to manufacture healthcare specific products, because our quality management system is different than the other facilities. And two, it's basically not possible to, we also use all electric machines in our healthcare business versus using server or hybrid machines in the other businesses. So, right now at the moment, we are doing a very specific expansion, which is for the pharma side. Every expansion we have done so far has been, I know, we are looking at a scenario today where utilization is low because of what's happening in the world. But, it's been project specific, it's been kind of where we have been awarded the business, and then we have done the expansion. We have not done the expansion prior to being awarded the business. So, the big expansion that we did in 2020 and 2021, the business was fully awarded and then we did the expansion.
Nikhil: So, this is the first time where we are focusing on expanding in healthcare where you get the business after you do the expansion.
Amit Sanghvi: So, we have visibility, a significant portion of what, where we are expanding capacities. But yes, there will always be 30% to 40%, that we have to go and seek expansion --. Formula expansion, unfortunately, you cannot do at piecemeal, because you then end up with a lot of disruption in the existing manufacturing setup. So, while we would be adding capacity, we are not adding the full capacity in one shot. We will be adding it over three years, we have done expansion for 36 machines, but we are only adding 12 in year one. But the building and the necessary, other utilities and all will be completed from day one.
Nikhil: And one last question is when you think about expansion, what is the general return ratios that you look at in terms of ROCE and what is the long-term ROCE that the business can deliver?

Sanjay Shah: See typically again, different businesses will have different returns --; the payback which we would look at would basically be somewhere in the region of about 4% to 5% which we would be making.
Nikhil: So, that’s 15% to 18% return that you are looking at.
Sanjay Shah: A little higher than that.

Nikhil: Just putting in one last question is how does the demand scenario look for the next 12 months, or whatever timeline you guys have with you?
Sanjay Shah: I think Amit had already given an indication of that we are seeing some demand slowdown from our key customers across Europe and U.S. We are in discussions with these customers and we will have a better clarity as we move forward.
Moderator: Thank you. Ladies and gentlemen that was the last question and we will now close the question queue. I would like to hand the conference back to the management for closing comments. Please go ahead.
Amit Sanghvi: Thank you very much. Thank you, everyone for joining the call. We hope that we have been able to answer your questions adequately. For any further information I request you to get in touch with SGA our Investor Relations Advisors. Thank you again and have a nice evening.
Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

SEPL/SE/Feb/22-23
February 14, 2023

The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q2FY23 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated 9th February 2023, wherein the Company updated the audio link of Earnings call held on 9th February 2023 to discuss the operational & financial performance of the Company for the quarter and nine months ended on December 31, 2022.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call .

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary & Compliance Officer
M. No. A 31582

"Shaily Engineering Plastics Limited
Q3 & 9M FY2023 Earnings Conference Call"

February 09, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th February, 2023 will prevail

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR - SHAILY ENGINEERING PLASTICS LIMITED
M R. SANJAY SHAH – CHIEF STRATEGY OFFICER - SHAILY ENGINEERING PLASTICS LIMITED

 Moderator : Good morning, ladies and gentlemen. Welcome to Shaily Engineering Plastics Limited Q3 and 9M FY2023 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Sanghvi, Managing Director, Shaily Engineering Plastics Limited. Thank you, and over to you Sir!

Amit Sanghvi : Thank you very much. Good morning and a very warm welcome to all the participants to the post results earnings call of Shaily Engineering Plastics. I have with me Mr. Sanjay Shah, our Chief Strategy Officer, and SGA, our Investor Relations advisor. I hope you have had a look at our investor presentation that is uploaded on our website as well as the stock exchange. Despite the challenging environment we have registered sales of Rs.446 Crores in the nine months of FY2023. As you are all aware we are an export-oriented company with customer base primarily in Europe and North America and given the current economic conditions, high inflation and the customer sentiments in these markets we have seen substantial reduction in offtake over the last two quarters. We also expect this volatility to continue for the next two quarters.

On the EBITDA front margin was impacted due to slower offtake, which has impacted in lower utilization levels leading to lower absorption of fixed costs. As utilization levels improve and raw material prices stabilized we expect improvement in margins. We are working very closely with our customers to ensure optimal production, increase in offtake in and ensuring optimal

inventory levels. We continue to watch the situation very closely.

Our focus is purely on adding customers and markets in segments where we are present in order to increase our utilization levels and sweat the asset base that we have invested and created over the last three to four years.

Shaily is known for precision, quality, compliance and our engineering capabilities. We want to focus on business segments, both existing and new, where this is a must have. We see good opportunities in consumer electronics, telecom and other healthcare segments apart from drug delivery. We will use the existing infrastructure to a large extent and only invest in critical capabilities that these segment needs and work towards building a business

 model where we are married to the customer. I will certainly provide more updates as this involves and we see traction. As a last note I would again like to emphasize that we will be very careful and prudent with any future investments and only do so when there is an absolute need. That is all from my side. I shall now hand over the call to Sanjay Shah, Chief Strategy Officer to give you the operating and financial highlights. Thank you very much.

Sanjay Shah : Thank you Amit. Good morning, everyone. I shall share with you the highlights of our operational and financial performance of Q3 and 9-months FY2023 following which we will be happy to respond to your queries. During the quarter we processed 4,121 tonnes of polymer as against 5,321 tonnes in Q3 FY2022. For 9 months we processed 16,026 tonnes of polymers as against 13,912 tonnes in 9-months FY2022, an increase of 15% year-on-year. Machine utilization rate was 38% in Q3 FY2023 and 45% for 9-months FY2023. Exports during 9-months FY2023 stood at 77% of total revenue compared to 78.7% in 9-months FY2022. Exports during Q3 FY2023 stood at 79% of total revenue as compared to 78.7% in Q3 FY2022.

I shall now brief you on the standalone result highlights. Revenue stood at Rs.134.2 Crores during Q3 FY2023 as compared to Rs.148.3 Crores during Q3 FY2022. EBITDA stood at Rs.18.2 Crores during Q3 FY2023 as compared to 24.3 Crores during Q3 FY2022. EBITDA margin stood at 13.6% for Q3 FY2023. PAT stood at Rs.4.5 Crores during Q3 FY2023 as compared to Rs.9.3 Crores during Q3 FY2022. PAT margin stood at 3.3%. Cash PAT for Q3 FY2023 was reported at Rs.12.4 Crores as compared to Rs.16.5 Crores during

Q3 FY2022.
Now coming to 9-months FY2023 highlights. Revenue stood at Rs.466.2 Crores in 9-months FY2023 as compared to Rs.413.2 Crores during 9-months FY2022, growth of 13%. EBITDA stood at Rs.65 Crores in 9-months FY2023 as compared to Rs.68.3 Crores during 9-months FY2022. EBITDA margin stood at 14%. PAT stood at Rs.21.3 Crores in 9-months FY2023 as compared to Rs.27.8 Crores during 9-months FY2022 while PAT margin stood at 4.6%. Cash PAT for 9 months FY2023 was reported at Rs.44.6 Crores as compared to Rs.47.4 Crores during 9 months FY2022. Both ROCE and ROE stood at 12.1% and 7.7% respectively as of December 31, 2022. The growth in business has been achieved with disciplined use of capital. Our debt to equity stands at 0.55x and our long term debt to equity stands at 0.19x On a consolidated basis revenue stood at Rs.472.6 Crores, EBITDA at Rs.69.9 Crores and PAT at Rs.25.2 Crores for 9 months FY2023. This is all from our side and now we can open the floor for Q&A.
 Moderator : Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Nirali from Unique PMS. Please go ahead.
Nirali: Thank you for the opportunity. Sir we very clearly mentioned in the last call that we are facing demand issues in Europe and North America, but if you can qualitatively help us understand that how are the three growth seg

ments individually looking at, so home furnishings, pharma and toys, so if it is healthcare we had expected it too or we are facing issues there too?
Sanjay Shah : When you look at home furnishings or you look at Toys, both of these are basically heavily focused on North America and the European markets where we have seen demand slowdown with our customers and it is impacting our volumes that we have seen. Based on whatever discussions we have been having with customers we see this continuing for the next two quarters and some improvement happening post that. If we move forward we will keep you posted on what is happening. At the same time what we are doing is we are talking to multiple customers across these segments to see how we can add newer customers and newer geographies to it. We should have some feedback on that also over the next two quarters in terms of the discussions which we have been having forward.
Amit Sanghvi : On the Healthcare front we have not seen a slowdown to be honest. We have been more or less in line. with new projects, obviously there is always a plus or minus three, four months of time period where projects can sometimes get delayed on account of either Shaily or the customer again to do with development, but otherwise in terms of supplies we have not seen any drop in demand for our existing Healthcare portfolio.
Nirali: So in FY2022 on the toy side we had done revenue of about $7 million, $8 million so what will be that number for FY2023?
Sanjay Shah : So it will probably be around 60% of the number, which you talked about.
Nirali: On the pen side we were guiding that our own IP pen we will be doing a volume of about $3 million in FY2023 and that reaching to $20 million over the next three, four years so any update on that, are you confident of doing $3 million in this year?
Sanjay Shah : Yes, we have already done 65% of that and some orders will move on to the next year, but because there is like an alternate source of this order does not change from Shaily.
 Nirali: That is great to know and we were also hoping to get some clarity in this month, you had mentioned in the last call about the overall demand or any increase that our customer wants so did you make any clarity that we are yet to receive further clarity on that?
Sanjay Shah : For the clarity is that we do not see improvement for the next two quarters unfortunately.
Nirali: So we still wait for two quarters to give further clarity on the other newer segments also that you mentioned?
Sanjay Shah : That is right.
Amit Sanghvi : So we would basically update I think on a quarterly basis in terms of what is happening on the business front, while we are actively pursuing multiple fronts and everything but should have a much better update to you in the Q4 and Q1.
Nirali: That is great. That is it from my side. Thank you.
Moderator : Thank you. The next question is from the line of Manish Gupta from Solidarity. Please go ahead.
Manish Gupta : Thanks for the opportunity. Are you in liberty to share nine-month numbers for healthcare for FY2022 vis-à-vis FY2023, so one can understand what is the extent of impact to the other business line?
Sanjay Shah : Manish we typically do not share individual numbers, but what we can say is when you

look at nine-months FY2022 or nine months FY2023 healthcare you would see a growth on the overall numbers.

Manish Gupta : Sanjay I am just a little bit curious that why do you not share the segmental breakup because I just want to understand what the concern is because clearly the healthcare part of the business is a far more attractive part of the franchise right so even if you just want to split the numbers of healthcare and others from our perspective it gives a better sense of how the more attractive part of the franchise is evolving. So, I am just curious to understand why you would not spli

t that number every quarter or every half year. Surely there is no competitive concern, right because you are not disclosing names of customers or molecules or all that.

 Amit Sanghvi So, Manish, I think points noted. What we will do is we will have to think about this and certainly try to see if we can share this in the public domain from the next quarter.

Manish Gupta : Great. Next question is this entire macro theme that everyone is talking about China plus one thing Amit can you talk a little bit qualitatively about now that there has been some time evolved and you would have had BD discussions with customers, what part of this theme do you think actively would interest Shaily, my sense is I could be totally wrong here, but my sense is the toys part of the business might actually be a lower margin, and I see you guys has a very margin-focused company. So for example do you really think the toys opportunity, which is a big opportunity in numbers is something that would interest Shaily strategically?

Amit Sanghvi : It is a bit of a tough question. I am going to try to answer it as it has evolved with Shaily and in terms of my thoughts. When we got into toys we certainly evaluated the margin profile, we certainly looked at how it fits in with our existing capabilities and there is a good fit. Existing capabilities, compliance in terms of safety, chemical compliance, sustainability, engineering and then the sheer size of the opportunity and how quickly you can scale up the toys business. But you are absolutely right I think the toys business is one where there is a lot of pressure on margin. So the first few products that we took on, we took on the higher end of the spectrum of toys we did not do very simple products, but we are seeing increasing pressure on cost and even though China is supposed to be technically more expensive on manufacturing costs they have a lot of support when it comes to capping raw material prices. They have also set up alternate infrastructures in countries like Vietnam or even in India for that matter so we are seeing increasing pricing pressure on toys. We will not be making any further investments in toys until we see a portfolio of products that customer consistently buys from Shaily.

Sanjay Shah : Manish just to add what Amit said when you look at the current situation in a lot of cases what we are seeing is the raw material prices or the input prices, which China vendors have, is controlled by the government did. There is an advantage to Chinese suppliers as compared to suppliers in India.

Amit Sanghvi : An example of polypropylene is controlled at I think $970 a tonne in China whereas what we would source it at somewhere between $1100 and $1200 a tonne so there is a significant disadvantage in the input costs.

 Manish Gupta : Right. So now that we had a chance to study this a little bit more, which aspects of China plus one do you really think are an opportunity for Shaily and what is big picture stuff that would not really translate into an opportunity for you?

Amit Sanghvi : Broadly speaking Manish we see very good opportunity in consumer electronics, telecom, in industrial applications, potentially appliances as well. Again, too soon to talk about anything concrete right now and we are under confidentiality with any one of these guys that we would be having discussions with, but we see very good opportunity and probably a much better fit in terms of our engineering capabilities.

Manish Gupta : Next question is Amit there has been a lot of capex done in the last 15 to 18 months and how do you think about that capex that you have done vis-à-vis the macro environment that we have seen and how do you think about capex going forward, are you going to link it to specific opportunity or is this that we have g

ot to build it first and then go and get the business and the related question is can you talk a little bit about new logos that you have added in the last few quarters and what exactly are we doing on business development in some of these areas that you just talked about, consumer electronics, telecom are we adding to our team to pursue these opportunities or is this a business where really our technical

competency fails we do not need BD's we just need these customers to visit our plants.
Sorry, two or three questions rolled into one big question.
Amit Sanghvi : So on investments I am very, very clear, going forward capex spent on, the objective is that we are going to utilize our existing infrastructure. We have very, very good infrastructure to service even the new segments that we are getting into. We might have to do some specific capex in terms of very, very specific equipment, but we are not talking about any substantial capex in injection molding where for either servicing the existing segments or the new customers that we are targeting. On business development we have not added any new logos in the last quarter to be honest. We are in discussions with several large multinational companies including big box retailers, electronic companies, we are confident that we will be adding new logos over the next two to three quarters very, very confident. What was the last question Manish again?
Manish Gupta : The last question was that in order to add logos do you need to add more BD people or is it that we have enough credibility in the marketplace there is no point adding BD people we just need to show customers our technical competency in the factory because I do not see any, I do not know if you have BD people to go and knock on doors and showcase Shaily other than the Swedish major I do not know whether we have added any big box retailer over the last couple of years so the question is we put this capacity out, we have technical
 competency but are we investing enough in a sales team to go and take our message to the world?
Amit Sanghvi : We have added to our BD team with a specific focus on also increasing in addition to the other big box retailers also increasing business in the domestic market. So, there are certain segments in which Shaily can play even in the domestic market, we see a lot of emphasis and investments happening in power infrastructure especially. So, we have added specific business development folks with a focus on these segments. But you are right a lot of our business development really happens if we can get a customer to visit us, 60% to 70% of our BD is done the day they visit us. Whether they should move forward with the Shaily or that it really comes down to whether you can come through a commercial agreement or not but most of our job is done when they visit us and that we are actively pursuing.
Manish Gupta : Last question from my side is that basis you are coming gross block and whatever capital work in process you have and whatever little investments you have to make what do you think is the peak revenue capacity of the company basis current investments?
Sanjay Shah : Manish if you were to look at March 2023 capex including the CWIP the revenue which the company is capable of doing will be somewhere between 2.25 to 2.5x of the total gross block.
Manish Gupta : 2 to 2.5x, March 2023 gross block?
Sanjay Shah : Right, Manish.
Amit Sanghvi : Just to go back to a few questions I think you had on the investments so while said that we will be very careful about where we invest and use the existing infrastructure the only area where we make investments and look for business in the future is healthcare is pharma that is one area where we will need to gear up in advance so that the scale of happens in the future.
Manish Gupta : Yes. So just a related question on this, Amit, the steel

furniture investment what percentage of the utilization are we on right now?
Sanjay Shah : We are in low 30 utilization but we are in active discussions with home furnishings customer and also two or three other guys and we hope to add one or two of these names in the next two or three quarters going forward.
 Manish Gupta : Thank you.
Moderator : Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.
Pritesh Chheda : My first question is if healthcare has grown and we were supposed to get pricing adjustment if you recall your Q3 call I am surprised why has the gross margin continues to remain under pressure because healthcare is supposed to be a fairly high gross margin business, right and where are we on the pricing increases than with the other portfolio business?
Sanjay Shah : Pritesh, most of our pricing adjustments have happened during middle of the current quarter, the last quarter so they have been factored in here. What we are seeing is basically a higher fixed cost because of the lower utilization level, but price adjustments when we do not sell anything we sell less is what is causing this.
Pritesh Chheda : No, I do not see any gross margin expansion, right so Q-on-Q it is flat, Y-o-Y it is down

300 basis points so I do not understand what you are comprehending and what I am comprehending so keep the utilization part aside so I can understand that.
Sanjay Shah : Pritesh one difference, which you need to look at, when you look at gross margin please look at the consolidated gross margin because in last year we were doing development in India on the Healthcare front, we are now doing development in the U.K. so that revenue comes directly to U.K. so when you look at this you basically need to look at it on a consolidated basis.
Pritesh Chheda : So even if I look at consolidated your RM to sales is 62% in Q3 FY2022, RM to sales is 64% in Q3 FY2023 and your RM to sales is 64% in Q2 2023 so there is no expansion between the two quarters and Y-o-Y there is a decline despite the fact that there is a growth in healthcare and you say that you have taken price increases between Q2 and Q3 so ideally between Q2 and Q3 there has to be a margin expansion, right, the gross margin?
Sanjay Shah : If you were to compare Q1 to Q3 you would have seen improvements happening on.
Pritesh Chheda : So you say the price increase is between Q2 to Q3 that I will see from Q1 to Q2 and then from Q2 to Q3 I cannot see from Q1 to Q3?
Sanjay Shah : So there is a business mix change also which is happening around.
 Pritesh Chheda : But Sir Healthcare has grown and everything else has not grown so business mix should have improved?
Sanjay Shah : Healthcare has grown, it is not that healthcare has not grown.
Pritesh Chheda : So then gross margin should improve?
Sanjay Shah : The gross margin is more or less at the same level is what I agree with you and that is basically because of a lower utilization level because when we are at lower utilization level you basically end up having a little higher rejection
Pritesh Chheda : I will take this separately I still not comprehend. A lot of our traction depends on the progress in pharma, a lot of our traction in GM also depends on the progress in pharma right where are we now and is there any changes for our outlook for FY2024 in pharma by any chance?
Amit Sanghvi Can you repeat the question please?
Sanjay Shah Is there any changes in outlook for FY2024 in pharma?
Sanjay Shah : No.
Pritesh Chheda : So will we see the margin expansion for sure happening next year because this year you had first three quarters of higher RM which is not specific to you specific to lot of companies, and you should be getting your price increases to flow into your P&L there is

straight I can see about 200 to 300 basis points at least because you were at 60% RM to sales today you are at about 63%, 64% so there is a 3%, 4% there plus there is a pharma movement to happen will we see gross margin expansion or there will be something else to play in as we need to understand that?
Sanjay Shah : You will see gross margin expansion as we go forward and revenue improves you will also see.
Pritesh Chheda : Sir that we understand I understand operating leverage part because if you are operating at 50% capacity utilization I understand the operating leverage part where I am unable to still comprehend is the GM part.
 Sanjay Shah : So on GM part what also needs to be factored in is when volumes are down, my logistics cost on my raw materials and everything go up, which gets factored on to my overall raw material cost.
Pritesh Chheda : We started the year with Rs.700 Crores revenue what we think we will end the year now at and where are the slippages, Q1 was Rs.175 Crores I think when we were at Q1 we did Rs.175 Crores and Q3 we did 136, so if you could give the bridge between Q1 and Q3 for Rs.30 Crores, Rs.40 Crores reduction in business where are the slippages and how do we see it ending this year?
Sanjay Shah : Slippages are basically on home furnishings, export, toys, mainly on that account and carbon steel, so if you were to look at it these are four major drops where there have been drops. I would say Q4 will be similar to Q3 somewhere in that region.
Pritesh Chheda : But Sir your Q2 also did not tend to say that suddenly in Q3 you are saying?
Amit Sanghvi : I believe I did say on the Q2 call that we will come back with an update, but we are not seeing a very good picture on demand. We did not expect a very large drop, but that is what happened.
Pritesh Chheda : How do we see now the FY2024 especially on the pharma side of the business, what kind of growth do we see?

Amit Sanghvi : On the pharma side?
Pritesh Chheda : Yes.
Amit Sanghvi : On the pharma side we are looking at somewhere between 25% and 35% growth and with that growth you will obviously see margin expansion.
Pritesh Chheda : Where are we on the capex now so the last capex that we announced was for pharma and I am hoping yes that was for Pharma, so I think about Rs.100 Crores, right?
Sanjay Shah : Yes.
Pritesh Chheda : That is the only capex, which is ongoing, right?
Sanjay Shah : Yes.
 Pritesh Chheda : Where are we and how much have we spent and when it commercializes?
Sanjay Shah : So the pharma capex would be completed by Q1 FY2024.
Pritesh Chheda : But how much have you spent so far?
Sanjay Shah : We have spent about Rs.60 Crores till date.
Pritesh Chheda : Because we had enough capacity elsewhere because we are running at 50%, 60% capacity utilization we would not get into a capex unless we add a logo which means some specific capex.
Sanjay Shah : Yes, Pritesh. We will be looking at sweating of our assets the pharma capex, the specific capex, which was required to be done because that is in plain room, and you need that capex.
Pritesh Chheda : Yes, I understand that.
Amit Sanghvi : Pritesh just to add to what Sanjay Bhai said when we are talking to the other big box retailers their business models are different than the home furnishing major that we work with. A lot of these will buy off-the-shelf kind of product or something that we specifically do so there will be some investment required, but we will not make any investment in infrastructure.
Sanjay Shah : It will be cooling, which will be done.
Pritesh Chheda : Not in machines, not in physical infra?
Amit Sanghvi : That is correct.
Pritesh Chheda : So basically for the next four to six quarters because we are at 50% capacity utilization we might not hear any capex announcement from yo

ur side?
Amit Sanghvi : That is what we foresee right now. The only way we can see if we would even think about it would be there is a substantial sizable opportunity which requires a Greenfield but otherwise for the next four to six quarters we are not looking at any investments.
Pritesh Chheda : What will be your maintenance capex?
 Sanjay Shah : Pritesh that will be nominal. I would say around Rs.2 Crores to Rs.3 Crores. One of our assets are new so we do not need maintenance capex there, some of the old capex, which we have will not be substantial it will be about 2 to 3 Crores.
Pritesh Chheda : Lastly when you said 30% utilization in metal furniture so has the utilization come down by any chance?
Sanjay shah : Yes.
Pritesh Chheda : Can you highlight the reason?
Amit Sanghvi : Demand drop In the steel furniture the customer has seen a much higher demand drop then the plastic articles.
Pritesh Chheda : Has the asset stabilized with respect to the coating line and all where you had some challenges?
Sanjay Shah : Yes. That has stabilized and post that as I mentioned earlier, we have started discussions with three, four other big box retailers to see how we can expand the customer base.
Pritesh Chheda : So the production guy is moved from the auto industry to your company, he is able to manage the asset well for you now at least from the operations part?
Amit Sanghvi : Pritesh, the production is actually ex-GODREJ and yes he is doing a very good job.
Pritesh Chheda : Thank you very much and all the best to you Sir.
Moderator : Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij : Good morning Sir. My first question is on the pen side we had talked about there was a launch planned in January so is that launch happened or is it delayed and when is it expected now?
Amit Sanghvi : Because it is a commercial order we have gone ahead with the production and our dispatching it to our customers. The customer is awaiting approval, any data, do not have a further update.

 Aman Vij : Sure Sir and on the pen side we have a target of Rs.3 million and plus minus something we will achieve that for this year and what is our target for FY2024?
Amit Sanghvi : Can you repeat that question please maybe a little louder, I am finding it difficult to hear you?
Aman Vij : Yes. On the pen side we had a target of 3 million for this year and we will achieve close to that what is our target for FY2024?
Amit Sanghvi : It is going to be roughly 30%, 35% higher.
Aman Vij : Sure. So, you are talking about most of the growth that you are seeing in pharma you have guided similar growth will come from this pens only?
Amit Sanghvi : Yes. There are pens and in addition to pens there is also auto injectors that we have developed and we are making the first supplies in June of 2023 so we will see some additional orders for both products in FY2024.
Aman Vij : Sure Sir. Then coming on to the home furnishing side so we were expecting to reach and become the third largest supplier to one of the main customers so given the slowdown in all those things when do we expect to achieve that target of becoming the third largest supplier to them?
Amit Sanghvi : The slowdown has happened for the entire supply base. I actually do not know where our ranking stands today it would probably be third or fourth anyways, but if it is not in terms of our own business whether we become three or four is not so important is how much growth we see in the upcoming year. So we already said that the first two quarters we expect the current scenario to continue and hopefully we see improvement post that. We track this. We have this discussion with the customer on almost a daily or every other day kind of basis. So it is something th

at we are tracking very closely.
Aman Vij : So in terms of utilization where are we currently in this home furnishings and for next year do you see a gradual improvement?
Sanjay shah : Aman we do not report individual utilization level so I would not be able to talk about it. We have talked about overall utilization levels we had about 40%. If we speak we would basically update you guys on how the utilization levels will improve over the next two quarters whenever we have these quarterly calls.
 Aman Vij : Sanjay Sir I just wanted to understand the impact on the slowdown so is it like 10%, 20%, is it much more I am not interested in exact number of utilization, but just to gauge the impact of slowdown in the home furnishings side?
Sanjay Shah : So home furnishings two of our major markets have been North America and Europe, there has been fairly decent contraction of demand, which has come in, which is why the slowdown which we are talking about is happening. As we speak I think whatever stocks are there in the system and everything should get liquidated over some point of time and over the next two quarters we should basically get back to normal demand, but I think a lot of it will depend on how things pan out in these two geographies.
Aman Vij : Russia had a lot of issues, they close their center in Russia so we did not get any benefit of that, did we lose any business because of that issue?
Sanjay shah : Yes. We were making some shipments to Russia so those shipments came down, but for the customer Russia was a pretty large market and a very fast-growing market so it may impact on their operations.
Aman Vij : Sure Sir. In the initial part of the commentary Amit talked about that we might enter into newer areas like consumer electronics and telecom so if you can talk little bit more about it, will it be plastics only, will we try to merge our capabilities in plastics and steel or any other new material if you can talk briefly about these newer things which we might try?
Sanjay Shah : So we will not be able to talk a lot about it in terms of names, logo, and things like that, but yes it will basically be, to do something around plastics because as Amit mentioned earlier we will be looking at utilizing the capacities which we have created and the capacities which we have created are in plastics.
Aman Vij : These will be new customers and new segments or the current one generally in these two sectors?
Sanjay Shah : New customers and newer segments, both and new geographies also.
Aman Vij : Sure Sir. On the toys side you have talked about stock slowdown almost I think 30% to 40% fall in our sales so has it been all across, we have two, three clients, are they specific to one client, are we taking any steps to because we have very good SKUs, and we were trying to increase our business over a period of time, but I understand slowdown is happening, but

 what are the steps as a company we are taking and if you can also talk about is it all customer or is it one particular customer that we are seeing this big drop?
Sanjay Shah : Aman we have two customers on board. We are in discussions with both these customers to see how we can scale up and add more products and everything. Currently the way the business is and with overall drop in volumes basically the customers would be looking at utilizing existing infrastructure with suppliers in China and anything, which is where we are seeing the market because of the drop, some of the Chinese vendors have been very, very large, but at the same time we continue to engage with them to see how we can add newer products and newer ranges, which we can supply to them. I think we should be able to see some movement on that as we speak over the next two quarters.
Aman Vij : Sure Sir. Final question is on the ut

ilization side so what kind of utilization are we targeting for next year and when do we expect the full utilization of whatever the capex we are doing till say March 2023?
Sanjay Shah : Aman we would probably refrain from answering that question right now until we get further clarity so let us wait over the next two quarters and we will be able to give that number.
Amit Sanghvi : We will give you an update every quarter on what we see happening.
Aman Vij : Sure Sir and final thing have we lost any kind of market share in any of our previous businesses like home furnishing?
Sanjay Shah : No.
Aman Vij : Thank you. These are the questions from my side.
Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec India. Please go ahead.
Ritesh Shah : Thanks for the opportunity. Sir first very basic question you did indicate a nice example of polypropylene $900 versus $700 for us 60% of sales is a drawmap just wanted to understand sir, any other elements, commodities where you see stock differential on India procurement cost versus what was there in China?

 Sanjay Shah : Ritesh this is one that where we are very much aware of, but I think there have been multiple countries where the sort of input price control has been there with suppliers in China so that is where we have been seeing this across multiple categories. Now we do not know what the extent of the difference between a lot of these, but in some cases we know that is almost mentioned one of them.
Ritesh Shah : Right. I am just trying to understand from the management's thought process standpoint if it is a risk which we have just picked up what is the risk mitigation strategy for the company going forward, so on the overall basket that we are looking at 50% is a sizable number so just trying to get a sense that is there a risk mitigation strategy in place when it comes to commodity sourcing and there is one import parity business in India versus Chinese competition?
Sanjay Shah : I do not think this is going to be long-term sustainable pricing strategy, which will be there so it is probably there to just for a short-term purpose and we expect that this will get corrected over the next one or two quarters or something.
Amit Sanghvi : Ritesh, just add to that is there are obviously certain advantages that India has, whether it is logistics cost or our manufacturing costs. So we need to take advantage of that on an overall landed cost to any country typically North America we fare better. In Europe with the additional advantage that we currently have on raw materials it is very, very close. We are higher in some cases and lower in a few. We need to see how we can optimize this and still move forward. One of the key things here is that where there is a true partnership with the customer there is an impact, but a less of an impact because you work on a sustainable long-term pricing business model where relationships are new or the product is very, very price sensitive and the customer is under tremendous margin pressure themselves it becomes difficult to sustain so if there is a short-term advantage when they take it they certainly will.
Ritesh Shah : Sure. Second was on we were looking to appoint a CEO has there been any focus on that bit?
Amit Sanghvi : No, I think given where the margin stands right now in the utilization we were actively pursuing it until the end of Q3, but we put a hold on it for now. So, we will reevaluate this at the end of Q1 FY2024.
Ritesh Shah : Voice inaudible Moderator : Thank you. The next question is from the line of Adhiraj Singh from Amicus Capital Partners. Please go ahead.

 Adhiraj Singh : I just wanted to check what is the outlook for the toys business in FY2024 that we have?
Sanjay Shah : We are a

pproaching opportunities there and we will let you know by end of Q4 early Q1 in
terms of how we are going ahead.
Adhiraj Singh : So I think right now we have two clients and it is largely the exports so are we even looking
at domestic clients per se?
Sanjay Shah : Yes. We will be looking at domestic clients also.
Adhiraj Singh : Just last one thing how much capex has been done in the toys business and how much asset
turnover do we expect there?
Sanjay Shah : So the total capex, which we have done is about somewhere between Rs.20 Crores to Rs.25
Crores in terms of specific capex, which has been done, but that capex is fungible across
our business segment.
Adhiraj Singh : Roughly what asset turnover do we look at in this business?
Sanjay Shah : We typically do not again give out individual asset turn.
Adhiraj Singh : That is it from my side. Thank you so much.
Moderator : Thank you. The next question is from the line of Manjeet Buaria from Solidarity Investment
Managers. Please go ahead.
Manjeet Buaria : Thanks for taking my questions. I have three questions for Amit. Amit the first question
was few years back we have discussed that our largest customer is looking to consolidate
their supplier base globally and their preferred supplier is gaining market share or wallet
share within their ecosystem so has the hypothesis played out over the last four, five years
or that is not really played out as expected?
Amit Sanghvi : We saw good growth last year from that customer. We put up a new facility for them. We
have talked about this in the past. So whether the hypothesis has played out, their
consolidated hypothesis has played out, but there is no dividend demand right now. So
overall have we seen the growth that we were anticipating absolutely not.

 Manjeet Buaria : Got it. Amit Sir, the second question is in the products which we are supplying to a largest
customer today just the products we are already supplying what would our share be in their
global share which they have ?
Amit Sanghvi : It would vary from product category to product category, but I can give you a broad range.
It would be everything from 30% to as high as 90%, 100%.
Manjeet Buaria : Got it and for categories where let us say we are below 50% share if you want to increase
our share is this business bid out and do we get to bid for all these opportunities or it is
more of a one-on-one negotiation when we need to go and convince them to give us their
business or it is a tender or a bid they remove and then we can just participate in it?
Amit Sanghvi : Two things happen Manjeet one is that when the customer makes a decision to have more
than two or three sources for a particular product category a) that product category has a
very high service level requirement, b) When they create four of five capacities globally
they want to ensure that they never run dry. Then allocation of regions or percentage of
volume depends on how competitive one is on landed price. So it is not just participate but
how competitive one is landed in any of the markets that they serve. Once the market has
been allocated it does not really go away unless you fail to supply, unless you are seeking
an enormous price increase, which is outside of what the raw material market and the
movement is. So markets do not typically go away. The problem right now is that each of
the suppliers, each of their suppliers would be suffering like us. So it is not that they have
taken business away from us and giving it to someone else it is that they are trying to
balance out as much as possible, but there is just a significant drop in demand overall.
Manjeet Buaria : This is very helpful. One last question Amit. In terms of adding more logos to your set of
our largest customer, right I am sure you would have tried some of that, but we are not
really seeing massive scale up anywhere over the

re, given our relationship with this largest
customer, our technical capabilities, is the surprising why we have not been able to scale up
more aggressively with some other peers so some thoughts over that would be very helpful?
Amit Sanghvi : I will give you a few examples. In the past I do not remember the exact year now, but I
think maybe eight quarters ago or 12 quarters ago we did add a customer. It was a large
German supermarket. We added Lidl and we had certainly made some supply, but the
business model is very different from that of our current home furnishing major. They have
bicycles so you make the investment in capacity or in tooling a) you have not given any
guarantees on whether they will buy or not, b) they have cycles so they will buy twice or
thrice a year. You will need to produce in advance and stock it and then ship everything in a

 matter of two weeks. So as a business it becomes very difficult to manage the supply chain, manage the manufacturing unless you get into a constant cycle of doing this over and over again. We have not been able to track that cycle because we also do not have off-the-shelf products to offer. We are an OE so we do contract manufacturing for our customers. Having said that given the current pressure we are under we did decide let us look at a sizable opportunity and if we need to then have that offering off-the-shelf we will develop it. So that is what we are trying to do right now, but we need business or a model where there is some consistency in ordering and supply. If you give us too large orders a year it becomes very difficult to manage and then they give you a production schedule not so much in order so that production schedule changes, drops and you have already produced the parts then you are stuck with inventory.

Manjeet Buaria : What you are trying to say is with the largest customer it is more of a partnership business here it is more opportunistic offtake from these customers so if that understanding is correct is it fair to assume that a lot of our growth because of China plus one or global players shifting to other countries is not actually a target addressable market for us because we do not really want to work with low-quality business partnerships and which means we will have to start finding something more like a healthcare product is that a fair assumption, but the set of competency we have in our largest customer is not so fungible across many of these large other customers globally just from quality of business perspective?

Amit Sanghvi : I think that is going to one end of the spectrum. There are many big box retailers everybody work on a slightly different model. I give you an example of one of the largest in the world. But having said that there are many out there who have white label products where you can have consistency in supply and we are talking to most of them today and trying to explore a business model that suits us so it is very close to what we are already doing.

Manjeet Buaria : This was helpful. Thank you so much.

Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec India. Please go ahead.

Ritesh Shah : I had one basic question. The sort of commercial contracts that we get in, when we have in past incurred tooling capex to my understanding it did have certain volume commitments given the scenario we are in because of external factors volumes are actually slow so basically do we does something accrue to us on back of the commercial contract that we had in place?

 Sanjay Shah : If those volumes do not happen in that timeframe the timeframe does get extended.

Ritesh Shah : But Sir then the NPV will change right if it is the same quantum over a longer duration that it does not make economic sense from the company's standpoint?

Sanjay Shah : That also gets adjusted. In most of these cases the investment is made by getting an advance from the customer so technically the NPV will not change.

Ritesh Shah : Can you highlight given the volume slippages which are there because of the external variables when do we see this impact to come in for any large contracts that you have, can this we expect it in first half of next year based on the duration of contracts that you have?

Sanjay Shah : Sorry I did not understand.

Ritesh Shah : Sanjaybhai, you indicated like these are fixed duration contracts, right so the volume offtake should have happened over two years or say 18 months so I do not know the start date and the end date for this particular contract given the reporting that we have a lot is attributable to the external slowdown but I think the company has this volume offtake arrangement in place so I just wanted to understand when do we see this benefit on the margins given you might have different contracts for different SKUs but is there a number that we have, but we can actually expect a benefit with a lag even if the volumes do not come through, so in a bad case scenario say two quarters out or three quarters out?

Sanjay Shah : Margin improvement can happen if your volumes pick up right, so there are two things here. When you talk about margins one is the raw material pass-through and second is volumes pick up. For a business which we are doing right now and the overall utilization level of 40% you will not get that sort of margin because these businesses are structured in a way where you basically run at very high capacity and that is where you basically generate margins which you are able to do. When I meant it is a two-year contract and if we do not get those volumes in two years then that contract gets extended for the next six months, one year till that recovery does not happen or there could be an upfront payment which is made by the customer in case these volumes are not going to come back.

Ritesh Shah : Correct. My question is specifically you gave an example of two years given we have a significant revenue which is concentrated with furnishing major last three quarters have

been slow for some reason and hence I am just trying to gauge when does this two year tenure head, wherein we will see some additional tailwinds because of this particular variable helping us?
 Ritesh Shah : Right and Sir if the volumes do not come through the money has to still come in so when should we look at that scenario or has it not got triggered or when do you expect that to trigger, assuming internally if I was in your place I will do bad case forecasting and then I will have to bid those numbers into my P&L?

Sanjay Shah : If I am understanding your question right even if it gets back-ended or something it will not make an impact on our margin, is the way I would put it out.

Ritesh Shah : I will call you separately for this to understand it better. Thank you so much.

Moderator : Thank you. Ladies and gentlemen that was the last question. I now hand the conference over to Mr. Amit Sanghvi for his closing comments.

Amit Sanghvi : Thank you everyone for joining the call. We hope that we have been able to answer your questions adequately. For any further information I request that you get in touch with SGA, our Investor Relations advisor. Thank you very much and have a nice day.

Moderator : Thank you. Ladies and gentlemen on behalf of Shaily Engineering Plastics Limited that concludes this conference call. We thank you for joining us. You may now disconnect your lines.

Call: May 2023

SEPL/SE/May/23-24
May 30, 2023

The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
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Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q4FY23 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated 23rd May 2023, wherein the Company updated the audio link of Earnings call held on 23rd May 2023 to discuss the operational & financial performance of the Company for the quarter & year ended on March 31, 2023.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call .

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary & Compliance Officer
M. No. A 31582

"Shaily Engineering Plastics Limited
Q4 FY'23 Earnings Conference Call"
May 23, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd May 2023 will prevail.

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY ENGINEERING PLASTICS LIMITED
M R. SANJAY SHAH – CHIEF STRATEGY OFFICER –
SHAILY ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Shaily Engineering Plastics Limited Q4 FY '23 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in a listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during a conference call, please signal a Operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Sanghvi, Managing Director. Thank you, and over to you, sir.

Amit Sanghvi: Thank you very much. Good morning, and a very warm welcome to all the participants to the post results earnings call of Shaily Engineering Plastics. I have with me Mr. Sanjay Shah, Chief Strategy Officer, and SGA, our Investor Relations Advisors. I hope you've had a look at our Investor Presentation that is uploaded on our website, as well as the stock exchange.

Let me give you some highlights on the quarter gone by. Despite a challenging environment, we have registered a top line growth of 6% year-on-year at INR599 crores. The plan for the last financial year was obviously in the range of INR700 crores based on the forecast at the start of the year, however, it did not fructify due to the ongoing global economic scenario.

The first positive that I would like to talk about is the focus with which we are securing orders for our healthcare business. I'm happy to announce that we have onboarded our current customer for one of our auto injectors and have also started development of a new auto injector with automatic needle insertion. This is being developed particularly for the molecule tirzepatide. Tirzepatide is Eli Lilly's new weight loss drug and has an NCE-1 filing deadline of May 2025. Healthcare r

epresents the second largest and also one of the fastest-growing segments. And with the development and supply pipeline that we have, we are securing long-term profitable growth for Shaily.

It's fair to say that at Shaily, we've made some risky bets over the last 3 years to 4 years, particularly our foray into sheet metal and also setting up capacities for toys. While the numbers have yet to happen, we strongly believe in our original hypothesis that in order to move up the value chain or participate in complex products, this material know-how is a must for the future. It was also an extension of the excellent relationship we have built with our customer over years of high performance. I'm very happy to say that we have a very healthy order book for the current year in steel and are confident of our ability to execute the orders.

Before handing over the call to Sanjay, I'd like to mention that we want to remain a margin-focused company and focus on growth that uses our core engineering capabilities, which as a result will enhance and improve our return on capital. That is all from my side.

I shall now hand over the call to Sanjay Shah, our Chief Strategy Officer, to give you the operating and financial highlights. Thank you.

Sanjay Shah: Thank you, Amit. Good morning, everyone. I shall share with you the highlights of our operational and financial performance for Q4 and FY 2023, following which we will be happy to respond to your queries.

During the quarter, we processed 4,590 tons of polymers, as against 5,562 tons in Q4 FY '22. For this year ended, we possessed 20,615 tons of polymers, as against 19,474 tons in FY '22, an increase of 6% year-on-year. Machine utilization rate of 35% in Q4 FY '23 and 42% in FY '23. Exports during FY '23 stood at 77% of total revenue, as compared to 76.1% in FY '22. Exports during Q4 FY '23 stood at 72.1% of total revenue, as compared to 76.21% in Q4 FY '22.

I shall now brief on standalone Results highlights. Revenue stood at INR133.5 crores during Q4 FY '23, as compared to INR152.6 crores during Q4 FY '22. EBITDA stood at INR26.1 crores during Q4 FY '23, as compared to INR21.6 crores during Q4 FY '22. EBITDA margin stood at 19.5% for Q4 FY '23. PAT stood at INR8.7 crores during Q4 FY '23, as compared to INR7.4 crores during Q4 FY '22. PAT margin stood at 6.5%. Cash PAT for Q4 FY '23 was reported at INR18.6 crores, as compared to INR14.3 crores during Q4 FY '22.

Now coming to FY '23 highlights. Revenue stood at INR599.7 crores in FY '23, as compared to INR565.9 crores during FY '22, a growth of 6%. EBITDA stood at INR91.1 crores in FY '23, as compared to INR89.8 crores during FY '22. EBITDA margin stood at 15.2%. PAT stood at INR30 crores in FY '23, as compared to INR35.1 crores during '22. PAT margin stood at 5%. Cash PAT for FY '23 was reported at INR63.2 crores, as compared to INR61.6 crores during FY '22.

Both ROCE and ROE stood at 12.5% and 7.9% respectively, as on 31st March 2023. The growth in business has been achieved with disciplined use of capital. Our debt to equity stands at 0.47x and long-term debt to equity stands at 0.16x. On a consolidated basis, revenue stood at INR607.1 crores; EBITDA at INR96.4 crores; and PAT at INR35.1 crores for FY '23. This is all from our side. Now we can open the floor for Q&A. Thank you.

Moderator: Thank you. Our first question comes from Nirali Gopani with Unique PMS. Please go ahead.

Nirali Gopani: Sir, my first question is on the EBITDA margin or rather gross margin. So what led to this expansion on a Q-on-Q basis?

Sanjay Shah: So Nirali, there has been two things. One is, we've seen healthcare contribute in Q4, which has led to the improvement in gross margins, as well as higher EBITDA margins. We've also reduced our losses on our carbon steel. So that has also led to an improvement in margins.

Nirali Gopani: Sir, can you help us to understand a bit in detail like what kind of growth did we see in healthcare and if we saw growth in healthcare and home furnishings decline substantially that if you can you give some more colour on that?

Sanjay Shah: No. No. No, Nirali. On healthcare, we basically, if you look at the revenue, which came in healthcare in Q4 of FY '23 was from our own IP-led devices, where we expect to be of higher margins. And we did sales of those in Q4 of FY '23, which basically led to improvement in margins.

Nirali Gopani: So this margin expansion was without any operating leverage. So, as we see the healthcare part growing, also own IP-led devices growing and even the operating leverage plays out then what should be the sustainable margin for us?

Sanjay Shah: Nirali, we don't want to give a margin guidance or an advisory, but we expect that the margins, which we are generating would be sustained as we speak, and they should improve over the period of time.

Nirali Gopani: Okay. And on the home furnishing side like have we seen some recovery, if you can throw some highlights on that also?

Sanjay Shah: We're seeing improvement. as Amit mentioned on the speech, we have also secured some additional business on the steel part of the business, which would help basically in terms of ensuring that we have much better revenue we have been getting from that business. On the plastic side of the business, we continue to see some growth, but it's probably still a quarter or two before you would see the type of growth, which you are looking at.

Nirali Gopani: So, Sanjay, to be very honest, it's very difficult to understand the number for this quarter. So top line, we don't understand where the growth is or what kind of growth we're seeing, margins have expanded substantially Q-o-Q and Y-o-Y, so it's very difficult for us to analyse the numbers to be very honest.

Amit Sanghvi: So Nirali, margin expansion has happened purely because the product mix for quarter 4 resulted in a higher share of the pharma business and that is known to that has been said on several speeches before as well. Just tell me, where is the confusion, and I can try to...

Nirali Gopani: No, sir. Obviously, sir, healthcare has grown substantially, the revenue has declined somewhere or lagged a bit right, because this revenue has remained flat Q-on-Q. So is the home furnishing declining?

Amit Sanghvi: Well, as a share of whatever revenue, we did INR136 crores in quarter 4, the share of pharma business was higher than the other quarters, which is why you see the margin expansion.

Nirali Gopani: So Amit, we have done a substantial capex in the last 2 years, 3 years as we see that you are ready for growth, but we have not seen that growth due to some or the other reasons. So how does the next 2 years, 3 years look like? Maybe not near term, we may face some challenges, but over 3 years?

Amit Sanghvi: See the whole point is that when we see such challenges, I think we've had 2 such cycles already is that we go back a year or we lose a year, and then, there is -- and the second year is typically a recovery year, which means that you're doing a little less than what you had anticipated 2 years ago. So growth is there. We see a healthy pipeline this year, certainly, but the plan that essentially we have for this year is what we should have done last year. So essentially, we just -- we're back by a year at this point. But the growth and margin expansion will happen, as pharma scales up further, and we have a very strong pipeline. So I'm confident that we will see scale up.
Nirali Gopani: And on the last call also you had mentioned. Any update on that side?
Amit Sanghvi: Nirali, you're breaking up. Can you repeat that question, please?
Nirali Gopani: I was saying that in the last call you had ment

ioned that you are looking at some new segments to utilize the existing capacity that we have. So any update on that side that you would like to share?
Sanjay Shah: Nirali, not probably.
Amit Sanghvi: We anticipated there are several opportunities, but we don't have an update at this point.
Nirali Gopani: Thank you, This is all from my side.
Moderator: Thank you. Our next question comes from Aman Vij with Astute Investment Management. Please go ahead.
Aman Vij: My first set of questions is on the pharma division. So if you can talk about what is the capex we have done till date and when is the full capex expected to come online?
Sanjay Shah: So Aman, we have talked about we're putting in about INR120 crores to INR125 crores in expansion of our pharma part of the business. That expansion would be completed between quarter 1 and quarter 2 of the current year. And we're looking at then starting plant production by Q2 and then commercial production.
Aman Vij: And till date out of that INR120 crores, INR125 crores, how much you expect invested?
Sanjay Shah: We're going to spend about close to about INR90 crores to INR95 crores.
Aman Vij: And in this division, how many total machines are we adding? What will be the total number of machines after this capex in the pharma division?
Sanjay Shah: So Aman, what we're doing is we're setting up a plant with -- in a modular fashion, where we can basically put in a close -- total of 36 moulding machines. We will basically be putting in 12 moulding machines right now.
Aman Vij: Amit, on the pen side, so last con call, you had talked about 2 updates. So one was we were on track to launch an auto injector by Q1. So if you can update if that will happen? And second

was, we had supplied to one of our customers, who are still waiting for an approval. So any update on that part?
Amit Sanghvi: So auto injector we launched, and we also onboarded our third customer for that. It was on the speech today. And what was your second question?
Aman Vij: Sorry, on auto injector, we were talking about we will -- will be supplied by Q1. So I'm talking about is the -- with that plan to do the supply not be launched on track by Q1?
Amit Sanghvi: Yes. Absolutely.
Aman Vij: Second question was, we had launched -- we had done some supplies in Q3, I believe, but the approval from the final customer was pending, so that, that customer can launch that product. So is that approval done because then we can get repeat orders and all those things?
Amit Sanghvi: Yes. So the approval we are waiting for is from the U.S. FDA essentially, the customer has already approved the product. It's been filed. We were waiting hoping for approval in April, but it looks like it might be August before we get agency approval.
Aman Vij: On this GLP-1 opportunity, so we keep hearing this is maybe a $50 billion opportunity combined. If you can break it in terms of what is the opportunity for pen manufacturers in terms of numbers or value, whatever you are comfortable with? And where do you see Shaily's market share in the next 3 years, 5 years in this big opportunity?
Amit Sanghvi: I mean, if you take a look at information that's available on the public domain, particularly for Semaglutide, I think it was an $11 billion product for Novo last year. And out of all those players that have filed for Semaglutide or will file, I think Shaily has a substantial pie of the generic market.
So an $8 million product for Novo would mean about, let's assume about 80 million to 100 million devices, I would assume, right, could be off by a little, but -- so there is a substantial opportunity. I also don't know how much generics will gain. But out of all the generics participating in Semaglutide, I think we -- I believe, we have a majority chunk.
Aman Vij: And the numbers for these Liraglutide, Semaglutide, and now this new molecule as wel

l, do
you see any number...
Amit Sanghvi: Yes, go ahead. Sorry. Go ahead.
Aman Vij: No, no. I was just asking in terms of, I think, order first, maybe Liraglutide will come in, then Semaglutide, so FY '24 and '25, if you can talk about some -- where do we see the opportunity in terms of number of pens we can do in FY '24 and '25 from these opportunities?
Amit Sanghvi: Particularly from Liraglutide, I think first, it will not happen in FY '24. Yes, we'll have some small sales in FY '24 for Liraglutide for sure, but nothing substantial. Liraglutide launch can happen, I think, earlier this '25. So likely that you will see a RoW launch in '25 and possibly a U.S. launch in '26 or end of '25. That's when if we look at first full year of launch, then we're looking at about maybe 2 million to 3 million pens in Liraglutide.

Aman Vij: And similarly, if you can talk about Semaglutide and tirzepatide, which is -- the new molecule, which is out there?
Amit Sanghvi: Sema again -- I think, Sema, the earliest launch possible, maybe '27 or later. Sema has a substantially higher volume than Lira, but you're looking at a '27 launch. Earliest launch to be '27. Again, rest of the world market, it's possible to launch before '27, but it will depend on each of our pharma customers.
Aman Vij: Sir, final question on the pens division before I move on to the others. So we did a good growth in the pens division for last year. In terms of volumes that we are targeting for FY '24 and '25, if you can talk about are we expecting that very strong 30%, 35% growth to continue in terms of number of pens we will, own IP pens, I'm talking about, not the other pens. If you can give some visibility...
Amit Sanghvi: I mean, just broadly, in terms of percentage, we are looking at 45% to 50% growth in pharma in the current year over last year.
Aman Vij: And even in FY '25, we can -- you can do a similar sales?
Amit Sanghvi: Again, very hard, Aman, to give you indication because it's a developing business. So I think we should be able to maintain somewhere -- at least upwards of 30% growth for the next 4 years.
Aman Vij: Sure. Sure. Amit, that helps. On the Toys division, so if you can talk about how much did that business fell compared to last year, and we had talked about we might see some visibility in terms of -- for the FY '24. So if you can talk about what are the talks with the customers currently on this Toys division?
Sanjay Shah: So Aman -- yes, go ahead, Amit.
Amit Sanghvi: Yes. I was just going to mention you can then add to the answer. We said that the toy industry in general has been and most of our customers have seen a significant drop in sales in their own sales. With that, what we've also seen is products have become very price sensitive. There is increasing competition from China regardless of what the situation is, the prices we see coming out of China are not some -- in many cases, are not feasible for us to match.
So what we've done is while we actively participate in RFQs, we engage with the customer, we're not -- we're not going to do it at the risk of eroding our margins or lowering our margins.
We want to maintain that part of our strategy. And yes, as and when we see an opportunity, which is complex enough, where the customer is willing to pay a margin that Shaily needs to operate, then we will certainly participate there.
Aman Vij: Sorry, what was the fall in the business compared to last year? How much did it degree by?
Sanjay Shah: Aman, I think you are aware that we don't talk about individual numbers or individual businesses. So will be difficult for me to give you that.

Aman Vij: Sir, but in terms of visibility for FY '24, do you see a flattish kind of number for toys or do you see some growth or...
Sanjay Shah: No. We don't see growth. It will

be lower.
Aman Vij: On the steel division, it was very good to hear that we got some very healthy order book in steel. So if you can talk about when do we expect the full utilization of this plant to happen?
Do you see it in FY '24 or only in FY '25?
Sanjay Shah: It will be FY '25, not FY '24.
Aman Vij: Final question...
Sanjay Shah: Aman, what we are seeing right now is good traction, as we speak and we're looking at building upon that. So this year, you'll basically see good growth on the steel part of the

business, as compared to what we did last year.
Aman Vij: Sir, final question bookkeeping. There was a INR5 crores PAT difference in standalone and consolidated numbers and the top line difference was around INR7 crores. So is it safe to assume that the U.K. subsidiary did INR7 crores top line, INR5 crores kind of PAT, what is -- if you can explain that part?
Sanjay Shah: See the U.K. subsidiary there's a lot of development. And we have the onboarded customers, where all our pen project developments are having to do in the U.K. subsidiary. So it's highly profitable there, and that's the reason that sort of margin.
Aman Vij: And that is a sustainable trend. Hello -- yes, I was saying, sir, is that a sustainable trend?
Moderator: Aman, sorry to interrupt you there. Please sir, please join back the queue for follow-up questions. Our next question comes from the line of Pritesh Chheda with Lucky Investment Managers.
Pritesh Chheda: Sir, for the pharma business growth in the current year, which was FY '23, if you could tell us what were the drivers for the growth in '23?
Amit Sanghvi: Specifically, product-wise, Pritesh, is difficult to give an answer.
Pritesh Chheda: Not product-wise. No, no, not product-wise. Did you add any customer or any supplies or these were developmental supplies with broadly the growth for or is that...
Sanjay Shah: Pritesh…
Amit Sanghvi: We have added new customers. The addition of new customers and revenue typically you see in the when we add a new customer, it starts with the -- with first the IP revenue, which is access to our technology, which you see in the U.K. Second is, we have increased pen sales, not just the pens that we contract manufacturer for pharma, but also pens that we where we own the IP.

Particularly, I mentioned that we -- our customer is awaiting approval and is likely to happen by August, but we have made sales, commercial sales of that pen in anticipation of the approval and filling up the supply chain. And we've also made sales -- yes. So these are commercial sales now.
Pritesh Chheda: These are commercial sales.
Amit Sanghvi: Not just development sales.
Pritesh Chheda: Can you tell what is the volume of pens sold in '23?
Amit Sanghvi: Just give me a minute. I think, we must have sold Pritesh, somewhere around hard pressed, but I think, 10 million to 11 million pens.
Pritesh Chheda: And just you are saying you'll add at the run rate of 2 million to 3 million every year. That's what 2 million every year is what you're saying?
Amit Sanghvi: Yes. It's not always -- it's not just the pens, right? When we do products like the auto injector, the value moves up. So the volumes may be lower, but the value certainly moves up.
Pritesh Chheda: So my second question is on the metal furniture side. So what is the capacity utilization in that asset in FY '23? And what is the EBITDA loss that, that asset you have done for you?
Sanjay Shah: So Pritesh, the utilization levels would be some 25% to 28% right. At an EBITDA loss, we would not want to -- because we don't take this business separately, we look at it on a total basis. So yes, at an EBITDA level, it was negative. And we expect the utilization levels to improve substantially in the current year and not beyond the drag on EBITDA on the current year.
Amit Sanghvi: But Pritesh, I'd just like to add one thing, whil

e we don't report it on an individual segment basis, the EBITDA losses from '22 to '23 have dropped substantially more than half. And the revenue essentially remained flat between '22 and '23.
Pritesh Chheda: Okay. And my last question is on the capex side. So we are aware about the capex in pharma that you're undertaking of about INR120 crores. Any other capex other than this, which is to be considered?
Sanjay Shah: No, not currently.
Pritesh Chheda: And any capex spend you see you have substantial capacity now because we have spent about INR300 crores to INR400 crores, I think, in the last 5 years. Any -- so first of all, what -- can you share what can be the revenues possible out of this capacity that you have created? And any capex decision that you take here on will depend on what?
Sanjay Shah: So I'll let Amit answer the second part of the question. The first part of your question, Pritesh, would basically means -- for the total gross fixed assets, which we have, we basically look at the revenue of about 2.25 to 2.5.

Pritesh Chheda: Yes. But with INR100 crores of pharma coming, that number will change, right? Or still that number...
Sanjay Shah: The number will -- on a consolidated basis, the number will still remain the same.
Pritesh Chheda: Okay. And on my second question?
Amit Sanghvi: Pritesh, on your second question, it's very clear. We -- and I said it on a call before the last one at least that we will not make any further investments in -- at the moment in capacities. We have adequate capacity. There will be marginal investment made on a business-to-business basis on specialized equipment, sometimes moulds.
So when we also develop our own product, we know that investment is made, especially on -- in the assets to manufacture that product. Such investments will continue, but they are not going to be substantial. For us to do any substantial investment first, we're not saying we're going to do it.
So at the moment, the focus is on increasing our utilization and sweating the current assets that we've built. But for us to do any further investment, we are really going to focus on what it adds terms of our margin profile. It has to -- there has to be a level of -- high level of engineering precision. We don't want to just create capacities and pump out product. That's not -- that's not the objective.
Pritesh Chheda: so my question was what will drive any capacity expansion from your side? Maybe that you'll reach 75%, 80% capacity utilization and then, you'll say, okay, now I need growth, so I'll put capacity? Or I can understand you need moulds for which you will create, put some money, but when it comes to fixed asset creation, what it will trigger?
Amit Sanghvi: I believe at a consistent level, we all perform above 75% to 80% before we trigger any capacity expansion. If there is a specific capacity needed, Pritesh, for a business, that is a one-off case. But any major expansion, we have to be operating at a 75% utilization level at a minimum to trigger any further expansion.
Sanjay Shah: Pritesh, if I want to clarify and add to what Amit said, I think your question is basically limited to the medical side of the business or the other business, which we have, where you're saying whatever capacities, which we have created were underutilized, and would we make further investments in that, then utilization levels don't improve. I -- we will do investments there. We would first want to see utilization levels improve and then make investments.
Pritesh Chheda: This is valid for all, right? This is valid for pharma, metal and the -- basically the historical business of injection moulding that you're doing, right, just answer?
Amit Sanghvi: Generally, valid for all. Again, there -- Pritesh, there will be specific investments needed. I also cannot tell you today, but it all depends on what kind of business

we onboard and if
something requires something very specific, could be automation, could be tooling. But again, we're not adding moulding capacity.

Moderator: Our next question comes from Saurabh Shah with AUM Fund Advisors. Please go ahead.
Saurabh Shah: Sir, The question was on utilization. I know you don't break out for the different divisions, but just directionally, the last 3 years been going down seriously, and I know that you're adding capacity at both Rania and Halol. But how should we look at composite utilization going forward, which includes the toy, where you maybe commented you probably will not do much this year. I, how should we see that playing out for sort of full year? What is your target? I understand you can't estimate where you will ultimately will end up. But based on various steps kind of what guidance can you give us over there?
Amit Sanghvi: Based on what we're forecasting from a 42% utilization that we did in FY '23, I think it will move up to somewhere in 50% to 55% range. Again, I don't want to -- this is not a guidance by any means. But I feel that's what the calculation aims -- points towards.
Saurabh Shah: I Understand. Thanks. The next question was more broadly on the Toy division. Give us some background as to how much was invested in the business? And secondly, given the China issues just now, where do you see, do you think this plant can be multipurpose for some other areas if it doesn't work out in the next year or two, or this will pretty much be dedicated only to the Toy division in the future as well?
Sanjay Shah: So Saurabh, that the equipment’s, which we put in are being used for other businesses also. So it's not dedicated. Okay. It was made for toys, but yes, we can use these machines for other products, which we're doing, other businesses, which we're doing, and we will start utilizing these machines for some other products, which we have taken on. So you would see the utilization levels improving there.
Saurabh Shah: So you can basically increase capacity more without adding capex in a year or two, if this

doesn't pan out as expected is what you're saying?
Sanjay Shah: Yes.
Saurabh Shah: Okay. That's what I had. Thank you and all the best.
Sanjay Shah: Thank you very much. Thank you.
Moderator: Thank you. Our next question comes from Amit Shah with ACE Securities. Please go ahead.
Amit Shah: Hi, good morning, sir. Sir, I have couple of questions. Sir, firstly, our utilization levels for FY '23 has declined. So can you give -- or explain the reason for the same? Also, what kind of utilization levels are we targeting?
Sanjay Shah: I think, Amit mentioned this in the first part of his speech that we are looking at tough economic situation, global situation, which I think that -- and that's the reason the utilization levels have come down. And I think to the last question, which does the participant, as Amit mentioned, what sort of utilization levels we'll be looking at for next year.
Amit Shah: Okay, sir. Sir, and secondly, can you share the split between contract manufacturing and our own IP? And how do you see our own pens contribution going ahead?

Sanjay Shah: So I think...
Amit Sanghvi: Split, we will not be able to share at this point. But see a very significant portion of the pharma growth is coming from -- I'd say, probably, upwards of 90% of our pharma growth is coming from the pens and the IPs that we have created. It's our design essentially. There is also organic growth in the devices that we contract manufacture year-on-year.
Amit Shah: Okay, sir. Understood. Thank you.
Amit Sanghvi: Thanks.
Moderator: Thank you. Our next question comes from the line of Aman Vij with Astute Investment Management. Please go ahead.
Aman Vij: Sir, continuing on the pens division, so where we ta

lk about we are doing say, roughly, 10 million pens, Amit, if you can talk about what is the current market size in terms of pens, both insulin and non-insulin. What is our broad market share, if you can talk about the same? And how is this market growing?
Amit Sanghvi: I think globally, there are probably 1 billion pens made every year, if not more. Again, out of a 1 billion pens, you'd see that between Sanofi, Novo and Lilly, we would essentially control maybe 900 or 920 of those billion.
Aman Vij: And between insulin and non-insulin...
Amit Sanghvi: Whereas 10 million you can do the math, Aman.
Aman Vij: So you are saying 80%, 90% will be insulin pens in this?
Amit Sanghvi: Yes. 80% is going to be insulin pens.
Aman Vij: Sure. Andyou had talked about in the call, you are targeting almost 45%, 50% growth in this division. So you are talking about some 10 million pens, we are targeting around 14 million, 15 million pens for FY '24?
Amit Sanghvi: Yes. Somewhere. See, like I said, I think I have -- I answered Pritesh's question that it's not -- that it's only going to -- we don't only do pens, Yes, pens, it's something that we developed first, but we -- but in FY '24, we're going to see a fair bit of revenue -- new revenue also coming from auto injectors, not just pens.
Aman Vij: So that is heartening to know, sir. My next question was on auto injector part only. So I believe this is much more complicated product, utilizations are maybe -- if you can talk about is it like 3x to 5x compared to a normal spend. And as a mix, auto injector, where do you see it for the next year and next three years? Do you see this becoming like 20%, 25% of our basket in terms of spend, or do you think it will remain like 5%, 10% only in the next two years, three years auto injector side. And is the realization like 3x to 5x, is my understanding wrong, if you can talk about the same?

Amit Sanghvi: So I think the molecule that we have done the auto injector for, the first one cannot be launched before 2027. At the earliest, you'll see a '27 launch. And what happens in '27 in terms of volumes, hard for me to tell. Innovative pharma companies have are in a habit of often changing the device or doing something at the very fag end of when others can launch. It doesn't prevent anyone from launching, but it certainly affects how much market share that those are gain.
Now, then the second auto injector that we're working on is an NCE-1 opportunity, where we

know that there will be limited players filing, maybe half a dozen players, plus or minus that will eventually file. So our objective is to make sure that at least 30% to 40% of everybody, who files is with Shaily. And that opportunity will come somewhere in -- I think early as possible will be '32, '33, maybe and so it's -- for the second auto injector, it's a long gestation period, but it's a very high-value product.
Aman Vij: In terms of pen, so we normally talk about we are targeting generic players, the products, which becomes patented. So any reason we…
Amit Sanghvi: I lost you, after reason. Hello?
Moderator: Sir, the line of Aman has left the question queue. We move on to our next question, which is from the line of Manjeet Buaria. Please go ahead.
Manjeet Buaria: Just one clarification. I think you mention that despite flat sales in our carbon steel business, our losses have more than halved. I just wanted to get some more insights here. Because our revenues are actually a function of the commodity price as well. So can you just explain this in terms of whether our utilization has gone up leading to this loss reduction? Or is it that their gross profit per kg or per ton has gone up due to better pricing? Or it's more on operational efficiency to build into the gross margin then? So you just share more insights on what's leading to the significant improvement?
Sanjay Shah

: So Manjeet, the FY '22 was the first year, I mean, we had the full year of carbon steel operations, where we were doing development and going through a learning. So we basically were able to improve our operational efficiencies in FY '23 over FY '20.
Amit Sanghvi: Basically, the scrap has come down very, very substantially in FY '23. And we now know how to manufacture the product adequately.
Manjeet Buaria: So this would be reflected in the gross profit per ton, basically when we say this operational efficiency has come in?
Amit Sanghvi: Sorry. Manjeet, can you repeat that. It will be reflected where?
Manjeet Buaria: In your gross profit per ton basically, when the wastage comes down. Is that the right way to understand this?
Amit Sanghvi: Yes.
Manjeet Buaria: Okay.

Sanjay Shah: We have seen, gross margins improve. Yes.
Manjeet Buaria: And would the utilization also have been flat between two years or utilization this year would have been higher?
Amit Sanghvi: No. It's actually been lower.
Sanjay Shah: It's been lower.
Manjeet Buaria: So despite lower utilization, the gross profit per ton has improved so much is what we are...
Amit Sanghvi: Yes.
Manjeet Buaria: Understood. Okay. That's very helpful. That was my question. Thank you.
Amit Sanghvi: Sure.
Sanjay Shah: Thanks, Manjeet.
Moderator: Thank you. Our next question comes from Harsh Shah with Top Hill Investments. Please go ahead.
Harsh Shah: Hello, good morning, sir. Sir, I have sort two questions for you. First is, how do you see the current trend in the raw material prices? And what will be our pass-through cycle frequency?
Sanjay Shah: So raw material prices are steady right now. Pass-through cycles will basically be dependent with different customers on a different tenor, which we have. So they basically range from anything between two months to three months to six months. I don't think, there's any change in the pass-through cycles, which we have done.
Harsh Shah: Okay. Then sir, what will be the long-term ROCE that business is expected to deliver in coming years?
Sanjay Shah: Harsh, I'm sorry, but we don't give out guidance on earnings or returns and everything.
Harsh Shah: Okay, sir. Thank you.
Sanjay Shah: Thank you.
Moderator: Thank you. Our next question comes from Aman Vij with Astute Investment Management. Please go ahead.
Aman Vij: Continuing with the question, sir, on the pen side. So if you can talk about what is the total number of customers we have supplied development orders? And to how many customers have we supplied the commercial orders as of now? And what is the total customers we have in pen?
Sanjay Shah: Aman, this is getting into, I think, too much of detail, which I think you are aware that we don't divulge individual customer details or individual details, so.

Aman Vij: Maybe sir, maybe you can -- sir, talk about -- so as of now, if most of the orders -- development orders or is it mostly commercial orders? And whatever...
Sanjay Shah: I think Amit mentioned that we have started the commercial orders also.
Aman Vij: That I have heard with…
Sanjay Shah: Yes.
Aman Vij: Yes. But majority is it still development or majority of the shift has happened to the commercial side. That was the question.
Amit Sanghvi: Yes. I think majority of not the revenue of pharma, but the majority of revenue coming from our devices would certainly be exhibit batches or clinical batches essentially. But we have commercialized two molecules for which we have made commercial shipments.
Aman Vij: Sure, Amit. And then there was a question, there is a lot of patented molecules currently. So any reason we only target say, generic pen manufacturer and not patented manufacturers because they would be also outsourcing from somebody, right? So if you can talk about the same?
Amit Sanghvi: Yes. But Aman, first, someone has to realize that Shaily is doing a good job. And for large companies to realize that they need to see product on the US market. So let's hope that our first product launch will enable us to work with the big guys.
Aman Vij: So that is in your thoughts, right? Eventually trying to target...
Amit Sanghvi: Yes. Very clear.
Aman Vij: These were the questions from me. Thank you.
Sanjay Shah: Thank you.
Moderator: Thank you. Our next question comes from the line of Nirali Gopani with Unique PMS. Please go ahead.
Nirali Gopani: Yes. Sir, recently we heard that Walmart wants to source quite significant number from India. So do we see an opportunity there for us?
Sanjay Shah: Nirali, again, talking about specific customers will be not right on the call. But we continue to have dialogues with multiple players is what I would say.
Nirali Gopani: Okay. And this include toys also like are we having discussions with a lot of customers to supply toys also?
Sanjay Shah: So we are in discussion with a couple of people, but not much. As Amit mentioned, we see challenges on margins, and we then want to concentrate our energies, where we see that we can make them get the type of margins, which we want.

Nirali Gopani: Right. Okay. That's it. Thank you.
Sanjay Shah: Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Amit Sanghvi: Thank you. Thank you, everyone, for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations Advisors. Again, thank you very much, and have a nice day.
Moderator: Thank you.
Sanjay Shah: Thank you, everybody. Bye-bye. Have a good day. Thank you.
Moderator: On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

SEPL/SE/Aug/23-24
August 16, 20223

The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q1FY24 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated August 09, 2023, wherein the Company updated the audio link of Earnings call held on 9th August 2023 to discuss the operational & financial performance of the Company for the quarter ended on June 30, 2023.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary &
Compliance Officer

M. No. A 31582

"Shaily Engineering Plastics Limited
Q1 FY'24 Earnings Conference Call"
August 09, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 09, 2023 will prevail

MANAGEMENT :

1. MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY
ENGINEERING PLASTICS LIMITED

2. MR. SANJAY SHAH – CHIEF STRATEGY OFFICER – SHAILY ENGINEERING PLASTICS LIMITED
3. SGA, INVESTOR RELATIONS ADVISORS – SHAILY ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Shaily Engineering Plastics Limited Q1 FY '24 Earnings Conference Calls.
This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Amit Sanghvi, Managing Director. Thank you. And over to you, sir.
Amit Sanghvi: Thank you very much. Good afternoon, and a very warm welcome to all the participants to the post results investor call of Shaily Engineering Plastics. I have with me Sanjay Shah, our Chief Strategy Officer, and SGA, our Investor Relations Advisors. I hope you've had a chance to look at our investor presentation that is uploaded on our website as well as the stock exchange.
Let me start with giving you some highlights on the operational performance. Despite the challenging geopolitical situation, we've delivered a top line of INR157 crores, and we've improved our gross margins and EBITDA margins, which stand at 41.1% and 17.6%, respectively. We've also stabilized operations in the U.K., and as we scale up and move forward, our emphasis is on broadening our horizons to encompass more intellectual property development and contract manufacturing of medical devices.
With that, I'm happy to announce that we have been granted patents for one of our new auto injectors in the U.S. market. The efforts dedicated to developing our injection system platforms are now yielding positive results. In this sector, our scope is not only extensive, but we're seeing traction with commercialization of devices in the coming months and years.
I'm also delighted to announce that we have been awarded new business from General Electric with a value of INR40 crores per annum. Our second largest revenue generating sector today is healthcare and we have adopted a scalable approach that will enable us to increase our revenues at a faster pace over the next 5 years. The money that we had raised in '21 has been put into enhancing capacities and building new facilities for healthcare. We also plan to increase our own IP contribution going forward.
On the home furnishings front, we have been awarded business for 3 new products, where the total value stands at INR50 crores per annum. We're further strengthening our relationship with the customer. We ventured into steel furnishings business with the same customer and have also added an exclusive facility to the service this new furnishings business.
We received business confirmations for additional volumes and this has improved utilization in the current year. In the automotive and engineering segment, we've added 3 new products with

2 new customers where the total value of the business in the next year will stand at INR5 crores per annum but will grow somewhere between 15% to 20% year-on-year from there.
That is all from my side. I shall now hand over the call to Sanjay Shah, our Chief Strategy Officer, to give you the operating and the financial highlights. Thank you very much.
Sanjay Shah: Thank you, Amit. Good afternoon, everyone. I shall share with you the highlights of our operational and financial performance of Q1 FY '24. After which We will be happy to respond to your queries.
During the quarter, we processed

5,822 tons of polymers as against 6,760 tons in Q1 FY '23.
Machine utilization rate was around 43% in Q1 FY '24. Exports during Q1 FY '24 stood at 75% of total revenue as compared to 77% in FY '23.
On our stand-alone result, revenue stood at INR153 crores for Q1 FY '24 as compared to INR172 crores during Q1 FY '23. EBITDA stood at INR23.7 crores during Q1 FY '24 as compared to

INR21.7 crores during Q1 FY '23, a growth of 9% year-on-year. EBITDA margin improved by 290 bps to 15.5% for Q1 FY '24 from 12.6% in Q1 FY '23. PAT stood at INR8.7 crores during Q1 FY '24 as compared to INR7.4 crores during Q1 FY '23. PAT margin stood at 5.7% as compared to 4.3% in Q1 FY '23. Cash PAT for Q1 FY '24 was reported at INR16.8 crores as compared to INR15.2 crores during Q1 FY '23, a growth of 11%.

On a consolidated basis, which includes Shaily U.K., our subsidiary, revenue stood at INR157 crores during Q1 FY '24 as compared to INR175 crores during Q1 FY '23. EBITDA stood at INR27.7 crores during Q1 FY '24 as compared to INR24.3 crores during Q1 FY '23, a growth of 14% year-on-year. EBITDA margins have improved by 370 basis points to 17.6% for Q1 FY '24 from 13.9% in Q1 FY '23. PAT stood at INR12.6 crores during Q1 FY '24 as compared to INR9.5 crores during Q1 FY '23. PAT margin stood at 8% in Q1 FY '24 as compared to 5.4% in Q1 FY '23. Cash PAT for Q1 FY '24 was reported at INR20.8 crores as compared to INR17.3 crores during Q1 FY '23, a growth of 20% year-on-year.

This is all from our side. Now we can open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Manoj Bahety from Carnelian Asset Management.

Manoj Bahety: First of all, congratulations on a good set of numbers. So, my first question is, if you can give some colour on sustainability of the margins the way we have seen decent improvement in margins in the current quarter? And then I have one more question.

Sanjay Shah: Manoj, your voice is breaking a little bit. Would you...

Manoj Bahety: Hello? Is it clear now?

Moderator: Yes, sir.

Manoj Bahety: So, I have 3 questions. First one is on margins. So, if you can give some colour on sustainability of the margins the way we have seen decent improvement of margins in the current quarter? And

secondly, if you can also give some colour on ramp-up of our health care facility during the current financial year and how it is going to impact our margins going forward?

Sanjay Shah: And what's the third question? You said you have 3 questions, Manoj.

Manoj Bahety: Yes. And third question is, if you can elaborate on the new business wins, especially on GE appliances, home furnishing and also the carbon steel ramp-up in terms of improvement in capacity utilization? So, these are my 3 questions, Amit.

Sanjay Shah: Okay. Amit, you want to take the second question first, ramp-up on health care facility. And then I will take the second -- the other 2 questions.

Amit Sanghvi: Sure. I don't think the second question was a ramp-up on health care.

Sanjay Shah: So, the question which Manoj said was what sort of ramp-up do we expect on the health care facility and improvement in margins from that. So...

Amit Sanghvi: Yes. So, I think question 2 is a little related to question 1, Manoj. You will see improvement in margins as the health care pie of the total revenue continues to increase. I hope that we will see marginal improvement quarter-on-quarter. Quarter 2 seems one where we have some new projects that have been delayed to Q3, which means that you'll see certainly a significant improvement in quarter 3. It may not be so much in quarter 2.

But health care continues to scale up. This year, we are anticipating a growth of roughly 60% on the health care business.

Manoj Bahety: Sorry. Can you repeat, Amit? I couldn't hear you. You mentioned some percent.

Amit Sanghvi: We're on track to grow the

health care portfolio by 60% this year, in the current financial year over the last year. So as that happens, you will see improvement in margins. And these are sustainable margins.

Sanjay Shah: Manoj, yes, I'll probably take the other 2 questions. Amit partly answered the first part of the question. See, the improvement in margins is on basically in 3 accounts. One is, as Amit mentioned, you're basically seeing the health care pie go up, which has better margin. So overall margins are going up.

Secondly, you're seeing improved utilization levels at the steel factories. We're having longer runs and everything, which is basically improving our yields there and everything, which is also ensuring that we have better margins there, or the impact on the margin is lower there. So that's the other thing. It's a combination of these factors which will play out and which will see to improvement in margins as we go forward.

On the new business front, the GE business, it's a knob which we are developing for them, and we will start supply sometime in calendar year '24. Similarly, on the home furnishings front, there are 3 new products which we are working with the customer. Revenues would start kicking in from Q4 of FY '24 and Q1 FY '25. So that's the timeline which is being looked at. The revenue

numbers which we have indicated are annualized numbers based on the current volumes which we have got from the customer.
Fourth business which we have talked about is on the automotive segment with 2 of our existing customers, where we will be strengthening the relationship and adding more products as we go by, which, again, totals to about INR5 crores a year right now. And as Amit mentioned in his speech also, we will see that business growing as the ramp-up happens.
Manoj Bahety: Okay, okay. And lastly, on the carbon steel part, do you see now the stability is behind and we will see gradual improvement in capacity utilization there?
Sanjay Shah: That's our understanding.
Manoj Bahety: Hello?
Sanjay Shah: Yes, that's our understanding.
Moderator: The next question is from the line of Nirali Gopani from Unique PMS.
Nirali Gopani: Sir, if you just start with -- if you can just give a general outlook on the home furnishing side also. So, we were seeing constant pressure over there due to the inflationary environment in U.S. and Europe. So how is the situation now? And how do we see the current year panning out on that side?
Sanjay Shah: So, Nirali, we're seeing gradual improvement in volumes. But we're not seeing very large improvement in volumes, but we're seeing improvement in volume. And what we're also seeing is we're seeing new business confirmations coming in. So, we are building up the business for the next year.
Nirali Gopani: Okay. Because all these new business wins will largely reflect in FY '25, right?
Sanjay Shah: As I mentioned, some of the home furnishing stuff will start getting reflected from Q4, but the bigger impact will happen from Q1 FY '25 onwards.
Nirali Gopani: Right. So, if I want to see FY '24 in particular, so largely the growth will be driven by health care or any other segment you see that can support growth in any way?
Sanjay Shah: FY '24 growth, as we have mentioned earlier also, will come from health care. Part of it will come from improved utilization levels from the carbon steel facility, where we are seeing traction in terms of higher volumes and everything. Third will basically be on automotive front, and some of it on the home furnishing front. So, these are 4 areas from where you'll see growth.
Nirali Gopani: Okay. Fair enough. And this quarter, sir, very good revenue uptick on the U.K. side. I know Amit did touch upon it in his opening comments. But if you can briefly talk about it. What kind of difference are we seeing there? And how should things look going ahead?

Amit Sanghvi: While we'll not be able to give you exact numbers, but we're looking at a very significant ramp-up in revenue in the current financial year over last year. So, I would say at least 2 to 3x is what we're looking at in terms of revenue in Shaily U.K. this year.
Nirali Gopani: Okay. And this is largely the new development that we are working on?
Sanjay Shah: Yes. So, Nirali, the way to look at it is we had in the past communicated new business confirmations which we have received and new developments which we have received as and when they have been received, large contracts have been closed. So that are being executed through Shaily U.K. So that's the pipeline which is there. And that's the reason what Amit mentioned, the growth we are looking at.
Nirali Gopani: Right. Right. And GE appliances seems to be a new customer. So, if you can just qualitatively share what kind of opportunities it can be for Shaily over a longer term? I know you have shared the short-term number. But yes.
Sanjay Shah: Nirali, I think giving numbers will be difficult. We see a pretty large opportunity there. If Amit can add too
Amit Sanghvi: It's actually a very old customer. We started doing business with GE in 1995, I think.
Sanjay Shah: This was our fourth export customer, Amit, yes.
Amit Sanghvi: Yes.
Sanjay Shah: Yes.
Nirali Gopani: Okay. So, we have been working with GE since 1995?
Amit Sanghvi: Yes. But they've never had focus on sourcing from India. I'd say that focus has changed significantly over the last 18 months, which means that we are seeing new opportunities and we are participating in them and have also been awarded this particular project.
Nirali Gopani: Perfect. And lastly, Sanjay, if I see this quarter numbers, expenses have grown quite significantly over Q4. So, any particular reason, like other expense, staff cost, power and fuel? Anything that

has grown significantly?
Sanjay Shah: Some of those expenses if you were to look at it are in line with the growth in the revenue. Power and fuel, we have had higher growth in the current quarter because there has been some change in the power tariff. And with improved utilization levels in terms of the carbon steel facility – and everything we have been having our power cost there.
Moderator: The next question is from the line of Aman Vij from Astute Investment.
Aman Vij: My first set of questions on the pharma business. So, on the capex side, if you can give an update on when is the pharma capex expected to complete? And how do you see the ramp-up in FY '24 and FY '25? When do we expect full utilization of this facility?

Sanjay Shah: So, Aman, we will basically be completing the major part of the capex by September. And so Q2 is by which the major part of the capex will be done. And some of it will get spilled over to Q3, but between Q2 and Q3 of FY '24 is when the whole capex would be done. The ramp-up will basically be over the next 4 to 6 quarters when we will do the ramp-up.
In pharma, we need to have facilities created ahead of time to basically get all the compliance and all the approvals from customers. So that's the basis on which these facilities have been created.
Amit Sanghvi: You look at least a 3-year horizon for the capacity that we have created to be utilized to a greater extent.
Aman Vij: Sure, Amit. And it's my understanding, sir, that almost maybe 2/3 or even more is meant for pens in this new facility? Is my understanding correct?
Sanjay Shah: All of it is export by this, yes.
Aman Vij: Sure, sure. And in terms of -- you've talked about what kind of growth you see in health care. In terms of number of pens sold, so where do we target -- what is our target for this year?
Sanjay Shah: Aman, when you just look at the total number of pens, it probably does not give you a right sense

because we sell pens at different price points. And we have contract manufacturing for our own devices and we then have our own IP led pens. Each of these pens have different price points and the price variation is very, very large. So, looking at total number of pens, I can give you a number or something, but I'm not sure whether it will help you in terms of looking at that number.
Aman Vij: Okay. So, can we assume the growth in pens, not the number of pens, but in the pens business in terms, say, the rupees, crores business, will be in proportion to 50%, 60% kind of growth we are targeting in healthcare? Is my understanding correct?
Sanjay Shah: That's right.
Amit Sanghvi: Yes.
Aman Vij: Sure, On the utilization of our facility, so it was good to see the ramp-up happening in Q1. So, if you can talk about for FY '24 what kind of utilization do you think we can achieve? And similarly for next year if you can talk about the same?
Sanjay Shah: Aman, we don't give out what we think will be revenue guidance or something for the current year or for the next year. So, we would refrain from answering that question. I'll probably answer it in a little different way. As numbers improve, you will see utilization levels improving going forward.
Aman Vij: So, the reason for asking was when do we expect the full utilization of the facility? That is the questions. If you can talk about the same.
Sanjay Shah: Probably sometime by the second half of FY '25.

Aman Vij: Sure, sir. On the steel business side, so last time you had talked about, I think, it's still loss making, if my understanding is correct. So, if you can talk about, do we expect this to -- is it profitable in Q1? When we expect it to become profitable? And I mean, you had talked about FY '25 we expect full utilization. So, is it safe to assume that even for FY '24 we can maybe do like 50%, 60% kind of utilization?
Sanjay Shah: Yes. So, I think this year, we will be positive in terms of bottom line and everything. In terms of utilization level, as compared to last year, we are at an improved utilization level. We will be over the numbers which we indicated in terms of utilization levels for the steel facility overall for the whole year. Getting to 100% or full utilization FY '25 it's a little too early to say right now. We are working with the customers to build up the book in terms of products and everything. If we have clarity, we will give that clarity to you.

Aman Vij: Sure, sir. And a final question before I come back in the queue. Any positive offshoot on the toy business, if you can talk about this thing?
Sanjay Shah: No.
Amit Sanghvi: No.
Sanjay Shah: I don't think anything right now.
Moderator: The next question is from the line of Paras Adenwala from Capital Portfolio Advisors.
Paras Adenwala: Yes. I had a question on your fixed asset turnover ratio. I saw peak -- my software says that in March 2018 is when you had a peak fixed turnover ratio, fixed asset turnover ratio of 2.6. And since then, there has been a gradual decline. And I think as of FY '23, it's lower than 1.5. So, would you say that with this quarter, now the fixed asset turnover will start improving?
Sanjay Shah: So, Paras, we have said in the past that based on the investments which we have made in everything, we should basically be looking at fixed asset investment to revenue of somewhere between 2.25 to 2.5x depending on the current product mix and the customer profile which we have. I think you will basically see that ratio improving as we move towards the end of the year. At the same time, what also needs to be looked at is we are capitalizing a large part of our pharma facility in Q2 and Q3, which will increase our fixed assets, where you will see revenues coming in over the next 2 to 4 quarters.
Paras Adenwala: Okay. So, do you think over the next 12 to 18 months, you should

be reaching a fixed asset
turnover ratio of close to 2.5, 2.6 once again?
Sanjay Shah: I'm not sure whether we will get to that level, but you will see that number improving first we have better clarity, then we can probably talk about it. But yes, we do see that ratio improving.
Amit Sanghvi: Paras, the only thing I would add is maybe not 12 to 18 months. Look at more from 18 to 30 months and you will certainly see, like Sanjay bhai said, that number improving.

Paras Adenwala: Okay. And through the course of various conversations today in the call, you mentioned about clarity and unpredictability. So, in the overall business environment, are you witnessing some amount of haziness in terms of how you see your future over the next 12 to 15 months?
Sanjay Shah: Amit, you want to take that or...
Amit Sanghvi: Yes, I will take it. No, I think Paras, it's not so much haziness on how business or the environment is. The environment is certainly not great right now. We don't think it's going to -- we're not going to see a full recovery in the current year, and we expect that at the beginning of the year as well. I think the haziness comes partially from there being so much movement on this, whether you call it China + 1 or just people looking at alternate sourcing, India being a great part of that strategy.
So, there's so much opportunity, it's just about finding the right opportunity that we want to participate in where we can make a contribution that will help us to have sustainable growth as well as profitability. Toys is a classic example of how we try to derisk from our home furnishing major. We saw an opportunity which could be scaled up fairly quickly, had very similar margin profile or slightly higher margin profile than the home furnishing major. But it's not a business where our abilities are valued, to be honest.
So do we want to continue down that path? I would say probably not. We will certainly participate in high value-add opportunities if they come our way, but it's not a business that we will actively pursue with the customer because there's no stickiness to the supplier. it's basically a very transactional relationship, and I don't think it enables long-term growth. So the haziness probably came from building that strategy for Shaily more than the business environment.
Paras Adenwala: Okay. All right. Okay. I think FY '23 was quite a challenging year for you. And even prior to that, I think we did notice some amount of slowdown in the business. But now with this quarter, would you say that things have turned around and we should at least cross the turnover or reach the turnover that we had in FY '22?
Amit Sanghvi: You Know Give it one more quarter. the jump we saw between March 23 and June '23 may not be there between June '23 and the coming quarter. So we will certainly see an increase, but it may not be so substantial. I think quarter 3, we'll see -- quarter 3 and quarter 4 we'll see much better numbers.
Paras Adenwala: Okay. Just 2 more questions. On the toys business, it's work-in-progress as it seems right now. Can I know what is the amount of investment that you need in the toys business? And as per your budget, what is the kind of payback that you see on the investment?
Sanjay Shah: Paras, we've invested somewhere between INR25 crores to INR30 crores on the toys business. That's mainly in molding machines and in other facilities which we have built. We will be utilizing the molding machines for other businesses which we have. So the other businesses will also grow. That facility would be used for the other businesses.
Paras Adenwala: Would you say the payback would be in 2 years or 3 years? What's the kind of estimate that you

have in your plans?

Sanjay Shah: When we took on the business, the estimate was that the

payback would be somewhere close to
5 years. It will probably get stretched a little bit.
Paras Adenwala: Okay. All right. Okay. Because as of now, it looks like you have only one client in the toys business.
Sanjay Shah: Yes.
Paras Adenwala: Okay. And finally, on the margins, 17%, I think that's a very decent jump that you've seen. You did give some clarification on the margins. But would it be fair to estimate that now this is something which is sustainable? Or would we see some kind of volatility as we move along?
Sanjay Shah: Paras, I think these are sustainable margins if you look at it more from a long-term or a medium-term basis and not look at it on a quarter-on-quarter basis. And as Amit also indicated earlier, as the pharma business grows, the overall margin should improve.
Paras Adenwala: Okay. Okay. Any question that I'm asking you, Mr. Sanjay, is more on an annual basis rather than quarterly. I fully understand quarter-to-quarter is very difficult in a volatile scenario like today.
Sanjay Shah: But I just wanted to clarify that, because I should not be misunderstood here.
Paras Adenwala: Yes, yes. So, on an annualized basis, I think what you've done in this quarter seems to be absolutely sustainable, right?
Sanjay Shah: Yes.
Amit Sanghvi: Yes.
Moderator: The next question is from the line of Harshil Shethia from AUM Fund.
Harshil Shethia: Sir, 2 questions. One is regarding the carbon steel business. you mentioned in your presentation that you're going to improve utilization, just given the long lead time so far. Where do you see that at the end of '24 and maybe '25 based on your current conversations?
Sanjay Shah: See, if you were to look at last year to this year, we'll basically be improving our utilization levels by 100% over last year. And we're talking with the customer to see how we can improve that from that percentage to the next year also -- further improvement next year.
Harshil Shethia: Sir, last year was a very small base. Just trying to understand the absolute percent of utilization, because this was obviously a dedicated plant for a specific project and different from our other strengths in the plastics areas earlier. So, I was just trying to understand like what point will it come to the level that was originally anticipated when we made the investment? You think it would be around the 50% by the end of '24? Or you don't think so?
Sanjay Shah: So, it will be 50% plus for FY '24 for sure, closer to 50%, 60% plus. And then we should probably be looking at improving that the year after that.

Harshil Shethia: Okay. From the same -- is it possible to just give a sense of the current utilization levels for both the -- the other, the home furnishing majors, the dedicated project, the automotive and the GE...
Sanjay Shah: We do not give out individual utilization levels, and it will be difficult for us to do that.
Harshil Shethia: I know. I understand. I'll say that...
Sanjay Shah: I just think that our capacity is also fungible across businesses. And putting out this sort of information in public domain will not be correct for the company.
Harshil Shethia: Sir, I don't know how we can get this, because given that our business model largely consists of your dedicated plant and machinery for dedicated customers and overall utilization of 42 does seems a bit low, especially when nothing seems at a very early stage if we put the carbon steel on the side for a moment.
So just going forward, how do you expect on average for continuing businesses? Could we expect overall utilization to be higher than this? Or how do you look at the business model once the business has stabilized? What kind of consistent utilization you would expect to receive?
Sanjay Shah: We expect utilization levels to improve. Sorry, Amit. Go ahead.
Amit Sanghvi: No, no, go ahead. I thought you left that for me.
Sanja

y Shah: No, no. So, we expect utilization levels to improve. So probably by the end of the year, you should see some improvement in utilization levels from where they are currently. And then you'll see further improvement in FY '25.
Amit Sanghvi: But you also have to keep in mind that our new pharma facility like Sanjay bhai mentioned

earlier, will go on stream and will be capitalized in the coming quarters, which means that while utilization of the existing business will improve, existing capacities will improve. When you look at a number on the presentation, in the coming quarters, it will also include new facility. So likely that the number is going to be not changed very significantly. It will be either marginal or no change at all.
Harshil Shethia: Sure. No, Amit, it was not the question related to -- as I said, for new business we understand, they take time to ramp up. But once they have stabilized, how do you think of the business model when you take new business? Do you expect that in a year to at least a healthy 60%, 70%? I'm not asking about specific business, so you don't need to worry about that.
Just when you take on new businesses, is it okay for us to expect that in year 2 after stabilizing, you should get to a 60%, 70% utilization level, because that's what gives us reasonable return ratios, et cetera. Otherwise, it kind of takes these long lag lead times, really reduce our return on capital.
Amit Sanghvi: Absolutely. No. And the answer is, yes, we should in year 2 expect 65% to 70% utilization at a minimum. And unfortunately, if you look at the consumer portfolio, that's also how we kind of cost it out. So if it doesn't happen, we're increasing our payback period by that amount. And very unfortunate what happened in FY '23, but we should have -- at the beginning of the year, we had

a solid business plan. Didn't happen. Forecast kept coming down. It kept decreasing. In FY '24, we're not seeing a full recovery. We're seeing slight improvement, which is why I said then look at a horizon of 18 to 30 months, where you'll see our utilization levels improve substantially.
Harshil Shethia: Great. And last question, maybe just an addition on the same tone, that what, I guess, is happening with the toys and the steel businesses. I think they were slightly different for us. But going forward, do you kind of see new areas as well where it could require kind of very different processes and different products for us? Or you expect more growth coming from generally products aligned to our plastic stabilities and maybe with some more fungible capacity?
Amit Sanghvi: I think we're looking at improving from a capability perspective, we're looking at making enhancements when it comes to complex assemblies. I mean we do complex assemblies in pharma today, but we're now looking at doing even more complex assemblies with more components. So a typical bill of material would run into, let's say, upwards of 70, 80 parts in a particular sub-assembly or a product. So we're trying to gain that capability, also look at various means and ways of automating part of these processes. Because going forward, if we don't get into complex products, then we're going to end up eroding our margins at some point. So getting into more complex products means that we will need more value add and more manufacturing processes and more complex processes.
Harshil Shethia: Okay. So I guess somewhat similar to what you have done with injectables. Is that fair?
Amit Sanghvi: Yes.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: I joined late. A couple of questions. First is, last year you were looking to hire a new CEO. Any specific update over here, any feeling or thoughts process? So that's the first question.
Amit Sanghvi: I am very hopeful, Ritesh, that we will be able to give you an update in the

next quarter. So our
next earnings call we should be able to give you an update. We had paused the process in the last financial year, looking at the decrease in forecast. We restarted it about 3, 3.5, 4 months ago. And we have been actively interviewing and we have released offers. So we hope that we will be able to give you more concrete details in the short term.
Ritesh Shah: Sure. And if we had to appoint a CEO, what objective will it attain for the firm? Any specific KRA's that you have gone out for, the new appointees?
Amit Sanghvi: Given we're a manufacturing organization, a very strong emphasis on operations. But what we have looked at in the candidate or in terms of the profile is we also wanted someone with a technology background, which means someone who's extensively worked on product development. And above all else, it's the organizational building of an individual, from that perspective. So we're looking at a person that's obviously a good cultural fit with Shaily, but can also build the organization, take the teams along, take the people along with the growth that we see coming.

Ritesh Shah: Sure. There might be some background noise. I'm sorry for that. I have few more questions. Amit, you did indicate about utilization levels to move up from a 18 to 30 month duration. Just

trying to understand how do we come at this time frame. Are there any specific underlying variables that you're monitoring? Is it the inventory in the channel or the order book position? If you could give some colour, that would be really useful.
Amit Sanghvi: So on the pharma side, we have mentioned a few times before that we will see one of our first big products being launched in '25, not FY '25, in calendar '25, which is why I said that look at a horizon which is higher. Plus, the fact that we're putting in new capacity right now means that we will only see that ramp up over 3 years at a minimum.
With the existing business, we know that the current there is slight increase, but otherwise more or less muted from the last year. And the hope is that there will be a global recovery post the next 12 months, which is why I look at a horizon of 18 to 30 months. Even to say within the global recovery on the existing business, we are adding new strategic businesses that should see our utilization levels go up.
Ritesh Shah: Right. So I think you detailed about pharma, but when you look at home furnishing, is there channel inventory elements that we are looking at? How should we understand that as far as the business?
Sanjay Shah: Ritesh, on the...
Amit Sanghvi: Yes. Go ahead, Sanjay bhai.
Sanjay Shah: Go ahead, Amit. Go ahead.
Amit Sanghvi: No, no, I was just asking him to repeat the question because I've heard a lot of background noise. So if you got it...
Sanjay Shah: On the furnishing front also, what we monitor is not the inventory, but the 52-week holding forecast which we get on a weekly basis. And we are seeing some traction or some improvement there. And that's what we constantly monitor. We are also adding newer products. We just talked about 3 new products being added, which we will be commercializing by Q4 and Q1 of current and the next year, so which will also lead to an improvement in utilization levels. So it will be a combination of new products and increase in volumes on the existing products which would improve utilization levels.
Ritesh Shah: Sure. This is helpful. Amit, just a couple of questions on the pharma side. I think a couple of quarters back we had indicated that we are very hopeful that we can actually double up the revenues in a 3-year time frame. So where are we on that? And I think Sanjay bhai did explain that number of pens is not the right way to look at. But historically, we have given a number that we have capacity of around 20 million pens. And I think last year, we had around 6.8 plus pen

s
which we had sold.

If you could quantify the number of pens purely from a capacity utilization just from a understanding standpoint? And the headline number of -- involving the revenues on a 3-year time frame? So if you look at the number by FY '26, '27, how can you look at that?
Amit Sanghvi: So Ritesh, we're looking at a 60%, 70% growth in the current year, which means doubling the revenue in 3 years is going to happen, as we had indicated in the past. On the pens, in terms of absolute numbers of the pens also, we are looking at nearly that percentage increase, I would say, maybe not as much as 50%, but a very substantial increase in the number of pens that we will be selling in the current year as well.
With the new capacities coming up, we are adding another -- we've added capacity to manufacture another 20 million pens. But that ramp-up is not going to happen in FY '24. It's going to take time. So we'll see some volume in '24, then steady increases over '25 and '26.
Ritesh Shah: Sure. And just one last question. Sanjay bhai just indicated that there's INR90 crores of incremental business which will flow in from Q4 and Q1 onwards. Is this all margin accretive?
Amit Sanghvi: Is this margin...
Ritesh Shah: Accretive at EBITDA level. The reason I asked is earlier we had this scenario wherein when we deal with the home furnishing major, we were asked to do the tooling capex. And hence, it was informative to look at numbers from a PBT level. So how should we look at this INR90 crores of incremental orders? First question. Is it accretive at EBITDA margin level? And if you could give some colour at ROCE? And secondly, is there some tooling capex element which is there over here? Or it's not something which is relevant?
Sanjay Shah: So, Ritesh...
Amit Sanghvi: There will be some -- yes, go ahead, Sanjay bhai.
Sanjay Shah: So, Ritesh, if you want look at it from an ROCE perspective, yes, it will be accretive. At a EBITDA level, it will be more or less similar to levels of EBITDA which are there on the current quarter.
Ritesh Shah: Okay. And from a purely capex standpoint, is there some incremental commitment that we have to go for?

Sanjay Shah: No.
Moderator: The next question is from the line of Richa from Equitymaster.
Richa: My question is on this order from GE Appliances. Just wanted to get a sense of do you see stickiness in this kind of order? And what kind of run rate going forward? Will it grow over time? Or -- as of now, we don't have that input. Give some colour on that.
Sanjay Shah: We have been working with this customer, as Amit mentioned, since 1995. We have close to a 30-year relationship with this customer. And all the current products also which we do, including

these 2 new products which we will be doing, we will be the single source for this customer worldwide.
Richa: Okay. Is it fair to assume that...
Sanjay Shah: And we're looking at growing this relationship, as Amit also mentioned earlier in his speech or one of the questions when somebody had asked. We're looking at growing with this customer and look to add more business in the year.
Richa: Okay. And sir, let's say, if we see it from a 3-year perspective, how do you see the business mix changing between the pharma and non-pharma? And the reason I'm asking is that I just want to get a sense on what kind of margin from a longer-term perspective should we expect?
Sanjay Shah: So, I think pharma will grow at a much faster pace as compared to the overall business. And that will basically mean you'll see margins improving from a 3-year perspective.
Richa: Okay. So basically, from -- what kind of margins do we have in pharma? I mean can you give any kind of range, if not...
Sanjay Shah: We do not give a range at this time, sorry.
Richa: Okay. Okay. And sir, c

ould you also talk about or give some more colour on the process of winning new orders, new clients, something like that?
Sanjay Shah: Probably we didn't understand your question. Can you explain that a little more in detail?
Richa: Yes. So let's say, we got the toy business a few years ago. And currently, you are saying that we have got an order for which it will be the only client. I understand this client is like a long-standing client. But when it comes to targeting new clients and new areas, if you could add a little more colour on what is the process to increase visibility on what we are doing in targeting clients, in targeting new business stuff?
Amit Sanghvi: So, there are a few areas that we're actively pursuing. Like I said, we prefer to get into more complex products which fit our capabilities and engineering strength and not highly commoditized businesses. With that in mind -- hello?
Sanjay Shah: Yes, go ahead. Go ahead, Amit.
Amit Sanghvi: With that in mind, we are working with a few companies to see how we can start a relationship. You'll see, again, the theme is basically consumer electronics, appliances and even industrial applications. So, at this point, Richa, it would be immature for us to share any further light or give you any names. But as the conversation matures and we actually have something more concrete in hand, we will be providing an update.
Richa: Okay. Fair enough. And sir, any kind of guidance on capex for this year or in the coming 2 years?

Sanjay Shah: I think capex for this year, we have already indicated that whatever we are doing on the pharma front and our tool room is what we are doing. We will not be doing any large capex other than that in the current year. Next year we're basically looking at seeing how utilization levels improve on the other business front. And once they improve, we will basically be looking at capex.
Moderator: The next question is from the line of Priyank Parikh from Abakkus Asset Managers.
Priyank Parikh: Just wanted to understand like what sort of metric you track for your operational purpose. Is it like per ton revenue or per ton realization, per ton GP margin? Or absolute number you track? Or it is a certain percentage of GP margin on this much revenue? So how you look at internally?
Sanjay Shah: Could you just repeat your question, please?
Priyank Parikh: So, I wanted to understand like when you are planning your business internally, what metric you target? Is it absolute gross profit per ton or is it percentage of revenue or something like that? So how you plan it internally?
Sanjay Shah: We never look at gross profit on a per ton basis. We never look at on a per ton basis. There will be different metrics which we will look at. What does the business do to existing capacities? Is

other investments required? What sort of an EBITDA margin or ROCE or something which are there?
Amit Sanghvi: But Sanjay bhai, I think internally there are a few expense lines that we look at in percentages of revenue.
Sanjay Shah: Yes.
Amit Sanghvi: But most of our internal operational metric would be measured, for example, what is the material yield. Material yield typically for us a target would be 98.5% or 99% to us, which means that we don't want to scrap raw material more than 1%. We don't get downtime, cycle time with cycle efficiency. So, if we've gotten business at a 30 second cycle time from a customer, as an example, then is the plant running the machine at 30 seconds? Is it running it at 32 seconds? Or is it running it at 28 seconds. So, these are the type of, parameters that or indicators that we track internally.
Priyank Parikh: Okay. Okay. And in last con call, you indicated an expected utilization of 50 to 55 percentage for FY '24. So, is it going to be seen even today?
Sanjay Shah: I think Amit just answered that earlier. Yes, currently, we will

see some improvement, but it will be a gradual improvement over the current year. And that's what he indicated also.
Priyank Parikh: Okay. So, 50 to 55 percentage would be the right number to take?
Sanjay Shah: I will not turn in a number, and we would refrain from giving a number there.
Priyank Parikh: Okay. Fair. Yes.

Amit Sanghvi: You will see the improvement in the coming quarters.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Thank you, and over to you all. Members of the management, you may go ahead.
Amit Sanghvi: Thank you everyone for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations Advisor. Thank you and have a great day.
Moderator: Thank you. On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

SEPL/SE/Nov/23-24
November 10, 20223

The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q2FY24 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated November 07, 2023, wherein the Company updated the audio link of Earnings call held on 7th November 2023 to discuss the operational & financial performance of the Company for the quarter and half year ended on September 30, 2023.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary &
Compliance Officer

M. No. A 31582
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"Shaily Engineering Plastics Limited
Q2 & H1 FY'24 Earnings Conference Call"
November 07, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th November, 2023 will prevail

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY ENGINEERING PLASTICS LIMITED

M R. SANJAY SHAH – CHIEF STRATEGY OFFICER –
SHAILY ENGINEERING PLASTICS LIMITED
SGA, INVESTOR RELATIONS ADVISORS – SHAILY
ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Shaily Engineering Plastics Limited Q2 FY '24 Earnings Conference Call.
This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Sanghvi, Managing Director, Shaily Engineering Plastics Limited. Thank you, and over to you, sir.
Amit Sanghvi: Thank you very much. Good evening, and a very warm welcome to all the participants to the post results earnings call of Shaily Engineering Plastics Limited. I have with me Sanjay Shah, our Chief Strategy Officer; and now also our Chief Financial Officer; and SGA, our Investor Relations Advisors.
I hope you've had a look at our investor presentation that is uploaded on our website and the stock exchange.
Let me give some highlights on the operational and the business performance for the quarter. Despite a challenging global environment, we delivered a top line of INR158 crores, and we've improved our gross margins and EBITDA margins, which stand at 41.1% and 17.16%, respectively. You're all aware that we have spent significant time in developing drug delivery platforms based on our own IP and have also made significant capital investments in creating new facilities for scale up.
These efforts are kindly yielding results. And we’re now seeing the start of commercialization of some of our platforms. I’m happy to announce that we received our first commercial, which is post EB batches purchase orders from a few customers for some of our platforms. I would only reiterate that in this sector, our business scope is very extensive, and we are committed to continuous growth in the coming months and years onwards.
In addition to commercialization of our own products, we have also been awarded a new applicator project, for which we will start supplies in July 2024, where the total value of the additional business is INR35 crores per annum. On the home furnishings front, we have been awarding business for new products whose total value stands at INR50 crores per annum, for which supplies will start in quarter 2 of FY ‘25.
We are strengthening our relationship with customers. We are also working with the home furnishings major on scalable of our steel furnishings business and have received business confirmations for additional volumes that we’ll see improved utilization not only in the current

year, but also in the next. In the automotive and Engineering segment, we have added three new products and the total business value stands at 3.5 to 5 crores per annum.
We're delighted to announce that we have been awarded a new order of supply of 6 components in the Engineering segment by one of our oldest customers, Ascoval. That is all from my side. I shall now hand over the call to Sanjay Shah to give you the operating and financial highlights. Thank you very much.
Sanjay Shah: Thank you, Amit. Good evening, everyone. I should share with you the highlights of our operational and financial performance of Q2 and H1 FY '24, following which we will be happy to respond to your queries. During the quarter processed -5,673- tons of polymers as against 5,145 tons in Q1 FY '23. For the half year ended in process, 11,495 tons of

polymers as against
11,905 tons in H1 FY '23. Machine utilization rate was around 40% in Q2 FY '24 and 41.5% in H1 FY '24. Exports during H1 FY '24 stood at 74.5% of total revenue.
Now I should take you on stand-alone results highlights for Q2 FY '24. Revenue stood at

INR155.7 crores during Q2 FY '24 as compared to INR150 crores during Q2 FY '23. EBITDA stood at INR25.5 crores during Q2 FY '24 as compared to INR25.1 crores during Q2 FY '23. EBITDA margins stood at 15.4% for Q2 FY '24, an increase of 70 bps over Q2 last year. PAT stood at INR9.9 crores during Q2 FY '24 as compared to INR9.4 crores during Q2 FY '23. PAT margin stood at 6.3%, an increase of 40 bps over Q2 last year. Cash PAT for Q2 FY '24 was reported at INR17.9 crores as compared to INR17.1 crores during Q2 FY '23.

Now coming to H1 FY '24 highlights. Revenue stood at INR308.5 crores in H1 FY '24 as compared to INR332 crores during H1 FY '23. EBITDA stood at INR49.2 crores in H1 FY '24 as compared to INR46.8 crores during H1 FY '23, growth of 5%. EBITDA margin stood at 16%, an increase of 190 bps over H1 last year. PAT stood at INR18.5 crores in H1 FY '24 as compared to INR16.8 crores during H1 FY '23, a growth of 10%. PAT margin stood at 6%, an increase of 90 bps over H1 last year.

Cash PAT for H1 FY '24 was reported at INR34.7 crores as compared to INR32.2 crores during H1 FY '23. Our ROCE and ROE stood at 14% and 9.3%, respectively, as on 30th September 2023. The growth in business has been achieved with disciplined use of capital. Our debt-to-equity stands at 0.5x and our long-term debt to equity stands at 0.15x.

Now I shall brief you on the consolidated results highlights. Revenue stood at INR157.6 crores during Q2 FY '24 as compared to INR161.3 crores during Q2 FY '23. EBITDA stood at INR26.6 crores during Q2 FY '24 as compared to INR25.9 crores during Q2 FY '23. EBITDA margin stood at 16.9% for Q2 FY '24, an increase of 18 bps over Q2 last year. PAT stood at INR10.8 crores during Q2 FY '24 as compared to INR10.1 crores during Q2 FY '23. PAT margin stood at 6.9%, an increase of 17 bps over Q2 last year. Cash PAT for Q2 FY '24 was reported at INR18.9 crores as compared to INR17.7 crores during Q2 FY '23.

Now coming to H1 FY '24 consolidated highlights. Revenue stood at INR314.9 crores in H1 FY '24 as compared to INR336.3 crores during H1 FY '23. EBITDA stood at INR54.2 crores in H1 FY '24 as compared to INR50.2 crores during H1 FY '23, a growth of 8%. EBITDA margin

stood at 17.2%, an increase of 230 bps over H1 last year. PAT stood at INR23.4 crores in H1 FY '24 as compared to INR19.6 crores during H1 FY '23, a growth of 20%. PAT margin stood at 7.4%, an increase of 160 bps over H1 last year. Cash PAT for H1 FY '24 was reported at INR39.7 crores as compared to INR31.1 crores during H1 FY '23.

This is all from our side. Now we can open the floor for Q&A.

Moderator: The first question is from the line of Aman Vij from Astute Investment Management.

Aman Vij: It was good to hear about the possible commercialization starting for our device business. So just on that part, sir. So, we were waiting for, I think, the U.S. FDA clearance from one of our clients. So, does it mean that is now completed and this will result in commercialization or this is some other product or project we are talking about?

Amit Sanghvi: This is another pen, Aman. Again, it's not that FDA clearance has come in. We are anticipating FDA clearance to come in but are preparing for commercial orders.

Aman Vij: Okay. So, this is apart from that. This is a new commercialization factor.

Amit Sanghvi: Yes.

Aman Vij: My next question was we had talked about our target to reach around -- sell around 15 million pens by the end of this year. So, are we on track to do that? And will the bulk of the scale happen in H1 or -- already in H1, we have had like a majority of that target fix.

Amit Sanghvi: No, we have not had majority of the targets in H1. So, quarter 3 and quarter 4, we'll see bulk of the sales, but we will likely not get to 15 million. It's -- there's going to be a shortfall, not a very significant one, but there will be a shortfall.

Aman Vij: Sure, sure, sure. And any kind of targets we have for the next year?

Amit Sanghvi: We will assess the situation on sales in quarter 3 and quarter 4 and then give an update during the beginning of next year. Certainly, registered growth, but we don't know how much at this point.

Aman Vij: Sure, sir. And on the own IP pen, sir, is it safe to assume that the majority of this is currently insulin linked only rather than the new molecules?

Amit Sanghvi: Can you repeat that, Aman, we lost you again.

Aman Vij: Yes, sure sir. I was saying in terms of own IP sales -- own IP pen sales, so is it right to assume that majority of this is insulin linked rather the -- we are entering a lot of new areas. So is it safe to assume that as of today.

Amit Sanghvi: No. On our own IP products, it's not insulin linked. It's more GLP-1s and parathyroid hormones?

Aman Vij: Sir, we had recently, I believe, participated in CPHI conference. So, if you can talk about how was the response given now we have a very extensive range of platforms available to offer to our customers.
Amit Sanghvi: The plan was to give a full CPHI update on the next call because the CPHI happens in October. But just to put it very shortly, very briefly, we had a fantastic conference. I don't think I had an idle minute at the conference from day 1 until the last day. So very, very positive response not only from generics but also from some innovator company.
Aman Vij: Sure, sure. As of now, how many international customers do we have for this division?
Amit Sanghvi: We have 2 international customers at the moment.
Aman Vij: Okay. And given the response, do you see this number going substantially in the next 2, 3 years.
Amit Sanghvi: I don't know -- yes, I mean from a baseline of 2, it will grow substantially.
Aman Vij: Sure, sir. Just final question from my side. I'll get back in the queue. The new orders which you have talked about, which will get executed mostly next year. These are in addition to the orders we had in Q1.
Sanjay Shah: Yes.
Aman Vij: These are totally new orders?
Sanjay Shah: Yes. So, the home furnishing order or the automotive engineering order or order on the health care space, all these are new orders which have happened in the current quarter.
Aman Vij: And the remaining -- the Q1, which you had talked about some of the orders you're expected to execute in, I believe, Q4 onwards, that is still on track or is there any...
Sanjay Shah: That is still on track. That is still on track.
Moderator: The next question is from the line of Priyank Parekh from Abakkus Asset Managers.
Priyank Parekh: I wanted to understand the sales mix that we have in current quarters vis-a-vis the March 2023 quarter, wherein we have seen substantial high EBITDA margin compared to the last 2 quarters. So just wanted to understand how sales mix has shifted.
Sanjay Shah: So, Priyank, in the March quarter, I think we had also mentioned it on the call. While we do not give individual numbers, but we've said we had a fairly large revenue coming in from the health care or the device space where we supplied exhibit batches to with some customers and -- so 3 or 4 shipments which we'll make. All of them were bunched in Jan to March. So that's the reason you saw that bump-up happening. We're also seeing is when you look at last year to this year, we're seeing a slow improvement in the EBITDA margin. And this is what we expect to continue going forward.
Priyank Parekh: Okay. So, as you mentioned that the bulk of the sales of…

Amit Sanghvi: We lost him?
Moderator: Yes sir. Since the line for the current participant has dropped off, we'll move on to the next question. That is from the line of Nirali Gopani from Unique PMS.
Nirali Gopani: My first question is to you on the gross margin side. So, if I see the gross margin for the quarter compared to the last quarter, Q-on-Q, there is a good decline of 3%. Sir, can you share your thoughts on that?
Sanjay Shah: So, Nirali, when you look at from quarter 1 to quarter 2, you would also see that revenue -- when you look at stand-alone and consolidated, you will see revenues from our U.K. subsidiary have been a little lower as compared to quarter 1. So, there have been some lesser revenues or the Pharma front and that's the reason we're seeing a reduction in the gross margins. It is more of a mix thing than anything else.
Nirali Gopani: Okay. Perfect. And you have been sounding very positive on the next 2 quarters of this financial year. So, if you can highlight how do you see the growth coming in for the next 2 quarters, like, can we see a top line of somewhere about INR175 crores to INR200 crores coming in the next 2 quarters?
Amit Sanghvi: I think I'm very confident of bottom line growth, top line growth I'm not confident of INR200 crores in the next 2 quarters. Top line growth will be there, but it won't be to that tune. I feel bottom line growth will be more substantial in the next 2 quarters.
Nirali Gopani: Largely backed by a higher margin because of the health care segment?
Amit Sanghvi: That's right.
Nirali Gopani: Perfect. And, sir, if I see the last 2 quarters, we have -- you announced new orders worth of INR190 crores, INR200 crores. So, when we look at FY '25, so in addition to this INR200 crores, the base business should also grow substantially. And hence, FY '25 should see exponential growth on revenue and margins. Is that understanding correct?
Sanjay Shah: So, we will see growth. I don't want to put in an adjective there in terms of exponential or not.

Yes, we will see growth on the top line as well as at the margin level.
Amit Sanghvi: Current situation is that it's -- there's a lot of uncertainty in demand. While we've gotten new business, we don't know what will happen to the demand for the preexisting business, especially in the nonhealth care side of the business. So, there are certain -- like, as I said, there will certainly see growth, both top and bottom line whether it will be INR200 crores, whether there will be something that gets eaten up in the current business. It is a little too early to tell at this point. But we will provide that update likely in quarter 4.
Moderator: The next question is from the line of Priyank Parekh from Abakkus Asset Managers LLP.
Priyank Parekh: Just wanted to understand the INR49 crores of capex that we have done on the first half. So, for what this capex is done? And secondly, how is the capex outlook for the next half of this year?

Sanjay Shah: So Priyank, a large part of this capex is the continuing capex, which we did in terms of expanding our pharma facility, device manufacturing facility. So, capex is for that reason. We have completed a large part of this capex during H1 of FY '24. There is some spillover which will happen in Q3, which will continue. So, I think from a major capex cycle, we would be completely over by Q3 of FY '24.
Priyank Parekh: Okay. Got it. And over our toys business, are we having any update compared to the previous quarter, where we were not seeing substantial business in Toys segment.
Sanjay Shah: I think we will still continue with the same view as we talked about in quarter 4.
Amit Sanghvi: We're not actively pursuing Toys business at this point. We participate where this is value add, but otherwise, we're not actively pursuing.
Priyank Parekh: Okay. Okay. So, over the last 3, 4 year

s, there has been substantial import substitution has been happening in India, especially in Toys. So, are we seeing any opportunity from that perspective?
Amit Sanghvi: Not quite.
Sanjay Shah: We've not seen a lot of opportunities there, especially because -- I do agree with you there is some localization happening, but none of these guys -- none of the local guys have volumes to basically look at making investments and tooling and everything.
Priyank Parekh: Okay. Okay. And my last question was on our hunt for the CEO. So, are we having any development on that side?
Amit Sanghvi: It is very unfortunate. We had finalized the CEO and the person was to join in the next 2 weeks, but he has pulled out. So, we're going to have to start the search again.
Moderator: The next question is from the line of Harshil Shethia from AUM Fund Advisors LLP.
Harshil Shethia: Sir, can you comment on the Carbon Steel business, what kind of utilization are we at? Because in the last quarter, you mentioned about ramp-up? And what kind of pipeline is there in the same business?
Sanjay Shah: So, Harshil, we've seen improvement at the utilization level in that plant. And we continuously -- we continue to work with the customers to basically see how we can improve utilization level going forward. So, if were to compare Q2 of last year to Q2 of this year, we have seen a substantial improvement in the utilization levels as well as on the top line. And only if you were to compare Q1 to Q2, you have seen improvement.
Harshil Shethia: Okay. So, because in the previous quarter, we had also mentioned that, that would lead to a better margin improvement so -- due to operating leverage kicking in. So, do we see any kind of margin improvement in the same? Or if you can say by 100 bps or 150 bps or whatever...
Amit Sanghvi: So, Harshil, if you were to look at Q1 and Q2 of last year and then compare it to Q1 and Q2 of this year, you have seen margin improvement happening in Q1, Q2 or even H1 over last year. So, part of that margin increase is -- the last part of the margin increase is coming in from the

health care, but part of it is also coming in where we have been able to plug the leakages around Carbon Steel with input utilization level and everything. So that's a combination of these factors.
Harshil Shethia: Sir, are we at breakeven in the Carbon Steel business?
Amit Sanghvi: We would not be able to talk about individual businesses, Harshil, so...
Moderator: The next question is from the line of Miraj from Arihant Capital.
Miraj: Congratulations Sanjay sir on the appointment as CFO. We just had a couple of questions. Looking at the volumes for the quarter, could you please highlight which segments grew slower than expected and which segments grew as expectations? That would be my first question.
Sanjay Shah: So, Home Furnishings grew as what we expected -- Home Furnishings and FMCG grew as what we expected. We -- some of our shipments on our health care have moved from quarter 2 to

quarter 3. But I think when we look at it from the whole year perspective, I don't think we will basically have an issue in terms of the shipments because these are development projects where it takes some time.

Miraj: Sir, in the presentation, on the 6th slide it is written that we've got new orders for supply of 6 components to ASCO, to the oncology society. If you could please just highlight -- I still didn't understand what exactly this order was for?

Sanjay Shah: So ASCO is as an existing customer, basically manufacturing engineering components and enterprise. We have been supplying to ASCO for over 20 years now -- 15 -- 18 to 20 years. And this is a new order which we have got from them. That's what we've talked about it.

Miraj: Okay. So, could you quantify how much is the order value worth here or that is not possible?

Sanjay Shah: The volumes will, th

erefore, year-on-year. So, we will not quantify the volume.

Miraj: Just final question before I get back to the queue. On the same page, there's written that we've decided for the split of shares. But I found no other release on exchange. That is approved by the Board or that is still going to happen in the next meeting?

Sanjay Shah: Miraj, that's has been approved by the Board, that has also been approved by the shareholders. This was done post the last quarter's Board meeting. We had a separate meeting for that. So, it has been approved by the Board. So approved by the shareholders in the AGM. We are going through the formal process. I think the shares should get. If it will be increased -- from a INR10 share, we are taking it to INR2. So, it will be 5 shares for every 1 share held. And the whole process should be completed probably by the end of November.

Moderator: The next question is from the line of Rajvi Shah from Bright Securities.

Rajvi Shah: I had a few questions. The first one is, sir, can you elaborate more on the order that we have received in the last quarter related to new applicator project in the Pharma space.

Amit Sanghvi: What kind of elaboration are you looking for, Rajvi?

Rajvi Shah: Like on the order perspective?

Sanjay Shah: So, I mean the order value has been given. And what we also said is we will be looking at commercializing this in Q2 of FY '25. Rest of it, we would be bound by NDA in terms of what is that application and everything is, but this is going to be a recurring order. So, it will be a yearly order which will be recurring year-on-year.

Rajvi Shah: The next question I had is, sir, on the Home Furnishing segment. We have received new supply for which segment? Also, any development on additional customer in Home Furnishing? And which geography and what type of customers are you targeting for this segment?

Sanjay Shah: We continue to work with our existing customers on the Home Furnishing segment. This order is from our existing customer. And we supply to this customer all across the group, wherever they have stores. So those are predominantly to Europe and the U.S., but then we also supply to China, Asia, Middle East and other places wherever they have stores.

Moderator: The next question is from the line of Richa Agarwal from Equity Market.

Richa Agarwal: Sir my question was…

Moderator: Sorry to interrupt, ma'am. We are unable to hear you clearly. The next question is from the line of Nirali Gopani from Unique PMS.

Nirali Gopani: So, in this quarter, we have seen a good jump in other income. Any particular reason? And what does it include?

Sanjay Shah: So, this is a normal thing. So, there's nothing one-off, which is there.

Nirali Gopani: But nothing related to the operations of the business, right? So ideally, if we -- if I eliminate other income and see the EBITDA...

Sanjay Shah: Yes. Most of our other income would also be related to our business only.

Nirali Gopani: Okay. Because if I eliminate the other income and see the EBITDA margin, there is a decline sequentially because of obviously the gross margin. So just wanted to understand when you say that you see a significant jump in the EBITDA margin in the coming quarter and say next year, so from what level should we see this growth?

Sanjay Shah: So just to answer your first question, the other income basically includes FX gain. So -- which is relative to the business. Okay. Can you repeat your second question once again.

Nirali Gopani: No. So, because if I eliminate other income, I was just seeing an EBITDA margin of 15% for the quarter. So, I just wanted to understand when we see a growth in the EBITDA margin in the next 2 quarters or over FY '25. So, what level should we see this growth from current growth of 17%, which is mentioned in the presentation?

Sanjay Shah: Similarly, I think looking at Shaily's marg

ins on a quarter-on-quarter basis would not be correct.

What I would again reiterate is when you look at margins, you look at the full year margins,

which we achieved for quarter FY '23. Based on that, we are looking at growth in FY '24 and FY '25 going forward.
Moderator: The next question is from the line of Aman Vij from Astute Investment Management.
Aman Vij: Sir, on the health care side, what kind of growth are we expecting in the second half?
Sanjay Shah: Can you elaborate the question a little bit?
Aman Vij: And so, at the start of, I think, last quarter, you had talked about you're targeting very high growth for the full year. So, are we on track of that? Is it just lower than our expectation? Is it much higher than our expectation, if you can talk about that part?
Amit Sanghvi: We are on track to achieve that growth. Again, like I said, the 15 million pens is going to be a little bit less than that. So, whatever drop that entails will be the only drop. Otherwise, we're on track to achieve that.
Aman Vij: So that 50%, 60% kind of growth on health care side still stands?
Amit Sanghvi: Yes.
Aman Vij: Sure sir. So, sir, there's a -- lot of the Indian generic players are facing some or the other issue related to U.S. FDA audit recently. So do you think this can have an impact on our plans as well.
Amit Sanghvi: Yes. I mean it can certainly have an impact on our plans. But all the ones we're looking at commercializing in -- or have started will start shipment of commercial orders. We have not seen those customers face an issue with the FDA. So, there could be a potential longer-term impact, but nothing in the next 24 months that I can see today.
Aman Vij: In terms of number of project additions and by project -- I mean say 1 customer, 1 pen, 1 platform, what kind of additions do you think will happen for this year and next year?
Amit Sanghvi: I mean we're having active discussions with probably a dozen or more customers on various molecules and devices. I would assume that at least 60%, we should be able to convert.
Sanjay Shah: Aman, just to add to what Amit said is, I think every quarter, we intimate you guys in terms of what is happening. So that's what we would do.
Aman Vij: And just final thing on this part. In the presentation, in terms of the platforms we have shown, I could not see the Neo platform. You have shown the other 5, neither I could see the injector -- the Mira platform, which is available on the website. So, any reason for not including those?
Sanjay Shah: Neo we're not showing it on the -- for some specific reasons.
Amit Sanghvi: The Neo platform will be updated on our presentation. We've already created our new health care presentation. You will probably see it in the next quarter.
Moderator: The next question is from the line of Miraj from Arihant Capital.

Miraj: Sir, on the health care side, I wanted to understand the kind of prospects that defer when we sign with an innovator and a generic player. I just wondered if you could just throw some light on what kind of opportunities would differ? And if we are in talks with any innovator right now in advanced stages?
Amit Sanghvi: We are in talks with an innovator on a novel molecule. I would probably not say that it's a very advanced stage, is somewhere in between -- it's not at initial stage conversation either, but somewhere in between. So, we're going through the evaluation process of our devices that are suitable for their molecule and primary container.
And once that is complete, we will undertake the agreement discussions. So that will be a new one for us where we have a new chemical entity that we onboard -- hopefully, onboard. And with generics, we understand the market a lot better because we know what is coming to an expiry, what is going to ha

ve an NCE-1 filing deadline. And our development is largely based on that. Some of our development also happens for innovators. But largely, all the platforms that we have been able to commercialize or get to design verification are based on the deadlines that we see with the generic industry?
Miraj: Great. So, the innovator -- if we sign any innovator, I'm just not putting up a question that we are going to. But the opportunities will be significantly different from what we have with generic players or would it be in the same range? I mean, in terms of volumes that we may do, I just wanted to understand that.
Amit Sanghvi: See with a generic player, you know the volume. Thus, you know what the innovator is doing and how much of a market share generics can take up. With an innovator with a new chemical entity, you're not going to know what the volumes will be. There are essentially predictions, right? So, there is certainly a very high upside if the drug does well. But there's also a downside

if the drug doesn't do well. So, with the generic business, there is more clarity in terms of what your future will look like.
Miraj: Got it. And my final question, sir, on the FMCG side that we've mentioned, there's a new packaging development. Is it a product-based development or is it some client based? If you could just explain what would exactly the development there?
Sanjay Shah: So, it will be client-based development.
Miraj: You'll be sharing more details in the next quarter, right, once it is in progress?
Sanjay Shah: Yes. So, this also has already been confirmed. So, we're doing the development now, and we would start supplying between 4 to 6 months.
Moderator: The next question is from the line of Richa from Equitymaster.
Richa: Sir, my question was related to the capex that you were suggesting a part of it will be more or less done by third quarter. So just wanted to understand for whatever growth in Pharma, we are expecting 2x to 3x. Will this capex be enough, the gross profit would be enough to cater to that kind of growth. And also, I mean, currently, the turnover is 0.9. What kind of turnover would

you expect based on the product mix that you envisage 2 to 3 years from now on the current gross block?
Sanjay Shah: So, Richa, what we have said is the large part of our Pharma capex is done. We have created space for a total of additional 36 moulding machines out of which 12 moulding machines have been put in. We will need to add another 12 plus 12, 24 machines, but they will be added gradually as the ramp-up happens. And once the utilization levels within the existing Pharma facility improve.
Richa: And what kind of utilization turnover we are looking at once these capacities get settled and optimally utilized?
Sanjay Shah: Again, I think giving individual numbers would basically be difficult, but when you....
Richa: Overall current gross block.
Sanjay Shah: I'm sorry, I lost you. I can't hear you.
Richa: Overall current gross block...
Sanjay Shah: That's what I was coming to. So, on an overall gross block, what we have said is somewhere between 2.25% to 2.5 % of our fixed asset investment is the turnover, which we would be...
Moderator: The next question is from the line of Bhavin Rupani from Investec.
Bhavin Rupani: Just -- sir, just wanted to understand how should one look at the margins and the capex requirement for the new orders that you have announced in Q1 and Q2?
Sanjay Shah: The new orders which we announced in Q1 and Q2, we would be basically utilizing our existing infrastructure which we have and we are basically adding in our health care facility. So that will take care of these orders.
Bhavin Rupani: So, sir, you are saying that no additional capex is required?
Sanjay Shah: There will be some marginal capex but nothing substantial.
Bhavin Rupani: Okay. And sir, how should one look at th

e margins as compared to the company-level margins
-- existing company level margins?
Sanjay Shah: I mean every business will have different margins. So, it will be different for me to quote, but I said on an overall basis, we expect going forward margins to improve as the top line improves.
Bhavin Rupani: All right. And sir, just one clarification. Is it correct that we are looking at margin expansion in FY '24 versus FY '23, if I understand correct.
Sanjay Shah: If you look at H1 numbers and compare it to the H1 numbers last year, you have seen margin expansion at the EBITDA level and at the PAT level. We hope we continue that for the end of -
- the balance part of the year also.

Moderator: As there are no further questions, I now hand the conference over to the management for the closing comments.
Amit Sanghvi: Thank you, everyone, for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relation advisers. Thank you and have a great evening.
Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of Shaily Engineering Plastics Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

SEPL/SE/Feb/23-24
February 21, 2024

The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q3FY24 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated 14th February 2024, wherein the Company updated the audio link of Earnings call held on 14th February 2024 to discuss the operational & financial performance of the Company for the quarter and Nine months ended on 31st December 2023.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary &
Compliance Officer

M. No. A 31582

"Shaily Engineering Plastics Limited Q3 FY-24
Earnings Conference Call"

February 14, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th February 2024 will prevail.

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR, SHAILY
ENGINEERING PLASTICS LIMITED.
MR. SANJAY SHAH – CHIEF STRATEGY OFFICER &
CHIEF FINANCIAL OFFICER , SHAILY ENGINEERING
PLASTICS LIMITED.

Moderator: Ladies and gentlemen, good day and welcome to Shaily Engineering Plastics Limited Q3 and FY24 Earnings Conference Call.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Sanghvi. Thank you and over to you, sir.

Amit Sanghvi: Thank you very much. Good evening and a very warm welcome to all the participants to the post results earnings call of Shaily Engineering Plastics.

I have with me Mr. Sanjay Shah – our Chief Strategy Officer, and CFO and SGA, our Investor Relations Advisors. I hope you've had a look at our investor presentation that is uploaded on our website and the stock exchange.

Let me start with giving you some highlights on the "Operational Performance":

Despite a challenging geopolitical situation across the globe, we have delivered a robust top line growth of 15% to Rs.158 crores on a consolidated basis in this quarter and have improved both our gross margins and EBITDA margins which stand at 43.9% and 20.8%, respectively. Our focus over the last several quarters has been to grow our pharma pipeline in fairly innovation in UK as a developing engine and India as the manufacturing hub.

Our IP lead platform portfolio now includes fixed-dose pen injector for Teriparatide , multi-dose pen injectors for insulin, pin-driven pen injector for GLP-1 like Semaglutide and liraglutide, disposable and reusable pen injectors, a two-step auto injector for Wegovy which is again Semaglutide And the three step auto injector currently in the final stages of development for Tirzepatide In addition to this, we also have a device known as Shaily Safe Lab, which is meant for delivery of lanreotide.

We have been very successful in creating a healthy pipeline for Teriparatide and GLP-1, where Shaily has a very unique advantage on its device versus its competitors. The objective now is to onboard as many customers as possible and secure some commitments on volumes for the future. We clearly see the revenue contributions from devices where we own the IP to significantly increase over the next 24 to 36 months and we will overtake contract manufacturing revenue over the same period. I'm happy to announce that in the healthcare division, we have signed four additional contracts for development and supply of pen injectors with large pharma companies.

We have ventured into carbon steel for the home furnishings major, and also added a dedicated facility to service this thing. During the quarter gone by, we have received additional business by the Home Furnishings major for two products in carbon steel. We have received business confirmations for additional volumes of our current products and this will improve utilization in the current as well as the next financial year. We have also received order for supply of caps by an FMCG customer in our personal care division. Our focus continues to develop new businesses and relationships where engineering, precision and quality are the need and not only the price.

That is all from my side. I shall now handle over the call to Sanjay, to give you the operating and financial highlights. Thank you very much.

Sanjay Shah: Thank you Amit. Good evening everyone. I should s

hare with you the highlights of our
operational and financial performance of Q3 and nine months FY24, following which we will be happy to respond to your queries. During the quarter we processed 5223 tonnes of polymers as against 4121 tonnes in Q3 FY23 for the nine months ended we processed 16,718 tonnes of polymers as against 16,026 tonnes in nine months FY23. Machine utilization rate was at 38% in Q3 FY24 and 40% in nine months FY24. Exports during nine months FY24 stood at 74.2% of total revenue.
I shall now brief on the standalone results highlights for Q3 FY24. Revenue stood at 144.7 crores during Q3 FY24 as compared to 134.2 crores during Q3 FY23 a growth of 8%. EBITDA stood at 22.2 crores during Q3 FY24 as compared to 18.2 crores during Q3 FY23. A growth of 22%. EBITDA margins stood at 15.4% for Q3 FY24 for an increase of 180 basis points over Q3 last year. PAT stood at 6.2 crores during Q3 FY24 as compared to 4.5 crores during Q3 FY23 a growth of 39% year-on-year. Cash PAT for Q3 FY24 stood at 15.3 crores as compared to 12.4 crores during Q3 FY23 a growth of 23%.
Now coming to 9M FY24 highlights. Revenue stood at 453.2 crores in nine-month FY24 as compared to 466.2 crores during nine-month FY23. EBITDA stood at 71.5 crores in 9M FY24 as compared to 65 crores during 9M FY23 a growth of 10%. EBITDA margins stood at 15.8 % an increase of 180 basis points over 9M last year. PAT stood at 24.7 crores in nine months FY24 as compared to 21.3 crores during 9M FY23. A growth of 16%, PAT margins stood at 5.5% an increase of 90 basis points over 9M last year. Cash PAT for 9M FY24 was reported at Rs.50 crores as compared to Rs.44.6 crores during FY23.
Our ROC and ROE stood at 12.9% and 8.2% respectively as on 31st December 2023. The growth in business has been achieved with disciplined use of capital. Our debt to equity stands at 0.5x and our long-term debt to equity stands at 0.19x. I shall now brief you on the consolidated results highlight. Revenue stood at 158.4 crores during Q3 FY24 as compared to 136.3 crores during Q3 FY 23, a growth of 16% year-on-year. EBITDA stood at 33 crores during Q3 FY24as compared to 19.7 crores during Q3 FY23, a growth of 67% year-on-year. EBITDA margins stood at 20.8% for Q3 FY24 an increase of 630 basis points over Q3 last year.

PAT stood at 14.5 crores during Q3 FY24 as compared to 5.7 crores during Q3 FY23 a growth of 156% year-on-year. PAT margins stood at 9.2%. Cash PAT for Q3 FY24 was reported at 23.9 crores as compared to 13.6 crores during Q3 FY23 a growth of 76% year-on-year.
Now coming to 9M FY24 consolidated highlights. Revenue remained flat at 473.3 crores in 9M FY24 as compared to 472.6 crores during 9M FY23. EBITDA stood at 87.2 crores in 9M FY24 as compared to Rs.69.9 crores during 9M FY23, a growth of 25%. EBITDA margins stood at 18.4% an increase of 360 basis points over nine months last year. PAT stood at 38 crores in nine months FY24 as compared to Rs.25.2 crores during nine months FY23 a growth of 50%. PAT margin stood at 8%. Cash PAT for 9M FY24 was reported 63.6 crores as compared to 48.7 crores during 9M FY23, a growth of 31% year-on-year. That is all from our side. Now we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: First question is, how should we understand the margin profile, is it the benefit of raw material, which actually gets passed on, on detail basis which gets reflected on gross margin or is it more of the mix more shifting towards pharma, if you could broadly give some color on the mix would be really useful, that's with the first question.
Sanjay Shah: So, Ritesh when you look at the margin profile it's a combination of higher revenue from pharma includin

g a platform access fees which we charge to customers, and that is what is contributing to the improvement in margin. If you remember, we have been saying on our investor call earlier that, some of our pharma income will be back ended and we expect pharma incomes to come in Q3, Q4 in terms of the development which we have been doing, that is being realized right now.
Ritesh Shah: Sir, how should one comprehend platform access fees, and will you be able to quantify that amount for the quarter?
Sanjay Shah: You would be able to see that if you look at the standalone results and the consolidated results, the difference would basically be the platform access fee which is accruing in the UK. So that's the platform access fee. The platform access fee is basically what we charge to a customer typically for accessing the platform, helping him file his dossier, doing all the validation, testing protocols and everything for the device.
Ritesh Shah: Would it be possible for you to guide for annualized run rate over here, given it has been bulky, that indicated and it probably played out in Q3 and probably also might come in Q4. How to project the number and how to understand this?
Sanjay Shah: Ritesh giving up projection for a number would be difficult, but this number would basically be, you won't see similar numbers every quarter, some quarters you will have higher numbers, some

quarters you will have lower numbers. But as we speak, we are signing on more contracts with

customers. So we will have, when you look at it more from a yearly basis you will have a constant number which we think should be constant for the next couple of years.

Ritesh Shah: Sure, that's helpful. My second question is for Amit, couple of quarters back you had indicated the broader opportunity being at around $50 billion. And you had given a pretty nice split, basically between Liraglutide and Semaglutide, is it possible for you to actually dissect the number of $50 billion you had indicated the larger opportunity is more on the Semaglutide. You also had indicated the pen market size. So any specific that we have for the sub segments over here and any particular updates on auto injectors as well.

Amit Sanghvi: So, for Semaglutide Shaily is effectively the only spring driven solution that matches that the device of the innovator, most generic, that don't want to get into human factors, with a potential risk of still not being able to have a qualified device have, will tend to opt for a Shaily device. And that's where we are seeing significant amount of traction. So the pipeline, the number of customers that we have already signed on and the number of customers we are in discussions with, effectively tells me that somewhere around 70% of the Semaglutide generic share will likely be with Shaily. Again, these supplies won't start until 26 or, for ROW markets and then 29 and 30 onwards for the rest of the world, for the US markets. So you have a fairly long gestation period but a very, very, very healthy business and a large opportunity. On the auto injector side. We are currently in the last stage of development of Tirzepatide auto injectors, which is a three-step auto injector. It's used for at the moment it's meant to be used with Tirzepatide which is Mounjaro or Zepam, which is the melli drug, but the generic equivalent of these drugs. So you must have, may or may not have but many have of course reported very, very healthy revenue numbers on Tirzepatide. And those will continue to grow in the future. So we are trying to secure as many generics, including very large generics, need European and American generics, to have a healthy, to create a healthy pipeline for Tirzepatide.

Ritesh Shah: And timelines on auto injectors?

Amit Sanghvi: You have NCE-1 filing deadline of May 2026 which means we will start supplies in the end of the curren

t year, per calendar year. And supplies will continue into Calendar Year '25 and '26. So, the official market launch probably cannot happen until mid-2030s. So, let's say 2034-35 is probably when the market launch for Tirzepatide will happen. But we will still supply smaller volumes on year-on-year till that time. So, it's not that you just do a clinical batch and you end supplies, we will continue to supply.

Ritesh Shah: And just last question, would it be fair to assume that we would be working with the top three companies when it comes to pens, I'm referring to Sanofi, Novo, Lilly?

Amit Sanghvi: No, we don't work with Novo and Lilly. Sanofi is the only company from the top three that we work with.

Ritesh Shah: Okay. So what I was referring to is, including the pipeline that we are working on. It is still Sanofi and then the generic part of the market?

Amit Sanghvi: Yes, so everything we do for Sanofi is contract manufacturing. And our pipeline, and where we see growth is on our own devices which are meant to be used at the moment for generics.

Moderator: Thank you sir. We have our next question from the line of Pritesh Rao from Lucky Investments. Please go ahead.

Pritesh Rao: Sir, I have few questions. First in the standalone, on the manufacturing side, what would be the pharma performance for the nine month?

Sanjay Shah: Pritesh, you know we don't give individual revenue. So it will be difficult for us to talk about it, but to share the growth, to give you a sense of it. Our pharma revenue between Q2 to Q3, Q3 revenues of pharma will be higher than Q2.

Pritesh Rao: So, for nine months what would be the growth you may not quantify the revenue number but growth in pharma is possible to share?

Sanjay Shah: Pritesh we would refrain from sharing that right now.

Pritesh Rao: No, problem. My second question is when is the new pharma facility supposed to get operational and once the whole CAPEX gets operational the total company CAPEX what is the maximum revenue potential on the CAPEX?

Sanjay Shah: The CAPEX has already been operational we have already operationalize the plant end of Q2.

Pritesh Rao: Okay. It was a part of CWIP is the H1 belt?

Sanjay Shah: On 1st of October, so for 2nd of October then we capitalize the whole thing. And it's been put to you so the valuation of machines and everything happened in Q3. So that's what has been

done. Revenue perspective, we basically look at somewhere between 2.25 to 2.5x off the fixed
capital investment as revenue on a full capacity basis.
Pritesh Rao: Okay. My other question is based on the supply schedules or the orders now that you have for
FY25 what kind of manufacturing growth we can look at, at least in nine months we have flat.
So what kind of manufacturing growth we can look at based on whatever supply schedules or
orders you have?
Sanjay Shah: You are talking about on an overall company level?
Pritesh Rao: Yes. Overall company level.
Sanjay Shah: So, at overall company level we would have growth next year, how would that growth come in
as we have talked about new business is getting commercialized whether on the home furnishing
front or on the references in terms of appliances, automotive, FMCG and healthcare. So these
are businesses which are getting commercialized as we speak. Amit also talked about supplies

for the pen injector which will happen during FY25 some of it will happen during FY25. So
there will be in each of these segments you will see growth happening. Looking at the scenario
where we are right now, we don't want to put in a percentage in terms of what sort of growth we
are looking at. But we should see decent amount of growth coming next year.
Pritesh Rao: Okay. And my last question is on the pharma platform monetization part. So there is a numbe

r
for nine months which is a revenue of 24 crore and EBITDA of 16. And you mentioned that,
you would continue in quarter over as well. So is it possible to share what kind of revenue and
EBITDA on the pharma monetization side you will have in FY24 at least?
Amit Sanghvi: Quarter 4 will be similar to Quarter 3 in terms of the shaily innovations UK, very similar, I don't
want to put an exact number, whether we are going to have a higher number or a lower number
but it will be very, very similar to that of Quarter 3.
Pritesh Rao: And it will sustain in FY25 as well as our total revenue and EBITDA for the full year?
Amit Sanghvi: Right now we see good pipeline for the next two years at a minimum. So two, three years I don't
foresee why it will not be sustained, it should be sustained at a certain level.
Sanjay Shah: And Pritesh, what we also do is we don't, the whole revenue is not recognized at one shot, it get
recognized over a nine to 12-to-15-month period. So even today, whatever we have recognized
in Quarter 3 you will see some of that balance revenue or under that contract being recognized
over a period of the next two, three, four quarters.
Moderator: Thank you sir. We have our next question from the line of Ravi Shah from Opal Securities.
Please go ahead.
Ravi Shah: Sir, I have two questions. So first would be, we have seen a strong improvement in our margins,
both on gross and EBITDA level, I missed the early part of the call, just wanted to know if, what
kind of steady state EBITDA margin should we be looking at going forward?
Sanjay Shah: Ravi we typically don’t give out a guidance on our margin profit, or written ratio. What we
would say is that if you were to look at more from a yearly basis and not go by quarterly basis,
we see EBITDA margins and ROC is improving as we speak, over the next two years.
Ravi Shah: Understood sir, sir this is going to be majorly because of the shift towards more higher realization
medical devices right?
Sanjay Shah: Yes, a combination of that plus utilization levels improving across our facilities also.
Ravi Shah: Understood sir. Sir one more metric I would like to ask would be on the export target so, our
current split is roughly 75:25. So are we planning to stick to the split or are we, what kind of
split are we going at going forward if you can help on that?

Sanjay Shah: If healthcare business buildup you will see domestic revenue going up because some of our
device things will be to domestic companies who in turn will be exporting it. But you will still
see our business titled towards export in a big way. You could have a 5%, 10% variation, but I
don't see any substantial change over the next couple of years.
Moderator: Thank you. We have our next question from the line of Aman Vij from Astute Investment
Management. Please go ahead.
Aman Vij: First Question, Questions are on the pharma basis. So, if you can give an update on I believe we
would have participated in pharma pack recently. So if you can talk about how was the response
to our devices and?
Amit Sanghvi: We did participate at pharma pack. And a really, really packed schedule over two days. I'll be
very honest; we did not get time to have lunch on either of those days. So, deception has been
very good. Again, it was suppose, this update was meant to be for the next quarter earnings call
given that pharma pack happened in January, end of January, but the response has been

phenomenal has been very good.
Aman Vij: Sure, sir. My next question is, in the presentation we have talked about we have signed up four new contracts. So, as of date, what is your total number of contracts we have in this division?
Amit Sanghvi: Aman we plan to answer this question on the next earnings call. We are going to consolidate information on the number of contracts on each of our devices and molecules.
Aman Vi

j: Okay, no worries. Next question was on the Middle East market. So in our previous calls, we have talked about our targeting that, if you can talk about a little bit in terms of size, how big is that market and what kind of market share we think we can get over next few years?
Amit Sanghvi: If you look at it from the current scenario, where we are doing an x number of pens a year, the Middle East can have a contribution of 30% to our current the number of pens we do a year, but going forward, what will happen is that the Middle East market can only consume a certain amount of volume. So as other markets, especially the US market opens up for us, you will see that 30% contribution while the number might remain the same will come down in terms of percentage to probably 10% or 12% or 15%.
Aman Vij: Sure. Next question is you have talked in the last call about some we have received some commercial supplies. So can you give any update on the same, have we started this supplies or any other commercial orders we expect in this year?
Amit Sanghvi: We are executing another commercial order, a second commercial order at the moment. We will provide an update in quarter four. So we have executed one commercial order. And we are executing the second one.

Aman Vij: Sure. Final question, just if we look at holistically on the pharma side. So we now have the CAPEX ready. So in your estimates, how long do you think it will take for us to fully utilize this new pharma facility?
Amit Sanghvi: Fully utilize, I would say FY26 is when we will see a high level of, very high level of utilization, because that's also when you have key market launches for Semaglutide, Liraglutide and the scale up of some of our insulin businesses.
Aman Vij: Sure. I was saying sir so by FY27, do we expect to fully utilize the plant?
Amit Sanghvi: Yes.
Sanjay Shah: Yes, if we look at two years out from here when we think we should be close to full utilization level.
Aman Vij: Sure, that helps. Next coming on the non-pharma part of the business. You had indicated there some kind of slowdown. When we have received a lot of orders last two, three quarters most of them are supposed to get executed next year only. So do you expect this slowdown to continue for next one, two quarters, or do you think now this is the base and every quarter basically, we can see some growth in the non-pharma part of the business as well?
Sanjay Shah: So, if you look at number over last four quarters, or last six quarters you would have seen that this business has been steady. It's not growing at a very fast stage, but it's been steady. And probably this is the base at which we have done, we should be able to see growth, but at the same time there are challenges in terms of macro challenges today where you have the Red Sea problem in terms of getting ships or getting pay for shipping containers and everything and freight cost going up, so these are some challenges which are there. My sense is, if I want to look at next year you will basically see growth on both the back of the business, whether it's healthcare and the non-healthcare. I mentioned it when one of the participants asked me, we are looking for a growth on coming in from appliances, auto motive, home furnishing, as well as FMCG on the non-healthcare front, and obviously on the healthcare front for FY25.
Moderator: Thank you. We have our next question from the line of Karan Mehra from Mehta Investments. Please go ahead.
Karan Mehra: Sir wanted to understand, like if you can throw some light on the toy business, I believe we are not actively pursuing the same. So just wanted to understand like, is it not margin lucrative or what would be the major reason for it?
Amit Sanghvi: We are not pursuing it. And it's not so much about margin lucrative, margins would be similar to the home furnishings business,

or any consumer business that we are into. There isn't a stickiness. We don't find that there is a stickiness from the customer side, to stick with a particular supplier, you get a percent discount, you go elsewhere. And that's not the kind of businesses we want. We don't find it to be sustainable for our growth.

Karan Mehra: Understood. And with regards to like, we have a plant in Halol exclusively for this carbon steel business. If you can throw some light on the utilization levels and how have you improved since the commencement of this business?
Sanjay Shah: I think Amit talked about in his speech that we have added two new products there. So that will get commercialized as we speak for the next two quarters. We are under development of that. We have been able to increase volumes on our existing products. So, if I were to compare FY22 and FY 24, revenue and utilization levels have been higher than FY23 on carbon steel for FY24. We expect that you will see better utilization levels and revenue in FY25 and FY26, as we speak.
Moderator: Thank you. We have our next question from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Last to last quarter you had indicated that we were looking for around 25% volume metric growth when it comes to the number of pens, and based on the notes that I have, we did around 10 million pens last year. So for this year, are we on track to achieve that number of 20%, 25%?
Amit Sanghvi: Yes.
Ritesh Shah: Okay. And how should we look at the same number, say for the next fiscal?
Amit Sanghvi: Next financial year, two things are going to happen. One is that we are going to have sales of a very high value product, the numbers might not go up, the revenue number will certainly go up by 25%. The volume might not go up by 25%, because the product is a very high value product. But you would look at, I would say even at a bare minimum to look at probably a 15% to 20% growth on quantities in the upcoming financial year.
Ritesh Shah: Okay. And for this fiscal when we say 25% is it more on the second half or is it more physically first half, I would presume it is more second half. Would it be like 70% in second half?
Amit Sanghvi: We had good growth on our contract manufacturing numbers in the first half. And we have very good growth on our own IP devices at the second half.
Ritesh Shah: Okay. But if I had to look at it from a revenue standpoint, any broad indication basically?
Amit Sanghvi: Second half has will be good for us as in Q3 has been good. Q4 will be better.
Ritesh Shah: Okay, but fair to assume like we would have clocked 25% growth for FY24 or more than this?
Amit Sanghvi: On a quarter-to-quarter basis or on a Y-o-Y?
Sanjay Shah: Year-on-year basis it will be higher than that.
Amit Sanghvi: It'll be higher on year-on-year basis.

Ritesh Shah: Right. Closer to like 40%, 50%, or basically like 25% to 30%?
Sanjay Shah: Ritesh, you are getting into too much of numbers there.
Ritesh Shah: Fair enough, just trying to get the hang of the business. And any update on the home furnishing side and specifically on the carbon steel, any new orders, uptake in revenues?
Sanjay Shah: Amit, mentioned in the speech that we have orders for two new products for the carbon steel part of it. In quarter one and quarter two, we have talked about additional business which we have taken on the plastic side from this customer. So we have been able to get a decent new business confirmation from them. If I would look at quarter one, quarter two, Quarter 3.
Ritesh Shah: Sure. And lastly, on the management, hiring we were looking for hiring a CEO. Is it still something that we are working on or is it something on the backburner?
Amit Sanghvi: No, we put a temporary hold on it, it takes up a lot o

f my personal bandwidth. And after having to sort of unsuccessful events, we put it on hold for now. What we are doing instead is we are hiring senior leadership across the board below the CEO level.
Ritesh Shah: So is it like we have divisional heads, a guy looked at home furnishing, a guy looks at carbon steel, is that the way the management tiering has been done?
Amit Sanghvi: That's kind of where we are heading. We don't have it across the board today. But we have someone that leads the business as a as a home furnishings business, we have put in place someone that is going to lead pharma as a business unit. But the individual will need a couple of years of grooming. So, these things have been put in place. And I'm also personally spending time on developing a new business which, unfortunately we cannot say anything about. Not a new, I won't say a customer, but it's a segment of a business that we are trying to develop, again requires very high engineering and precision capabilities.
Ritesh Shah: Sure, that's helpful. And just last question Amit, we are quite hopeful on the pharma part of the business actually going out all that for the next two, three years. What are the key risks or variables that you actually worry upon?
Amit Sanghvi: The biggest worry is that the customers you work for don't take it to market or don't end up being successful in the market. That's really the big worry, the risk that is always going to remain is the risk of having any potential, quality management system issues. But we have developed that over the last several years and we are very focused on it. We don't take shortcuts and don't intend to in the future. So, whichever way we move forward whether customers successful or not, at least the facility will always be in compliance.

Ritesh Shah: Perfect that useful. And just one question for Sanjay, sir how much is the investment which has gone on the pharma side when we talk about incremental development be it injectors or pens,

how do you basically look at the IRR for that incremental CAPEX and if you could help the numbers say for last nine months or say last two years, that would be quite useful.
Sanjay Shah: So, Ritesh over last one and a half years or 21 months we would have invested about.
Ritesh Shah: I just wanted to get the pharma asset depreciation, is it a part of the Quarter 3 number?
Sanjay Shah: Yes. It's part of the Quarter 3 number.
Moderator: Thank you. We have a next question from the line of Ganesh, from GK Advisors. Please go ahead.
Ganesh: Okay. So, I have been invested in our company since 2018, nearly four years now. So we have been facing intermittent issues every other year or so. Solved almost everything, so we anticipate anything going wrong in our new businesses, in the next year or so, of course shipping industry is a problem statement now, anything other than that?
Amit Sanghvi: I didn't understand the question, I apologize. Can you repeat again?
Ganesh: Yes, I'll repeat it. So, I've been invested in Shaily since 2018, nearly six years now. So, every other year we have been taking some problems, and we have resolved that. So in this year, apart from the problems facing the shipping, do you anticipate anything going wrong, I know from a pharma standpoint for the three years, but anything else from an operational side from the manufacturing side do you anticipate anything going wrong, or you feel you are confident that everything is fine?
Amit Sanghvi: Operationally, we are quite strong at the moment. And we have built that strength over several years, probably since you would have invested. Since 2018, that capability has been spruced up quite a bit. From a business perspective, look we are B2B business. So our future relies solely on what our customer is able to sell. And that risk is not likely to go away. So, you see the current s

cenario last two years in fact, that our largest customer hasn't grown their own business, or had a de-growth, which we haven't had any significant growth. So this risk will remain, and I'm not sure there is much that we can do about it. Apart from trying to grow other businesses, which we are trying and putting our efforts into. But operationally we are quite strong. We have the right resources at every level, I know that we were to hire a CEO, but do we honest with or without operationally we are still strong.
Ganesh: Got it. So, over the next three years or so, how do you see pharma growing with respect to the whole company, either qualitative or quantitative?
Amit Sanghvi: We receive pharma being about 25% of revenue over the next three years. And over the next maybe six or seven years, we are putting in our efforts. So that pharma essentially becomes at least somewhere between 35% and 50% of our overall business.

Ganesh: Got it. So the current pharma capacity that we have, I know there is a big, big differential between value added business, our own IPs and all that. But can you put like a bookended numbers, what is the kind of an average revenue potential for our current capacity, the reason I'm asking is, will we need more capacity let's say two, three years down the line?
Amit Sanghvi: Difficult to answer Ganesh. Like Sanjay said, 2.25 to 2.5 as we look at an overall basis. Pharma is CAPEX heavy, it's not light but as we increase the revenue from our own devices. Eventually you will get to that number of 2.5.
Ganesh: Got it. So, the toy business capacity, I know in spite of our efforts it has been a sore point for us. Is that capacity fungible with respect to other businesses that we have, and how fungible it is?
Sanjay Shah: It is fungible. We are already working with some of the customers to use their facility.
Ganesh: Got it. And any major capacity that we foresee in the next year or so, next 12, 15 months?
Amit Sanghvi: Depends if we come across an opportunity that is unique, to answer maybe a different question where our efforts on utilizing existing capacity which means going after business is where the existing capacities can be utilized with the existing customers, if we onboard a new customer or a new business segments, then we will do that evaluation at that point.
Moderator: Thank you. We have our next question from line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Sanjay, I was waiting for the answer on the quantum of investments which you have done on the pharma side over last 18 to 24 months and how do you see the payback over here?
Sanjay Shah: So, Ritesh what we have invested over the last 18 to 21 months was basically 125 crore in the pharma part of the business. You will see revenues going up and being paid for in the next couple of years, when you see the ramp up of revenue happening. You want to put a number here in terms of an IRR or something, because that's difficult for me, but you should be able to calculate

that.
Ritesh Shah: Let's put it the other way around. If you are deploying capital for a particular SKU or a particular pen, what is the probability for us to actually get it right, is it like upwards of 50% when we do that, I am just trying to understand the incremental optionality?
Sanjay Shah: A lot of these cases, when we put up a CAPEX, we could have already signed the customer on board. So, it would basically be coterminous with signing the agreement with the customer in majority of the cases. So while we would have developed the IP or acquired the IP, a lot of development would be done once we have a contract with at least one customer in majority of the cases.
Ritesh Shah: So technically, when we do that, will there be some volume guarantee something of that sort which takes care of the upfront investment that we are doing for that particu

lar customer?

Sanjay Shah: Ritesh again, different customers will have different types of contracts with some we might have a volume guarantee, a lot of customers we will not have a volume guarantee. But the cost customer also pays us a platform access fee, which basically covers for part of the development cost, which we do.
Moderator: Thank you. We have our next question from the line of Devesh Kayal from Monarch KIF. Please go ahead.
Devesh Kayal: Sir, what will be the working capital in our pharma payments, working capital cycle?
Sanjay Shah: Working capital cycle on an average for the whole company is about 90 days. Some businesses might be at lower, some businesses might be at higher probably you probably look at plus or minus 15 days most of our businesses.
Devesh Kayal: Okay. And sir in March for the carbon steel business, the margins we have been like in losses in earlier years. So what will be the margin, we try to assume at single digit now, the carbon steel business for nine months?
Sanjay Shah: Sir, we are improving on the top line and similarly we making improvements on the bottom line between FY23 and FY24 and we hope to continue that.
Moderator: Thank you. We have our next question from the line of Prachi Shah from ABC Ventures. Please go ahead.
Prachi Shah: So, I have two questions. First is, can you please provide an overall growth guidance for FY25 and 26 and which are the most two segments which we intend to focus on?
Sanjay Shah: Prachi we do not give growth guidance. So, it will not be right for us to talk about it. Segments where we expect growth to come in we have talked about one is health care. And we want to talk about appliances, automotive, furnishings and FMCG is the segments where we will see growth coming for the next two years.
Prachi Shah: Okay. So, my second question is, how much CAPEX has been done so far in FY24, and for which segment and what are CAPEX plans for future?
Sanjay Shah: CAPEX which we have done in FY24 is mainly on the pharma front and the total CAPEX which we would have done in the current year will be about 100 crores or we will end up the year with close to 100 crores of CAPEX which we will do in the current year. Amit also mentioned that what we are looking at is, improving our utilization levels for our existing facilities. So, our focus is going to be on that. Not be looking at making any large investments in FY25 and FY26, unless there is some specific business where we will need to make that but, that's something which we are not aware of as of now.

Moderator: Thank you. We have our next question from line of Manish Gupta from Solidarity. Please go ahead.
Manish Gupta: My question is that the CAPEX that we did for toys, can that be used in the healthcare business or can that be used only in the furniture business that we have?
Amit Sanghvi: Manish, it cannot be used in the healthcare business. It can be used in any of our other businesses, including FMCG, home furnishings, automotive, appliances, but it cannot be used in healthcare.
Manish Gupta: Okay. And by when do you think that, that capacity that you had put up for toys can be deployed in the in these segments that you talked about?
Sanjay Shah: Manish, part of that capacity we recently just started utilizing it for some of our new business on appliances and everything. We are working on other businesses, as we speak, we should have better clarity in the next couple of quarters as we speak where we would be able to give much better clarity.
Manish Gupta: Okay, and my third question, and the last question I had was that the big opportunity that Amit mentioned was Semaglutide. And some patents of that are expiring in 26. And some patents are

expiring in 29. And I think you have also mentioned that a v

ery large portion of the generic guys
going after this opportunity are using your delivery system. So just wanted to get a sense that if
let's say you are doing a 100 units of trial batches today, for the generic guys who are filing for
Semaglutide trial batches, as we get to say 2030 assuming you have just 25% of the overall
market for Semaglutide then, what is this number can ramp up to in just a abroad estimate if you
have that?
Amit Sanghvi: The current Semaglutide market is somewhere around 150 to 200 million pens a year, with the
generics entry and even without it from between now and 2030 every analyst, including pharma
companies themselves are projecting growth on that business. So if you look at somewhere
between 2 billion to 5 billion doses a year, you are looking at an opportunity size of half a billion
pens a year. And if, we are fortunate enough to get 25% of that it's a very substantial number.
But, I don't know Manish, it will get 25% of that. So please, that was just the market size
projections.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to
management for closing comments.
Amit Sanghvi: Thank you everyone for joining the call. We hope that we have been able to answer your
questions adequately. For any further information, I request you to get in touch with SGA our
investor relations advisors. Thank you and have a great day.
Moderator: On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for
joining us and you may now disconnect your lines.

Call: Jun 2024

SEPL/SE/June/23-24
3rd June 2024

The General Manager,
Corporate Relations/Listing
Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India
Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q4FY24 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated 27th May 2024, wherein the Company updated the audio link of Earnings call held on 27th May 2024 to discuss the operational & financial performance of the Company for the quarter & year ended on 31st March 2024.

In context therein, kindly find attached herewith transcript of the referred Earnings call. A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call .

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary & Compliance Officer
M. No. A 31582
Page 1 of 16

"Shaily Engineering Plastics Limited
Q4 FY'24 Earnings Conference Call"
May 27, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 27th May 2024 will prevail.

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY ENGINEERING PLASTICS LIMITED
M R. SANJAY SHAH – CHIEF STRATEGY OFFICER –

SHAILY ENGINEERING PLASTICS LIMITED
M R. PARESH JAIN – CHIEF FINANCIAL OFFICER –
SHAILY ENGINEERING PLASTICS LIMITED
SGA, INVESTOR RELATIONS ADVISORS – SHAILY
ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Shaily Engineering Plastics Limited Q4 and FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Sanghvi, Managing Director of Shaily Engineering Plastics Limited. Thank you, and over to you, sir.

Amit Sanghvi: Thank you very much. Good evening and a very warm welcome to all the participants to the post results investor call of Shaily Engineering Plastics. I have with me Mr. Sanjay Shah, Chief Strategy Officer, and SGA, our Investor Relations Advisors.

I hope you've had a look at our investor presentation that is uploaded on our website and the stock exchange. I'm glad to welcome Mr. Paresh Jain as our new Chief Financial Officer. He is a qualified Charted Accountant from ICAI, having 19 years of rich and extensive experience. Prior to joining us, he has held significant positions in reputed organizations such as Banco Aluminium, Safari Industry, Indian Oil Tanking Group, Atul Limited and GTPL. Let me give you some highlights on the operational performance.

Despite a challenging global situation, we have delivered a top line growth of 27% to INR171 crores in Q4 FY '24 and have improved our gross margins and EBITDA margins to stand at 46.8% and 21.3%, respectively. Presently, we are extending our reach to global market through Shaily UK. We're now building capabilities beyond Injection Pens and auto injectors to develop advanced drug delivery solutions with electronics.

Looking ahead, our focus is on expanding our horizon to include contract manufacturing for medical devices, products featuring our intellectual property and specialty devices. Dedicated effort invested in advancing in our injection system platforms are beginning to show favourable outcome. Within the industry, our business scope is vast, and we remain committed to ongoing growth.

Our second largest revenue-generating sector today is Healthcare, and we've adopted a scalable approach that will enable us to increase our revenues at a faster pace over the next 5 years. We plan to increase our own IP contribution going forward. In the Healthcare division, we have received confirmed business orders from three customers, two for Semaglutide and one for Lanreotide in the last quarter.

An update on Carbon Steel business for the Home Furnishing Major. We've added one new product in the Carbon Steel business from the Home Furnishings Major. We've also added one

new product on the plastic side for the Home Furnishing Major. In the Industrial segment, we received confirmed export orders for supply of knobs to a US appliance major.

That is all from my side. I shall now hand over the call to Sanjay to give you the operating and the financial highlights. Thank you very much.

Sanjay Shah: Thank you, Amit. Good evening, everyone. I shall share with you the highlights of our operational and financial performance of Q4 FY '24 and FY '24, following which we will be happy to respond to your queries.

During the quarter, we processed 5,380 tons of polymers as against 4,590 tons in Q4 FY '23. For the year ended, we processed 22,098 tons of polymers against 20,650 tons in FY

'23. Machine
utilization was around 40% in Q4 FY '24 and 40% for FY '24. We expect this to increase in the coming years. Exports during Q4 FY '24 and FY '24 stood at 73% and 74%, respectively, of total revenue. I shall now brief you on the consolidated result highlights.

Revenue stood at INR170.6 crores during Q4 FY '24 as compared to INR134.5 crores during Q4 FY '23, a growth of 27% year-on-year. EBITDA stood at INR36.3 crores during Q4 FY '24 as compared to INR26.5 crores during Q4 FY '23, a growth of 37% year-on-year. EBITDA margin stood at 21.3% for Q4 FY '24, an increase 160 basis points over Q4 last year. PAT stood at INR19.3 crores during Q4 FY '24 as compared to INR9.9 crores during Q4 FY '23, a growth of 95% year-on-year.

PAT margin stood at 11.3%, an increase of 390 basis points over Q4 last year. Cash PAT for Q4 FY '24 was reported at INR29.3 crores as compared to INR19.8 crores during Q4 FY '23, a growth of 48% year-on-year. Now coming to FY '24 consolidated highlights. Revenue stood at INR643.9 crores in FY '24 as compared to INR607.1 crores during FY '23, a growth 6%. EBITDA stood at INR123.4 crores in FY '24 as compared to INR96.4 crores during FY '23, a growth of 28%.

EBITDA margins stood at 19.2%, 350 basis points over last year. PAT stood at INR57.3 crores in FY '24 is compared to INR35.1 crores during FY '23, a growth of 63%. PAT margin stood at 8.9%, an increase of 310 basis points over last year. Cash PAT for FY '24 was reported at INR93 crores as compared to INR68.5 crores during FY '23, a growth of 36% year-on-year. Our ROCE and ROE stood at 17.7% and 13.3% respectively, as of 31 March 2024. Again, the growth in business has been achieved with disciplined use of capital.

Our debt-to-equity stands at 0.5x and our long-term debt to equity stands at 0.15x. Now coming to consolidated segmental revenue breakup. In the Consumer segment, revenue stood at INR 481.2 crores in FY '24 as compared to INR 503.3 crores during FY '23. The drop or a degrowth of 4% was mainly on two comps. One is pass-through for raw materials and lower toy sales as compared to what we did in FY '23.

In Pharma segment, revenue stood at INR107.7 crores in FY '24 as compared to INR57.6 crores during FY '23, a growth of 87%. In the Industrial segment, revenues stood at INR55 crores as

compared to INR46.15 crores during FY '23, a growth of 19%. The Board of Directors has recommended a final dividend of INR 1 per equity share of face value of INR 2 each of the company. This represents 50% dividend on the face value of INR2.

This is all from our side. We can now open floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Sir the first question that I had is that on the Healthcare segment, we have done a fantastic job in terms of developing platforms and then kind of doing all the IP work. The larger question that I have is that if we look at our peer set or any other company, essentially, they're all by DNA, they are MedTech companies. And so from where we are today, to reach to that level, what kind of capabilities, manufacturing framework, regulatory and what are we doing to ensure that we move towards there and then compete with them and then are able to get higher market share, your prospective will be very useful?

Amit Sanghvi: One of the things I think it's a part of the journey, they're established players for a very long time for several decades. And one of the things that we are waiting for is eventually our first US and EU approvals on one of our injection pen platforms. We're very confident that these approvals will come in, in the current financial year before the end of this calendar year. And that will establish as a player as a reputed player in the industry.

So going for

ward, with the pipeline that we currently have, we're already looking at a very significant revenue scale up over the next 5 years, as I said in the speech earlier. But the opportunity to work with innovator companies apart from Sanofi will come once our brand and products gets established in the regulated markets. So it's a journey, and we're just now waiting for the outcomes.

Dhwanil Desai: Got it, Amit. Just if you can expand a bit on the capability side of it other than the polymer processing, what kind of capabilities in next 3 to 5 years, we need to develop to kind of compete head on with some of those types?

Amit Sanghvi: I think when it comes to, let's say, R&D and design capabilities, I would say that our injector platform portfolio is as good or better than any of our competitors globally today. When it comes to manufacturing, our infrastructure work plan. We've invested in tool manufacturing in the last year. It was mentioned in one of our calls before. So we now manufacture a lot of the Molds that we use in these products in-house.

So, capability build-up has been very strong at Shaily. - we certainly need to add more heads as we will resource capital as we scale up. But apart from that, on the capability side, I think we're on par as good as anyone else, any one of our competitors where we need to be.

Dhwanil Desai: Got it. My second question is on the base business, which is non-pharma part of it. So given the order wins that we have got in the last year FY '24 entirely, if I just look at the number and from

the timelines starting -- many of them starting from Q2 and then gradually scaling up. But still it looks like that the base business will grow at 12% to 15%. Is that right assumption? Is it how you guys are looking at it?
Sanjay Shah: So Dhwanil, so two things that you need to consider. One is when I mentioned it is a part of my speech also that, we have seen a raw material reduction being passed on to customers, which basically impacts the top line, which is what has happened. Businesses, which we have talked about last year, part of those businesses have got commercialized in Q3 and Q4. And as we speak, we will be looking at ramping up these businesses -- some of the businesses which would have commercialized in Q4 have got delayed in Q1. So, you will then see a ramp in Q2, Q3. That's the way we would look at it.
Dhwanil Desai: Got it. And last question on the carbon steel business. So, I think we were expecting year-on-year improvement and probably breaking even at EBITDA level this quarter this year. So, are we on track for that?
Sanjay Shah: We have seen a substantial year-on-year improvement. EBITDA level, I would say we have not broken even, but we are at a very borderline thing, and we should be able to breakeven in the current year.
Dhwanil Desai: Okay. Got it. Thanks for more questions. I'll come back in the queue.
Sanjay Shah: So just to add, if you were to look at a number of four new projects taken with the customer during the financial year.
Moderator: Thank you, the next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: In the quarter 3 presentation, we had already mentioned that we have gotten four contracts for development and supply of pen injectors. And in Q4, we have again added that we have got confirmed orders from three customers. So are this -- is it three plus four? Or is it -- these three are only as of now confirmation. They are not contract. S
Sanjay Shah: No, three plus four, four plus three, sorry.
Aman Vij: Okay. So that slide which shows that we have added only four, that should be seven, right, then we have mentioned in one of the slides for this full year, we have added four...
Sanjay Shah: Specifically, for quarter one to quarter three in terms of what's been done between quarter one to quarter three.

And there is a specific set for quarter four.
Aman Vij: Okay. There was this confusion. Okay. Next, basically, in terms of number of contract additions, if you can talk about how is the pipeline looking like for FY'25 and FY'26, what kind of contracts numbers do you think we can add this year and next year?

Amit Sanghvi: So we're getting a lot of traction on pen injectors for Semaglutide particularly. But being in the current financial year, we're also looking at adding a fair bit of new contracts for Tirzepatide. Tirzepatide is NCE minus 1 filing deadline in May 26. And our platform is now fully developed. So - we're looking at starting supplies in November of this year for clinical batches to various customers, therefore adding new contracts as well.
Aman Vij: Sure. As of today, what is the total number of projects we have, including the seven, which we added last year?
Amit Sanghvi: Ongoing projects on all molecules put together, somewhere around 12 to 15 ongoing projects.
Sanjay Shah: Now that will be higher.
Amit Sanghvi: Yes, but we're talking about what this financial year we added.
Sanjay Shah: Yes, yes. I think the question Aman had been total ongoing projects, I think, which will need to include Lira and Teri. All of it put together.
Amit Sanghvi: So total ongoing projects Aman then would be closer to 20.
Sanjay Shah: Yes, I'd say about 20 to 23.
Aman Vij: Sure. And how many of these projects will be auto injector projects out of this 20, 23.
Amit Sanghvi: So auto injectors, we have a total of four projects and balance are on pen injectors.

Aman Vij: I was asking that last quarter, you had talked about a couple of commercial supplies that we were supposed to start. I think you have done two commercial supplies till late -- so any ideas about what kind of commercial supplies will begin FY'25?

Amit Sanghvi: So, we started commercial supplies for Teriparatide, which is our Axiom pen. And we're starting -- we are looking at starting some commercial supplies of our Liraglutide pen as well in the current year.
Aman Vij: Okay. So only one project commercial supplies you are expecting for this year or more.
Amit Sanghvi: Only talking about regulated markets, in non-regulated markets, we do supply for insulin. Same -- our Protean platform is used for supply of 60 units insulin pens. So that commercial supplies have already started, and we are supplying in non-regulated markets. We're looking at a decent scale of this year for Protean as well.

Aman Vij: Sure, sure. Next question is Shaily UK saw good growth this year in FY'24. So what kind of growth are we expecting in, say, FY'25? And will it be back ended like H2, or it will be spread across.
Amit Sanghvi: On new projects, it will get back ended because it's regardless of whether a platform is fully developed or not, when you start -- when you engage with the customer, you have a six- to 10-month timeline before the full project execution happens for that customer. So those projects get -- revenue reflection will be back-ended. Everything that's ongoing, let's say, from quarter three, quarter four will get realized in the first two quarters of this year.
So you will see a higher UK revenue in quarter three, quarter four, for sure. But I think quarter one and two are not going to be low. We're going to see decent revenue generation in the UK as well.
Sanjay Shah: Aman, just to add what Amit said, ideally when you look at Shaily or Shaily UK, look at it on a more on a consolidated basis. Don't look at a quarter-on-quarter basis but more both from a year-to-year basis.
Aman Vij: Sure. My next question is, Amit, last quarter you talked about a new device, Shaily SafeLan for Lanreotide. And I think we've gotten one contract also for the same. So could you talk about the same, how

many customers do we have for the same? And is this product already commercialized or we will commercialize it in, say, this year?
Amit Sanghvi: No. We have now two customers on Lanreotide and active discussions for adding another two. But we will supply clinical batches in the current -- in the first half of the current year for Lanreotide.
Aman Vij: Okay. But -- okay. So no commercialization as of now for these projects...
Amit Sanghvi: when we supply clinical batches, the product is at Shaily's end fully commercialized, but it won't -- they won't get on to the market until approvals are received by the pharma customers.
Aman Vij: Sure, sure. And just last two questions on healthcare before I come back in the queue. So you had talked about a very good growth last year, and we have already delivered a very good growth on this high base, what kind of growth do you expect for this? And also, if you can talk about our own IP pens. So when do we see these IP pens in the market?
Do you think this will happen this year because one is commercialization from our side, but then there is commercialization from the customer side also. So, when do we see our own IP pens in the market so that we get the feedback from end customers and all those things, these two questions I have.
Amit Sanghvi: From whatever information we have today -- we are fairly confident you would see our products on the market in the current year. And at least Teriparatide for the Axiom pen and towards the end of the year, hopefully, Liraglutide as well.

Aman Vij: And in terms of growth for the healthcare segment.
Amit Sanghvi: No, we've said in the past calls as well, Aman, we're looking at we're looking at, at the moment, 50% to 60% growth on the pharma side in the current year as well.
Aman Vij: Even on this high base, you are talking about?
Amit Sanghvi: Yes.
Aman Vij:
Moderator: Thank you. The next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.
Nirali Gopani: Hi. Thank you for the opportunity. And congratulations on a good set of results. My first question is on the margin side. So this quarter, we saw a very good improvement in the gross margins on a sequential basis. So if you can just explain what was the reason for that?
Sanjay Shah: Nirali, when you look at gross margin, it's a combination of higher revenues on the pharma side

from Shaily India and what we have done in Shaily UK. So that's the reason for the higher gross margin.

Nirali Gopani: Okay. Because I see sequentially, Shaily UK saw some decline, and the revenue growth was also about 8%, but the gross margin improvement was quite good from 44% to ~ 47%. So that's the reason for the question.

Sanjay Shah: Yes. So that was the reason I said it's a combination of Shaily UK and Shaily India, both put together.

Nirali Gopani: Okay. Fair enough. And we saw some -- the other expense also increased quite significantly in the quarter. So any particular reason for that?

Sanjay Shah: No there are not any one-off expenses at that on our expenses. A lot of it will be within normal expenses.

Nirali Gopani: So we expect this kind of run rate as a percentage of sales to continue in the next year also?

Sanjay Shah: Yes, I would say you should look at a base for the year and when you do your numbers

Nirali Gopani: Okay. Fair enough. And consistently for two quarters, you have been reporting a healthy EBITDA margin of 20%, 21%. So I'm not asking for any guidance, but do we expect this number to improve over the coming two, three years on the basis of increase in the healthcare revenue and the IP-led pens?

Sanjay Shah: Nirali, what we have been saying is one thing you should look at Shaily margins or Shaily's revenues on a quarter-on-quarter basis. We would still stick by in terms of what w

e have said,
yes, we expect margins to go up and in the next two to three years, you will see margins year-on-year improving, broadly on two accounts, one of higher revenue coming in from pharma, and we're basically putting in more value-add products. So that's something which we have.

Nirali Gopani: Right. perfect. And any capex guidance for FY'25?

Sanjay Shah: We are not looking at any substantial capex as of now as we speak. There will be some small capexes which we will be doing. But our focus is going to be on improving utilization level and seen how we can basically increase our capacities, which have been created being utilized.

Nirali Gopani: Perfect. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Rahil Dasani from MAPL. Please go ahead.

Rahil Dasani: Yes. So, first of all, thank you for the opportunity. Just the pharma devices. Globally, there are several manufacturers even a few with the spring technology. So what is the possibility of any of our exhibit/clinical batches clients for Sema and Liraglutide. Using our devices at first but then shifting then going for the commercial plan.

Amit Sanghvi: I mean, look, there's never a certainty right Rahil, but if a customer has done a full program with us, and you will have to remain competitive when it comes to cost as well. And I don't see a reason why anyone should shift. One of the reasons why we are seeing good traction on a molecule like Semaglutide is because we're the only ones with the spring-based pen injector, which -- where the user steps are the same and the experience is the same as that of RLDSo, at the moment, we don't have any competition globally when it comes to a string driven an injector. So, we feel confident that the customers should not switch over to someone else after launch.

Rahil Dasani: Okay. So maybe asking a more direct question, since Liraglutide more to us to commercialization, have we seen any of our customers shift from our pens post the clinical trials?

Amit Sanghvi: No, not at the moment. We have not -- so there's two Liraglutide therein. One is Victoza and Saxenda. For Victoza, we used a different pen-injector which is the Protean platform. And for Saxenda, we use our Neo platform. On either cases, we do not have a customer that has switched over platforms.

Rahil Dasani: Got it. And if I heard it right, we are to launch Liraglutide commercially from November?

Amit Sanghvi: we are hopeful that we'll get approval in the current year for Liraglutide launch. I don't know whether it will be November, or it would be March, but we're hopeful that approvals would come in, in the current year.

Rahil Dasani: Okay, sir, that's helpful. How many customers were we able to get hold off in comparison to the total filings for the molecules as of date, of course in the RoW market?

Amit Sanghvi: The RoW market filings aren't always known. But I'd say in the RoW markets, in the regulated markets, - we have a fairly significant share on Semaglutide. And on RoW markets, if we look at, for example, let's say, some of the larger players in the Indian pharma landscape and I think we have a fairly good share of that as well.

Rahil Dasani: No, sir. I was asking for Liraglutide.

Amit Sanghvi: For Liraglutide, I mean, Lira was -- as many people file Lira before we started to sort of the whole business of getting into injection pen platforms. So, on Liraglutide, particularly Victoza, we will certainly not have the highest market share. There will be many other players who have filed with other devices.

Rahil Dasani: Okay. That's helpful. So for Liraglutide only, out of these customers we are in talks with, how many have started generating IP revenue?

Amit Sanghvi: None. There's no commercial launch for Liraglutide yet. None of our customers have received approval.

Rahil Dasani: Got it. And one cust

omer was awaiting approval in August '23 for whom we had already filled their supply chain with inventory. And this was for Liraglutide if I'm not wrong. So when do we expect increased scale from them?

Amit Sanghvi: No, it was for Teriparatide, not Liraglutide.

Amit Sanghvi: And we are hoping for approval again in the first half of this year. So let's see.

Rahil Dasani: Got it. And according to the last con-call on the four additional contracts for the pen injectors to large pharma, this is not related to GLP-1s, right?

Amit Sanghvi: No, it is GLP-1s.

Rahil Dasani: It is GLP-1s. Okay. Got it.

Moderator: The next question is from the line of Anant Jain, who is an Individual Investor.

Anant Jain: Congratulations on the good numbers. First question that I have is that do we have active projects on Liraglutide for both Victoza and Saxenda?

Amit Sanghvi: Yes.

Anant Jain: And if you could just give some idea, like you said we have currently around 23 active projects. And if you could just give a split between Lira, Sema, Teri and Tirzep?

Amit Sanghvi: We've done -- executed and non-executed about seven programs on Teri. Lira, both Victoza and Saxenda put together, five to six programs on Lira, the balance would mostly all be Semaglutide. And we currently have two ongoing programs for Tirzep.

Anant Jain: Okay. So where do you see this 23 number next year? You must be having the pipeline. So where do you see this, like do you see it hitting -- this year, we did seven. So, you see the next year's number being higher than this, anything that you can give on this?

Amit Sanghvi: Difficult to give an indication like that, Anant. But what we're focusing on right now is making sure that our Tirzep program for the NCE-1 filing remains very strong. So, I think for NCE-1 filing, we're not looking at maybe taking on more than a total of four to five because we need to make deliveries as the last date of deliveries for the EB batches cannot be beyond potentially, let's say, September '25, 6 to 8 months or 10 months to do their stability and file. So, in that time period, we were able to take on a total of only 4 or 5 accounts. Maybe pushing it a little bit in the last 6 to 8 months before the filing deadline, maybe take on another one. But we're looking at 4 to 5 right now, and that's the focus.

In addition to that, we see good traction for reusable pens and coming up both in Europe and RoW markets. So, we are working on development of our premium reusable pen at the moment. But from molecules and customers, it's too soon to tell what molecules that we'll take on and what customers. But we're basically looking at RoW markets with just as much effort as we do regulated markets.

Anant Jain: One question that I have is that have we received -- I mean, of course, it's a nitrated process and have we received adverse comments from USFDA or have our partners received adverse comments from USFDA with respect to our spend? Any idea on what kind of comments were there and how well they resolved? If you could throw some light on that.

Amit Sanghvi: Our partners do receive comments from the USFDA. And where the comments are related to device, we support the customer in answering those queries, whether it be as a technical support on answering an engineering question or by additional testing or providing additional information. Have we have received any significantly adverse comments? No. We have not yet received any significantly adverse comments that I'm aware of.

Anant Jain: Can you tell us -- are there any active projects on the Harmony platform.

Amit Sanghvi: The Harmony platform is no longer on offer. We don't offer it, but we have done a few products on it. So as far as those projects are concerned, we are committed to commercializing the Harmony platform for those customers.

Anant Jain: Okay, awesome. One last question. In y

our opening comments, you mentioned that we are
looking at advanced drug delivery with electronics. Can you just spend a few minutes on making
us understand what does it mean?

Amit Sanghvi: So, we're looking at -- we're looking at basically and we've developed tech for an on-body
injector. Now we're looking at taking back to the next stage of development. It's a long process.
It's not something that will happen in one year. But this development is something that will
happen over the next two to three years, where we're looking at really advancing the on-body
injectors and it could be multiple molecules, pain management mainly and oncology. But there's
-- we're looking at not just servicing sort of the generic industry. So we're looking at developing
some technologies that would be more attractive for novel molecules for innovative companies.
Anant Jain: Okay. One last question, sir. This is -- like I was going through one of our competitors Ypsomed
and the demand is absolutely crazy for what they're doing there because they have tie-ups with
innovators. My question is, do you see that -- because of this demand they are, of course, getting
out of the older devices, the older pens. So, do you see that -- and because of this, do you see the
demand for insulin pens and also the margins were going up because a lot of these companies
are now tied up with the innovators and especially like falling short on capacities for Sema?
Amit Sanghvi: Ypsomed is a great company. I cannot comment on their business model. I can only make an
assumption. My assumption would be that they've seen higher margins, higher returns on their
platforms with the scale up that they're seeing where a contract manufacturing business and a
legacy contract manufacturing business, which they have been doing for the last 15, 18-odd
years may not be so lucrative anymore. So that's, again, just a personal opinion.
I have no ways to back this up, but I feel that's probably why they're getting out of -- or reducing
the contract manufacturing with an increase in the capacities and offerings on their own
platforms. And look, they've done exceptionally well. I think they will continue to do
exceptionally well. And they just developed the right tech at the right time much ahead of us in
a lot of cases. But our portfolio from a perspective is exceptionally strong today. So, we -- I'm
confident that we will also see a very significant scale up.
Anant Jain: And we see scale up happening in the insulin also or we don't want to scale it up because we see
opportunities in our own proprietary platforms?
Amit Sanghvi: There's opportunity for scaling up insulin, and we are interested in scaling up insulin as well.
Our top line is not -- is nowhere close to an Ypsomed So Shaily as a company very interested in
scaling up insulin as well along with the other platforms or the molecules.
Moderator: The next question is from the line of Rupesh Tatiya from IntelSense Capital
Rupesh Tatiya: Okay. So my first question is when can we see a commercial launch of Semaglutide in RoW
markets, markets like Brazil, Australia, from the world markets, because my understanding is
regulated market launch is a few years away?
Amit Sanghvi: Yes, I think that everybody is looking at an RoW like you said Brazil, India, Canada launch in
most of our customers would be targeting '26, which is basically FY'27, but calendar '26 launch
in these markets.

Rupesh Tatiya: What would be the market size for this RoW market for Semaglutide?
Amit Sanghvi: The market really start will be, of course, there will still be several million devices. But the RoW
market will expand very fast, because today the innovator itself runs short on the devices and
they're not able to service regulated markets effectively with the product from var

ious reports
that I've read. So, the out of the market, you will see a fairly good scale up. Eventually, at
maturity, we feel that RoW and regulated markets will be somewhere either 40-60 or 50-50 on
volumes globally.
Rupesh Tatiya: Okay, sir. That's good to know. Sir, second question is, can you give me the total pen volume
that it will take in financial year '24?
Amit Sanghvi: Unfortunately, I'm traveling. I don't have the number on the top of my head. But Sanjay bhai,
what was the total volume of pens and auto-injectors and all devices put together in the last
financial year?
Amit Sanghvi: Somewhere around 11 million, 12 million is what the number of pens we sold in the last year.

Amit Sanghvi: Not pens only, devices.
Rupesh Tatiya: Okay. And assuming we can do some, let's say, Lira approvals for our partners come through, then teriparatide approvals come through then semaglutide clinical batches and Tirzepatide batches. Can we assume that this volume will go to something like 20 million in '25?
Amit Sanghvi: No, I don't see 30 million for sure. We're looking at -- like I said, we're looking at about 15%, 16% growth. So, I anticipate somewhere around to 17 million to 18 million pens in the clinical devices in the current year.
Rupesh Tatiya: Okay, okay. And then the related question to that. Sorry, my understanding is insulin devices realization is much lower. But some of these newer platforms, the realization, at least my expectation is that it would be pretty high. So, can you give color on how average realization will move on an overall portfolio level?
Amit Sanghvi: Again, a little too soon to tell, you're right. I agree that realization on insulin pen is lower than on GLP-1. But there are also different pens, insulin pens, for example, our most of them will be mechanical devices, right? So, our Protean platform is a low-cost 60-unit platform. And from cost being lower price selling price is also lower. But yes, on the insulin business, the realization is lower. So, at this point, we're interested in scaling up and I think over the next even 10 years, insulin is going to play a crucial role in -- when it comes to volumes, and we need the volumes to get scale to gain economies of scale as well. We need to have your lines run efficiently and for that, we need to increase volumes.
Rupesh Tatiya: Okay. Okay. But I mean, eventually, some of these -- I mean, market share of some of these liraglutide, tirzepatide, teriparatide, semaglutide, it will go up. So, I mean, on an average, I don't

know. What is the difference in realization? It is 3, 4x of insulin? Can you give some ballpark figure?
Amit Sanghvi: See when these products become commercial, we don't know what kind of competition you're actually looking at and what will be the eventual selling price. But if you look at the GLP-1 market and the way it's exploring today, GLP-1 will certainly give you higher margins than insulin. I don't think it's going to be 3, 4x.
Rupesh Tatiya: Okay. Okay. I see, sir. Okay. And another question is you talked about one of our competitors getting out of contract manufacturing. But I mean, can we talk about where we are on contract manufacturing? Do we -- what kind of contract manufacturing we do if we do it all? And maybe you can talk about some of the products that we contract manufacture?
Amit Sanghvi: We contract manufacture a lot of insulin pens basically, right? So we have some specialty devices that will go on stream in the current year, some that we're already doing. We also contract manufacture dry powder inhalers but the volume, the bulk of the contract manufacturing margin is all insulin pens.
Rupesh Tatiya: Okay. Okay. And sir, my final question is, if we read about some of our competitors, they are looking at massive capex, $200 million, $500 million. So, if -- and we are very strong on semaglutide, given th

at we are the only reference to buying, I see for granted, -- so do you feel there will come a time there with how to raise capital if success comes through as we expect in semaglutide to do a massive $50 million, $100 million capex?
Amit Sanghvi: No, I do not expect $50 million, $100 million capex needed on semaglutide. I mean, first, by nature of us being located in India, capex is lower. Second, we did this massive capex last year on the pharma side. So we essentially looked at creating an infrastructure. So today, we have the building available to, let's say, manufacture somewhere, again, very difficult to put a number, but we can manage around 60 million to 70 million devices at maturity in a given year. We have not installed all the capacity.
So the equipment machinery needed has not been installed. At the moment, what we were installed is something that can cater to an annual volume of 25 million to 30 million devices. So as we see approvals coming in, as we see scale up happening, we will make the additional investment in particular machinery tools and assembly equipment for semaglutide.
Rupesh Tatiya Okay. Okay. So sir, final question is to go from this 25 million to 30 million to 70 million, what kind of capex we would be, I mean whenever it happens.
Amit Sanghvi: I think the additional capex in the range of, I would say, somewhere in the range of between $15 and $20 million will be -- is what we're looking at additional capex, but that number is not a -- is not something that will happen in the next 3 years. We're not looking at investing essentially any significant in the next 2 to 3 years. We've done the investments even, so we will look at this as an investment over the next 6, 7 years.

Moderator: The next question is from the line of Karan Mehra from Mehta Investments.
Karan Mehra: A couple of questions from my end. The revenue has seen a growth of around 6%. And the consumer segment, which forms major revenue contribution for us, has seen a degrowth of around 8%. So can you throw some light on the factors contributing to the degrowth as in there is a subsegment and the consumer segment as well. So which business contributed to the degrowth, why?
Sanjay Shah: So Karan, I mentioned this in my speech that when you look at the consumer segment, there are 2 things to it. One is the revenue from toys has come down. So that's one reason for it. And the second is raw material pass-through, which happened. You have seen raw material prices being lower than the current year compared to what it was earlier, which would basically mean your realizations are down. So these were 2 reasons for which, overall, you're seeing a 4% degrowth on the consumer part of the business.
Karan Mehra: Understood. Sir, and with regards to our capacity utilization, which stands at around 40%. So any reasons why we aren't increasing our utilization rate? And what are we doing to increase the rate in the future?
Sanjay Shah: So, we are working with customers. We are bidding for new business and everything. We expect that our capacity utilization will go in the current year as compared to last year.
Moderator: The next question is from the line of Anant Jain, who is an Individual Investor.
Anant Jain: So just one question. As of now, when you said that -- I just wanted to confirm that on Teri, we are hoping for approvals on first half of this year on our proprietary platform. Is that a correct understanding?
Amit Sanghvi: Yes. Yes, Anant, that is correct for Teri, we are hoping to get approval in the first half of this year, but I cannot confirm or guarantee that. So.
Anant Jain: I understand because I mean, Cipla has signed an approval for Teri, I mean you want to name the customer’s name, just wanted to confirm that in a different manner. So yes. And you gave the pen volumes for this year at around 11 million to 12 million. I

f you can give me a breakup of pens which are like for commercial sales versus which have gone for trial and for these non-commercial contracts?
Amit Sanghvi: Anant, we will not be able to provide that breakup at this point, contract manufacturing, for example, is 3 years ago, contract manufacturing was 90% and proprietary devices were 10%. I'd say today, the split would be somewhere 70%-30% or 60%-40%. And as we move forward over the next couple of years, you will see the revenue generation from proprietary devices increasing.
Anant Jain: So when you say 90%-10% and 70%-30%, are you talking of volumes? Or are you talking about a value?
Amit Sanghvi: Value.

Anant Jain: And this 11 million number, which I think in some ways, like other million devices. Yes, yes. So, what I'm saying is what was there in '23 if you have that number? Or maybe I can take it offline.
Amit Sanghvi: I don't have it off hand, but I would assume that '23 was somewhere, Sanjaybhai, I could be wrong. Correct me if I am, but about 7 million, 6 million, 7 million.
Sanjay Shah: I'll also need to look at the numbers. But yes, Amit, I can probably get the number to you from the parts of which we have. We have talked about that number, and we can get that number to you.
Anant Jain: Okay. So, I mean, assuming it was 7 million, well it’s amazing only scale up that has already happened this year.
Amit Sanghvi: Yes, we are -- it's -- I mean pharma is a slow process, but you will see scale-up.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments.
Amit Sanghvi: Thank you, everyone, for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations advisors. And thank you and have a great evening.
Sanjay Shah: Okay, everyone. Thank you.
Moderator: On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

SEPL/SE/Aug/24-25
5th August 2024

The General Manager,
Corporate Relations/Listing Department
BSE Limited
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Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q1FY25 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated 29th July 2024, wherein the Company updated the audio link of Earnings call held on 29th July 2024 to discuss the operational & financial performance of the Company for the quarter ended on 30th June 2024.

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances-policies/earnings-call

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary &
Compliance Officer

M. No. FCS 13184

"Shaily Engineering
Q1 FY25 Earnings Conference Call"

July 29, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29th July 2024 will prevail

MANAGEMENT : MR. AMIT SANGHVI –MANAGING DIRECTOR, SHAILY ENGINEERING PLASTICS LIMITED
MR. SANJAY SHAH – CHIEF STRATEGY OFFICER,

SHAILY ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Shaily Engineering Plastics Limited Q1 FY25 Earnings Conference Call.
This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to the Managing Director of Shaily Engineering Plastics Limited, Mr. Amit Sanghvi. Thank you and over to you, sir.
Amit Sanghvi : Thank you very much. Good evening and a very warm welcome to all the participants with post results of Shaily Engineering Plastics. I have with me Mr. Sanjay Shah, our Chief Strategy Officer and SGA, our Investor Relations Advisors. I hope you've had a look at our investor presentation that is uploaded on our website and the stock exchange.
Let me start by giving you some highlights on the operational performance. Despite a challenging situation globally, we delivered a robust topline growth of 14% to Rs. 179 crores in Q1 FY25 and have improved our gross margins and EBITDA margins, which stand at 42.1% and 20.1% respectively. During Quarter 1 FY25, in the Consumer segment, we've been awarded business confirmations for two new FMCG products, which are currently under development.
In the Healthcare segment, we've entered into new contracts to develop two new pen injectors.
In the Industrial segment, we have business confirmations to manufacture two components for an automotive customer.
Three years into operations, Shaily UK has grown quite well, and we are now building capabilities including human factors engineering to cater to big pharma. The most significant update for the quarter is that we have received purchase orders for one of our pen injectors to the tune of 10 million per year. Looking ahead, our focus is on expanding our horizons to include contract manufacturing for medical devices, products featuring our intellectual property, and specialized packaging and delivery solutions. The dedicated efforts invested in advancing our injection system platforms are beginning to show good outcomes. Within this industry, our business scope is vast, as we have mentioned in the past before, and we remain committed to ongoing growth.
We have adopted a scalable approach that will enable us to increase our revenues at a much faster pace over the next 5 years, and we plan to increase our own IP contribution going forward.
That is all from my side. I shall now hand over the call to Mr. Sanjay Shah to give you the operating and financial highlights. Thank you very much.

Sanjay Shah : Thank you, Amit. Good evening, everyone. I shall share with you the highlights of our Operational and Financial Performance of Q1 FY25. Following which, we will be happy to respond to your query.
During the quarter, we processed 5,902 tons of polymers, as against 5,822 tons of Q1 FY24.
Machine utilization rate was around 39% in Q1 FY25. We expect this to increase in the coming years. Exports during Q1 FY25 to get around 80% of revenue.
Coming to consolidated result highlights:
Revenue stood at Rs. 179.4 crores during Q1 FY25 as compared to Rs. 157.3 crores during Q1 FY24, a growth of 14%. EBITDA stood at Rs. 36.1 crores during Q1 FY25 as compared to Rs. 27.7 crores during Q1 FY24, a growth of 31% year-on-year. EBITDA margins stood at 20.1% for Q1 FY25, an

increase of 250 basis points over Q1 last year. PAT stood at Rs. 17.4 crores during Q1 FY25 as compared to Rs. 12.6 crores during Q1 FY24, a growth of 38% year-on-year. PAT margins stood at 9.7% anincrease of 170 basis points over Q1 last year. Cash PAT for Q1 FY25 was reported at Rs. 27.6 crores as compared to Rs. 20.8 crores during Q1 FY24, a growth of 33% year-on-year. Our ROCE and ROE stood at 20.7% and 15.6% respectively as on 30th June 2024. Again, the growth in business has been achieved with disciplined use of capital.
Now coming to consolidated segmental revenue breakup:
In the Consumer segment, revenues stood at Rs. 132.8 crores in Q1 FY25 as compared to Rs. 120.8 crores in Q1 FY24, a growth of 10%. In the Healthcare segment, revenues stood at Rs.

27.4 crores in Q1 FY25 as compared to Rs. 22.7 crores during Q1 FY24, a growth of 21%. In the Industrial segment, revenues stood at Rs. 19.2 crores in Q1 FY25 is compared to Rs. 13.9 crores during Q1 FY24, a growth of 38%.

This is all from our side. We can now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ritesh Shah from Investec. Please go ahead, sir.

Ritesh Shah: First is congratulations on the purchase order for 10 million pens. Would it be possible for you to provide some more specifics over here?

Amit Sanghvi: The 10 million pen purchase order is for supply for the insulin market.

Ritesh Shah: And what's the duration for this? Like, is it over a year?

Amit Sanghvi: It's over a year, so it will get supplied over a period of this year and also spill over into the next year.

Ritesh Shah: And so I understand, I think last year we did around 11 to 12 million pens. Is that number right?

Amit Sanghvi: Yes, yes.

Ritesh Shah: So, how should we look at this number including this particular purchase order?

Amit Sanghvi: I think given the current capacities we have, we should be able to fulfill somewhere around 60% to 70% of the order this year, and the balance in the following year.

Ritesh Shah: Right, so my question on that was like, are we looking at say 11, 12 plus say around 6, 7 million? So, looking at around 17, 18 million pens this year or could it be substantially higher than this?

Amit Sanghvi: No, 17 is correct. That's also what we said during the last earnings call.

Ritesh Shah: Would it be possible for you to quantify what would be the average pricing when we put out a share in the market?

Amit Sanghvi: No, sorry, Ritesh. It varies very significantly between different therapies.

Ritesh Shah: Sure. My second question is on Semaglutide. I understand for Tirzepatide , I think we were looking at NCE-1 filing sometime in May 26. Is there any specific update over here by when do we plan to start supplies? Any colour over here please?

Amit Sanghvi: So, we plan to start supplies end of this year, so either December or January following year. And we've just completed our, what do you call it, our multi-cavity tooling program and the assembly assets. So, assembly assets and the new tools will all be qualified to start production in September 24 which will then go through the design verification process over the next 3 months. And we plan to start supplies in December or January 25.

Ritesh Shah: Okay, and by when do we expect the customers to have approval so that we can say that it's fully commercialized?

Amit Sanghvi: Tirzepatide is a patent expiry of earliest, 36. So, I don't see customers starting to go into the market before 36. There will be some markets as early as 30, but I think most will open up in 36.

Ritesh Shah: Just a few related questions. When we say we are supplying to the customers, are we looking at generic companies over here, or is it potentially innovators or any of the contract manufacturing companies?

Amit Sanghvi: We look at contract manufacturers, we are talking about generics, and we are also talking about exceptionally large generics. With molecules like Tirzepatide, you also have companies that have a mixed model. They do generic business as well as they are also innovators. So, you'd have a whole range of pharma for Tirzepatide and Semaglutide.

Ritesh Shah: And lastly on the device, just wanted to understand, I think in the past you have indicated around spring driven devices, which is quite unique to us. So, wanted to get a sense like what percentage of the market would that be? And how different is this particular device as compared to what's already in the marketplace?

Amit Sanghvi: So, I think every single pen on the market except Novo's FlexTouch and Shaily's Neo are mechanical pens. The mechanical pens, when you dial the dose, you have a button and a mechanism that extends out of the pen, which you then have to manually push back in to deliver a dose. With the spring-driven pen, when you dial, there's no extension. So, upon dialing, the force is stored into a spring. And when a press of a button releases that force to deliver the drug.

Ritesh Shah: Just last question. Are there any other manufacturers who also have spring-based devices?

Amit Sanghvi: No, none that can be marketed globally like ours. None that don't have IP challenges. I think ours would be the only device which is free of infringement or potential infringement.

Ritesh Shah: I think you had indicated like we have around 22, 23 active projects. You had given a broad spread between Lira, Sema, Tirzep, and Teri . Is it possible to give some timelines around each

of the buckets?
Amit Sanghvi: So, Liraglutide is launched on approval now. There's no IP hurdle at this moment. Teri is also launched on approval. So, Teri, we are looking at EU and North America launch in the current year. For Semaglutide, you will see the first markets being launched in 2026, which will be Brazil, India, Canada, potentially China. And then the majority of the regulated markets will see launch, I mean, you will see uptake from Shaily in 29, but launch in 2030.
Ritesh Shah: And Tirzep?
Amit Sanghvi: Tirzep, like I said, 30 to 36. It's a difficult timeframe to predict right now. But if you were to just go by IP expiry, I think 36 is the earliest launch.
Moderator: Thank you very much. The next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.
Nirali Gopani: So, from FY24, we have started mentioning all the order wins every quarter. So, does Q1 of FY25 have any contribution of revenue from those orders?
Amit Sanghvi: No, Q1 FY25 does not have contribution from the orders we mentioned in the earlier speech right now.
Nirali Gopani: Because if I sum up all the orders, it's more than Rs. 180 crores –Rs. 200 crores of order wherever you have specified the numbers. If I understand correct, from Q2, the revenue growth should be much higher than the 14% that we saw in Q1? Not any number but directionally yes?

Sanjay Shah: Nirali, I think we wouldn't want you guys to look at Shaily more from a quarter-on-quarter basis, you should probably look at more on a year-on-year basis and I think whatever we have indicated in terms of year on year group we are quite confident of getting to that growth number.
Nirali Gopani: 20%-25% that you have mentioned, right?
Sanjay Shah: No, on the Healthcare we have set a higher growth number if you look at the transcripts.
Nirali Gopani: No, I'm talking about on a consolidated basis.
Sanjay Shah: We will not talk about the consolidated number. We talked about what we will grow in the Healthcare space. That's what we said.
Nirali Gopani: But just to confirm this number, the order wins are roughly about Rs. 180 crores, right? Wherever you specified the numb

ers and there are places where you have not specified the numbers. But Rs. 100 crores is only from home furnishings, right?
Sanjay Shah: Right.
Nirali Gopani: So, in Q4 and Q1 we have announced orders for knobs. So, are they for GE or any new customer?
Sanjay Shah: They are for an existing customer which is what we have talked about.
Nirali Gopani: So, this is additional than that Rs. 40 crores which we had announced in Q1 of FY24?
Sanjay Shah: Yes.
Nirali Gopani: And we've also announced a lot of orders for pen injectors in FY24. So, does we see any revenue contribution in FY25 from those orders?
Sanjay Shah: You are seeing some of the platform fees coming in and you will see some of the revenue coming in from when we start supplies also.
Moderator: Thank you very much. The next question is from the line of Anant Jain from HNI. Please go ahead.
Anant Jain: The first question is on this 10 million device. Is this our own IP, or is it an IP that we have some other companies?
Amit Sanghvi: No, it's our own IP.
Anant Jain: Congratulations on that. The second question that I have is, in the domestic what we are seeing is a bit of degrowth. Is it like we used to be around Rs. 45 crores every quarter and we have seen a degrowth this quarter and also on a year-on-year basis I think we are either flat or we have gone down by a few crores. Any reasons for that and how do you see the trend here?

Sanjay Shah: So, see the domestic business, if I were to look at from an overall full-year perspective, I think the domestic business will also grow. Quarter-on-quarter, there could be some areas where some dispatches have not happened or some dispatches have been delayed, but I think on a year-on-year basis, you will see the domestic business growing.
Anant Jain: The third question is like for, like what I understand is like, for every auto injectors that we supply, at least for the projects that we have, we have like 25 projects right now. We supply 3 exhibit batches, that is what my understanding is. And the companies with which we partner actually look for consistency across these 3 batches. Is that a fair understanding? That is the first thing. And secondly, in these batches, out of these 25 projects, how many have we supplied at least one exhibit batch? And what is the approximate quantity per exhibit batch?

Amit Sanghvi: A typical exhibit batch per variant of the molecule will be essentially what we call three PQ batches. Each PQ batch will be at least 10,000 pens. So, per variant, we would be supplying about 30,000 pens to a customer. For example, Semaglutide would have, let's say, it has three or four strengths depending on which market you look at. So, we would then be supplying anywhere between 900,00 to 120,000 pens per customer. And of course, that's just the exhibit batch. You would then have batches that you do for operational qualification, for design verification, for assembly, final assembly trials, etc. To answer your first question, Anant, when we supply a product the first time, it has to be three PQ batches. We cannot supply without establishing the consistent performance of the product, which can only be done after you've done three PQ batches and design verification.
Anant Jain: Okay, and out of the 25 projects, for how many have we supplied exhibit batches already?
Amit Sanghvi: I think all exhibit batches on Teriparatide, on Liraglutide, most on Semaglutide, Ozempic have been supplied. Now is also the start of Semaglutide, Wegovy, which is the weight loss version of the molecule.
Anant Jain: That is nice.
Amit Sanghvi: We will be starting the cross version of the devices.
Anant Jain: And when do we expect our first regulated market launch? I think is it going to be Q2 or Q3? Any ideas on that?
Amit Sanghvi: Sometime this year for Teriparatide and potentially Liraglutide.
Anant Jain: Also

we expect Lira launch also this year?
Amit Sanghvi: Yes, we are looking where we have commercial orders to manufacture, launch could happen early next year, maybe end of this year, but Teri, we are more confident on regulated market launch in the current year.

Anant Jain: And in case of Lira, is it both the variants?
Amit Sanghvi: See, Lira is launched on approval, so if a customer has filed both variants, which is Victoza and Saxenda, then the launch would happen for both variants.
Anant Jain: And we have same device for Victoza and Saxenda or are they different devices? I would assume they are different devices.
Amit Sanghvi: They are different devices. The Saxenda device is a spring-driven device, and the Victoza device is the mechanical pen.
Anant Jain: Okay, great. All of that is a wonderful update. Just two more questions if I can squeeze in. For Shaily UK, as of now, from how many projects are we getting revenues from and how many additional projects will start contributing to Shaily UK this year?
Amit Sanghvi: Pipeline for the current year is quite strong, I'll say. We are looking at growing Shaily UK also at upwards of 35%, 45%. With the development project, there's always a little, I wouldn't say lack of clarity, but little, you've got to be careful when you commit timelines on revenue, at least because project spillover can happen very easily. I think every project we have in Shaily UK generates revenue except maybe two which are, I wouldn't call them like fully active projects, but their creation of technology that we have started on two new types of drug delivery devices, which aren't generating revenue. But every other project, active project we have generated revenue.
Moderator: Thank you, sir. The next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.
Kumar Saumya: I had a question, what are the products segments or products groups that we are looking at outside our current product basket? So, are we looking into electronics, mobile phones, something like that?
Amit Sanghvi: We are looking at consumer electronics, but again, I think we are at very, very initial stages of evaluating the business. We are talking to several potential customers in the industry. So, too early to comment on it right now.
Moderator: Thank you very much. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: My first question is, so three of these projects, basically home furnishing Rs. 50 crore, pharma new applicator Rs. 35 crore and then the knobs business around Rs. 40 crore. So, these three were expected to start in Q2 as per the initial communication. So, any of the projects which is delayed or all of them will start in Q2?
Sanjay Shah: So, all of the projects which we talked about will start in Q2.

Aman Vij: Okay, that is good to hear. On the home furnishing side, sir, there was last year, it was a little flattish. Demand was an issue from Europe, I believe. So, if you can talk about both on carbon steel as well as the normal plastic business, how is the demand going back to the initial level? Because we were expecting good ramp up last year, but because of demand issues, we could not. So, can we see the full recovery happening this year both on carbon steel and plastic, if you can talk about?

Sanjay Shah: So, I don't think Europe is still out of its problems. So, you're not seeing a demand recovery coming up in Europe. You will see some growth in the business, essentially on account of new projects which we have taken on. In carbon steel, we have taken on four new projects which we will be commercializing between now and between Q2 and Q3, essentially a large part of it in Q3. So, you will see that ramp up happening once these projects get commercialize

d. We are also bidding for new projects and everything and hope to add businesses before the end of the current calendar year.

Aman Vij: Sure, so combined for the plastic division individually and for carbon steel, do we see good growth this year?

Sanjay Shah: We see growth on both these segments.

Aman Vij: Sure. On the Healthcare side, sir, if you can talk about that, we were talking about 50% volume growth. So, Q1, did we see this kind of volume growth or is it backended? It will start in maybe Q2 or Q3 only?

Amit Sanghvi: Q1 was also to the tune of, I'd say, of course it will be a little bit more backended for sure, but the order book was quite strong. We did have a technical engineering challenge in Q1 with one of our products, which got resolved, and the supplies have already been made in Q2 for that particular product.

Aman Vij: So, Q2 onwards will be seeing a much stronger growth compared to what we have seen in Q1?

Amit Sanghvi: For Healthcare, yes.

Aman Vij: Sure, that helps. So, on the two new projects which we have won, if you can talk about which is the therapy, these two platforms, two new projects in healthcare?

Amit Sanghvi: The therapy remains a thing. One is Lanreotide, the second is Semaglutide.

Aman Vij: Okay, sure. And on the thirdly, we were expecting more customers. Will we see that in next 1-2 quarters?

Amit Sanghvi: Yes, absolutely.

Moderator: Thank you very much. The next question is from the line of Sanjay Kumar from ithought PMS. Please go ahead.

Sanjay Kumar: I have a bunch of questions. First, so how does the relationship work with the CDMO fill-finish partner, I spoke to one of them and they said that they validate the pen or the injector design on behalf of the client. Can you talk about this dynamics and how many projects out of the 23 or 25 is through these CDMO partners?

Amit Sanghvi: Sure. So, there's two parts to completing a program. One is where our part ends is design verification. After design verification, you put the batches on stability. And during stability, various time points of the stability, you'd have to test your pens for performance or test your combination product for performance, which is what the CDMO partner does. The know-how at CDMOs in general is quite limited, especially in India. So, full design verification at CDMOs is possible. It's not that it's not possible, but typically, in the industry, what happens is that the specific know-how on your device is so much higher with the manufacturer and the design of the device that customers prefer to do full design verification at the device supply. In a lot of cases, even the testing, ongoing stability testing happens outside the scope of the CDMO. So, either they would look at a third-party testing lab, their own testing lab, or go back to the supplier for doing even instability testing of the devices. So, it's a combination, but design validation potentially happens at the CDMO space.

Sanjay Kumar: Okay, and how many of our projects are through these partners and does the realization vary if we tie up with the client directly or does it decrease if we go through a CDMO partner?

Amit Sanghvi: We haven't tied up directly with any of the CDMOs. So, we tie up with the pharma companies who may or may not choose to execute the project at a CDMO.

Sanjay Kumar: And second, so you spoke about two new devices. Can you explain what these are on the application and also where we are on our precision electronics journey?

Amit Sanghvi: The two new devices, one is that we are seeing sustainability being a very significant topic in regulated markets. So, we are looking at coming up with a premium reusable device. And the second one is we are working in the respiratory space, so nasal. We are looking at developing some unique technology for a soft mist inhaler.

Sanjay Kumar: And another global peer makes devic

es for almost 15 indications and they're targeting 18. Are
we working on any monoclonal antibodies or any biologics apart from the ones that we have already announced?

Amit Sanghvi: We are working on monoclonal antibodies using one of our auto-injectors. But again, too soon to talk about it. When we have more, we'll certainly inform the markets.

Sanjay Kumar: Okay, and finally on our drug device capacity, I think it's 40 million devices. By when do you think we'll be able to utilize this and when do you think we should go for the next round of CAPEX in Healthcare?

Amit Sanghvi: 40 million devices is, yes, generally speaking, on every device, you've got slightly different capacities installed. But we will be looking at expanding some capacities over the next 18 to 24 months. We'll be looking at doubling up on some pen platforms.

Sanjay Kumar: 18 to 24 months timeline?

Amit Sanghvi: Yes.

Moderator: Thank you very much. The next question is from the line of Ganesh Rao from Rupani Capital. Please go ahead.

Ganesh Rao: Thank you. I think a couple of my questions were answered earlier. The one question that I have is, can you please provide some clarity on the fungibility between the non-Healthcare side of the business from the toys machine? What needs to be incrementally added the value wise to switch the capacities over to these other areas?

Amit Sanghvi: We don't do any toys anymore, Ganesh. Capacities that we created for the toys business about two years ago, some of it have been utilized for the appliance business that we secured last year. Some of it is being utilized for some LED lighting that we manufacture, and the balance of it will get utilized once we have the increase on our consumer side of the business. Those capacities will not be utilized for healthcare.

Ganesh Rao: Yes, thank you, sir. I mean, that's helpful, but one question as a follow-up. Do you need to invest anything additional or is it easily fungible, say, to move this to produce something for the automotive division?

Amit Sanghvi: No, there's no further investment needed. It's fungible. There might be a specific investment needed on some sort of a testing equipment or some sort of robot handling for materials, but nothing significant, very, very marginal investment.

Moderator: Thank you very much. The next question is from the line of Nikhil Jain from Galaxy International. Please go ahead.

Nikhil Jain: I just wanted to ask a couple of questions. Related to the UK business, I actually wanted to understand a little bit about the projects that we are actually doing in the UK business. Are they same projects that we are actually supplying, let's say products from our India business or are there different projects?

Amit Sanghvi: The project starts in the UK. So, first you got to execute the project, complete the device development program which goes all the way up to design verification. And that's the only point when you can make supplies from India.

Nikhil Jain: Right. So, basically, then there's some kind of a technology transfer from UK to India, and then you go ahead and do and supply the commercial supplies or let's say the exhibit that supplies from India, right?

Amit Sanghvi: That's correct.

Nikhil Jain: Okay. So, basically, all, so the UK business will give you an indication of what is the commercial business or let's say exhibit that business that will come to India, right, at some point of time?

Amit Sanghvi: Yes. UK business, exactly that's where the project starts with the customer. And then project ends with supplies from India.

Nikhil Jain: Right. Just one last question. See, I see that in our profit, let's say if I look at the consolidated numbers, so almost 40% of our profit is to be contributed by the UK business, basically the design and developm

ent activities that are happening over there. And rest of the business actually including, let's say whatever exhibit batch supply that we are doing and all the other businesses are contributing probably 60%. But do you think it will change significantly over once the product starts to commercialize from India, from the manufacturing facilities?

Amit Sanghvi: Yes, profitability in India will go up as we scale up. UK profitability is not going to come down, it's also going to go up. So, combined consolidated numbers should be healthier than they are at the moment.

Nikhil Jain: And one last question. So, on the Liraglutide and on, let's say, Teriparatide, we are expecting some approval. So, is there any spending deficiency from our end, which is like, say, kind of

holding back or from our customer's end, if you are aware, which is holding back any approval
or is it like just a regular process of FDA that is going through?
Amit Sanghvi: No, it's a regular process. There are no deficiencies that we have to answer to at the moment on either Teri or Lira. Yes. Just a matter of time.
Moderator: Thank you very much. The next question is from the line of Anant Jain . Please go ahead.
Anant Jain: One question, I think one of the previous calls you mentioned that we are working towards something on the drug delivery solutions with electronic side, and you said that you will share more on this as time passes. Do you have any updates on this as to what are we planning here? How big can the opportunity be here? Anything on this if you could share?
Amit Sanghvi: I think the opportunity is very large, Anant. You would know the market because most of it is public domain knowledge in general. We are at a very nascent stage. So, we are still just having

discussions with maybe half a dozen potential customers. And when we have something more concrete to share, we will certainly do that.
Moderator: Thank you. The next question is from the line of Sanjay Kumar from ithought PMS. Please go ahead.
Sanjay Kumar: Again, a bunch of questions. One, we have won our own IP for insulin, but someone like Ypsomed has announced that it will do insulin only for one or two more years. This is contract manufacturing, CMO. So, are we getting more enquiries from our existing customers like Sanofi or is there any other own IP insulin under pipeline or are we in talks or is just the one that we have won so far?
Amit Sanghvi: There are several ongoing discussions, and you will see the order pipeline becoming stronger on insulin as well. I'm glad Ypsomed has announced that they're getting out of insulin. It gives us a better opportunity.
Sanjay Kumar : Okay and second on Liraglutide, I think in one of the previous concalls we said that we can do 2 million pens in Lira itself. Can we do that in FY26? 2 million pens in Lira?
Amit Sanghvi: FY26, yes, launch happens and yes, 2 million will happen for sure.
Sanjay Kumar: Let's say 50 million is the Lira market. Safe to assume a 10% market share for us.
Amit Sanghvi: It really depends on how the launches get or approvals come in. I think the customers we are working with do have good success rates. So, we are hopeful that if Lira launch happens, we should see starting with nothing less than potentially about close to a million pens in the first year and maybe not FY26 but FY27 maybe 2 to 3 million.
Sanjay Kumar: Okay, and are you still confident in one of the con-calls we said that we'll be having 70% of the generic players filing for these GLP-1s, is that still holding true?
Amit Sanghvi: Yes, Semaglutide, I believe it still holds true.
Sanjay Kumar: Have you signed or at least talking to any of these MNCs for GLP-1s or any small biotechs working on GLP-1s?
Amit Sanghvi: We are doing both.
Sanjay Kumar: And finally on consumer electronics, you did mention consumer electronics. I don't know if you c

an reveal the product, but is it similar to our existing capabilities of working with ABS?
Amit Sanghvi: ABS?
Sanjay Kumar: Yes, Acrylonitrile Butadiene Styrene.

Amit Sanghvi: No, not necessarily. Consumer electronics, we will be looking at high-performance engineering polymers more than ABS.
Sanjay Kumar: And are we also looking at other segments? Let's say, today, India imports almost 90% of its eyewear and sunglasses from China and some of it is plastic, cellulose based plastic. Are we looking at this market?
Amit Sanghvi: No, not at the moment.
Moderator: Thank you very much. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Again, a couple of basic questions. Sir specifically on the device, what gives us confidence that our devices won't influence innovators device patents, how sir we looked at it?
Amit Sanghvi: We've spent about good close to $180,000 conducting the FTO, freedom to operate on this particular device.
Ritesh Shah: And are there any patents in the emerging markets which are expiring earlier? How should one understand that?
Amit Sanghvi: Yes, so you've got Brazil, India, Canada, where you have Semaglutide launches, 26, right?
Ritesh Shah: Okay. And just last one question. I think in one of the earlier calls, you had indicated that there

is margin differential between GLP-1 and insulin, insulin being lower. How should one understand this, comprehend this, given it looks like over next 3 to 5 years, you will have the option to choose what you want to do. So, how are you thinking about the opportunity and what would be the differential in margins?

Amit Sanghvi: Look, margins are healthy on both GLP-1 and insulin. Insulin obviously will be lower. But the way we look at it is that we are looking at scaling up the business right now very significantly. We are not going to add either now or in the foreseeable future. The insulin business is a very steady, stable, healthy business. So, we have no intention to pick one over the other. We will look at continuing to grow the insulin business as well as the others.

Ritesh Shah: The reason to ask this is I think in the prior question also, the gentleman did ask that it actually opens up an opportunity for us, which is a good thing. So, just trying to get a sense on the margins, like even for insulin, can one presume that the number would be upwards of 30% plus at EBITDA level?

Amit Sanghvi: It's contract to contract it will vary, but insulin is price sensitive. It is significantly commoditized. Ritesh, I will not give a margin on insulin .

Moderator: Thank you very much. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Just on this insulin part again, so this order which we have won, is this the customer has won a tender kind of thing, or can it be a repeat kind of business for us?

Amit Sanghvi: No, it would end up being a repeat business. You can't go in and out of insulin, you have to supply.

Aman Vij: Sure, sir. The reason for asking is what we keep hearing is that the big three companies are now focusing on GLP-1 and they are exiting the insulin tender market and maybe even normal insulin market. They're not focusing on that. So, does this mean, are you seeing much more inquiries from our potential customers because of this vacant space being created and if yes, do you think for one is 10 million orders we have talked about, but do you think insulin pen itself we can supply, maybe own IP pens, maybe much higher number in the next 1-2 year because of this vacant space being created?

Amit Sanghvi: The short answer, Aman, is yes, but the reason behind the answer as you stipulated, I would not fully agree with because if you look at even Europe today, most of Europe is a t

ender business.

I don't see the big three exiting any tender businesses just like that. Regardless of how well GLP-1 does, it's still a combination therapy. And for diabetes, insulin is absolutely needed. So, I don't see how one can aid the sale of the other, but exiting the insulin space for the big three would be quite devastating. I Imagine.

Aman Vij: Yes, so let me clarify, not in regulated markets, but we were hearing say in South Africa or in emerging markets, they are kind of not participating in tenders. So, maybe there's an opportunity in the Middle East.

Amit Sanghvi: Yes, but South Africa volume will be what? It'll be less than a couple of 100,000 pens. So, that is possible. And we have customers who will consolidate volumes for several markets.

Aman Vij: So, you are seeing such kind of orders from other customers also, such big orders, possible in the next 1-2 years?

Amit Sanghvi: Yes. It's possible. Next two years, yes. We are seeing the orders coming for insulin.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Amit Sanghvi: Thank you. Thank you everyone for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations Advisors. Thank you and have a great evening.

Moderator: On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

SEPL/SE/ Nov /24-25
4th November 2024

The General Manager,
Corporate Relations/Listing Department
BSE Limited
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Dalal Street,
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Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY

Sub : Q2FY25 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015

Dear Sir,

We refer to our previous letter dated 29th October 2024 , wherein the Company updated the audio link of Earnings call held on 29th October 2024 to discuss the operational & financial performance of the Company for the quarter and half year ended on 30th September 2024 .

In context therein, kindly find attached herewith transcript of the referred Earnings call.

A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances -policies/earnings -call

Kindly take the same on record.

Thanking You

Yours truly,
For Shaily Engineering Plastics Limited

Dimple Mehta
Company Secretary & Compliance Officer
M. No. F13184

ENCL: A/a

"Shaily Engineering Plastics Limited Q2 Earnings
Conference Call"

October 29, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29th October 2024 will prevail

MANAGEMENT : MR. AMIT SANGHVI –MANAGING DIRECTOR , SHAILY
ENGINEERING PLASTICS LIMITED
MR. SANJAY SHAH – CHIEF STRATEGY OFFICER ,
SHAILY ENGINEERING PLASTICS LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Shaily Engineering Plastics Limited Q2 and H1 FY '25 Earnings Conference Call.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinion and expectation of the company as on the date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Sanghvi – Managing Director from Shaily Engineering Plastics Limited. Thank you, and over to you, sir.
Amit Sanghvi : Thank you very much. Good evening, and a very warm welcome to all the participants to the Post-Results Earnings Call of Shaily Engineering Plastics. I have with me Sanjay Shah – Chief Strategy Officer and SGA, our Investor Relations advisors. I hope you had a look at our investor presentation that is uploaded on our Website and the Stock Exchange.
Let me start by giving some highlights on the "Operational Performance ":
We delivered a robust top line growth of 22% to Rs. 192 crores in Q2 FY '25 and have improved our gross margins and EBITDA margins, which stands at 46.3% and 21.5%, respectively. This is mainly due to increased sales from our Healthcare segment, which grew by 94% on a year - on-year basis.
In the Healthcare space, we have adopted a scalable approach that will enable us to increase our revenues at a faster pace over the next 5 years. We had raised money, which we are using to scale the Pharmaceuticals division. We anticipate that the medical device business will comprise 25% of our revenues over the next 3 years, enhancing organizational value.
I am happy to announce that we have doubled the size of our team in Shaily U.K. And looking ahead, our focus is expanding our horizons to include contract manufacturing for medical devices, products featuring our intellectual property and personalized packaging solutions. The dedicated effo rts invested in advancing our injection system platforms are beginning to show favorable outcomes. We plan to increase our own IP contribution going forward. In the Healthcare division during the quarter gone by, we succe ssfully participated in CPHI Europe, Parenteral Drug Association fair in Phoenix in October and partnership opportunities on drug delivery in Boston at the moment.

In the Consumer segment, we have been awarded business for 2 new products from a marquee FMCG customer. Despite the ongoing geopolitical challenges, revenues from this segment grew by 10% year -on-year to Rs. 139 crores in Q2 FY '25.
In the Industrial segment, we have received new business from a new marquee customer during the last quarter. Revenue grew by 30% year -on-year and stood at Rs. 16 crores for this segment.
That is all from my side.
I shall now hand over the call to Sanjay Shah to give you the "Operating " and "Financial Highlights ". Thank you very much.
Sanjay Shah : Yes. Thank you, Amit, and good evening, everyone. I am sorry for this technical issue. And also, for the delay on the call because of some technical issues at the operator end. I should share with you the highlights of our "Operational " and "Financial Performance " of Q2 and H1 FY '25, following which we shall be happy to respond to your queries.
During the quarter, we processed 6,186 tons of polymers as against 5,673 tons in Q2 FY '24. For the half year period, we processed 12,088

tons of polymers as against 11,495 tons in H1 FY '24.
Machine utilization rate was around 42% at Q2 FY '25 and 41% in H1 FY '25. We expect this to increase in the coming years. Exports during Q2 FY '25 and H1 FY '25 stood at 75% and 78%, respectively, of total income.

Now I shall brief on "Consolidated Result Highlights ":
Revenue stood at Rs. 192 crores during Q2 FY '2 4 as compared to Rs. 157.6 crores during Q2 FY '24, a growth of 22% year -on-year. EBITDA stood at Rs. 41.3 crores during Q2 FY '25 as compared to Rs. 26.6 crores during Q2 FY '24, a growth of 56% year -on-year. EBITDA margin stood at 21.5% for Q2 FY '25, an increase of 460 bps over Q2 last year. PAT stood at Rs. 21.9 crores during Q2 FY '25 as compared to Rs. 10.8 crores during Q2 FY '24, a growth of 103% year-on-year. PAT margins stood at 11.4%, an increase of 450 bps over Q2 last year. Cash PAT for Q2 FY '25 was reported at Rs. 32.2 crores as compared to Rs. 18.9 crores during Q2 FY '24, a growth of 70% year -on-year.
Coming to H1 FY '25 "Consolidated Highlights ":
Revenue stood at Rs. 371.4 crores in H1 FY ' 25 as compared to Rs. 314.9 crores during H1 FY '24 , growth of 18%. EBITDA stood at Rs. 77.4 crores in H1 FY '25 as compared to Rs. 54.2 crores during H1 FY '24, a growth of 43%. EBITDA margins stood at 20.9%, an increase of 370 bps over H1 last year. PAT stood at Rs. 39.3 crores in H1 FY '25 as compared t o Rs. 23.4 crores during H1 FY '24, a growth of 68%.
PAT margins stood at 10.6%, an increase of 320 bps over H1 last year. Cash PAT for H1 FY '25 was reported at Rs. 59.7 crores as compared to Rs. 39.7 crores during H1 FY '24, a growth of 50% year -on-year. Our ROCE and ROE stood at 22.1% and 17.1%, respectiv ely, as of 30th

September 2024. Again, the growth in business has been achieved with disciplined use of capital. Our debt -to-equity stands at 0.45x and our long -term debt to equity stands at 0.11x as on 30th September 2024.
Now coming to "Consolidated Segmental Revenue Breakup " for H1 FY '25 :
In the Consumer segment, revenue stood at Rs. 271.3 crores in H1 FY '25 as compared to Rs. 246.7 crores during H1 FY '24, a growth of 10%. In the Pharma segment revenue stood at Rs. 64.9 crores in H1 FY '25 as compared to Rs. 42 crores during H1 FY '24, a growth of 55%. In Industrial segment, revenue stood at Rs. 35.2 crores as compared to Rs. 26.1 crores during H1 FY '24, a growth of 35%.
That is all from our side. Now we can open the floor for Q&A. Thank you.
Moderator : Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Anant Jain, an individual investor. Please go ahead.
Anant Jain : Congratulations on a good set of numbers. My first question is on the pens business. Looking at our new insulin pens order, can we expect our volumes in pens to be double nearly for the second half of this year? That's the first question. Second question is for how many projects do we expect to supply commercial volumes in FY '25 and FY '26? Third question is on lira and teri, when do you expect commercialization of these molecules, commercial supply of pens to start for these molecules? And sin ce Sema, Rest of the World patent is expiring in Jan '26, are we expecting a huge ramp -up in GLP -1 devices, like sales could go in like tens of millions in FY '26? Because that's the number that we keep hearing. We keep hearing much larger numbers than that.
And how big can U.S., India, Brazil and China, if you have some rough estimates, if you have some inquiries for these markets, and what kind of potential market share do we see here? Because we are the only ones with spring -based pen. And these markets are price sensitive. So, do we expect the devices to have a similar price for us, like when we supply to developed market versus like rest of the world, do we ex

pect a similar realization per device? And any reasons for
teri launch? Because teriparatide, we w ere expecting the launch to happen maybe like Q1, Q2, but it's gotten delayed. And where do you expect the launch to happen first in EU or in the U.S.? I have more questions, but I think if you can respond to these, then I can give 1 or 2 more.
Amit Sanghvi : Sure. To your first question, we do expect pen volumes to double in the second half. Now exactly double from which month is a little difficult to say because we are still undergoing installation of our new 8 -cavity tooling. So, we are hoping to start production in December, which means that some part of this quarter and large part of the next quarter, we will see double the volumes on those pens.

Teri launch is expected in Europe first. Yes, I realize that U.S. launch has been delayed. Unfortunately, it's not in our control, neither our customers control. But we know that Europe launch will be coming up shortly as fast as quarter 1 Calendar '2 5. So, that's kind of where we are on teri. So, we are producing commercial batches for a customer to launch. On liraglutide, its launch is expected towards the end of '25, calendar quarter 3 or quarter 4 of '25.

And on Sema, we have been hearing everything from 5 million to as high as 200 million requirements from various customers. We actually don't know what is the right capacity to build. But right now, we are looking at building 35 million pens a year capacity on Semaglutide. With Canada, Brazil and India, and some ROW launches coming up in '26, we are looking at roughly an order book of somewhere around 6 million to 7 million Semaglutide pens, spreading between '25 and '26. So, exact supply time lines are not known. We have started supplying some small quantities for commercial batches, but the larger quantities will start towards the second half of '25 and spill over into '26.

Anant Jain : Just 1 or 2 more questions. One is do you think looking at the entire market of both Semaglutide and insulin, we are a little behind in terms of CAPEX because any kind of CAPEX that we want to do would roughly take 1.5 years, I would assume. That's the first question.

The second question is, you mentioned consumer and new business under discussion. Can you give some idea about what this business is? What size this business can be? And do we plan to raise capital? Because I would assume that both our pens and if you see consumer as a significant opportunity, we would require funds.

Amit Sanghvi : On to your first question, I think capacity in general in the device business globally is at constraint right now. So, the way I would look at it is that capacity build is happening always a little bit behind what the market needs. But at the same time, people are cautious of not having an overbuild of capacity because the way Semaglutide is going, we don't know how commod itized it will become by the time it launches and becomes a little bit mature. Although we are slightly late on the capacit y build, the opportunity is not lost because I think everybody has a lack of capacity right now.

On the consumer, I'll let Sanjay bhai answer that question.

Sanjay Shah : So, on the consumer space, we are still exploring that opportunity. And as we mentioned last time, as and when we have some definite reply, we will get back to you on a call about the same. Even on expansion, we are working out whatever requirements would be. And based on that, once we have exact details in terms of what funds are we looking at anything, we will see how we would want to fund that. So, we do not have an idea of how we are going to look at funding our expansions right now.

Moderator : The next question is from the line of Ritesh Shah from Investec. The line for the current participant has dropped off. We will move on to the next question th

at is from the line of Aman Thadani from Solidarity Investment Managers. Please go ahead.

Aman Thadani : Sir, my first question is, we recognize the significant opportunity that we have in GLP -1. So, could you share your perspective on the potential risk, both external as well as maybe internal execution related that you sort of anticipate?

Amit Sanghvi : The risk is, as I answered the previous caller's question, is that first, the demand is constantly changing. And what we have seen in GLP -1 is that the demand is constantly growing. Our customers are also not able to fully anticipate what a realistic forecast looks like. So, from whatever information we have gathered from our existing and new customers, we are looking at building up capacity to manufacture 34 million to 35 million pens a year for Semaglutide. So, this capacity will go on strea m in the first half of '26, not FY , Calendar '26. We have started the capacity buildup on Semaglutide. We have existing capacity which we can cater up to 10 million a year. And we are building new capacities to add another 25 million.

The internal risk and the external risk. I think although we go through about maybe close to 100 different audits a year, we still haven't been audited by the U.S. FDA. So, as and when that happens, that will happen at some point. There is certainly a risk that shouldn't be a major risk, but there is certainly a risk because we are MDSAP certified with the U.S. FDA scope. So, we believe that we are confident the risk is minimized, but there's always a certain risk of some minor findings.

The second is how quickly can you scale up? I think operationally speaking, given that Shaily has a larger business, we do have enough operational capabilities that are fungible in terms of human resources across the various businesses that we have. So, operationally speaking, it's always easier to potentially hire and train on the consumer side of the business than on the pharmaceutical side of the business, which means that those with the experience on the consumer side can be taken onboard the pharmace utical side to help with the operational scale up. And to mitigate the kind of the U.S. FDA risk is that we have already started the project of automating our entire QMS documentation, which is a project that had started earlier this year and will go on for 24 months. But we should be fully digital in terms of all our documentation.

Aman Thadani : So, my second question is, sir, over the next decade, Healthcare division would sort of become a substantial part of our business. And it's sort of very distinct from the other segments of the company. So, what sort of initiatives are we thinking to recruit more talent in Shaily India, maybe

probably from the Healthcare background to sort of help us expand this segment of the company.
Amit Sanghvi : I mean, recently, we have recruited a very large tooling team, right? Like one of our biggest, at the heart of the business is making sure that the tools we manufacture or outsource are done rightly. So, a lot of focus has been on recruiting the right tooling team. I think we have recruited upwards of 17 engineers on the tooling side in the last 4 months itself. And we continue to grow that team. So, both manufacturing tools internally as well as having the right competency to run several proj ects at the same time is what we are doing in India at the moment. So, India very much focused on manufacturing and tooling in terms of recruitment right now. Of course, we are also looking for senior management on the operations side.

Aman Thadani : Sir, my third question is, we sort of don't disclose the specific pricing details for our pens. Maybe could you provide some insights into the pricing differential between a like -to-li

ke pen or, let's
say, Shaily Engineering and Becton Dickinson so that we sort of understand that is there any advantage for a player to manufacture in India?
Sanjay Shah : Aman, I'll let Amit answer part of the question, but pricing, I don't think we will want to disclose anything in terms of how we are pricing it to whatever competitors are. I don't think that's a question we would want to answer on a call.
Amit Sanghvi : Aman, the right way to look at it is what market you're supplying to. Insulin is price -sensitive. So, there's a x price for pen being sold on the insulin business. Of course, there are also a different SKU altogether. And then Semaglutide is going to be at a different price point. We also have the advantage that we are the only spring -driven pen out there. So, I would say, against potentially a BD or another competitor, we would be priced either on par or potentially at a premium.
Aman Thadani : Sir, even for a like -to-like pen with sort of like having manufacturing facilities in India then too, would it be at a premium to BD?
Amit Sanghvi : Well, see, it's not a like -to-like pen. BD does not have a spring -driven tech at the moment. So, for GLP -1s, particularly for Semaglutide, we have got a device, which functions just as well as the innovator device, which gives us the ability to market it at a slight premium. Second is also the money spent . It's not just the manufacturing margin. The money spent on developing the IP technology platform, all has to be considered as part of pricing.
Aman Thadani : And sir, my last question is on the Industrial business. Sir, we received order in that business. So, sir, can you provide some color like what product is it? And what would be the size of that order?
Sanjay Shah : That's a new customer we have added on the automotive space. It's a start which we are trying to do with this customer. As we move forward, we will look at building up the relationship with this customer.
Aman Thadani : And sir, the total orders that we received in Q2 FY '25, what would be the size of both these orders from the consumer as well as from the Industrial division?
Sanjay Shah : We are not disclosing the numbers here. What we are trying to disclose here is basically adding businesses across different businesses.
Moderator : The next question is from the line of Rupesh Tatiya from Intelsense Capital. Please go ahead.
Rupesh Tatiya : So, sir, my first question is this spring -based device you have talked about. We have recently seen announcements from generic players, 3, 4 of them, that they have settled with the innovator for Semaglutide, Novo Nordisk, the settlement is with Novo Nordisk. Sir, my question is our device part of any of these settlements?

Amit Sanghvi : I will not be able to answer that, Rupesh.
Rupesh Tatiya : And sir, I mean, in one of them, at least, I know that it's not a spring -based device where the settlement has happened. So, how does that impact your competitive positioning? Do you still hold the view that we will still be able to get 60%, 70% of the generic market share?
Amit Sanghvi : That view is based on the number of generics we have actually signed on. So, it's not really anything else, but what's also happening is the number of players getting into Semaglutide are also increasing on a daily basis. You have almost an equal opportunity. If we look at the volumes, U.S. is going to contribute 30% to 40% of the global volumes going forward. Basically, the ROW markets are simply not supplied a t the moment by the innovators because of capacity constraints.
So, you have an equal opportunity on the ROW markets as well. And we are seeing a lot of scale being built for the ROW markets. So, yes, I think, my view would still probably hold that based on customers that we have signed on and those we are working with, at a glob

al level, we should
have a very a dominating market share on the Semaglutide business for generics.
Rupesh Tatiya : And then, sir, other question is Canada patent expires by Jan '26 for Semaglutide. So, I am a little confused on the timelines you said. So, the Semaglutide supply will start in Calendar ‘2 5? Or it will start in Calendar ‘2 6?
Amit Sanghvi : It will start in Calendar ‘2 5, and spill over into '26.
Rupesh Tatiya : So, that 6 million to 7 million number you said we can hit that is Calendar ‘2 5?
Amit Sanghvi : Like I said, it will start in Calendar ‘2 5, and you not supply the entire 6 million to 7 million in Calendar ‘2 5. So, there will be a volume that spills over into '26.
Rupesh Tatiya : And the 2 questions on this non -U.S. market supply. So, is entire supply going to be spring - based device? Or will it be some other platforms as well? And what would be the pricing differential between, let's say, other regulated markets versus, let's say, some ROW emerging markets, if you can give some view on that?
Amit Sanghvi : Our pricing is very much based on volume. So, regardless of the market you're operating in, our pricing is more or less the same. It's staggered pricing. You've got volume slabs. And between the spring -tech and the non -spring -tech, the pricing differential would be, I think 7% to 10% depending on mark et, but yes, that's about it.
Rupesh Tatiya : But there will be some non -spring -tech based Semaglutide supply?
Amit Sanghvi : Yes. We have non -spring -based Semaglutide supply also.

Rupesh Tatiya : And then, sir, my final question is you have said Healthcare will be 25% of our business in 2, 3 years. Can you maybe give a similar view for consumer electronics business?
Amit Sanghvi : We are still working on kind of the consumer electronics business. So, it’s hard to give you any indication.
Rupesh Tatiya : A broad range will do like I mean we shouldn’t even consider it to maybe it will be a decent part of our business. Some qualitative comment around that.
Amit Sanghvi : It can be, but the journey is very early right now. So, we are very much in the nascent stages of that journey. It can be, but given that a consumer electronics is a fast -moving industry, we can see there's a potential to scale up faster if we have success in whatever we are trying to do right now.
Rupesh Tatiya : So, that clarity you would be able to give in another maybe 2, 3 quarters?
Amit Sanghvi : I cannot give you a comment, unfortunately. But as and when it happens, we will provide that clarity.
Moderator : The next question is from the line of Sanjay Kumar from iThought PMS. Please go ahead.
Sanjay Elangovan : First question on Healthcare . Is there a revised target for the number of pens for FY '25 and '26, if you could give the updated guidance for the number of pens?
Amit Sanghvi : No, Sanjay, there isn't a revised target. I think the target we gave at the beginning of the year for this year is what we are sticking with. See, we fully rely on our customers getting approval for our business. So, until we have confirmation that approval has come in and we will start supplies, there's no revision in targets at the moment.
Sanjay Elangovan : And second question, how many unique OEMs do we have for Ozempic and Wegovy and if possible, also for tirzepatide. Also, are we talking to customers who have filed with someone else but are looking to switch for various reasons? And has any clients switched from us to some other competitors for any of the GLP -1s?
Amit Sanghvi : We have probably, I'd say, somewhere around 14 or 15 active Semaglutide projects, some completed, some ongoing, so that would include both Ozempic and Wegovy.
Sanjay Elangovan : By projects, you mean the different dosage variants within Ozempic.
Amit Sanghvi : By projects, I mean, unique customers.
Sanjay Elangova

n : And tirzepatide?

Amit Sanghvi : This is also a business where there's a lot of front -end partnerships happening, right? So, everybody is not going to jump in and compete on Semaglutide. There's going to be a lot of partnerships. So, you’d have a combination of several 2 or 3 pharma companies partnering together on a particular project, someone who takes care of manufacturing, someone who front - ends the business development side of it and the sales side of it, someone potentially being an API supplier.
So, there's a lot of partnerships happening on this -- on Semaglutide particularly. Tirze is, I think 36 is the earliest launch possible, maybe beyond 36. So, we are right now only working with those partners who are interested in the NCE -1 filing.
Sanjay Elangovan : If you could give a number?

Amit Sanghvi : We have said that I think from a timing perspective, the most we can do is 5, and we have signed on more than 50% of that number. So, we have got room for 1 or 2 customers at the moment for tirzepatide. Again, only keeping in mind the NCE -1 filing deadline. Anyone like to do tirze beyond NCE -1, we will have plenty of capacity.

Sanjay Elangovan : And third question, just an extension to 1 of the previous participants. So, on this non -spring -based device, is human factor study not such a big deal for pharma companies that they're choosing to not use spring -based pens. How do I look at the market of human factors?

Amit Sanghvi : Human factors has to be overcome. So, a comparative human factor study is needed for non -spring -based pen.

Sanjay Elangovan : So, let's say, even other pharma companies also follow suit and go for a non -spring -based pen. Is that a risk from that perspective, is my question.

Amit Sanghvi : There will always be several who opt for non -spring -based pen and several who opt for a spring -based pen. Everybody has a different strategy. From the perspective of user experience, certainly a spring -based pen has a better experience for the user. So, I don't think it's all about pricing. It's a number of components essentially and either pen don't really change much. You've got springs, which obviously add to the cost. And then the rest of it is really around the money spent on developing t he technology. So, I think you have a combination of everything, people who opt for a spring -based pen and those who don't.

Sanjay Elangovan : And fourth on insulin, what is our own IP capacity? I believe the client who has given us the 10 million order is planning for a much bigger production capacities and it's almost in the tune of 4x, 5x. We will need more capacity for own IP insulin also, right? Are we not expecting any further orders from them?

Amit Sanghvi : No, we are expecting further orders, and we are also building more capacity on insulin pen.

Sanjay Elangovan : If you could give own IP insulin capacity and what's the CAPEX expansion of the pen?

Amit Sanghvi : Yes. Once our 8 -cavity tools go on stream, we have a capacity of 11 to 12 million pens a year.

Sanjay Elangovan : And the expansion will be?

Amit Sanghvi : I mean, any expansion we do. So, that was our first automated line at 40 parts per minute, hence, for all our lines are essentially going to be 80 parts per minute line. So, roughly about 24 million to 25 million per line for capacity increase.

Sanjay Elangovan : And finally, just a follow -up, sir. So, are we talking to people who are looking to switch and also on similar lines, have any clients switched from our GLP -1 platform to a competitor?

Amit Sanghvi : Any clients who has switched from our GLP -1 to competitor? I don't know. There are people who are running multiple programs and multiple partnerships, and everybody is going to slightly derisk because they don't k

now who is going to succeed. So, yes, I think we do have partners who are running multiple programs and one which would include our device, one which would include someone else's device, someone else's manufacturing capacities and someone else's potentially even API. So, there's a lot going on, Sanjay, that there's a lot of uncertainty, but a lot of optimism on Semaglutide. So, let's leave it at that.

Sanjay Elangovan : And can I squeeze in one more. Do we expect a patent challenge for Ozempic?

Amit Sanghvi : I mean, given the recent settlement, I would anticipate by the time everybody gets to market, yes, there will be patent challenges. I don't think the innovator is just going to allow everybody to walk in. Most of these products are going to be kind of li tigative products. So, there isn't a whole lot anyone else can do about it.

Moderator : The next question is from the line of Mohit Surana from Monarch Networth Capital Limited. Please go ahead.

Mohit Surana: A couple of questions. One, can you give some insights on the Shaily U.K. business? How do we record revenue order? Is it on a project basis? And we are not paying taxes on that business as well. Is it that because we have some tax loss carryforwards? And how long can we continue to pay no taxes on it?

Second, if you can give some insights on, you mentioned the risk about the U.S. FDA approval for your platform pen. I think it's related to the insulin, I am not sure. If you can give some insights on how significant it can be and what measures need to be taken so that we are on the approval side?

Amit Sanghvi : So, to answer your second question first, see, we don't file a product. We only file device components. So, there is a device master file that either we file or we give the dossier to our customers as part of their ANDA filings. All of these products are combination products. So, they are filed by our customers.

The risk of approval is entirely on them. From our side, we just need to make sure that our dossiers are as comprehensive as possible. And then there are no manufacturing issues. There's essentially no QMS issues. Whatever we have defined as our quality ma nagement system, is exactly what we should be following in the plant. So, from that perspective, like I said, we go through maybe 150 audits a year by customers, by third -party external auditors, by MDSAP auditors, ISO -13485. So, we are relatively confiden t that we will not have any significant challenges at a future date when there is a potential audit. And that confidence also comes from our customers auditing us and letting us know that look, yes, your systems are in line with the requirements.

Sanjay Shah : Taking your first part of the question, when we record revenue at Shaily U.K., we have agreed milestones with the customers and as and when those milestones are completed, that's when revenue is recognized. Currently, we have patent box and R&D benefits, which are available in Shaily U.K., just because of the development which we have been doing and the patent which we have been developing there. So, that basically helps us to get to zero taxes

Mohit Surana: Right. So, just to understand the kind of R&D business that we get on a milestone payment basis, it's like developing a product as per the requirement of the client. And then based on the milestone, you record the revenue. So, just wanted to understand how come we are not paying any taxes on it? Is it the regulations that if we are spending on R&D, then we don't have to pay taxes?

Amit Sanghvi : Yes. There is patent box and R&D benefits that you get in the U.K. But I also don't think that it will always be the case because under patent box, you have favorable tax regime. You don't have a zero tax. That's just what has happened in the first 3 yea rs of the business, but we will, of co

urse, be paying taxes.

Moderator : The next question is from the line of as Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Amit, in the first line of the call, you indicated you need to adopt a scalable approach that will help us increase our revenues. So, you used the word scalable approach. And you also indicated that we will look to increase contract manufacturing capacities. Can you please provide some more context to the word scalable approach and the increased contract manufacturing capacity?

Amit Sanghvi : Yes. So, when we talk about a scalable approach is that you actually in manufacturing, you want to stop experimenting when it comes to manufacturing. So, now that we have kind of our first capacity built up on the insulin pen, we figured out what is the right size of capacity per product. So, what is the optimal size of capacity? You get too large a tooling cavitation, it becomes very complex to manage because you're dealing with very small tolerances.

So, basically 16 -cavity tools and 80 parts per minute line are essentially, what we are talking about, is what we feel is the right combination of the highest output with the potentially as lower complexity as possible. So, every time we scale, it will be multiples of this number. That is what I meant when we talk about scalable approach, is that we basically want to get out of

experimenting and manufacturing operations, keep it as streamlined as stable as possible, making sure that you have the right quality of product being manufactured every time.

Ritesh, what was your second question.?

Ritesh Shah : You said you would look to increase our contract manufacturing capacities.

Amit Sanghvi : Yes. So, maybe as part of our first earnings call, we talked about the fact that we are developing capabilities to potentially work with more innovators. I think we have been working with Sanofi for a very long time. So, we are developing capabilities to kind of work with more innovators. And as part of that, one is that building technology that is more suited that we think are the future of drug delivery, so to speak, where sustainability is a big topic. So, we are working towards developing those products and also putting in the capacities in place to demonstrate that we can manufacture at scale for large innovator companies.

Ritesh Shah : My question is, are any of our clients asking for committed capacity from us?

Amit Sanghvi : Yes. We have some clients who ask for committed capacity, but if there is an ask for a committed capacity, it has to be contractually binding on both parties.

Ritesh Shah : Right. So, are you facing that constraint or that particular variable, which is probably a win -win scenario?

Amit Sanghvi : Yes. I think in some cases, we are having very good discussions and potentially leading to those contracts, but the market is volatile. I mean, people will struggle to make a sure -shot commitment to buying an X volume. I think that sure -short commitment of buying an X volume comes essentia lly when you get closer to launch. So, we know that '26 will be launched in some markets. We are getting those commitments on what is the anticipated volume. So, a lot of our design development and exhibit ba tch contracts are being translated into supply agreements.

Moderator : The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta : Congratulations for a great set of numbers. So, my first question was on our own IP pens on the

insulin side. So, as you said, we are doubling the capacity to 25 million pens. So, when is this capacity expected to come on stream? And how fast can we utilize this capacity given a lot of innovators and there is a lot of innovator moving away from insulin and the demand for the insulin pens also is very high.
Amit Sanghvi : Commercially manufactured prod

ucts from this new capacity is, I'd say, 14 to 16 months away, when we can start supplies from the new capacities.
Ankit Gupta : So, it will be most likely to contribute to our revenues in a big way from FY '27 onwards?
Amit Sanghvi : Yes.

Ankit Gupta : In your last participant's question, you're also saying that we are also looking at like building capacities and working with innovators like Sanofi for more insulin opportunities pens in that direction. So, will that be a contract manufacturing opportunity? Or we will also be developing our own IP pens for them?
Amit Sanghvi : It will be a combination. Some will be contract manufacturing opportunities. Some might be a play on one of our platforms. But typically, when you work with the innovator on a novel molecule or potentially large molecules, the relationship tends to be mo re exclusive, unfortunately. I think the opportunity really is to work with one of them and see potentially very significant volumes on a product.
Ankit Gupta : So, for our contract manufacturing that we do for insulin, how much is the capacity currently? And are we also looking to expand it, as we are doing for our own IP pens and insulin pens?
Amit Sanghvi : We are expanding capacities on, I think, all of our platforms. So, we will need capacity on our 2-step auto -injector, which is Toby. We will need capacity on Neo, which is the spring -driven pen. We are increasing capacity on, what you call it, Protean, which is our insulin pen. So, at least these 3 are going through capacity expansion. And then on products like teriparatide, we are not necessarily going through a capacity expansion, but we will have a requirement for a new set of tools purely because the old set was always meant for clinical batches and now commercial batches will come from essentially a higher capacity tool.
Ankit Gupta : We are seeing a lot of like a lot of device manufacturers and even CDMO players, who work on drug and device opportunities. We are seeing that for the incremental opportunities, they want their clients to participate in the CAPEX as well. Ypsomed has talked about expanding capacities where innovators will also be participating in funding the capacity expansion. Any talks that we are having with some of our customers where they also put in money or that ensures locking from the customers also about some capacity or assured volume of capacity for further expansions?
Amit Sanghvi : Yes. Either customer participates on the investment or guarantees a certain volume. See, when we build large capacities, I mean to a certain extent, you can do it based on a forecast. But when you start looking at investing millions of dollars into capac ity enhancement, we look for commitments to customers either in the form of joint investment or participating in the investment or in the form of kind of a capacity commitment, take or pay for next volume for the next number of years.
Ankit Gupta : And just one last question on our nominal consumer business. So, how is that doing? And how do you expect growth for this segment for the next year or 2, both on plastic side as well as carbon steel side. So, if you can talk about that?
Amit Sanghvi : We have participated in quite a large RFQ on the consumer business. So, we are anticipating that we will have decent growth over the next, I think, probably start to commercialize some of

these products in the next 8 to 10 months. So, we are expecting good growth in the upcoming years for the consumer business, both carbon steel and plastic.
Ankit Gupta : So, in the last 2, 3 years that we have been facing or the client also has been facing some challenges on the growth front. So, is it like the business is expected to revive or we are garnering more market share from our competitors

in India as well as abroad?
Amit Sanghvi : I think it becomes a combination of all of the above.
Ankit Gupta : And any update on the carbon steel facilities like how are we doing in terms of capacity utilization and any updates on how we are seeing margins?
Sanjay Shah : Compared to last year, our utilization levels are better. We expect the utilization levels to be better in H2 as compared to H1. And we should probably end the year where we should be EBITDA positive.

Ankit Gupta : Okay, sir. So, for the entire year, we will be able to breakeven?
Sanjay Shah : That's our expectation right now.
Moderator : The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij : Congrats on good performance. I have a couple of questions. So, first, on the Healthcare side. So, I believe in the initial part of the call, you talked about, we are expecting only one commercial launch this year. And you indicated lira, that project, which you were expecting, is happening in FY '26. So, for FY '26, is it safe to assume that the number of commercial launches for us can be like maybe a dozen or so given there are a number of projects in teri and lira also and maybe a few Sema. So, what is your expectation in terms of number of commercial launches in FY '26 for us?
Amit Sanghvi : So, FY '26 runs up to March '26, right? Between FY '26 and FY '27, we expect teri, lira and Sema to be launched in multiple markets across the world. So, all of these programs would have multiple customers. So, I won't comment on potentially how many we are expecting to get approval, but all 3 of these products will be launched in FY '26 and '27.
Aman Vij : Sir, for lira, some of the projects will happen in FY '27, also. I thought most of them will be launched by FY '26 itself?
Amit Sanghvi : There isn't an IP challenge to launch the product. Right now, it's just about who's getting approval faster or which one of our customers gets approval first.

Aman Vij : My next question is on tirze. So, you've talked about we have maybe 3 -odd customers and maybe 1 or 2, we will try more. So, the exhibit batches, have they started? Or when are they expected to start?
Amit Sanghvi : Q4 of current financial year is when we will start supplying exhibit batches.
Aman Vij : And is it safe to assume that the first scaling up of Shaily U.K. in terms of this will come. So, maybe in Q3, Shaily U.K. tirze's projects will start coming?
Amit Sanghvi : Yes, I guess that's safe to assume. But see, we only invoice based on milestones achieved. So, you'll see the fee spread between Q3, Q4 and Q1 of next year for tirze.
Aman Vij : And generally, on Shaily U.K. side, H1 was quite good for us, but normally H2 is much better. Do we expect the same trend, maybe like very good growth in H2 Shaily U.K. compared to H1?
Amit Sanghvi : I think H2 will be comparable to H1 in Shaily U.K., plus or minus some, but essentially, it will be very comparable.
Aman Vij : But not a ramp up, like in the number of pen we are saying we will see a ramp -up.
Amit Sanghvi : No, because we don't sell any pens in the U.K. It's purely creating intellectual property and then managing end -to-end projects and design and development work for particular customers on various molecules. So, I think Shaily U.K. will have very similar revenue as the first half of this year. It could be a little bit higher or a little bit lower, but essentially it will be more or less the same.
Aman Vij : And you talked about good hiring, we have doubled the number of people in the U.K. So, when do we expect, say, some new kind of projects or maybe innovative projects or contract manufacturing, not related to the GLP necessarily, but when do we see some concrete project orders or some projects?
Amit Sanghvi : We have seen some themes on drug delivery or evolvi

ng themes. And we have got maybe our own take on what is the future of GLP -1 drug delivery. So, we are looking at developing 2 types of new platforms. One is based on our fixed -dose pen, which is the Axiom but being able to deliver a much larger volume. So, Axiom currently delivers 80 microliters. For GLP -1s, you typically need something to deliver 500 to 750 microliters.
So, we are working on a product on a platform that delivers the large volume needed for GLP - 1s. But the user experience, instead of dialing, it becomes simply a pull and push to deliver. And then we are also looking at potential unique opportunities on auto -injectors, high viscosity drug delivery. So, with the increased size of theme, we will be looking at a couple of new platforms and products in the upcoming years. So, hopefully, either next CPHI or just shortly after we should be able to showcase some of our new developments.

Aman Vij : Sure, sir. That is good to know. On the capacity, sir, you've talked about we are planning to expand insulin maybe around 25 million, it will be after expansion, then Sema 35 million, then I am assuming the rest of them will be another 10 million, 20 million. So, is it safe to assume we are talking about almost doubling our capacity from 35 million, 40 million to maybe 70 million, 80 million, 90 million over the next 2 years?

Amit Sanghvi : Yes. Insulin, we have 11 million right now. We are adding 24 million. So, insulin will become 30 million to 35 million capacity, Sema will be 35 million. And then everything else together would be at least another 25 million to 30 million.
Aman Vij : And all this expansion can happen in our current facility or do we require a new place because this is like a 100 million number?
Amit Sanghvi : I think, 25 and 25 can happen in our current facility, which means up to another 50 million pens, we should be able to manage in our current facility. It will require, of course, machines and assembly lines and tooling and all of that, but the size of th e facility should be able to manage another 45 million to 50 million pens, and then we will require a new facility.
Aman Vij : That makes sense. Just a couple of more on this and then other part. On lanreotide, we heard that one of the generic players have launched the product. So, how many customers do we have for this product? And do you think this can be a contributor this year to our revenue or sales or only in next year?
Amit Sanghvi : Lanreotide, I mean I guess it's a niche product. So, I wouldn't say we have too many customers on lanreotide. We will look at generating part of the revenue for lanreotide in the current financial year and then a more significant number in the next financial year. So, we will start supply for clinical batches in the current financial year.
Aman Vij : And we have like 2, 3 customers or much more?
Amit Sanghvi : No, no. Just about 2, 3. Yes.
Aman Vij : And so in the presentation, you talked about we have participated in a lot of conferences this year like PDA and PODD. So, how was the response? Did we get any major breakthrough in some of the big 20, 30 pharma companies or anything which you want to highlight?
Amit Sanghvi : CPHI was very, very good for us. I'll be very honest, we did not have time to breathe at CPHI. The discussion was largely around at CPHI, especially on the capacity buildup. I think several of the investors have asked today. So, a lot of the discussions with customers was on capacity built up. And how does that partnership evolve into a commercial partnership, which is kind of beneficial for both.
At the same time, guarantees the customer an X capacity, but also protects us from overbuilding or investing upfront without a commitment. So, largely, the discussion was very much GLP -1

and capacity built up. We have seen a lot of interest in our wearable on -body injector, Mira. So, we are looking at developing Mira further now based on the inputs that we have received from potential customers. PDA, which is very much kind of a learning experience, I would say.
So, it is a conference, but you learn about emerging trends. You learn more about emerging standards and regulation and how do you get combination products out? What is the best possible way to get a combination product through the regulatory authority? So, we participated in PDA and that is where we have kind of enforced the thoughts we had around what are the next generation of products that we should be developing.
So, the auto -injector, high viscosity auto -injector, fixed dose, larger volume delivery are all in line with the themes that we have seen this year on drug delivery. And PODD is still happening. So, I am in Boston at the moment. Today is the last day. And, yes, it's a much smaller conference, but certainly some good conversations. So, PDA and PODD are actually where you get to meet large innovator companies. They don't typically show up at CPHI. So, meeting the likes of larger companies like Eli Lilly or No vo Nordisk or Pfizer, you would see them at these conferences more. And I would say that we have had some good conversations, but how quickly will they translate into business is an unknown, I would 24 months at a minimum.
Aman Vij : Final question on the applicator project, have it started? And if you can talk about is it for which molecule and any other similar projects we can get from other of our customers?
Amit Sanghvi : The applicator? I also don't know which applicator Aman you're referring to.
Aman Vij : There was supposed to be a project started in Q2, I think. Sanjay sir, maybe can talk about.
Amit Sanghvi : I think this is Astra deal applicator. Yes, we have started manufacturing and supplying.
Aman Vij : And any other projects of this size, which we can get from customers?
Amit Sanghvi : No, not at the moment. I think there's enough on our plate. We need to focus on capacity built up and supplies right now. We are focusing on next generation of drug delivery, but we certainly need to focus more on the capacity built up and supplies.
Aman Vij : Final question on the overall company's utilization level. So, good to know it has started inching up at 40%, 45% for this quarter. But say, Q4 exit for FY '25 and exit for FY '26. So, can we expect maybe like 55%, 60% exit run rate for this year and maybe 70%, 80% exit run rate in terms of utilization. I am talking about exit run rate, not for the full year.
Amit Sanghvi : It’s yes, Aman.
Moderator : The next question is from the line of Anant Shenoy from AS Capital. Please go ahead.

Anant Shenoy : Yes. So, my question is on Shaily U.K. So, in the past, you have mentioned about drug delivery devices like soft mist inhalers and on -body injectors. And now you're talking about newer projects like high viscosity auto -injectors and all. So, given these exciting things happening there, like what is the revenue visibility like do you see for FY '26 in Shaily U.K.
Amit Sanghvi : Anant, we develop a lot of these platforms based on where we see drug delivery going. So, they're not necessarily custom developed for a particular customer. We will develop a platform and generally, we know what is the demand out there for a particular type of technology. Revenue in Shaily U.K. has I mean, first half of this year has scaled up quite nicely compared to last year. We anticipate similar run rate for the second half and probably a similar number for the next financial year as well. I am not looking at exponential growth in Shaily U.K., but you'd have decent growth, probably 10% to 12%, 15% growth in Shaily U.K.
Anant Shenoy : My second question is on the

overall like you have mentioned about all this capacity announcement for insulin going to 35 million, Semaglutide going to 35 million. What is the overall spend that we are doing in this one?
Amit Sanghvi : The overall spend?
Anant Shenoy : Yes.
Amit Sanghvi : Some of the spend we have already done. The overall spend is a little difficult to give you an exact number right now, but all these capacities, we are not going to spend everything on day 1. So, spread over the next 36 months, we would be looking at spending probably Rs. 150 crores to Rs. 200 crores on the capacity buildup.
Moderator : Ladies and gentlemen, that was the last question. I now hand the conference over to the management for any closing comments.
Amit Sanghvi : Thank you. Thank you, everyone, for participating. I hope we have been able to answer your questions adequately. For any further information that you need, I request you to get in touch with SGA, our Investor Relations advisors. Thank you once again, and have a great evening.
Sanjay Shah : Thank you, everybody. Happy Diwali and Happy New Year.
Amit Sanghvi : And Happy Diwali, yes, thank you.
Moderator : Thank you, members of the management team. Ladies and gentlemen, on behalf of Shaily Engineering Plastics Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

SEPL/SE/ FEB /24-25
17th February 2025
The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY
Sub : Q3FY25 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015
Dear Sir,
We refer to our previous letter dated 10th February 2025 , wherein the Company updated the audio link of Earnings call held on 10th February 2025 to discuss the operational & financial performance of the Company for the quarter and half year ended on 31st December 2024 .
In context therein, kindly find attached herewith transcript of the referred Earnings call.
A copy of the same is also available on the Company's website at www.shaily.com at https://www.shaily.com/investors/compliances -policies/earnings -call
Kindly take the same on record.
Thanking You
Yours truly,
For Shaily Engineering Plastics Limited
Harish Punwani
Company Secretary & Compliance Officer
M. No. A50 950
ENCL: A/a
Page 1 of 23 "Shaily Engineering Plastics Limited
Q3 & 9 Months FY '25 Earnings Conference Call "
February 10 , 2025
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th February 2025 will prevail
MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY ENGINEERING PLASTICS LIMITED
MR. SANJAY SHAH – CHIEF STRATEGY OFFICER – SHAILY ENGINEERING PLASTICS LIMITED
SGA, INVESTOR RELATIONS ADVISORS – SHAILY ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9 Months FY '25 Earnings Conference Call of Shaily Engineering Plastics Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Sanghvi, Managing Director from Shaily Engineering Plastics Limited. Thank you, and over to you, sir.
Amit Sanghvi: Thank you very much. Good afternoon, and a very warm welcome to all the participants to the post results earnings call of Shaily Engineering Plastics.
I have with me Mr. Sanjay Shah, our Chief Strategy Officer; and SG A, our Investor Relations Adviso rs. I hope you've had a look at our investor presentation that is uploaded both on our website as well as the Stock Exchange .
Let me start by giving some highlights on the operational performance of the quarter. We delivered a robust top line growth of 25% to INR197.6 crores in Q3 FY '25 and have improved our gross margin and EBITDA margin, which stands at 47.5% and 23.4%, respectively.
This is mainly due to increased sales from our Healthcare segment, which grew by 62% on a year-on-year basis. In the healthcare space, during Q3 FY '25, we have successfully signed six

additional contracts with different customers for pen injectors and auto -injectors for GLP -1 and other therapies.
We have also taken part in CPHI in November of 2024, where we had excellent 3 days of traction and meetings with several potential and existing customers on new projects and new molecules.
We anticipate that our medical device business will compromise abou t 30% of our revenues over the next 3 years, enhancing organizational value significantly.
In January 2025, we have incorporated Shaily Innovations FZCO as a wholly -owned subsidiary of the company in Dubai. Presently, we're extending our reach to global markets through our subsidiaries, Shaily U.K. and Shaily Innovation. We're seeing growth on our IP -led platforms going forward. We are in discussions with customers regarding volume commitments and capacity commitments for the next 3 to 5 years and would be aligning our manufacturing capacities accordingly.
Our focus is in line with expanding our horizons to include contract manufacturing for medical devices and products featuring our own intellectual property. The dedicated efforts invested in advancing our injection system platforms are beginning to show fa vorable outcomes. Within this industry, we remain committed to continuous growth and innovation.
In the Consumer segment, we've been awarded new business from 2 global retail chains. Supplies for the same will start from Q1 and Q2 FY '26. Secondly, we successfully participated in Cosmoprof in Mumbai to showcase our expertise in specialty packaging as well as decoration.

Despite the ongoing geopolitical challenges, revenues from this segment grew by 20% year -on-year to INR141 crores in Q3 FY '25.
In the Industrial segment, we've unfortunately had a small amount of degrowth by 8% year -on-year to INR12.5 crores in Q3, but we expect the growth to come back at a steady pace.
That is all from my side. I shall now hand over the call to Sanjay Shah to give you the operating and financial highlights. Thank you very much.
Sanjay Shah: Thank you, Amit. Good evening, everyone. I shall share with you the highlights of our operational and financial performance of Q3 and 9 months FY '25, following which we will be happy to respond to your queries.
During the quarter, we processed 6,308 tons of polymers as

against 5,223 tons in Q3 FY '24. For
the 9 -month period, we processed 18,396 tons of polymers compared to 16,718 tons in 9 months FY '24. Machine utilization rate was at 45% in Q3 FY '25 and 43% fo r 9 months FY '25. We expect this to increase in the coming year. We expect to increase utilization level to around 80% in the next 2 to 3 years. Exports during Q3 FY '25 and 9 months, FY '25 stood at 79% and 79% , respectively, of total revenue.
I shall now brief you on the consolidated results highlights. Revenue stood at INR197.6 crores during Q3 FY '25 as compared to INR158.4 crores during Q3 FY ' 24 , a growth of 25% year -on-year.
EBITDA stood at INR46.3 crores during Q3 FY '25 as compared to INR33 crores during Q3 FY '24, a growth of 40% year -on-year. EBITDA margin stood at 23.4% for Q3 FY '25, an increase of 260 bps over Q3 last year. PAT stood at INR25.2 crores during Q3 FY '25 as compared to INR14.5 crores during Q3 FY '24, a growth of 73% year -on-year. PAT margin stood at 12.8%, an increase of 360 bps over Q3 last year.
Cash PAT stood at INR35.9 crores in Q3 FY '25 as compared to INR23.9 crores during Q3 FY '24, a growth of 50% year -on-year. Now coming to 9 months FY '25 consolidated results. Revenue stood at INR569 crores in 9 months FY '25 as compared to INR473.3 crores during 9 months FY '24 the growth of 20%.
EBITDA stood at INR123.8 crores in 9 months FY '25 as compared to INR87.2 crores during 9 months FY '24, a growth of 42%. EBITDA margin stood at 21.7%, an increase of 330 bps over 9 months FY '24. PAT stood at INR 64.5 crores in 9 months FY '25 as compared to INR38 crores during 9 months FY '24, a growth of 70%.
PAT margin stood at 11.3%, an increase of 330 bps over 9 months last year. Cash PAT stood at INR95.6 crores in 9 months of FY '25 as compared to INR63.6 crores during 9 months of FY '24, a growth of 50% year -on-year. Our ROCE and ROE stood at 22.8% and 18% respectively, as of 31st December 2024. The growth in business has been achieved with disciplined use of capital. Our debt -to-equity stands at 0.43 x and long -term debt to equity stands at 0.09x as on 31st December 2024.

Now coming to consolidated segmental revenue breakup for 9 months FY ' 25. In the Consumer segment, revenue stood at INR 412.7 crores during 9 months FY '25 as compared to INR364.5 crores during 9 months FY '24, a growth of 13%.

In the Pharma segment revenue stood at INR108.6 crores during 9 months FY '25 as compared to INR69.1 crores for 9 months FY '24, a growth of 57%. In the Industrial segment, revenue stood at INR47.7 crores as compared to INR39.7 crores during 9 months FY '24, a growth of 20%.

This is all from our side. Now we can open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Harssh K Shah from Dalal & Broacha.

Harssh Shah: Congratulations on a strong set of results. So a few questions from my side. So firstly, do you envisage any sort of impact on us if U.S. kind of implement certain tariffs considering that USA is a large geography that we cater to, if not the largest. That was my first question.

Amit Sanghvi: Harssh, could you repeat your question …

Hars sh Shah: Yes. So basically...

Sanjay Shah: So maybe it's a little too early to talk about it.

Amit Sanghvi: We have just as much information as you do.

Sanjay Shah: Probably you might have better information.

Amit Sanghvi: Okay. At this point, I don't know.

Hars sh Shah: Okay. Got it. Secondly, on the thing wherein we signed 6 healthcare contracts. So any sort of period in terms of execution by when do we have to complete this? And is it purely related to manufacturing or there are certain projects that would be developed in Shaily U.K.

Sanjay Shah: Because it is a combination, Hars sh of -- part of it would be development, part of it would be supply. And once a customer b

asically signs up, he would basically be taking those devices from us on a long -term basis. So these would be contracts that would be long -term.

And as Amit mentioned in his speech, these are -- some of them for GLP -1, some of it are auto - injectors and some of it for other therapies. So this is basically the basket of offerings which we have. We have contracts across the basket or the portfolio whi ch we have with different customers.

Hars sh Shah: If you could quantify the size of the orders, if possible in terms of pens?

Sanjay Shah: It's difficult, Hars sh, to -- in terms of putting in a number right now would be very difficult. A lot of it will depend on how successful is that customer when the drug moves off patent and when he gets his FDA approval and when he launches it. But what this basically represe nts or

clarifies is that we have a lot of customers who are signing up for devices with us, which is good for us.

Hars sh Shah: Got it. Any number you would like to put, say, for the number of pens that you have sold in the first 9 months of this financial year, if you have it handy?

Sanjay Shah: I really don't have that number handy. We'll probably...

Amit Sanghvi: But I don't have it handy, yet at a moment. We will send that number out later on.

Sanjay Shah: Yes.

Harssh Shah: Yes. Last question from my side. So the thing that you mentioned in the investor PPT with respect to the two global retail chains. So are there -- are these completely new customers? Or have we supplied to them earlier also?

Sanjay Shah: So we have not done any business with either of these customers over the last 5 years. With one of them, we have done some business prior to 5 years. So I think we will take it as a new customer.

Hars sh Shah: And then related question, how big this can be in terms of offer

Sanjay Shah: So we have been in discussions with them over a long period of time. And so something we were able to close on something. So that's how we would look at it.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: First, congratulations on a good set of numbers. Amit, you made in your initial remarks a comment around volume and capacity commitments for next 3 to 5 years. Is it possible to elaborate this? Are we facing any constraints on the capacities when the vendo rs come to us and they ask for dedicated supplies? How should we look into this?

Amit Sanghvi: There isn't a constraint. You see, there is an X capacity we've built on every product on day 1, which would, of course, be single -digit mill ions. A few of our products -- two of our products particularly have higher capacity because we've built that knowing the commitment from customers.

Now when you look at GLP -1s and potential Semaglutide launches coming up for '26, '27, '28, etcetera, then we will need to build capacity. And for that, we're working with customers to get kind of volume commitments.

Ritesh Shah: Okay. So you're most positive on Sema followed by Lira and Teri. So you indicated '26, '27, '28 launches are there. I think in the prior calls, you had indicated a capacity that we will be looking at around 35 million tons. Are we sticking around with the same number?

Amit Sanghvi: Yes. Now Teri, I don't -- we don't need any more capacity on Teri, because it is -- from a volume perspective, small product, but value is quite good. Lira, we scaled up the Lira and the insulin pen is the same. So we already did the scale up. We created 11, 12 million capacity last year.

Therefore, we're not looking at any capacity increase on that. So the only capacity increase we're looking at is for the pen and the auto -injector on the Semaglutide.
Ritesh Shah: Okay. So if -- just correct me if I'm wrong, our current pen capac

ity would be around 40 million,
and I think we had indicated a road map to, say, 100 million pens, but we have not given any time horizon over here. So possible like -- so when we say 3 to 5 years, it is like 40 million to 100 million over 3 years, 5 years? And basically, how does one bifurcate this 40 million to plus 35 million, 75 million and the balance and how does the insulin fit in overall on the basket of 100 million pens?
Amit Sanghvi: Yes. Sorry, Ritesh. I think communication we've done earlier is still very much the same plan. Not a whole lot has changed. We -- from having about 35 million capacity right now, we're looking at adding another 50 million to 80 million over a period of tim e. So between now -- let's say, between now and December '26, we're looking at adding another 50 million to 60 million capacities on pens and auto -injector combined.
And of course, if we're adding capacity, then we should assume that sales should start shortly after the addition of capacity, probably within the 12 months.
Ritesh Shah: Okay. And the question on insulin. So I think 35 million pens right now, I don't have a breakup of how much insulin contributes. You did indicate incremental 35 million will be Sema. So if I assume all of it is -- I don't know how to break it up, if you co uld help us comprehend that?
Amit Sanghvi: 35 million includes contract manufactured and our own IP, right? The majority at the moment is insulin.
Ritesh Shah: Okay. So insulin percentage will continue going forward? Or is it something that will decline based on profitability? How are we looking at it?
Amit Sanghvi: Look, every year, a lot of these are depending on launch years, right? So launch year, you will obviously have higher volume of another product, which means that insulin could potentially as a share -- percent share come down. But it balances out over a fe w years. So it's not that every year, you keep seeing a single product continuously grow. You will have -- you'll also reach a stage on a single product where it eventually plateaus out.
Sanjay Shah: Can I probably rephrase that answer a little bit? So Ritesh, the way we would look at it is as we move forward over the next 3 to 5 years, you will see our own IP -led pen platforms contributing much higher revenue as compared to contract manufacturing. Tha t also -- our IP -led platform also in insulin areas.
Ritesh Shah: Sure. Just a follow -up, a quick one. Do we have the brownfield optionality at the current place in Gujarat? Or will we have to scout for new land building? What will be the capex corresponding to that?
And the second question is what sort of regulatory approvals do we require as we look at the scale up from, say, 40 million to 100 million pens with respect to certain US FDA approvals?

Or are there any other regulatory bodies we need to approve us? Or are you already done with the process?
Amit Sanghvi: I think we will obviously get back to the shareholders in due time on capacity expansion plans, where, how, et cetera. But on the second question, there is no further regulatory approvals needed for enhancing capacity. All the work required to enhance capacity is internal to Shaily and then you just have to file the work that you've done, including design verificat ion and part of your update to the filing.
Moderator: The next question is from the line of Nirali Gopani from Unique PMS.
Nirali Gopani: Congratulations on good set of numbers. So Amit, the first question is on the Dubai subsidiary. So briefly spoke about it in your opening comments, but if you can share some more details that the work we are planning to do there is similar to what we have been doing in our U.K. subsidiary, the opportunity size and the reason why did we choose to do it in Dubai when U.K. is doing so well, briefly on that?
Amit Sanghvi: I mean multiple re

asons. We don't -- upfront on day 1, we're not going to start doing any inventive work in Dubai. What we're planning to do is setting up kind of a global test lab where you can run as an independent. So what happens, right? Today, a lot o f the -- all the testing we do, we only do up to design verification. Then customers still want us to do their end of the verification, but we often refuse because we don't want to handle drug at Shaily. We don't also have the license to hand le drug at Shaily.
This one aspect is also that customers from an agency and regulatory perspective, don't feel

comfortable doing design verification at the same site where we've done our engineering kind of or exhibit batches. So this is kind of a start of a plan to create this test lab where you -- which also becomes like a part of the innovation that we do in the U.K.
And also kind of when you actually start shipping product in the market, you will have market complaints, whether it's related to us or not, but oftentimes, devices will be sent to us for analysis.
So from a logistics standpoint, it just becomes easier to get things in and out of the UAE.
Even today, we have significant logistics constraints when we -- when customers ship us cartridges, PFS, etcetera. So that was the idea, but it might be something larger than that as of today. But we'll, of course, inform the community when we have more information.
Nirali Gopani: Yes. And then just a new -- 2 new consumers retail chains that we have tied up. So this will be the model of working will be similar to what we are doing with home furnishing, right? This will not be off -the-shelf that we have always avoided to do. And the product will be similar to what we are doing for the home furnishing today?
Sanjay Shah : So product will be similar to the home furnishing customer, but we will be offering them off -the-shelf product of chain.
Nirali Gopani: So then we won't lead to inventory problems and because we have always avoided doing off -the-shelf and hence, we never work with any other retail chains?

Sanjay Shah No. So these are fixed orders. So I don't think from an inventory standpoint, there is an issue.
We will need to make some minor investments in tooling where we have some agreement with the customer in terms of how do we make the recovery for that. So that 's what it is.
Nirali Gopani: Okay. So we don't see any negative impact on our numbers because of this model, right?
Sanjay Shah : No.
Nirali Gopani: Okay. Perfect. And Amit, a few quarters back, you had spoke about working on 3 new sectors. One was consumer electronics, one was telecom and healthcare. So healthcare is for sure doing very well. Any update on the other 2 sectors? Are the talks going on? Any update would you like to share on that?
Amit Sanghvi: I mean, we're going through the process of building that business. We unfortunately do not have an additional update apart from the fact that we're scaling up the capabilities that we need to enter that business successfully. As and when we have an update, we'll certainly let you know.
Nirali Gopani: And Amit, if I'm not wrong in this call, you just mentioned that the medical devices will form 30% of the revenue in the next 3 years. And in the last call, that number was 25%. So is this because of the new orders or the contracts that we have signed? Or you see that growth ramping up very fast and you're being a bit conservative?
Amit Sanghvi: No, no, 30%. 30%. The thing is there is just as much information in the public domain as we have. Having said that, we certainly see a really good opportunity to ramp up over the next 2 to 3 years. And if it's not GLP -1s could be -- I mean, GLP -1 will ramp up. But if GLP -1 is not going to be the only contributor to that share of revenue we're talking about, we will also be ramping up maybe a few other n

ovel molecules on the business.
It could be some very nice one -off projects, information that we cannot put out in the public domain at the moment, but some potential innovative projects what we're looking at most.
Nirali Gopani: And one last question. So Amit, healthcare has been doing very well for the past few quarters, and it is still definitely at an inflection point. So can you talk about how have you built a team on the healthcare side over the last 2 years? Any hiring that you would like to highlight? How is the team build up there?
Amit Sanghvi: It's a combination of old talent at Shaily, of course, very good engineering talent at Shaily, probably hired in the last 36 months from the pharma industry to come with a lot of regulatory GMP kind of know -how.
In fact, our Head of Operations is from the pharmaceutical background and hiring of very high level of engineering talent from countries like Singapore and Malaysia. So this is how we're kind of building up on the capability side. And then all the support staff, which is business development, product strategy, including our R&D in the U.K. We have now scaled up to 14 people in the U.K., and we're looking at adding another 3 to 4 in the current calendar year. So the U.K. scale up is also something that my wi fe manages, of course, but it's going exceptionally

well. So we're really focused on the business. We're really focused on creating very significant value and always being on the forefront of technology.
Nirali Gopani: That's great. Congratulations once again and it is good to see how the company has shaped up in the last few years. That's it.
Moderator: The next question is from the line of Anant Jain, an individual investor.
Anant Jain : Congrats on a good set of numbers. My first question is on the consumer electronics side. Are

there any updates there in terms of the number of customers or the clients that we are working with? Is there a definite agreement that we are looking to sign any time lines around that? I'll come to the healthcare questions later on.
Amit Sanghvi: No. We don't have any contracts in place. We are working on a road map with customers to eventually get there, but we don't currently have any contracts in place.
Anant Jain: Okay. And are we working with multiple customers there?
Amit Sanghvi: Yes.
Anant Jain: Okay. Great. Now on the pen side, we have signed 6 contracts for pen injectors. Would it be possible for you to tell which therapies these are? And are these for GLP -1 or some other therapies?
Amit Sanghvi: Therapies, I mean, majority of the 6 contracts are GLP -1s -- then you have insulin, you also have parathyroid hormone and migraine medication.
Anant Jain: Okay. So these are like well spread over. Okay.
Amit Sanghvi: Yes.
Anant Jain: The next question is like we are looking at expiry of GLP -1 patents in Middle East in middle of '25. We are looking at Canada, rest of the world expiring in Jan '26. Now all of these markets, we need to build the supply chains much before the patent expiry . So is it fair to assume that our Sema, Lira volumes will start building up for these markets from, let's say, Q2 of this calendar year? Is that a fair assumption?
Amit Sanghvi: I think Q2 of financial year for sure. So let's say, an overlap between Q2 calendar and Q2 financial.
Anant Jain: Q2 calendar, Q2 financial overlap.
Amit Sanghvi: Yes.
Anant Jain: In terms of capacities of Sema, I think we were doing 1 line, 40 parts per minute, 12 million capacity. What kind of capex do we expect for Sema ROW demand for next year? And are we looking to add bigger lines like 80 parts per minute kind of 25 million kind of annual capacity per line

Amit Sanghvi : Anant , let me correct you. The 40 parts per minute line we have is

for the Protean pen, right?
So that's liraglutide and insulin. We have effectively -- we've been running it for some time, effectively about 12 parts per minute line for Sema.
We are building an 80 parts per minute line for Sema and we were building second 80 parts per minute line also in the coming 18 to 24 months. So we're looking at, let's say, creating capacity. I don't know how much of that exactly will get sold in the exact same time frame. But we're looking at about 40 million capacity build up 40 million to 50 mi llion.
Anant Jain: Looking at where we are in terms of our capabilities and devices, do we have -- are we talking to customers in terms of dedicated lines, taking advances from customers for those dedicated lines? Any arrangement of the types of take -or-pay kind of agreement s that we are kind of building with clients, because we are putting up large capacity. So are we going to have these kind of arrangements, agreements with the customers? Do we any of them?
Amit Sanghvi: I said yes, we will. That's what I mentioned in the speech that we're looking at basically negotiating volume commitments, capacity commitments with customers.
Anant Jain: And one last question. Capex plans for FY '26 and FY '27, if you could just elaborate on that, because we have more clarity today than we had in the last call.
Amit Sanghvi: See, Anant, It's a very -- it's a right now a very -- it's present changing quite fast. So we're going to consolidate all the information, come up with the strategy and make a decision and probably inform everybody on the next call.
Moderator: The next question is from the line of Mohit Surana from Monarch Networth Capital Limited.
Mohit Surana: So I just wanted to ask the utilization has improved this quarter versus last year as well as the last quarter, but our revenue has been flat for this quarter compared to the last quarter. But still we were able to increase our margins. So just wanted to u nderstand how did we execute so that we achieve this kind of results?
Sanjay Shah : Mohit, when you look at utilization number, you're looking at utilization number across the company. You're not looking at -- we don't report individual utilization numbers. There would be pockets where you would have had a better utilization, there would be pockets where you would have the same utilization number. So that's the way to look at it.
Mohit Surana: Understood. So sir, the margin expansion that we saw this quarter, was that really because of the Healthcare segment?
Sanjay Shah : Was mainly because of what you said?
Mohit Surana: Was mainly because of the Healthcare segment, Pharma segment?
Sanjay Shah : Yes.
Moderator: The next question is from the line of Ritwik Sheth from One Up Financial Consultants.

Ritwik Sheth: Sir, my question is to understand the opportunity of GLP -1. Sir, you mentioned that we are adding about 35 million capacity for pens and auto -injector for Semaglutide. Is that -- did I hear it right?
Sanjay Shah: Yes. What we have said is the total pen capacity which we are adding will be total linked to the number which you talked about.
Amit Sanghvi: Yes.
Ritwik Sheth: Okay. And sir, so the pen and the auto -injector is for the fill and finish, is that understanding right?
Amit Sanghvi: Fill and finish?
Ritwik Sheth: Or we are not doing the filling of the API?
Sanjay Shah : No, we don't do the filling. We are only a device.
Ritwik Sheth: Okay. So we'll be just doing the plastic molding of the pen as it is, right?
Amit Sanghvi: No. We will basically be supplying the device as simple, but yes.
Sanjay Shah: We will be supplying the device. The fill and finish layer will basically put in the buyer of the drug into the device.
Ritwik Sheth: Okay. Got it. So you will be supplying it to the player who will be doing the fill and finish?
San

jay Shah: We will supply to our customer. The customer might have contracted with somebody for the fill and finish, then we might be required to deliver it to the fill finish.
Ritwik Sheth: Got it. And sir, what would be the cost of a pen realization? Any sense currently?
Sanjay Shah: Very -- so it's very difficult to put in a number. There will be different pens will have different pricing.
Amit Sanghvi: Volumes, what is the commitment level from a customer? What are the slabs? What is the MOQ, colors, activities involved? There's a lot of it, but broad range could be something as low as $2 to maybe $7.5, $8 for different therapies.
Ritwik Sheth: Okay. Got it. So Semaglutide could be anywhere from $2 to $7 per pen.
Amit Sanghvi: Yes. All -- I'm not saying just Semaglutide. This could be any therapy.
Ritwik Sheth: Any therapy. Okay. Got it.
Moderator: The next question is from the line of Aman from Astute Investment Management.
Aman : My first question is on Shaily U.K. So did the Teri exhibit batches start in Q3 or we are expecting it to start in Q4? And then do we expect a good bump up in, say, Shaily U.K. numbers in Q4?

Amit Sanghvi: The exhibit batches, Aman, will be supplied from India. So they will start now, but you will see the revenue in India.
Aman : Okay. So the platform fees and everything is already as a part of Shaily U.K. already in the numbers. On the manufacturing...
Amit Sanghvi: Correct. Portion of it is already captured and portion the balance -- I mean it's all -- it's milestone based in Shaily U.K. So as we execute the project and achieve the milestones, we raise the relevant invoices.
Aman : Sure. As now given we have ramped up our team in Shaily U.K., so we have a good growth in this year. But for the next year or next 2 years, what kind of growth should we assume in Shaily U.K.?
Amit Sanghvi: Shaily U.K. will focus on 2 things. You'll have a set of teammates or set of the team, which will focus on the life cycle management and scale up of all the products that we're scaling up, right? So there's a lot of development activities still involved wh en you go from 4, 8 to 16 or 32 cavities and similarly, when you scale up the assembly line. Portion of the team and the focus is going to be doing a lot more with innovators.
So we want to take on potentially larger -- longer -term commitments, larger projects, longer -term commitments and focus on developing devices for the innovators. And the pipeline -- anyway, our own pipeline is -- we still have about 4 devices in the pipeline, which will happen over the next 24 months.
Aman : So from around GBP 5 million run rate, can we expect it to scale to GBP 10 million to GBP 15 million kind of run rate in the next 2, 3 years?
Amit Sanghvi: Look, hard to say again, but the short answer is that you should be able to scale it every year. Some years, you will have higher growth, some years, the growth rate will come down. But over a period of time, it should average out and we should expect growth year -on-year.
Aman : Sure. Next question is, if you can update on the teri and the lira launch, which was expected in this calendar year '25. So any rough time lines, can it happen in the next quarter? It will take 2, 3 quarters? And if there is a delay, is it mostly on the cu stomer side, because there are some other generic companies who are launching these products. So won't our customer miss the bus if it is delayed in terms of launch in both teri and lira, if you can talk about both of them individually?

Amit Sanghvi: Good question. I'm also constantly engaged with the customer to find out are they going to launch. Let's hope next 3 months or 4 months for both launches. Again, but I'm not giving a guidance that this is -- there's nothing in place as an impediment that p revents launch. So we should hope that they can lau

nch in the next 2 quarters.
Aman : Okay. And is it like 1, 2 customers or there are like maybe 3, 4 customers? So if one doesn't launch, then other can launch, both teri and lira combined?

Amit Sanghvi: I mean, some are in terms of filing than the others. We have multiple customers on both molecules. Some are more advanced, some are not quite as advanced. So we will have to wait in queue until their files are approved.
Aman : Sure, sure. Next question is you've talked about we are building this now 80 PPM line for Sema. So any time line when it will be completed? And does that include auto -injector line or auto -injector line will be a separate line? And when can we see a ramp -up in say, auto -injector sales for us?
Amit Sanghvi: I think auto -injector ramp -up, you will see some ramp -up because we have a line right now, which -- where we can manufacture about 6 million to 7 million a year. Roughly 6 million to 7 million a year. So we're going to see some ramp -up in the current upcom ing 12 months also. But the larger line will come up in '26, middle of '26 to Q3 calendar '26. That line will obviously be a kind of a 25 million capacity line. 20 million to 25 million. I have not figured out the exact math yet, but somewher e around consider 20 million as capacity for the auto -injector, which will come up in Q3 calendar '26.
Aman : Okay. And the first line which you are talking about, which we are already building, when will that be coming up? ATTP and first line?
Amit Sanghvi: As early as September, October of this year.
Aman : Okay. Just a final few questions. First on, so we have a very good spring -based device with us, which I think is, there is no other competitor as such in generic industry. So when can we expect the, say, market launch of that product, whether it can be lir a, it can be Sema, but when can we expect and maybe which markets, if you can talk about it?
Amit Sanghvi: I think spring pen, the Neo pen will first be launched in Canada, India and Brazil.
Aman : Okay. And say, in a year's time, say, Canada's expiry is happening, so say, 1 year to -- around 1 year time, we expect this to be in market?
Amit Sanghvi: I'd say, yes, 18 months kind of a window. So we should expect Neo to be on the market in 18 months.
Aman : Sure, sure. And we were expanding our capacity in insulin to 8 -cavity 2 line. So is this operational or from which month will it be operational?
Amit Sanghvi: This is specific to the spring device?
Aman : No, no, no. The insulin one, right? We were increasing from, I think, 4 -cavity to 8 -cavity. We were trying to double our capacity, which you said it might happen in this quarter.
Amit Sanghvi: We are under the last phase of qualifications. We're trying to do our best to complete it this quarter. But it could spill over into April. So between March and April, we'll finish qualifications on the increased cavitation.

Aman : Sure. And on the patent challenge for our drugs, you said we were expecting something. But will it happen at the time of, say, regulatory launch of U.S.? Or can it happen with ROW launch also in the next 1, 2 years?
Amit Sanghvi: I mean, look, Canada, there's always a potential because the innovator supplies into Canada. But the innovator doesn't exist in India, doesn't exist in I doubt very much of the innovators there in Brazil. Some markets, you might see a challenge, some marke ts you won't. But at this point, there's enough information in the public domain. So the innovator would have figured out a strategy on how to prevent others to enter.
I think it's different. The sheer size of filers is just too high. So -- and there's multiple devices one can go to market with. So we ourselves have 2 devices which can -- which people can go to market with. So I do

n't think they can fully prevent it. The re might be litigation, but...
Amit Sanghvi : It is a little difficult to prevent it.
Aman : Sure. One final question on non -pharma side, sir. On the Consumer segment, after a long time, we have seen kind of 20% kind of growth. This segment was like not growing much -- was growing, but much slower than the company l evel growth. So now with these two retail chains coming up, and I believe we had some contracts won recently in gas knob and everything. Do you expect this Consumer segment this 20%, 25% growth or company level growth will continue

for the next couple of quarters?
Sanjay Shah: So, Aman, I don't think we should basically lo ok at a 20%, 25% growth -- the two new orders which we have taken on are small orders. We are trying to make a start with these guys, and we'll see how it goes forward. We have seen some growth on the home furnishings business and that was because of some new products being starting and ev erything. So let's see how that does go in terms of moving forward.
Moderator: The next question is from the line of Rupesh from IntelSense Capital .
Rupesh : My first question is which all platforms you expect will be commercialized for Semaglutide, I mean Protean, Neo, Toby, Tristan. Can you maybe list that?
Amit Sanghvi: Neo and Harmony.
Rupesh: Okay. And on auto -injector side?
Amit Sanghvi: Toby.
Rupesh: Okay. And sir, I mean, you have talked about by December '26, let's say, this 50 million, 60 million of, let's say, GLP capacity comes online and then existing, we have some capacity for lira, some capacity for auto -injector, some capacity for Sema. So let 's say, calendar year '27, let's say, December '26, everything goes fine, capacity comes online. Is 50 million number -- I mean, in the realm of possibility or a decent probability number, 50 million devices on GLP?
Sanjay Shah: Rupesh, a lot of it will depend on how the market response is there from customers and everything. You need to understand that in the pharma part of the business, you would need to

create capacities upfront. Customers who don 't want to come and audit your facilities and everything.
So there would -- there has to be time lag would mean from the time you create capacity to the time you start manufacturing and supplying. But to -- again, what I mentioned earlier, I again reiterate the same thing is that a lot of it will depend on how do es the customer -- as and when the customer gets his approval and how -- what the customer's response in the overall marketplace, that will decide how much utilization will happen.
Rupesh: Sorry, those things I understand. Sorry to interrupt. I understand those things that API challenges, filing challenges, supply chain challenges, all of that I understand. I mean, there are things which are not in our control. But let's say, a customer does a good job, then is -- I mean, 50 million is it possible or it's like completely, I mean, off the mark estimate?
Sanjay Shah: It is possible. I'm not saying it's not possible, but there will be a lot of factors. And the reason why we are creating the business is based on what we are seeing and based on discussions which we are having with customers.
Rupesh: Okay. And then, sir, this -- I mean, another coming to this customer, what I understand, again, is the supply chain is very complicated. API is very difficult to make on both synthesis and on purification. The whole filing process is very complicated. So d o you see that this approval risk for customer turning into a customer concentration risk for us?
Sanjay Shah: So we have multiple customers on the same therapy. So if you look at Sema, we have multiple customers on Sema. We have multiple customers on the auto -injector for Sema or other therapies which we are looking at.
Rupesh: But let me say, let's say, top 1, may

be, let's say, out of top 2, maybe 1 customer doesn't get approval, then do your estimates go down by, let's say, 50%? Is that -- or it's not like that in at least your view?
Sanjay Shah: It's a little too early to talk about it.
Amit Sanghvi: I mean, to honest, we don't have the....
Sanjay Shah: We are in discussions with customers, as Amit mentioned earlier, to look at what sort of volume commitments are there and what sort of capacity commitments and take -or-pay, which customers are getting in. So there will be those discussions which we have be en having and capacity would be built based on some confirmation from customers based on that.
Rupesh: Okay. And sir, this insulin, I think we had announced this 10 million order. So where are we on that? Because you're saying now qualification will be in April. So this -- I mean, how many we have delivered and then how much do you expect to deliver in FY ' 26?
Sanjay Shah: We have been supplying these. We will not get into individual volumes, but we have been supplying these from the existing capacity which we have. And once we have the qualified capacity online, we will look at supplying the increased volumes.

Rupesh: But you said maybe 4 million, 5 million this year and 4 million, 5 million next year. That is the kind of split we were expecting. So that now has shifted significantly?
Amit Sanghvi: It will be a little less this year, a little more next year because I think we want to get the 8 -cavity online before we do anything else.

Rupesh: Okay. And where are we on the repeat orders, sir, for this...?
Amit Sanghvi: It's not just the tooling. The assembly capacity also goes hand in hand. So there's kind of -- you want to make sure you run both at the same time.
Rupesh: Okay. But whereas on the repeat business for insulin, I mean, this can insulin business also become, let's say, a 50 million, 60 million kind of number in calendar year '27, 50 million, 60 million pens?
Amit Sanghvi: Ritesh -- sorry, Rupesh, from a therapy perspective, all of these businesses, there is enough market size available to become 40 million, 50 million, 60 million. But whether it becomes for us or not, we don't know. And how long it takes is also another que stion. Opportunity is there, and we're doing everything we can to capitalize on it. But hard to answer a specific question. The business is still in a nascent stage.
Rupesh: Okay. And then sir, final question from my side is on the commercial manufacturing of GLP pens. I mean, can you indicate a range of gross margin, a broad range we'll do, sir. I mean I'm not asking any specific number, but a broad range, like, let's say, ca n our gross margin be between, let's say, 60% to 80%...?
Amit Sanghvi: No, it would not be fair for us to communicate that, but you can estimate.
Moderator: The next question is from the line of Ashish from JM Mutual Fund.
Ashish : Sir, on the GLP -1 capacity, by what time lines do you expect a good 70%, 80% utilization number?
Sanjay Shah: Ashish, what we said is you will see improved capacity utilization from FY '25 to FY '26 to FY '27. I think talking about it on a quarter -on-quarter basis or something will be very difficult for us. But yes, if you were to look at from FY '25 to FY '26 to FY '27, you will see utilization levels improve and volumes going up.
Ashish: And if I might have heard it correctly, you said the commercialization should start by quarter 2 of FY '26, right?
Amit Sanghvi: Yes, we should start manufacturing and supplying by quarter 2 of FY '26.
Ashish: Okay. Fair enough. You also made a comment saying that possibly there could be -- you are in discussion with some of the innovators. So are we also exploring something with biosimilar on those biosimilar lines as a therapy?

A

mit Sanghvi: We're exploring innovative molecules with the innovators. But we're already in discussions with biosimilars.
Ashish: Yes.
Amit Sanghvi: Yes.
Ashish: Okay. So potentially, this could become very big, all the pens and the auto -injector setups.
Moderator: The next question is from the line of Pritesh from Lucky Securities.
Pritesh : Yes, sir. Just a clarification on all the capacity figures that you said, so just to conclude that the current capacity is 35 million -- and over the next 2 years, you are looking to add 50 million, is this correct?
Sanjay Shah: Yes, Pritesh. So the current capacity is somewhere between 35 million to 40 million depending on the pen, combination which is the 35 million -- and we are looking at adding another 50 million to 60 million capacity.
Pritesh : Now the other thing in this 35 million, did you mention that about 7 million to 8 million is auto injector capacity?
Amit Sanghvi: Right now, we have about 6 million auto -injector capacity. That number, I don't know, but it would be between 6 million and 7 million. I can actually calculate for you just a second.
Pritesh : It's okay. You are not way off that 8 million, 7 million
Amit Sanghvi: Sorry. 5.9 million.
Pritesh : 6 million. And to which you said you will be building a capacity which will take it to 40 million?
Amit Sanghvi: No, not only the auto -injector. On the auto -injector, we will add another 20 million. We will add the --
Pritesh : So in that 50 million additional 20 million is auto -injector basically.
Amit Sanghvi: Correct.
Pritesh : Okay. And all auto -injectors, the application as of now is Sema or there are applications in autoinjectors other than Sema?
Amit Sanghvi: Yes. There are applications in auto -injector other than Sema also.
Pritesh : Okay. There are applications other than Sema. And lastly, sir, in this 6 in your presentation, the 6 -- you sign the 6 contracts. If you could tell us how much -- how many are Sema in this, how are non -Sema? Any indication or therapy areas?
Amit Sanghvi: 4 -- sorry, 3 are Sema and others are non -Sema.

Pritesh : And all the Sema has to be auto -injector, right? Sema is auto -injector or Sema has administration via non injector also?

Amit Sanghvi: No, Sema is both pen and auto -injector. It's not just an auto -injector.
In fact auto -injector is only in the U.S. market.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Sir, some of the large generic companies, which are expected to be first to file entries into Canada as well as India and Brazilian market, they seem to be extremely bullish on the prospects of Sema. And it seems that they are -- like they are clear with t he regulatory authorities on the pen as well as on the API side. So any indications from some of your customers that how big these markets can be for pen suppliers like us? And what can be the expected volumes from them?

Amit Sanghvi Yes, I think the same question has been answered half a dozen times in various different forms. Market size is very large, could be 40 million, 50 million, 60 million for us. We don't know when that happens. But as we have conversations with customers, get commitments, we are building the capacity.

Ankit Gupta: Sure. And will some of our platforms like Harmony be for the Canadian markets as well or it will be for other markets?

Amit Sanghvi: Harmony will be for?

Ankit Gupta: Canadian market, which is expected to be launched in, let's say, Q4 of FY '26.

Amit Sanghvi: Harmony will be for all upcoming launches. It will be across markets.

Ankit Gupta: Okay. But okay. We'll be launching in Canada as well through this?

Amit Sanghvi: Yes.

Ankit Gupta: Okay. And sir, on the new 2 customers that we have added on the consumer side, although as you have been indicated that thes

e are small contracts, but do you think this -- the entry that we have got into these customers, like any potential size that you ca n indicate how big if you are able to supply to them? And what can be the potential scale from this new customers over the next 3 to 5 years?

Sanjay Shah: Both these customers are very large and the potential with these customers is large enough. We will have to see how it plays out over the period of next 1 month -- 12 months to 18 months.

Ankit Gupta: Okay. And any update on the carbon steel plant? How is the utilization? How is any new orders that you have got?

Sanjay Shah: Plant is steady in terms of business.

Ankit Gupta: Any new contracts that we have got? And like how is the capacity utilization currently?

Sanjay Shah: We currently continue to -- Yes. So we have orders which we basically currently execute. We talked about commercializing 4 new products, which we have commercialized in the last quarter.
We talked about it earlier. So we're looking at basically scaling up that.

Ankit Gupta: Sure. And what will be the capacity utilization currently for the plant?

Sanjay Shah: We don't give out individual capacity utilization. So it will be very difficult for us to talk about that.

Ankit Gupta: Okay. But have we seen increase in the utilization this year and next year?

Sanjay Shah: Again, what we look at is if you would look at more from a year -to-year basis, yes, we have seen improvement in capacity utilization.

Moderator: The next question is from the line of Manish Verma from Divitiae Analytics .

Manish Verma : Yes. I think most of my questions have got answered because I was lost in the queue. I have only one question. Do you see any conflict of interest because you will be supplying the pens to both innovators as well as generic companies? If the device is same, will it create a conflict of interest, or you developing separate devices for them?

Amit Sanghvi: No. There's no conflict of interest. We never tell anyone we're going to exclusively work for you, unless there is a very significant commitment given by the person. But otherwise, there's no conflict of interest.

Manish Verma : Sure. And in terms of volumes, what would be the breakup between innovator company supplies and the generic companies you are planning to supply after the total pen GLP device?

Amit Sanghvi: Innovator companies, except the Allstar that we do for Sanofi, all the other are still conversations. Innovators will take a long time to get to market. It's not something that will happen in 12 months or 24 months, likely things that take over between 24 months and 48 months or 60 months to get to market in the first place. Volumes could be very, very significant, but a lot of it is unknown at the moment.

Manish Verma : Sure. No. So what I'm trying to understand is the volumes which you are forecasting for GLP -1 pen, how much of that will be supplied to innovators like Eli Lilly and how much will be supplied through generics?

Amit Sanghvi: We don’t do innovators, all to generics .

Sanjay Shah: So Manish, I think you're confused on your question. Whatever we are talking about with the innovators to be a different device for a different molecule. That's what Amit mentioned. We are

trying to see how we can work with innovators on some innovative mo lecule.
Amit Sanghvi: Yes. Novel GLP -1, not the same -- not Semaglutide.
Moderator: The next question is from the line of Manjeet Buaria from Solidarity Investment Managers.

Manjeet Buaria: I just wanted to get one clarification again. The generic companies with whom we have partnered right now for trial batches on Semaglutide, are we the sole partners for them? Or do they partner with multiple device companies and then take a call finally as to which on

e will it commercial?
Amit Sanghvi: Okay. So our partnership with the customer would be a sole partnership. But customer itself, so for example, customers -- not all of them, but some of them, they kind of hedge their own bet. So they could run a program internally. They would piggyback on s omeone else's program. They could use in a particular region, a separate file, someone else's file to go forward in that region. There's lots of things happening in the GLP -1 space. I would say that I think with most of our customers, we would be the sole device suppliers.
Manjeet Buaria: So Amit, just following up on this to get the technicality right. The way it should function is, let's say, there's a company A, they would have different filing for, let's say, U.S.A. a different filing for, let's say, U.K., a different filing for, let's say, Brazil. And for each of these countries, they may choose one supplier or they may file with 3 different suppliers. Is that the way to think about it?
Amit Sanghvi: Yes. No, no, that's not how it works. What they would likely do, again, everyone is different, but what they would likely do is say company X is running a semaglutide program with company -wise device, which is not Shaily's device. Now Shaily's customer is running a program also with running a program internally with company X is also the customer could do a deal with company X, look, I'm going to fund some of your development or give you X amount of money, but I will have access to your file t o market the product and so and so and so regions. So what they do is they kind of hedge their bet.
I know companies who have on 3 programs that are running simultaneously or companies are only running one program or companies are not running their own program at all and just piggybacking off someone else. There's a lot of variation between customer to c ustomer. But company -- just one company will not take different devices for the program, because it financially doesn't make sense. You have to create all these lines, run all the stabilities, run the verification that again and again. So it doesn't make sense.
Manjeet Buaria: So Amit, what you're telling me is, let's say, a generic manufacturer of semaglutide would choose to partner with one device vendor at the initial stages, basically till they get their approval.
Amit Sanghvi: Right.
Manjeet Buaria: And after they get their approval, how easy it is for them to sort of use another device supplier or it's practically then only us they can use for all practical purposes?
Amit Sanghvi: I mean, look, every market is different. You have ROW markets where it could be -- I mean it's never simple. But complexity -wise, low complexity to change. You have some ROW markets where it is still very difficult to change. Some that follow the same EU o r the U.S. standards, we have to conduct trials again, especially human factors or usability studies or formative studies to change the device.

In the U.S., I would say -- it's practically looking at essentially looking at running the whole program again. So -- or at least a significant portion of the program again.
Manjeet Buaria: Got it. And last question, Amit, we would have visibility as to which country we are being tied up for, right, by our customers when they take trial by from us or we don't have that visibility?
Amit Sanghvi: We have that visibility.
Manjeet Buaria: So you had mentioned a few calls back that probably 60%, 70%, I think, of players may have tied up with us. So this 60%, 70% is all U.S.? Or were you referring to across all geographies?
Amit Sanghvi: I mean most partners -- I mean, most customers that are working with us will go to the U.S., but we also have partners that don't intend to go to the U.S.
Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital.
Dhwanil D

esai: Sir my first question is, I think this discussion around volume tie -up. But I think the dynamics that we are describing is that customer also may not have a line of sight in terms of volume that they may be able to generate in a market. So given that, how does this dynamics work in terms of giving commitment to us? And is our incremental second line on semi contingent upon those volume tied up? How should we think about it?
Sanjay Shah : Dhwanil, could you probably repeat your question? I think we lost you somewhere in between.
Dhwanil Desai: Sure. So essentially, what we are saying is that the consumer also when, let's say, our customer,

they may not have a line of sight in terms of how much volume they may be able to sell in a particular market. But we are looking for some kind of a volume co mmitment from them, right, for the semi and other products.
So how will they do that volume commitment in first place? And second, is our incremental semi line, which is going to come in FY '26 is contingent upon those volume tie -ups coming through? That is how we should think?
Amit Sanghvi: I mean all these guys have various business scenarios, right, from start of launch through, let's say, 3 years on the market or 4 year -- kind of a 4 -year plan or a 5 -year plan. When we ask for commitment, it's not that we're telling them that you commit w hatever your best case scenario is.
But customers can certainly commit that, okay, we'll buy x million pens over the next 24 months or over the next 36 months. All kinds of options are on the table. There are aggressive customers who want to put the capacity upfront. So they will commit to a higher volume upfront and take that risk also.
Dhwanil Desai: Okay. And is our capacity addition contingent upon those commitments?
Sanjay Shah: So our capacity will basically be contingent on, (A), the type of commitments which we hear from customers and based on our discussions, what we think is the capacity which we should be created. So it will be a combination of that.

Dhwanil Desai: Got it. Sir, second question on health care, I think whatever incremental revenue, 50% growth that we have seen from INR70 crores 9 -month basis to INR178 crores. So large part of that is coming from our own IP insulin and contract manufacturing insulin growth, right? Is that the right way to look for this growth? And --
Sanjay Shah: Large part comes from our own IP business.
Dhwanil Desai: Got it. And on the base business, I think you mentioned that 20% growth is probably too much to kind of factor in going forward. But on a 9 -month basis, we have done around 13% growth. Should we be in that range of 13% to 15% kind of a number on base busin ess, especially, I think we were -- we had bid for some large RFQs for our consumer customer. So have they come through? And how should we think about that?
Sanjay Shah: Yes. I would say more from a 3 - to 5-year perspective, we can look at that sort of a growth. The global geopolitical situation what the change of leadership in the U.S., I think we need to get a little more clarity in terms of how things are moving across the world.
Dhwanil Desai: Okay. So there is no clarity yet from your customer side as to how the FY '26 may pan out, right? That's how we should look at it?
Sanjay Shah: I would say, we have clarity in terms of how FY '26 will pan out because we have that sort of visibility, but this is more in terms of a long -term view or a medium -term view.
Dhwanil Desai: Got it. And any -- no significant updates on the consumer electronics side, right? I think you said you'll come back to us.
Sanjay Shah: I think Amit already mentioned that.
Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings.
Nirvana Laha: So my question is regarding the U.K., the Shaily U.K. revenues. So there was a tho

ught amongst some of us that the U.K. revenues could eventually sort of drift off as the GLP -1 development slows down and molecules get commercialized. But I think from what you've said to an earlier participant, not only do you expect the revenues to hold, but you're actually expecting some kind of Y-o-Y growth to continue for several years. So this will come from new programs that we are doing outside of GLP -1 and GLP -1, right? So that's the right way to think about Shaily U.K. revenue?
Sanjay Shah: Yes.
Nirvana Laha: Okay. Thanks. And did I hear you right on insulin that you have paused the current contract supplies of insulin till the 8 cavity line comes online?
Amit Sanghvi Yes. So not significantly paused, but we have to pause because there's an X volume we can supply from the 4 cavities, which is not enough for them to meet even a requirement of, let's say, one of their lines. So we need to finish the 8 cavity program before we restart supply.
Nirvana Laha: I see. So in Q4, it's possible there can be like some temporary vo latility due to this changeover?

Amit Sanghvi I don't think so, but will be something else which would make it up. Yes, yes, yes. There's enough that makes up for it.
Nirvana Laha: Sure. And last question on the GLP -1 Sema space, I think for Toby, you mentioned that the Toby device is right now getting supplied only into regulated markets, and we are expecting to ramp - up Toby significantly to 20 million. So does this mean that whether dir ectly or indirectly, we are -- we have visibility into supplying to the innovator at this point, therefore?

Amit Sanghvi No, we are not going to innovators. Toby is going to the generator who will eventually take it to whichever market they would like. But the innovator has an auto -injector semaglutide only in the U.S. So it would just make sense that Toby goes to the U.S. T here could be companies who do Toby outside of U.S. also. It's not something we control.

Nirvana Laha: Okay. And would it be possible for you to confirm whether Toby is for Sema or for some other molecule?

Amit Sanghvi We have multiple molecules in Toby. So Sema so obviously will take the chunk of the volume.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Amit Sanghvi: Thank you, everyone, for joining the call. I hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations Advis or. Thanks once again, and have a great evening.

Moderator: Thank you. On behalf of Shaily Engineering, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

SEPL/SE/ MAY /25-26
20th May 2025
The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY
Sub : Q4FY25 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015
Dear Sir,
We refer to our previous letter dated 14th May 2025 , wherein the Company updated the audio link of Earnings call held on 14th May 2025 to discuss the Operational & Financial Performance of the Company for the quarter and financial year ended on 31st March 202 5.
In context therein, kindly find attached herewith transcript of the referred Earnings call.
A copy of the same is also available on the Company’s website at www.shaily.com at https://www.shaily.com/investors/compliances -policies/earnings -call
Kindly take the same on record.
Thanking You
Yours truly,
For Shaily Engineering Plastics Limited
Harish Punwani
Company Secretary & Compliance Officer
M. No. A50950
ENCL: A/a

“Shaily Engineering Plastics Limited
Q4 & FY '25 Earnings Conference Call ”
May 14, 2025
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th May 2025 will prevail

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY ENGINEERING PLASTICS LIMITED
MR. SANJAY SHAH – CHIEF STRATEGY OFFICER – SHAILY ENGINEERING PLASTICS LIMITED
SGA, INVESTOR RELATIONS ADVISORS – SHAILY ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Shaily Engineering Plastics Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Sanghvi, Managing Director, Shaily Engineering

Plastics Limited. Thank you, and over to you, sir.
Amit Sanghvi: Thank you very much. Good morning, and a very warm welcome to all the participants to the post quarter 4 FY '25 Results Investor Call of Shaily Engineering Plastics. I have with me Mr. Sanjay Shah, our Chief Strategy Officer; and SGA, our Investor Relations Adviso rs. I hope you had a look at our Investor Presentation that is uploaded on our website as well as the stock exchange.
Let me start by giving some highlights on the operational performance as well as the business highlights. In FY '25, the company delivered a strong revenue growth of 22% to INR787 crores with EBITDA margins expanding by 350 basis points to 22.7%. This is mainly due to increased sales from our Healthcare segment, which grew by 53% on a year -on-year basis.
Let me give you a short brief on overall business updates for the quarter , as well as for the year gone by. Starting with the Healthcare segment. We've signed two new customers for our IP led pen platforms during the quarter. In FY '26, we will start commercial supplies of pens for GLP - 1 drug semaglutide.
We are seeing growth of our IP led pen platforms going forward. We are in discussions with customers regarding volume commitments or capacity commitments and requirements for the next 3 to 5 years, and we would be aligning these commitments with our manufa cturing capacity.
We're expanding our pen manufacturing capacity to add another 40 million to 50 million pens per year across primarily 2 platforms, both for servicing the growing demand of GLP -1. The capex for this expansion would be close to INR150 crores.
During the last year, we signed 8 contracts with different customers for pen injectors or auto injectors, primarily for GLP -1s, but also for some other therapies. We participated in Pharma Pack in Paris to showcase our innovation in the medical space. And we've also participated in other global exhibitions across the U.S. and Europe to increase our presence in regulated markets.
In FY '25, our revenues from Healthcare segment have grown by 53% on a year -on-year basis to INR165 crores, 21% of our top line. We anticipate that our medical device business will comprise about 30% of our revenues over the next few years, enhancing value and profitability.

Our focus is in line with expanding our horizons to include contract manufacturing for medical devices, products featuring our intellectual property and some specialty applications. Within this industry, we remain committed to continuous growth and innovat ion.
At this point, I would like to address concerns and questions that we've been receiving from the market regarding the impact of oral GLP -1s on the injectable. So it has always been known and also cited in various historic reports that orals would certainly play a role in GLP -1, but would likely be limited to a market share of somewhere around 20%. Orforglipron is not new. There has been published reports of various stages of development and trials since 2018, I believe. Also, the data that is submitted based on publications of their clinical trials show a weight loss of 77% in diabetic patients, and they project a 13% to 15% weight loss in obesity

trials. This is
still lower than data for Wegovy and significantly lower th an data for Mounjaro or Zepbound.
Now I'm no expert. But what I've learned from other experts in the domain is that orals have a lower efficacy, primarily because of the bioavailability of the molecule. For example, oral semaglutide has less than 2% bioavailability versus 80% to 85% for th e injectable. Also, one of the reasons why you see a much higher API content in the oral products.
It is also important to note that there are currently between 55 and 60 GLP -1s under various stages of development. Even out of these 55 to 60, we see that 75% to 80% are injectable form and 20% to 25% in oral form.
Therefore, just to summarize, orals will certainly play a role in this growing market. However, we believe in fact by various reports that their share will be closer to 20% with the rest going to injectables.
Coming to the Consumer segment. We have added 2 new products in plastics and 3 new products in carbon Steel with home furnishings customer in Q4 FY '25. We've also received new business from a marquee FMCG customer for 2 new products during the last quarte r.
over FY '25, we received new business from 2 global retail chains for which supplies have started in this quarter. We did also receive business for 2 new products from a marquee FMCG customer and has been awarded business with 2 new products which are und er development during last year.
We've seen an improvement in our Carbon Steel business for the year. Revenues from this segment grew by 17% on a year -on-year basis to INR561 crores in FY '25 -- I apologize, I think there's a -- that's pertaining to the Consumer segment.
Lastly, coming to the Industrial segment. We received new business from marquee customers

for automotive components in Q4 FY '25. Over the year, we have confirmed business for supply of knobs for exports and been awarded business of automotive components. In FY '25, revenues grew by 12% to INR61 crores, and we expect steady growth in this segment.
We have recorded the highest ever revenues and profitability in FY '25. This has been on the back of improved traction seen across segments and ramp -up in projects. Visibility we have

across various businesses gives us immense confidence that we'll be able to scale up further and grow.
Last topic for me before I hand over to Sanjay. I just wanted to provide us a short update on our development pipeline, something that I've mentioned in the past. For the emergency use auto -injector, our program is progressing well. We plan to complete dev elopment and supply clinical batches in Q4 of current FY.
For the last 12 months, we've been working on the next generation of GLP -1 devices. The foundation of this development comes from having conducted user studies and seen over hundreds of hours of videos to understand how patients behave at large.
We have now developed a device that will be non -priming, fixed dose, activated by a simple pull and push mechanism instead of dialing, along with the dose counter to show the remaining pens in the device. All of which results in something which is simple, accurate and intuitive.
With this device, we intend to target global large pharmaceuticals.
Our last development pipeline on the soft mist inhaler, we have reached the stage of getting one of our concepts cleared for intellectual property and will now be moving forward with the full development program.
That is all from my side. I shall now hand over the call to Mr. Sanjay Shah to give you the operating and financial highlights. Thank you very much.
Sanjay Shah: Thank you, Amit. Good morning, everyone. I shall share with you the highlights of our operational and financial performance of Q4 and FY '25. Following which, we will be happy to respond to your queries. During Q4 FY '25, we processed 6,536 ton

s of polymers as against
5,380 tons in Q4 FY '24. For FY '25, we processed 24,932 tons of polymers as against 22,098 tons in FY '24.
Machine utilization rate was around 44% in Q4 FY '25 and 40% in FY '25. We expect this to increase in the coming years, and we expect to increase utilization levels over the next 2 to 3 years. Exports during Q4 FY '25 and FY '25 stood at 80% and 78%, respectively, of total revenue.
I shall now brief you on consolidated for Q4 FY '25. Revenue stood at INR217.8 crores as compared to INR170.6 crores, a growth of 28% year -on-year. EBITDA stood at INR54.6 crores as compared to INR36.3 crores, a growth of 51% year -on-year. EBITDA margin stood at 25.1%, an increase of 380 basis points over Q4 last year.
PAT stood at INR28.6 crores as compared to INR19.3 crores, a growth of 48% year -on-year. PAT margin stood at 13.1%, an increase of 180 basis points over Q4 last year. Cash PAT stood at INR39.7 crores as compared to INR29.3 crores, a growth of 35% year -on-year.
Now coming to FY '25 consolidated highlights. Revenue stood at INR786.8 crores as compared to INR643.9 crores during FY '24, a growth of 22%. EBITDA stood at INR178.4 crores as

compared to INR123.4 crores during FY '24, a growth of 45%. EBITDA margin stood at 22.7%, an increase of 350 bps over FY '24.
PAT stood at INR93.1 crores as compared to INR57.3 crores during FY '24, a growth of 63%. PAT margin stood at 11.8%, an increase of 290 bps over last year. Cash PAT stood at INR135.3 crores as compared to INR93 crores during FY '24, a growth of 45% year -on-year. Our ROCE and ROE stood at 24.4% and 18.5%, respectively, as of 31 March 2025. This has been achieved with disciplined use of capital. Our debt -to-equity stands at 0.4x while our long -term debt -to-equity stands at 0.07x as on 31 March 2025.
Now coming to consolidated segmental revenue break up for FY '25. In Consumer segment, revenue stood at INR560.8 crores as compared to INR481.2 crores during FY '24, a growth of 17%. In Pharma segment, revenue stood at INR164.7 crores as compared to INR107.7 crores during FY '24, a growth of 53%. In Industrial segment, revenue stood at INR61.4 crores as compared to INR55 crores during FY '24, a growth of 12%.
That is all from our side. Now we can open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Aman from Astute Investment Management.
Aman: Congrats on good set of numbers. A couple of questions from my side. First is, sir, in the presentation, you have mentioned, 2 new customers for IP -led-platform. So could you talk about which these platforms are?
Amit Sanghvi: So we've got one for Neo and one for Toby.
Aman: Sure. And sir, we were expecting some commercial launches for teriparatide. So any time lines for the same? Do we expect someone in Q1 and Q2? And say for the full year, how many teriparatide launches do we expect in FY '26?
Amit Sanghvi: We have received commercial orders for teriparatide. So we are going to produce and ship. Now when it actually gets launched, I'm fingers crossed, any time over the next 3 to 4 months, hopefully, maybe 5 months.
Aman: And for how many customers do we expect for FY '26.
Amit Sanghvi: We expect 2 customers.
Aman: Okay. But I think we have a lot more customers than two, right? So only two are expected to launch in this year?
Amit Sanghvi: Correct.
Aman: Sure. On the capex plan for FY '26, you talked about INR150 crores for pharma. So what will be the gross block after this capex ? And is there any other capex for any other division for FY '26?

Sanjay Shah: The overall capex , which we will end up doing will be about INR180 crores, INR185 crores. Predominantly INR150 crores is going into Pharma for capacity expansion in terms of our p

en

capacity. So gross block will go up about INR170 crores by the end of year.
Aman: Sorry, Sanjay, sir, what will be the gross block after the capex in Pharma?
Sanjay Shah: Pharma gross block will be probably somewhere in the region of about INR 370 crores to INR 375 crores .
Aman: Okay. And this will be enough for next 1, 2 years? Or do we expect similar capex in FY '27 as well?
Amit Sanghvi: See, Aman, it's a little early to tell because everybody is dealing with what market will look like post launch here. So let's just, I think, kind of wait. We are doing our expansions based on -- largely based on committed volumes from customers. So we don 't want to make -- do any expansions except the small percent kind of buffer, but where we don't have the either committed forecast or volume or take -or-pays.
Aman: Sure. That makes sense. Next question is how many pens did we sell in FY '25? And could you talk about our target for next 1, 2 years?
Amit Sanghvi : I knew this question was going to come up, but I haven't had the exact answer. And unfortunately, my business development team is traveling at the moment. But we believe -- I believe this year -- I can tell you this year, we're looking at selling close to somewhere between -- somewhere around 30 million to 35 million pens this year.
Aman: For FY '26?
Amit Sanghvi : Yes.
Aman: And say, rough numbers -- sorry, you are saying these are conservative estimates.
Amit Sanghv : Take it at 30 million. Unfortunately, like I said, since 2 weeks, my business development team has been traveling, we haven't had a chance to catch up. But yes, about 30 million is I would assume that we're going to sell this year.
Aman: Yes. But roughly, for FY '25 -- for FY '26 over FY '25, you are almost talking about, say, 100% kind of number of devices growth roughly, I'm not talking about exactly.
Amit Sanghvi : Yes. I was going to say that it will be around 70%, yes, that's kind of what we're looking at.
Sanjay Shah : But then, Aman, just to add to that, the growth is basically going to come -- a large part of the growth is going to come from our own IP led pen platform.
Aman: Sure, sir. And could you talk a little bit about -- so you have given on the U.K. business, of course, we are commercializing one project at least in Q4 FY '26. But in terms of growth, so this year was [inaudible 0:18:25] and we are adding a lot of people in U.K. So for FY '26 and FY '27, what kind of growth should we assume in our U.K. business?

Amit Sanghvi: What I would say is, when you take a look at our international business, take a look at numbers collectively from the U.K. as well as Shaily innovations in UAE because what you will find is

that combined, there is going to be growth. But in the U.K., likel y that it will be around a similar number as what we've done this year.
Aman: Okay. And if we take the combined number, sir, what kind of growth should we assume, say, FY '26 and '27?
Sanjay Shah: So Aman, I think getting into individual growth numbers, we would refrain from giving. You have talked about in the past, which you're aware of in...
Amit Sanghvi: There will be growth. But I think, yes, we want to refrain from giving individual U.K. growth, especially.
Aman: Sure, sir. Another question before I come back in queue. On the industrial side, sir, we have won a couple of projects and all then other things. While growth was only around, I think, 12% FY '25, so given strong order book, can we expect maybe like 40%, 5 0% kind of growth and this segment crossing INR100 crore contribution in FY '26 itself?
Sanjay Shah: Aman, again, individual segment -wise growth, we would not want to talk about it, but yes, we will see better growth in FY '26 as compared to FY '25. FY '25 is when we commercialize 2 large projects for some customers , and you will see growth happe

ning from those projects in the current year.
Aman: Sure, sir. Finally, on working capital side...
Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue. The next question is from the line of Harsh Shah from Dalal & Broacha.
Harsh Shah: Yes. Firstly, the congratulations on a very strong set of numbers. I have a couple of questions. So firstly, as you mentioned that, say, in FY '26, we would kind of selling around 30 million, 35-million -odd pens. I'm assuming that this would also include i nsulin. If you could give a broad split between insulin and non -insulin, if that's possible?
Sanjay Shah: So Harsh, what we have said is a large part of the growth in the current year is going to come from our IP -led-pen platform .
Amit Sanghvi : Which is much higher above 60% growth from non -insulin.
Harsh Shah: Okay. Got it. And if I say suppose has to dissect the non -insulin part, right, so basically, that would be GLP. Is there any kind of a broad sense in terms of what would be the ratio broad between, say, the exhibit batches versus the commercial batches?
Amit Sanghvi: You want to dissect exhibit versus commercial?
Harsh Shah: Yes.
Amit Sanghvi: You will see upwards of 70% being commercial.

Harsh Shah: 70% commercial.
Sanjay Shah: So Harsh, first of all, if you see also, we've mentioned in the presentation, which we have put out. Also, we're looking at making commercial supplies of Sema in the current year. So that will be what will contribute to the growth in the current year.
Harsh Shah: Got it. And on the capex part that you mentioned, right, say, around INR150-odd crores. So the capacity increase that you mentioned, correct me if I'm wrong, is it 40 million to 50 million pens, the entire capacity will come on stream by end of FY '26. Is it correct?
Amit Sanghvi : Not FY, calendar '26. So Harsh, we'll be adding 40 million to 50 million pens over the next 18 months to 24 months.
Amit Sanghvi: 18 months -- 18 months to 20 months.
Harsh Shah: Got it. And also one thing on the consumer segment. So is there a case wherein say it's because of all the tariff issues that are going on, has there been any sort of inventory stocking or front - loading from your clients in the consumer vertical for Q4 because the growth that we are seeing of 27% on a Y -o-Y is significantly higher. So some color on it, if you can give.
Sanjay Shah: So Harsh, we have not been seeing inventory stocking or anything. What you have been seeing, the growth is basically we've made revenue or sales to customers where we bagged orders in Q3. We have started shipment to those customers. On the home furnishing customer, we have executed some projects, which we were under execution or development where we have started shipping. So we have seen growth happening from that.
On the tariff situation, I honestly feel is still an evolving situation where even buyers are not clear in terms of how things will pan out, you see that is being changed every day. So -- and negotiations happening every day. So probably you guys might hav e a better idea about it and you can tell us what do you expect?
Harsh Shah: But have you faced any sort of disruption yet in Q1?
Sanjay Shah: No. We have not seen any disruption. It's been -- orders have been going on at same pace. There have not been any changes on anything.
Harsh Shah: Got it. And on the consumer electronics part, say, have we started any sort of, say, sample shipments or maybe some sort of shipments have been done? And if possible, could you, I mean,

highlight how big can this segment for us become, say, in the next 2 t o 3 years? If board sense, you could give on this?
Sanjay Shah: So Harsh, on the consumer electronics, we have not made shipments. We have said as and when we do something, we will talk about i

t. I'll let Amit expand upon that.
Amit Sanghvi: We are engaged with a couple of customers. Beyond that, there's actually nothing to report.
Harsh Shah: Got it. And one last question . Yes, sorry.

Amit Sangvhvi : Go ahead.
Harsh Shah: Yes. So one last question before I get in the queue. So the gross margin improvement that we have seen in this quarter, is it a function of purely the product mix wherein the health care has kind of scaled up? Or has there been some element of crude benefit that we have gotten?
Sanjay Shah: Crude, no, I don't think there's has been any, no crude benefit.
Harsh Shah: Then does this -- yes.
Amit Sanghvi : Mostly On account of scale up of health care and higher revenue and better utilization.
Harsh Shah: So does this mean, I mean the EBITDA margins that we have posted for Q4 on a consol basis is around 25%, then should we consider this as the baseline margin in FY '26, at least 25% for the full year?
Amit Sanghvi : Don't look at it from a quarter -on-quarter perspective. Do we feel that if we execute the plan that we will have better margins? I mean the short answer is, yes. That's the ambition, and that's also what we think should happen. But don't consider as a base line and look at it from a quarter -on-quarter perspective. You'll see significant changes in this year when we report our numbers quarter -on-quarter.
Sanjay Shah So the way you look at Shaily would basically be you need to look at more in terms of a year -to-year. And yes, year -to-year you would see improvement in margins is the way we would put it out, yes.
Moderator: The next question is from the line of Anant Jain, HNI.
Anant Jain: So my first question is on the consumer electronics, although you have said that you reported when you have something to say. But what I personally feel is that there's a massive opportunity that is coming up because of these large international brands mov ing into India. Apple giving a very high guidance? And also, in the process, looking to localize a lot of components. I know you can't speak on a customer -to-customer basis, but can we think of a very large capex from our side in the next 1 or 2 years?
Amit Sanghvi: Short answer is, yes. We -- if we can come to some sort of a conclusion on a business plan with the customers that we are speaking with, we will be looking at capex . And we will be looking at potentially at least medium to large capex in the next 2 years.
Anant Jain: Okay, I was looking for that. The second question is more of an accounting question. We've seen significant working capital increase. Our inventory days have gone up from 1 month to 4 months. Can you just give some understanding there? That's the first que stion.
And second question, if I see is like the other current liabilities have gone up significantly from, let's say, INR8 crores, INR9 crores to INR36 crores, I would guess. Is there an explanation for that as well?

Sanjay Shah: So Anant, on inventory, what we have done is there was a plant maintenance shutdown by one of our principal supplier. And that's a large quantity of material, which we use, so we've basically requested that if we can take on the next 3 months requirement. So that's something which we have done because we didn't want to run out of materials because of specifically, which was approved by the customer -- on the consumer business. So that's something where we have taken on inventory.
The second part of the inventory is do you build up some inventory on the pharma part of the business expecting scale -up and everything, so you would whether it's raw material or bought out, so we have basically built that up. So that's the second part due to which you have seen inventory buildup.
Increase in current liability would basically

be in the normal course of business. So there could be some customer advances which would have come in...
Anant Jain: Okay. So we have had higher advances from customers for, and that's being shown as other

current liabilities.
Sanjay Shah: Correct.
Anant Jain: It's not like customers paid up for capex ...
Moderator: Sorry to interrupt sir, but I may request you to rejoin the question queue.
Sanjay Shah: This question is related one. So complete the question.
Anant Jain: Yes. So my question here is that we would have also received advances from customers. Where does that show up in the accounting part in terms of setting capex , not...
Sanjay Shah : That's essentially what I'm saying, Anant, is if there are advances from customers, it will show in other current liabilities.
Anant Jain: capex advances from customers, like setting up lines, dedicated lines for customers even that shows up in other customer -- current liabilities?
Sanjay Shah: Either way it is going to be a customer advance.
Amit Sanghvi: We did not take any capex advances. We take, if there would be -- basically contractually speaking, the advance would be taken on a certain committed volume, so that's essentially that would...
Moderator: The next question is from the line of Nirali Gopani from Unique PMS.
Nirali Gopani: Yes. So, Amit, in your opening comments, you mentioned about the new generation pens that you are working on, so if you can talk a bit more on that side. This is largely to cater a new set of customers on the pharma company side or better realization. How do you look at it?

Amit Sanghvi: So we've been working on our strategy for -- essentially for the last maybe 18, 20 months on how to look at attracting innovator pharma, the originators, so when it comes to the originators, we look at how do we engage with them would be the right approach . Of course, being present in the GLP -1 space, it's natural that we try to attack that space first.
Having looked at a lot of data -- research data, issues with existing devices, patient behavior, what we realized is that almost no one follows the -- no one follows the IFU, which means that people aren't priming.
Second is dialing a dose is always kind of -- on spring -driven pens, it's a little bit maybe easier. But if you're -- if you look at just the obesity market and not the diabetes market, basically eliminating the folks that are used to using a pen injector, you find lots of errors when it comes to setting the right dose, delivering. So the overall efficacy of the therapy may not be as high as intended.
The third thing we also found is that most people eyeball the cartridge and the plunger position in the cartridge to determine when they should re -order or put in a request for re -order. So these are very simple things which have been device intuitive, som ething which is sustainable. So auto injector is obviously very easy to use, but it's not sustainable, given that you have to use a new one every week. So you go through 4 auto injectors, 4 primary containers every month.
So from that perspective, we decided that we should develop a fixed -dose device, which is simple, accurate, intuitive, so essentially came down to nonpriming. We don't dial a dose. We just pull the button to activate and push the button to deliver. And wit h every push, who have a dose counter, which shows you how many doses are left in the system.
Now we could customize this device to deliver anything between with 0.1 ml to 0.8 ml. But the intention is to target large pharma, which is why we've developed that device.
Nirali Gopani: Perfect. And on the capex , on the health care side of INR150 crores. So does this number include the land part also because I guess we'll be needing new land also for this capex ?
Amit Sanghvi: Whether we need a land or not, I don't think w

e'll acquire land.
Nirali Gopani: Okay. So will it be near our existing facility?
Sanjay Shah: Nirali, this is unknown at the moment, Nirali.
Sanjay Shah : This INR150 crores which we are talking about is -- a large part of it is basically being put inside the current plan.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: A couple of questions. I just want to go back to the base. Basically, what is our current pen capacity right now, is it 40 million pens? We had indicated 100 million pens. What is the time line that we are looking at?

And just for clarification, when we say incremental INR150 crores, this is by when and what will be the eventual pen capacity that we are looking at? Is it like 100 million to 200 million or

is it 100 million to 150 million? If you could just give some bridge over there, that will be quite useful.
Amit Sanghvi: We are adding 40 million to 50 million over the next 18 months. The INR150 crore capex is for the current year. Now after we add another 40 million to 50 million, our total capacity would likely be in the range of 80 million to 90 million. Beyond that, we would look at basically some commitment or purchase orders to increase it further.
Ritesh Shah: Okay. So this is something what we had indicated earlier as well, right, going from 40 million to 100 million and 18 to 24 months. So there's nothing new over here, right? And I think the earlier capex indicated was INR130 crores. Is it something that has moved up to INR150 crores? Is it the same number, which has moved up?
Amit Sanghvi : Marginally, yes. I mean I think, when you say nothing new, maybe there's a little bit, maybe 5% capacity added since our last call. Otherwise, no, nothing significantly new. It was always planned. The plan is just solidified a little bit more.
Ritesh Shah: Perfect. And out of this INR150 crores, what part of advances have we already received? Or what part of capex has already been incurred?
Amit Sanghvi: Like I said, we're doing capacity investments based on firm commitments from customers. So, Ritesh, we always keep kind of maybe a 25% to 30% buffer. But otherwise, it's all whatever we're doing in terms of capex would be committed.
Sanjay Shah: And Ritesh, this will happen gradually over the next 18 to 24 months, so it will be something over that period.
Ritesh Shah: Sure. Second question would be, if we had to go from 100 million to 150 million or say 200 million, what is the sort of comfort on orders that we are looking for because the outlook seems pretty good. Is there any specific milestone that we are waiting for , given we understand that lead time for all those machinery platforms is actually pretty huge. Won't we be missing out on the opportunity, if we don't go out with the capex right away given the lead times, which are there in place?
Amit Sanghvi: I don't think so. You have to understand, Ritesh, the product hasn't been launched yet by anyone. So everybody that's putting in capacities, talking about -- I've heard everything from 100 million to 200 million to 500 million. I mean, there's obviously an opportunity saying that there isn't. But at some point, when you get into such large volumes of product, we have to be careful of how much capacity you set up. We will set up capacity, and we've said this on calls as well as to customers is that there is a baseline capacity that we offer when we do a program. Beyond that, we need firm commitments from customers to set up capacity.

Now the advantage with Shaily is that we are able to set up capacities in a much lower period of time versus our competitors. What gives us confidence is two things. Almost all of our customers have made fairly significant investments in setting up their o

wn capacity.
So customers setting up right from someone setting up 20 million cartridge and assembly line to someone setting up 150 million cartridge and assembly line. We see across our customers setting up their own capacities in -house, which is what gives us confidence that we will be participating in that capacity as well.
Ritesh Shah: Sure. If I may, just for a clarification, when we say 40 million to 90 million pens, what is the number of cavity molds that we are assuming over here? Because to my limited understanding, I think we had spoken about 4 to 8 to 16 cavity. And as that happen s, basically on the same line, the production throughput can increase significantly. So how should we just connect both the dots?
Amit Sanghvi: So I think from our perspective, again, product to product, it would differ. But the most economical way we find is somewhere when you create a capacity of 25 million on a particular product, which is 16 cavities molds and 80 parts per minute assembly line .
Moderator: The next question is from the line of Rupesh from Intelsense Capital.
Rupesh: Sir, my first question is you said you expect 70% growth in the pens. And our own IP -led pens have higher realization, so is it fair to say that this INR165 crores revenue we have done in pharma, there will be 100% kind of growth on the revenue side. I mean is anything wrong in this thinking?
Sanjay Shah : Rupesh, we would not want to put in a number there.
Amit Sanghvi: But we are seeing commercial pricing is also different than clinical pricing. So what we're saying is, we anticipate 77% growth, and that's what we're seeing to.
Rupesh: Okay. And any guidance on the broader company level, sir? I mean you are saying you don't want to talk segment -wise, but maybe broader company, can we reach, let's say, INR1,100 crores, INR1,200 crores revenue on the top line. Is that a fair assumption?
Amit Sanghvi: No guidance on the company wide. I mean we have growth. We have good growth, I think, and

it will be backed by a stronger profitable facility. So that's where we'd like to keep our guidance.
Sanjay Shah: And just to add to what was said, we expect growth across all the 3 segments, it will be different, but we expect growth across all the three segments.
Rupesh: And then my second question, sir, can you give some color on our presence at market formation in Canada and Brazil? And are we present with, let's say, more than one customer in both of those markets? And any regulatory approval, which is spending on us on the device manufacturer?
Amit Sanghvi: We don't have any outstanding queries that we have to address, and we are present in both markets with at least 2 players.

Rupesh: And then, sir, just last one clarification. Applicator project, I think we had announced in one of the Q2 call, maybe INR35 crore applicator project. So if you can give some color on that, how did that contribute in '25? And then what will happen to that project in FY '26?
Amit Sanghvi: See, applicator is going to probably get validated, I think in the first half of Q2, potentially end of Q2 and then we should see at least somewhere around 4 to 6 months of sales for the applicator in the current year.
Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments.
Pritesh Chheda: Just a clarification. So your gross block in Pharma after the current capacity expansion that you called out of about INR150 crores will be INR375 crores, right? That's the number you mentioned.
Sanjay Shah: Somewhere between INR350 crores and INR375 crores. It is after the investment.
Pritesh Chheda: No, sir, you're not clear your number, what you said?
Sanjay Shah: I said it will be somewhere between INR350 crore s and INR375 crore s after the investment that we have made.
Pritesh Chheda: After the investment, which is ba

sically 80 million to 90 million pens.
Amit Sanghvi: No. The investment is in the current year. We're looking at adding 40 million to 50 million capacity over the next 2 years, so there will be some additional investment needed for the rest of the capacity.
Pritesh Chheda: So I am asking about the eventual number, so post this expansion, you will have a gross block of INR375 crores, which means about 90 million pen capacity. Is this 2 numbers, correct? Or there is any change here?
Amit Sanghvi: There are some small things. So we're still looking at our entire lab and other supporting services set up for which we don't know what the investment number is going to be today. But essentially, like I said, consider a 15% to 20% margin just for that -- so, nothing -- I don't think there will be anything significant.
Pritesh Chheda: Okay. What should be the asset turn of this INR375 crore s block?
Amit Sanghvi: Anywhere between 1.5 to 2.
Pritesh Chheda: Okay. And the other question is, if you could tell us in the healthcare INR165 crores, what is the corresponding approximate pen volume?
Amit Sanghvi: I think somewhere around 16 million, 17 million, Pritesh.
Pritesh Chheda: Okay. No problem. And my last question is, on the non -healthcare side, so basically consumer and industrial, over the next 2 years, based on the contracts that we have in hand, newer businesses that we have in hand, what should be the growth in combining t hese 2 businesses

over the next couple of quarters? Should we continue to grow at the CAGR we have or there will be some acceleration?
Sanjay Shah: Pritesh, again, difficult to put in a number in. But as we mentioned to a query raised by other participant also, we expect growth across all the 3 segments.
Pritesh Chheda: Okay. Just INR375 crores what you said -- just a minute, sir. You said 2.5x asset turn, right -- no, 1.5x, sorry.
Amit Sanghvi: Somewhere between number 1.5 to 2, Pritesh.
Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.
Ankit Gupta: Congratulations for a good set of numbers. Sir, in this target for 30 million, 35 million pens for FY '26, can you give a broad breakup of how much will be our own IP -led GLP pens, our own IP-led insulin, and customer -led IP? So any broad breakup, if you c an give for those 3 segments?
Amit Sanghvi : Ankit, we already gave this on a previous question on this call. So we think about 70% is going to be IP -led.

Ankit Gupta: And that will be largely on the GLP side?
Sanjay Shah : A combination of GLP and insulin, yes.
Ankit Gupta: Okay. And sir, on our own IP -led GLP pens, can we assume that majority of the launches, which will happen in the markets like Canada and Mexico, will be pen injectors and not the auto injectors?
Amit Sanghvi: Sorry?
Sanjay Shah: Canada and Brazil will basically be pen injectors and not auto -injectors?
Amit Sanghvi: Yes, that's right.
Ankit Gupta: Okay. And across our various platforms in our own IP, will it be possible for you to share the average realizations even if you can give a broad range?
Sanjay Shah: Ankit, that's difficult. It is impossible. We'll not be able to share that.
Ankit Gupta: Sure, sir.
Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for any follow -up question. The next question is from the line of Dhwanil Desai from Turtle Capital.
Dhwanil Desai: So my first question is, the new product development side, you mentioned two products. So the question here is that do we develop these products suo moto from our side based on our understanding or is it based on some feedback from the customer innovators? How does this work? And if you're developing on our own, what is the process to commercialization of this product? Doesn't it get longer in terms of approval, validation? If you ca

n talk more on that?

Amit Sanghvi: Dhwanil, that's a fairly long topic. We do two things. I'll keep the answer short. When we develop devices for the generic market, we already know what we need to develop based on what is available from innovators in terms of feature functionality, user st eps, et cetera. When we develop something novel, truly novel, that we intend to target the originators, then we develop it based on what is the user feedback, what are the clinical or human studies look like? So we look at usability. And we look at the complaints on the market regarding those products. So we combine a few of these -- 3, 4 of these things and then come up with our own set of design inputs to develop our products. Now, so when you do something for an originator, we'll develop it fully. And then based on whoever jumps on that platform, ther e will be another set of customization required. So it is a semi -platform strategy, but doesn't work the same way as the generic business does. So it works quite differently.
Dhwanil Desai: Sure. Got it. And second question is, so this incremental 12 million to 15 million pens/autoinjector that we are targeting to sell in FY '26, is there any single customer concentration there where their success or failure dependent on that, anything like t hat? Is that a risk that exists?
Amit Sanghvi: So, I think customer concentration, that entire volume would be totally divided by 3 to 4 customers at the equal risk. None of the 3 to 4 have approval right now. So I also don't know. We will answer this question, let's say, in '26.
Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: So I was asking if you can talk about how are you seeing the opportunity in the Indian market for the semaglutide?
Amit Sanghvi: All hard to tell. The product is not sold in India. It's anybody's guess. It could be maybe as low as a couple of million to who knows, who knows where the market actually comes both in terms of size. But given the product is not sold in India, we only ant icipate from what we hear from our customers.
Ankit Gupta: Okay. So because we're not -- sure, sure. Because on the Canada side, a lot of -- some of the generic players who are in play for the market have indicated to the market opportunity itself will expand by 4, 5x post gener icization of sema. So can we expect the same kind of trend to follow in Indian market? Or it is too early to say? Like any view that you would like to share also will be most valuable.
Amit Sanghvi: Even the RLD doesn't sell the product in India. We don't know what the baseline market is.
Ankit Gupta: Sure, sure. And sir, on our own IP -led insulin pens, can you talk about we had got a contract last year. And a lot of other competitors had vacated the market or were vacating the market. So how are we seeing the market for us on that side? And how do you see the scale up happening there?

Amit Sanghvi: I would probably say that pricing pressure on insulin -type pen is very, very high. And we, ourselves, are looking at, I wouldn't say getting out of insulin. We want to focus on insulin, but we want to keep that focus limited to maybe your large players in each of those markets. We don't want to do insulin kind of for everybody. So we are focused on the large insulin players in India. We remain focused in other regions of the world.

We're still trying to grow the business. We don't want to grow the business especially in regions where there is no regulation when it comes to devices. And the reason is because the Chinese can undercut you buy a very significant number. And we are lookin g at other therapies maybe not as price -sensitive insulin, not as large in volume as semaglutide, but somewhere in between where we

can utilize our capacities for Protean. And there are many that we are actively supplying into as well.

Ankit Gupta: So how do you see the growth on our own IP led insulin pens over the next 2 years?

Amit Sanghvi: I mean we only have an insulin pen, right? One of our platforms is for insulin. Nothing else we supplied goes into insulin. So we think our insulin growth over the next 2 years will -- I wouldn't say that it will be 70%, 80%. But I think considering an ave rage of maybe 20%, 25%, 30% growth on the insulin side.

Moderator: The next question is from the line of Anant Jain, HNI.

Anant Jain: One question here, Amit, is, when we think of pens, autoinjectors, there are like multiple processes in terms of fill/finish, the device itself, the API, packaging, all of these things. So do you think that we would be willing to -- or we are looking to ex pand in any adjacency area to give a one -stop, one solution to our customers? Do you think that would be a possibility, not in the next 6 months or a year, but going down the line?

Amit Sanghvi: I'm glad someone asked this question. I've spent the better part of last 12 to 18 months coming up with a strategy on how to vertically integrate. What are the other areas we can go after? Again, this is one of those questions we could have a very long con versation on. But to keep it short, just in 2 years, you've seen potentially somewhere close to a 200 million capacity created in India, in the CDMO space.

There's probably another 200 million to 300 million capacity created outside. Frankly, if you ask me, plus all the large pharma players, generics and nongenerics, are creating their own capacity. So I put all of my customers together, we would see another 200 million, 300 million capacity increase over a period of time.

I'm not sure how lucrative getting into the other domain space because at the end of the day, if there's no -- with devices, we lead this because of IP because of that. With the other value -added services, it would be merely an asset investments. There's n o real technological know -how behind it.

So I don't have a straight answer to you, but I think my instincts are that I don't think we should -- short term, there is benefit. I don't deny that. There is certainly short -term benefit. You can make a limited business case out of it, saying that, okay , we'll support clinical development.

And we might actually do that, right? To support customers with clinical stages of development, we might put in kind of final assembly capabilities at some point. But long term, large capacities, I think anyone who sells more is going to bring this product ion process in -house because you look at the value chain, right, generics -- typical, most generics don't have control over almost any part of their value chain. So they're very limited. And the only way you can make money is by controlling as many aspects of the value chain as possible.

Anant Jain: Fantastic answer. One question here. One is on, when we look at Shaily, maybe 5 years back, we were limited in terms of our capabilities. But now if you look at Shaily, in your opinion, where do we stand with the global market leader, Ypsomed, BD, et ceter a? And do you think that the new opportunities in pens or auto injectors for innovators, we are pretty much at par with these players. That's the first question. I mean, again, it would be a very long answer, but still if you could summarize it in some way .

And second, a very pointed question. On Tirze exhibit supplies, how many customers do we expect next year, next Q1, Q2, full year, whatever, if you have any idea there?

Amit Sanghvi: I think for any NC minus 1, I think this goes back to semaglutide time as well. We limit NC minus 1 because you have to end the supply by a certain deadline. So let's say, for example, we're in May right now.

We need to make sure that we supply to any customer -- the last supply can potentially be made in Sep tember, October of this year. October is also pushing it, right? Because you have a May '26 deadline and you need 6 months of data and time to put your dossier together, et cetera.

So I think we're going to end up with about 3 that we will be able to supply to. Three -- we're debating whether to take a fourth on, but 3 is the number that we have right now. And as far as -- what was your first question, Anant?

Anant Jain: I was trying to understand how do we stack up, BD, Ypsomed?

Amit Sanghvi: So look, I'll be the first one to say, Ypsomed already manufactures maybe 100 million, 150 million devices a year. So it would be wise for me to say that we're as -- I guess they were as good as them, we've yet to prove it, right? So on the scale -up side, we have yet to prove it. We hope that with the expansion we're doing, with the semaglutide launch, we will be able to prove that we are as good.

I think on the development side, I would say that we have a slightly different approach than the competitors. We're more agile, but we feel that our product pipeline even today represents a significant benefit over most of our competitors, especially for p en injector. So as far as pen injectors are concerned, I think we certainly have a very significant advantage. We've been able to do that. And our development teams are very, very strong. We do not have this product in U.S. All of this at this point is ju st hearsay.

Anant Jain: I totally understand that. We don't have a product. One last question. One, just additional. In case of tirze, if you can specify the platforms?

Amit Sanghvi: Tristan, our platform is called Tristan.

Moderator: The next question is from the line of Dheeresh Pathak from WhiteOak Capital.

Dheeresh Pathak: So on the DMF filings, I see a lot of type 3 DMF filings for Shaily, whereas I don't see them for, let's say, Ypsomed, SHL or BD. So is there a particular reason I'm seeing Shaily in a lot of type 3 DMF filings, whereas I don't see that for the competitors ? Is there a particular reason around this?

Amit Sanghvi: I would assume that we are a little bit more flexible with our customers, which means that we do the dossier, and we do a different dossier for each of our customers, right? So we don't have the same product. Even though it's the same product, we do a diff erent documentation package for each of our customers.

I don't know what the pros and cons are, to be honest, I'll let my team decide that. But I would assume that some of our competitors might be providing the technical dossier filed as a final package from the pharmaceutical company. Maybe some are providing the CDRH route. Maybe some are doing -- so there are multiple ways of filing. I'm not quite sure why someone does it differently than the other.

Dheeresh Pathak: And there is 1 type 2 filing that I'm seeing in Jan 2025 for Neo pen for semaglutide, whereas all other filings are type 3. So if you can just help me understand why this one filing, which is mentioned as type 2 and other type 3, is there a nuance to that as well?

Amit Sanghvi: I'll be honest with you, I have no clue. I think you have -- I will need to check internally.

Dheeresh Pathak: Okay. Okay. Of the capacity that you mentioned, 80 million to 90 million pens, how much is autoinjector and how much is pens, it's all pens?

Amit Sanghvi: I would say, consider that pens will be probably -- I think I would say that you probably have a 70-30 split on the full capacity of pens versus auto injectors. 65 -35, who knows, but somewhere around that. Just keep a range in mind.

Moderator: Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to the management for the closing comments.

Amit Sanghvi: Th

ank you, everyone, for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations advisers. Thank you, and have a great day.

Moderator: Thank you. On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

SEPL/SE/ Aug/25-26
18th August 202 5
The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY
Sub : Q1FY26 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015
Dear Sir,
We refer to our previous letter dated 11th August 2025, wherein the Company updated the audio link of Earnings call held on 11th August 2025 to discuss the operational & financial performance of the Company for the quarter ended on 30th June 202 5.
In context therein, kindly find attached herewith transcript of the referred Earnings call.
A copy of the same is also available on the Company's website at www.shaily.com at https://static.shaily.com/iCbuWN4RSVShshhOJqvW -shaily -engineering -q-1-f-y-26-c-all-transcript -pdf
Kindly take the same on record.
Thanking You
Yours truly,
For Shaily Engineering Plastics Limited
Harish Punwani
Company Secretary & Compliance Officer
M. No. A50950
ENCL: A/a
 "Shaily Engineering Plastics Limited
Q1 FY '26 Earnings Conference Call "
August 11 , 2025
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th August 2025 will prevail
MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY ENGINEERING PLASTICS LIMITED
MR. SANJAY SHAH – CHIEF STRATEGY OFFICER – SHAILY ENGINEERING PLASTICS LIMITED
SGA, INVESTOR RELATIONS ADVISORS – SHAILY ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Shaily Engineering Plastics Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Sang hvi. Thank you, and over to you, sir.
Amit Sanghvi: Thank you very much. Good evening, and a very warm welcome to all the participants to the post Q1 FY '26 Investor call of Shaily. I have with me Mr. Sanjay Shah, Chief Strategy Officer and SGA our Investor Relations advisers. I hope you've had a look at our investor presentation that is uploaded on our website as well as the stock exchange.
So let me start with giving some highlights on the operational performance and business overall.

In quarter 1, we have delivered strong revenue growth of 38% year -on-year to INR247 crores with an EBITDA margin expanding by 840 basis points to 28.5%. The growth is attributable to improved traction in our Healthcare segment, which shows a growth of 181% year -on-year to INR77 crores.

The Healthcare segment's contribution to the overall revenue mix has doubled to 31%. Now giving a brief on business update. In the Healthcare segment, in response to increased customer demand, we have installed a capacity, which consists of 19 injection molding machines, an assembly line and a printing line to add an additional 25 million pens capacity per annum.

We intend to have this capacity expansion completed and on stream by the end of Q2 FY '26.

We have also received plant machinery for the manufacture of an eye applicator and have also successfully signed a new contract for supply of pens. We have officiall y started the commercial manufacturing of GLP -1 of pens for semaglutide.

In addition to the above -mentioned capacity expansion, we're also planning an additional line of 25 million pens for one of our other variants of semaglutide pen. We plan to invest a total capex of INR125 crores for the same in FY '26. The set expansion is expected to be completed between the end of FY '26 and the beginning of FY '27.

We are seeing significant growth on our IP -led pen platforms going forward. We're in discussions with multiple customers regarding volume commitments and capacity requirements for the next 3 to 5 years and would be aligning our manufacturing capacity and g lobal manufacturing footprint accordingly.

Our focus is in line with expanding our horizons to include contract manufacturing for medical devices, products featuring our intellectual property and personalized packaging solutions.

We're on track with our guidance expecting health care business to contribute significantly to our revenue and profitability over the next couple of years, thereby enhancing the organizational value.

Coming to the Consumer segment, we have been awarded business for the supply of mixed material products, steel and plastic. We have successfully received business for the supply of male accessories from one of our marquee customers in the FMCG space. We've also seen an improvement in our carbon steel business for the year.

Revenues from the overall segment grew by 14% year -on-year to INR151 crores. We have good visibility across our business segments and confidence to expand our reach and performance.

That is all from my side. I shall now hand the call over to Sanjay Shah to give you the operating and financial highlights. Thank you very muc h.

Sanjay Shah: Good evening, everyone. Thank you, Amit. I shall share with you the highlights of our operational and financial performance of Q1 FY '26, following which we will be happy to respond to your queries. During Q 1 FY '26, we processed 7,016 tonnes of polymers as against 5,902 tonnes in Q1 FY '25. Machine utilization rate has improved to around 49% in Q1 FY '26 as against 39% in Q1 FY '25.

We expect utilization levels to improve quarter -on-quarter. Exports during Q1 FY '26 stood at around 76% of total revenue. I shall now brief you on the consolidated results for Q1 FY '26.

Revenue stood at INR246.7 crores as compared to INR179.4 crores in Q1 FY '25, a growth of 38% year -on-year.

EBITDA nearly doubled to INR70.4 crores as compared to INR36.1 crores in Q1 FY '25, a growth of 95% on year -on-year basis. EBITDA margins have improved to 28.5%, an increase of 840 bps on a year -on-year basis. PAT has grown to INR41.1 crores as compared to INR17.4 crores in Q1 FY '25, showcasing a growth of 136% on a year -on-year basis. PAT margins improved to 16.7%, an increase of 700 bps on year -on-year basis.

Cash PAT stood at INR52.6 crores as compared to INR27.6 crores in Q1 FY '25, growth of 91% on a year -year basis. Now coming to consolidated segmental revenue breakup for Q1 FY '26. In the Consumer segment, revenue stood at INR151.4 crores as compared to INR132.8 crores in Q1 FY '25, a growth of 14% year -on-year.

In the Pharma segment, revenue stood at INR77.2 crores as compared to INR27.4 crores in Q1 FY '25, a robust growth of 181% on a year -on-year basis. Industrial segment revenue growth stood at INR18.1 crores as compared to INR19.2 crores in Q1 FY '25. We saw a minor degrowth on a year -on-year basis. This is all from our side. Now we can open the floor for Q&A. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The f irst question is from the line of Hars sh K Shah from Dalal & Broacha.

Hars sh Shah: Firstly, congratulations on a strong execution. I have a few questions. So firstly, in the Healthcare division, so the capacity that you mentioned, right, the 25 million getting executed, coming on

stream by Q2 and another 25 million by -- at the end -- between the end of this financial year and the starting. So, is it the number that I'm putting out, correct that our capacity at the beginning of FY '27 would be around 90 million pens in totality?
Amit Sanghvi : No. No, it will not be 90 million. The effective capacity will be closer to somewhere between 70 million and 75 million.
Harssh Shah: Okay. So, this is post the expansion. So, then what is the current capacity then?
Amit Sanghvi : With the expansion that -- there's 2 expansions, right? One that goes on stream by Q2 FY '26. With that, it's about , 45 million. And with the additional 25 million, the effective capacity will become 70 million to 75 million. You have to keep some space h ere for changeovers and the effective capacity is what we intend to manufacture and sell. And essentially, it's never going to reach 100% of what we're installing.
Hars sh Shah: Correct. Got it. And also, if you could help us quantify, say, in Q1, what is the number of pens you have sold? And if you could split that between, say, GLP -1 and non -GLP -1?
Amit Sanghvi: Good question. Number of pens, I actually don't have that on the top of my head, but we can come back to we can come back to you guys. I'd say the quantum of what we've sold in quarter 1 is our IP -led devices, which contains a mix of GLP -1 and insulin. Aga in, with GLP -1 taking the lead, which means close to 60% will be -- 60% to 65% will be GLP -1.
Hars sh Shah: Got it. And also, I mean, if you could give some color in terms of how the momentum is building in terms of, say, the new clientele for GLP -1. So basically, where I'm coming from here is that are you facing any situation wherein your existing customers are

demanding more capacities as
against, I mean, what probably you would have discussed earlier on?
And I mean, is it safe to assume that, by the next financial year, say, FY '27, the capacity -- the effective manufacturing capacity that you're putting up should be more or less kind of fully utilized?
Amit Sanghvi: It's hard to -- it's really hard to give an answer when the product has not launched. Yes, customers are discussing increased capacity, wanting more product or having an adequate buffer to cater to the potential upside. Many such conversations are happenin g, many such conversations are being negotiated into commitments and contracts.
But as far as '27 goes, whether we'll fully utilize the 70 million, 75 million capacity that we put up, it's very hard to answer that right now. But there's obviously some math and commitment behind setting up the capacity. So, we feel that given a 24 to 3 6-month kind of time frame, capacity is obviously going to be fully utilized.
Hars sh Shah: Got it. Last two questions from my side. So, on the consumer part, sir, I believe the U.S. as a geography for us remains to be a very large one. So how has been the response from the end customers in terms of the order ramp ing up o r are you facing any sort of delayed ramp -up or maybe orders getting canceled or anything of that sort? Some color on it would be very helpful.

Sanjay Shah: So Hars sh, around 16% of the revenue comes from U.S. which is spread across consumer and industrial. Currently, we are not seeing any delays or any request from customer for change in orders or something. But it's a fluid situation. We really do not know how thing s will pan out. So, I think we will probably know over the next 60 to 90 days in terms of how things are panning out. If you ask us today, I think we are currently making shipments to U.S. as we were doing earlier.
Harssh Shah: Got it. And lastly, on the consumer electronic part, so I just wanted to pick your thought. Any role that Shaily may place in the PLI scheme for component manufacturing or anything of that sort? I mean, is there a possibility or I mean, if you could give s ome color on it?
Sanjay Shah: The PLI scheme is very specific for components, for specific components. What we would be looking at is doing multiple components. So, we will have to look at in that perspective.
Amit Sanghvi: I think basically, you have the capex incentive and sales turnover incentive. The capex incentive, the deadline has passed and so that is no longer applicable to us. But we will be applying for a sales turnover incentive.
Moderator: Next qu estion is from the line of Anant Jain from HNI.
Anant Jain: Congrats on a great set of numbers. My first question is on the teriparatide launch by our customers. And when do you expect -- or when can we expect the first Shaily own IP product in the market? It's almost been a year that we had thought it would come i n. So that's the first question.

Second question is, how are our new lines coming up? Any challenges that you are seeing to run our lines at 80 parts per 80 ppm and even 160 ppm? How much of our capacity is current 40 million and eventual 70 million to 80 million are backed by customer co mmitments? And how much are backed by customer commitments and how much are backed by customer advances, if you could just give that?
What is the market share in terms of number of customers filing for Canada/Brazil/India, like separately, like if there are like 10 customers filing for Brazil, then how many are through Shaily device? Are we also looking or any of our customers looking to launch a pen in China as well? You mentioned in the call that there is one new customer which got added for GLP -1 in Q1 FY '26. Which platform is this customer on? And in general, is it fair to assume that -- or if you could give some idea which pl

atform is the most used platform or mos t platform that the customers are looking to go with as of now? I have many more questions, but I think if you can answer these, and I will come back with later ?
Amit Sanghvi: Teriparatide launch, really fingers crossed. There's no further CRLs to our customer should be this year -- this calendar year, at least. I don't know what the timing are, but we have obviously supplied batches. Now it's about just when they get approval t o launch. That's to the first question. Second was on capacity.
Anant Jain: On the lines, 80 ppm and 160 ppm.

Amit Sanghvi: Our 40 ppm line is running actually quite well. We have an overall equipment effectiveness of roughly 81% to 82%. That is what we expect from the new lines as well. So, we think somewhere you would max out at 85% uptime. So, the OE is never going to go bey ond 85%. It will be somewhere between 80% and 85%. Does that answer the second ?
Anant Jain: No, I'm more interested in the newer 80 ppm and 160 ppm?
Amit Sanghvi: The 80 ppm line will now be installed. So, we have not installed it yet. The 80 -ppm line is going to go on stream over the next 60 days. And I think it will be at least 6 months beyond which we will be able to comment on what is the overall efficiency that we're getting. Your third question was what is our most durable capacity and how much of it is backed by customer.
Out of the total, let's say, 70 million, 75 million pens that we are setting up capacities for, I'd say somewhere between 50% and 60% would be backed by commitments. And again, they're not -- the commitments don't run exactly a financial year. They would run a period. So it could be more in some years, potentially less in some others.
It's hard to comment right now. But it's -- let's say, 50% to 60% is backed by some sort of a commitment. Third -- sorry, fourth question was regarding customers focus in Canada and India. I think I can comment on Canada. Brazil, again, our customers also licensed to other pharma companies.
Now that information is not always updated with us particularly. So, I'll let Brazil be. But I think in Canada, if I look at all the filers which are available in the domain -- public domain right now, I'd say 70% are ours. I'd say 60% to 70% are Shaily's.
Anant Jain: India?
Amit Sanghvi: India, again, we would have a very significant share. And that number should remain more or less the same across various geographies. Do we have a customer taking the pen to China? Not that I'm aware of right now.
Anant Jain: Which platform is a new customer that got added?
Amit Sanghvi: Neo, and Neo is likely to be our highest selling platform over the next 5 years.
Anant Jain: One or two more questions, which is how many customers did we supply Tirze exhibit batches in -- we have supplied in Q1 and will you supply for the rest of the year?
Amit Sanghvi: Sorry, can you repeat the question, please?
Anant Jain: So can you give some information about Tirze exhibit batches that we have supplied for how many customers.
Amit Sanghvi: I mean, this has been over the last -- what you -- over the last, I guess, 24 months. Is that the question?
Anant Jain: Yes.

Amit Sanghvi: I'd say probably -- I think same -- even same customer as new variants of semaglutide are added by the innovator, we also supply those variants to existing customers, right? So effectively today, I think there are now 11 variants of semaglutide across vari ous strengths and cartrid ge sizes. So,

I would say last two , three months, we would have supplied to 3 customers exhibit batches.
Anant Jain: Okay. Last question from my side is this eye applicator plant and machinery supplied by the customer. How big is this opportunity for us? And when can we start seeing this in

numbers?
Amit Sanghvi: We are in the process of qualifying the full asset base. Post qualification, there will be an approval time, not a very long approval time, but I think by Q3, we should start supplies of the -- sorry, Q4, we should start supply. Q4, we should start supplie s of the application.
Anant Jain: What would be the size -- annual size of this product?
Amit Sanghvi: I mean I think that maturity would be somewhere around INR25 crores of business.
Moderator: Next question is from the line of Mohd Harris from Monarch Networth Capital.
Mohd Harris: Sir, my questions pertain to the current pen capacities we have. So, can you give the split between GLP and non -GLP and also our own IP, pen platforms and third party? And on the additional capacity we are setting up, could you give the same split as well?
Sanjay Shah: So, Mohammed, I think when you look at the current 40 million to 45 million capacity, it's fungible between our own pen and contract manufacturing. So that capacity is fungible ? Effectively, at the end of the year or let's say, by beginning of '27, we'll have roughly 45 million GLP -1 pen capacity and balance in non -GLP -1. And all the new capacity which we are creating is basically for our own pen platforms.
Mohd Harris: Okay. And can you also share the incremental capex that would be done over this financial year and the next one, including the current expansion.
Amit Sanghvi : That was part of my speech that we're doing INR126 crores capex.
Mohd Harris: Okay. And -- last question is regarding the capex we are doing; will we incur any land costs in terms of if we will be doing the expansion will be Greenfield or Brownfield?
Amit Sanghvi We don't require any land -- additional land for the capex that we've already –
Sanjay Shah: INR125 crores capex is being done in the current plant, which we have which is there. And any new expansion, which we do also will always be greenfield, but not be brownfield.
Mohd Harris: Okay. And if you could also mention the utilization figure for the Pharma segm ent, that would be helpful, sir?
Sanjay Shah: We don't report that individually. We report utilization only at the committee.
Moderator: Next question is from the line of Gautam Trivedi from N epean Capital LLP.

Gautam Trivedi: Great set of numbers and really amazing progress. Question I had was with respect to the diabetes and GLP -1 in particular. India clearly is home to 100 million -- unfortunately, 100 million diabetic patients and probably another 30 million, 40 million, 50 million who haven't got themselves tested. So, the market clearly is vast.
Question really is with respect to injectables versus tablets. What's your view on that? Because I mean the prices will come off starting January 2026. But how do you view that? And is that potentially -- I wouldn't use the word threat , but is that something that could impact your ability to add more capacity?
Amit Sanghvi: So, I will answer that, Gautam, in 2 ways. First is citing the latest published study by Lilly on Orforglipron, which showed only a weight loss of 12% -- 11%, sorry. That's the first thing. So fairly significantly under the actual numbers of injectables ri ght now. Second, I think -- and again, I'm not in the manufacture -- in the business of doing pharmaceuticals.
But what I understand from the experts in the industry is that the bioavailability of the oral is one-tenth or one -eight of the injectable, which means the effectiveness is very low. And therefore, when you look at the orals, you see a very significantly higher API content in the tablet, even what I believ e Novo is going for in the U.S if I'm not mistaken.
It's a 25 or 50 mg daily tablet against the highest dose, which is currently available in injectable is 2.4 mg for the whole week, once a week. So, you s

ee the economics 50x, 350 mg in a week
versus 2.4 mg in a week, the math really has to add up. Now will tablets, orals take a market.
Yes, I think orals are predicted to have somewhere around 20 -- between 20% and 25% of market share. That's always going to happen. I believe injectables for the foreseeable future will continue to dominate, especially when orals are only going to be avail able from innovators, but you will definitely see injectables domination on the generic side.
Moderator: Next question is from the line of Ankit Gupta from Bamboo Capital.
Ankit Gupta: Congratulations for a great set of numbers. On the pharma front, we have recorded almost INR75 crores of revenue for the quarter. Given how the launches are expected -- the prelaunch quantities that we'll be supplying going forward in Q2, Q3 and Q4, can we expect that this will be the new base for the pharma, and we should start growing from this in the subsequent quarters?
Sanjay Shah: So, Ankit, you're right that this is the start of it and bulk of our revenues on the pharma business

in terms of GLP -1s will happen in Q3 and Q4. So, you should look at higher revenue from the pharma business as we move forward.
Ankit Gupta: Sure. And on the consumer electronics side, have we got any approval from some sort of our products from our customer? And do we expect some of the revenues to start from FY '26?
Amit Sanghvi : Without commenting on any specific project or customer, we do expect to accrue -- we do expect to start revenue either by the end of this year or early next year.

Ankit Gupta: Two questions on the technical side. As you are saying, Neo is expected to be a very good product. So, have you done any comprehensive human factor studies for this spend? And how has been its error rate compared to the RLD device or the innovator device?
Amit Sanghvi: No, we've done -- I mean, yes, we have customers who've done the human factors on our devices. And the best thing about the Neo is that it doesn't actually require human factors beca use it's a like-to-like device.
It's not a device with any differences against the innovator, which is why you don't -- the other mechanical devices require comprehensive human factor studies to prove that they have the same r ates of error as the innovator. Whereas the Neo doesn't because it's a spring -driven device. Having said that, yes, we have data available, which tell us exactly how the user behaves with the device.
Ankit Gupta: Sure. And sir, one thing on the pen assembling and fill/finish speeds. Like what we understand is from the fill/finish side as technologies evolve, the pen assembling finish speeds improve. So, are pens able to sustain higher PPM speeds compared to our com petition? And if yes, what is the maximum PPM that pens can support?
Amit Sanghvi: I think the pens can very well support 300, 400 or 500 parts per minute line where we have not tested it. I think our largest line that our customers have procured is 160 parts per minute line. So, I don't see a challenge in terms of pen not being able to manage the high -speed assembly line.
It's designed for high -speed assembly. And you have to keep in mind the Neo is an in -licensed product, right? So, the Neo was developed by one of the largest innovators in the world experts on pen devices. And it's an in -licensed product, which means it is very capable of running at upwards of 300, 400 parts per minute.
Ankit Gupta: Okay. Okay. Just last question. Do we make our cartridges PFS in -house? And if not, like are pen compatible with PFS cartridge from just 1 player or 2, 3 players or multiple players?
Amit Sanghvi: Our pens are compatible with the ISO standard of cartridges. So, there's an ISO standard for 3 ml, 1.5 ml, 1.8 ml cartridges. Our pens will be compatible with all of them.
Ankit Gupta: But we don't make th

em in -house?
Amit Sanghvi: No. I mean, we don't do any glass manufacturing, so.
Moderator: Next question is from the line of Dhwanil Desai from Turtle Capital.
Dhwanil Desai: Sir, my first question is regarding Shaily U.K. So if you can give some sense in terms of number of customers added, number of new projects and whether anything on the innovator side? And also, our employee cost has increased significantly because we were hiring a lot of people there at a top level. So, when do we see the resultant increase in that business, Shaily U.K., Dubai? So how should we look at that from FY '26, FY '27 perspective?

Amit Sanghvi: I mean, we've got some very nice projects ongoing in Shaily U.K. Some are confidential, which I will not be able to comment on, but we have a new product launch coming up at CPHI in October in Frankfurt. We're very much looking forward to that product launch.
It's what we think is the next generation of GLP -1 devices, and it's targeted towards large innovator pharma. So, there's a lot of user research and studies have gone into coming up with a set of functionality for that device, and we intend to showcase it at CPHI in October.
Dhwanil Desai: That's very encouraging, sir. So, for such products, do we work -- our design team works on their own o r does it -- is it based on the feedback from some innovators with whom we have done this tie -up, and we are jointly developing this part ?
Amit Sanghvi: No, we're not jointly developing it. We work on technology ourselves based on user research feedback, looking at -- if you look at the mass database, it will essentially have information on issues with the current devices on the market. You look at human factors, videos, you get a s ense of what is lacking.
So, you then look at trends of what people are -- patients are generally doing, and which is what

you base your device on, add sustainability to the equation and then you come up with a set of
traits that you want in your device. And that's how we've devel oped it.
Dhwanil Desai: Sir, on the industrial side, I think we were -- we had won that large projects and on the North side also our supply had started. But on Q1 FY '26, I think we saw a slight negative growth. So, can you help us understand, have we lost some business, or this is just a shift of business from a quarter -to-quarter?
Sanjay Shah: We have not lost business. A lot of this also depends on -- if you look at quarter 1, we had a launch happening in quarter 1. So, we had large volumes in quarter 1 last year, which has evened out in the current quarter. But otherwise, business continues to remain steady, and we continue to add business there.
Dhwanil Desai: Okay. Got it. And sir, you talked about some improvement on the carbon steel business. So, are we expecting breakeven this year o r -- and I think eventual goal was to reach to company level or at least consumer side of the business level margins over a period. So how should we look at that business for this year and next year?
Sanjay Shah: EBITDA level, we were positive last year. We hope that, yes, we would be at a net level -- probably end the year on a positive basis. We see -- if you look at it, we have added businesses in the last 2 quarters, which we should be commercializing between q uarter 3 and quarter 4. So, you would basically see again revenue going up from quarter 4 onwards into next year. Simultaneously, we are looking at adding more products and adding volumes on existing products. So, I think revenue should go up next year also.
Moderator: Next question is from the line of Rupesh Tatiya from Shree Rama Managers PMS.
Rupesh Tatiya: Congratulations on a fantastic results. I have a few clarifications on -- to the responses you gave to one of the earlier participants. So first, I mean, one question, sir, is these 10 a ssembling

devices that the fill finish formulator guys have to buy, the three , four vendors is my understanding. Tofflon is there, EMA, Micron is there.
So, are these guys now able to provide 10 assembling machines to the fill/ finish formulators? Is there like one or now many of them can provide 10 assembly machines?
Amit Sanghvi: I mean you've got a dozen companies who -- or maybe less than a dozen, but close to 10, 12 companies globally. You have ATS, you have EMA, you have Micron, you have Harrow, you have Team Technip, you have Tofflon out of China. You have -- I'm sure there's 3 or 4 more available. But yes, they can all provide an assembly machine. Is that the question?
Rupesh Tatiya: Yes, yes. So, I mean, there will not be any supply issue, right? If the fill/finish guys want a machine to assemble, these people have already ready machines, especially Neo & Harmony Everything is like sorted from a supply chain point o f view?
Amit Sanghvi: There are no ready machines. They are ready platforms. And the platforms then need to be customized for the device. And one machine can handle multiple devices. But again, it has to be designed in that manner. Having said that, I think machine manufacturer s are quite busy right now. So, is there a capacity constraint? I don't think there's free capacity available anyway. So, you'd have to -customers would need to plan this well.
Rupesh Tatiya: Okay. Clear, sir. Sir, the other question is for Shaily Neo. I mean, you are very confident that it's similar to R&D device. And I think in one of the older calls, you have said that you have taken a lawyer opinion that we will pass any patent challenge. But if in case -- in Canada, do you expect the patent challenge?
And in case, let's say, in worst case scenario, we don't pass through the patent challenge, then do you have the CUHF regulatory support that you can provide your customers after the patents expire? I mean I know some of these patents will expire in '26. S o, there are 2 questions there. So, can you please answer those?
Amit Sanghvi: What is the question again? Could you repeat like I think regulatory support for a patent challenge is not really needed? We provide our customers anyways.
Rupesh Tatiya: In Canada, do you expect patent challenge for Shaily Neo?
Amit Sanghvi: No, I don't. But patent challenge will depend on -- there's nothing that prevents someone from litigating against one of my customers. There's a lot of extensive FTO work done on the pen and not today. This was done over the last 3 years. Customers have verified the FTO against -- with their own attorneys. And so, we feel good that we shouldn't have any -- and again, having an FTO doesn't prevent someone from litigating anyways.
Rupesh Tatiya: Okay. And then, let's say, my understanding is some of the spring -related patents expire in June or July '26 in Canada. So, let's say, if we are some -- in unfortunate scenario, we can't launch till July '26. After July '26, if regulator asks you for a CUH F user study, formative CUHF study, have we done that study? And you didn't answer to earlier question, how is our rate compared to what is our user rate compared to an R&D device?

Amit Sanghvi: Again, my question to you, Rupesh, is that what does a user study have to do with the patent challenge? I mean, the regulator is not concerned with patents. The regulator is concerned with the effectiveness of the therapy and they're approving it. Am I und erstanding this incorrectly, maybe?
Rupesh Tatiya: Your pen would be different, right, sir, in case if your pen is deemed different from the innovator, then you have to do ?
Amit Sanghvi: It's not different. That's what you're saying. The Neo pen is not different than the innovator.
Rupesh Tatiya: But

then if it is not different, then they might be -- So that's what I was trying to understand both sides of the equation. I got my answer.
Amit Sanghvi: Just because it functions the same way as the innovator does not mean that the internals are the same as the innovator. I mean there are 7 mechanical pens or 10 mechanical pens on the market today, each function the same way, but the internals are all diff erent for each of them.
Rupesh Tatiya: Okay. Okay. Clear, sir. And then my final question, sir, is in Brazil, Wegovy will be launched with Ozempic, or it will be launched maybe a year later. There is some technical issue there. So mayb e if you have some view on that?
Amit Sanghvi: Good question. I actually don't know, but there's a possibility to launch together. And there's also a possibility depending on when the customer filed the individual variant that it comes on stream a little bit later.
Moderator: Next question is from the line of Ritesh Shah from Investec India.
Ritesh Shah: Congratulations on a good set of numbers. Sir, first question is, have we started to take advances from the customers either for capex or on commitment of capacities? If you could quantify those numbers, that would be great.
Amit Sanghvi : No, that is confidential, Ritesh.
Ritesh Shah: Okay. But are we progressing on taking money from clients? Is it for capex or is it for volumes? Like -- or is it both?
Amit Sanghvi : We don't take money from any customer for capex. We basically -- it's a business agreement that, okay, if someone is committing an X volume over a period of time, then the commitment towards that volume -- towards supply basically.
Ritesh Shah: Okay. So, nothing on the capex side. Great. Okay. My second question is, why is it that you are not looking at capacities beyond 100, say, 100 to 200 given the lead times to set up the machinery and stuff that we do, the lead times are quite long. Any particular thought process? Or we just would prefer to be conservative?
Amit Sanghvi : No, we are looking at large volumes. The only thing is that we don't think having one line with 300 parts per minute is a good idea. So, we've done a lot of evaluation on capex versus cost and complexity. And we've figured out that the most optimal capex cost is actually at 80 parts per

minute. So, we will have multiple lines of 80 parts per minute, but never go into 300 sort of -- because first, just to give you an understanding, cost difference between 80 parts per minute line to a 300 parts per minute line is in the region of 5, 4 to 5 x. It doesn't make sense.
Ritesh Shah: Okay. My question is more from going from 100 million pens to 200 million pens, the manufact uring capacity, assuming 80 is…
Amit Sanghvi : Yes. I mean we will do the capacity addition as and when we feel we see the commitments from customers coming in. And I think all of our customers know that we have an 18 -month lead time to add capacity.
Ritesh Shah: All right. But I would presume like if we have given certain numbers of effective capacity, say, 75 million to 80 million by FY '27, a good part of it would already be booked by the customers. Wouldn't that be the base case?
Amit Sanghvi Yes, that's what we said in the call as well that yes, there is commitments based on which we are building the capacity. And yes, but like I said on my call, there's the product hasn't launched yet anywhere -- so any number that anyone gives you is -- can change, can be very high or could be low. We really don't know.
Ritesh Shah: Okay. So, what will be a milestone that we will look at on this $80 million -- basically, what is the milestone by when we will actually look to go ahead for the next big phase of expansion?
Amit Sanghvi : Us signing on maybe capacity contracts. So, as we sign them on, we look at how much expansion we need to do over the year

s and when those expansions need to come on stream.
Ritesh Shah: Sure. And last question, is there any update on any large orders or any work we are doing for any consumer electric companies?
Amit Sangh : No, no update. I said the previous question -- one of the previous questions I answered was that we should see some revenue end of this year, beginning of next year. But apart from that, there's no update.
Moderator: Next question is from the line of Sanjay Kumar Elangovan from i thought PMS.
Sanjay Elangovan: Congratulations on very good numbers. First question, just a follow -up to a previous question. So, you said 50%, 60% of capacity is backed by customer funding. So, let's say, if our capacity is 70 million, 75 million, does it mean FY '27, we can do 35 mill ion if these customers get approval irrespective of their market sales, offtake, whatever that is ?
Amit Sanghvi: If we set up the capacity, we have the capacity to manufacture, but it's very important the customer gets approval and has the volume, right, without that what am I going to ship to.
Sanjay Elangovan: Yes. I understand that they have to get approval. But once it's in place, we will start supplying to them. I'm just trying to understand what this customer backing is. Do they pay for the volumes, or do they pay for the minimum offtake agreement or somethi ng like that or?
Amit Sanghvi: Okay, yes. So, most of them would be take -or-pay contracts some would bring.

Sanjay Elangovan: Add volumes, right?
Amit Sanghvi: Yes. Again, they don't have to take 100% of the volume that we are building. We build an upside for the customer as well when we get into such contractual agreements. So, we keep an upside buffer for the customer if the market expands a lot faster than the y've anticipated. Is always kind of a realistic number or a pessimistic number. That is what an agreement is based on.
Then the capacity is based on what we think is going to sell.
Sanjay Shah: A customer comes back and tells us, it's taking me some time for that approval. We'll obviously wait for that customer to get approval.
Sanjay Elangovan: Got it. So, what would be the realistic number for FY '27, sir?
Amit Sanghvi: So, again, we will comment after the product launch. I know the numbers for this year, which is building up for product launch, but then that stock needs to be consumed, right? So, we will comment on that only towards the end of the year.
Sanjay Elangovan: Okay. Second, INR77 crores from health care in Q1. Will Q2 have a similar run rate or were there any one -offs in Q1?
Sanjay Shah: There are no one -offs in Q1. No one -offs. And Q2, I mean, yes, we should do well in Q2 as well. Run rate so far, so good.
Sanjay Elangovan: Okay. So, my final question is on Canada. So far, 5 filings according to th e regulators' website. Of these five , how many are -- because I understand that there are two Indian companies.
Amit Sanghvi: I think we have 60% of generic market share on semaglutide across the markets that are opening up.
Sanjay Elangovan: Okay. But -- and any customers launching Wegovy when the paten t expires in Jan or March 2026 o r is it only Ozempic?
Amit Sanghvi: I think most customers have filed Ozempic first and Wegovy later. So, it will follow the same process, likely to get approval for Ozempic first and Wegovy after.
Sanjay Elangovan: Okay. Final question, sorry. So, Harmony, I understand Neo is very similar to innovator spend, but Harmony is a different, right? So, have you done their other metrics similar to the innovative spend in Harmony? And do you see any risk in our customer s getting approval with Harmony?
Amit Sanghvi: Harmony, we've done the very detailed human factor study. So, we have proven to the authorities that the success rate, error rates are set out the exact same a

s the innovator. So yes, I think -- I
mean, so far, regulators haven't raised any concerns. So, I think safe to say that we should be in a fairly good position.
Sanjay Elangovan: Okay. So, the 25 million initial capacity capex that we're doing is for Harmony, I'm guessing?

Amit Sanghvi: We're doing 125 million for Harmony and 125 million for Neo, which is the Neo capacity comes in at the beginning of FY '27.
Moderator: Next question is from the line of Aman Thadani from Solidarity Investment Managers.
Aman Thadani: Most of the questions have been answered. I have just one question. So, the margins in the services business has been declining in the healthcare services. So just wanted to understand the key reasons behind it. And when do you see it turning back to again 70% EBITDA margins that you have done in the past?

Sanjay Shah: So, Aman, there are two things to it. We've been adding people there for development. So, we have a higher employee cost, and we are expensing that out as we speak. So that's one reason for the higher employee costs.
Amit Sanghvi: I think you will see the margins improve on the service side from this quarter.
Aman Thadani: Got it. Sir, a follow -up to that is since we are investing behind people and new products, and we are going to demonstrate that in the CPHI as well. So, could the future for this segment in terms of growth be meaningfully different versus what it has done in the past?
Amit Sanghvi: Yes, because our -- look, our primary objective now is to target big pharma, while we scale up, what is the pipeline? In the pharmaceutical business, you need to have a kind of a 7 -, 10-year game plan. Even if it changes frequently, you still need a game p lan. So, the strategy is very simple.
You scale up the businesses and the products that you've developed. Simultaneously, you need to look at developing breakthrough stuff on which there isn't a like -to-like device out there to target big pharma with their next generation of therapies. Now GLP -1 is one area, but there are many other areas that we are doing innovation in as well.
So, core objective is to spend more on innovation and come up with new technologies. I mean, look, pens have sort of become B2 products now, right? Because of the GLP -1 market and how large it is, everybody wants to do pens. So, we need to develop the next generation of drug delivery, connected -- connected drug delivery. There's a lot that goes on. There's a lot that is going to change in the industry. And our target is big pharma.
Moderator: Next question is from the line of Pritesh from Lucky Investments.
Pritesh : Sir, I just want to clarify on the expansion. So, we called out 17 million pen capacity by the end of this year. And we call out another INR125 crores to be invested for another 25 million pens? That's how it was?
Sanjay Shah: No, no, no. Pritesh, we are investing INR125 crores over the next 12 to 18 months for the 50 million capacity, which is being created in two steps, 25 million, 25 million.
Pritesh: Sorry, you need to come back again. INR125 crores to be invested over 12 to 18 months ?

Amit Sanghvi : Correct. 25 million capacity is coming on stream, let's say, end of this quarter, right? End of the current quarter. The other 25 million will come on stream in Q1 of FY '27. So ,with these 2, it's INR125 crore s investment that we are looking at.
Pritesh : So that 20 million to 70 million is basically all -inclusive, is basically this 7 0 million that you are going to?
Amit Sanghvi : It's hard to put an exact number, but yes, somewhere in that range. Please keep the 15%.
Pritesh: Okay. So as of now, the expanded capacity will be 70 million by the end of quarter 4 or quarter 1 '27, whatever will be timeline

?
Amit Sanghvi : Correct.
Pritesh : Okay. And what kind of 70 million pens or 75 million pens capacity this will operate at 80% utilization or this is equivalent to that 80% utilization 70 million?
Amit Sanghvi : Yes, it is equal to the 80%. Yes, exactly. So, 70 million is 80%, 85% capacity.
Pritesh : And this capacity in your best guess, you should be utilizing it fully by FY '28 ?
Amit Sangh : Yes, that's the target. That is our estimate also, but earlier -- can be earlier, can also be -- I mean that's what we're basing our projections.
Sanjay Shah: So, Pritesh, a lot of it will depend on when launches happen and how is the response to those launches.
Pritesh: Yes. So as of now, based on the best guess, that 's what I asked?
Amit Sanghvi : Yes, you're right. That's what our internal target is as well.
Moderator: Next question is from the line of Aman Vij from Astute Investment Management.
Aman Vij: I had two questions. One on the pharma business. So tirzepatide exhibit batches was supposed to happen in Q1. So, did it happen o r do we expect it to happen in Q2 now? That is the question on pharma ?
Amit Sanghvi: It happened in Q1, and it is also ongoing right now.
Aman Vij: Okay. But we had -- we were thinking of supplying to 2 to 3 customers. So that will happen eventually in the next 1 to 3 quarters, right?
Amit Sanghvi : No. I mean I think with the N minus 1 date, it has to -- all supplies need to finish by, I think last would be end of October. It cannot go beyond end of October. If you are -- if a customer is targeting NB minus 1.
Aman Vij: And we have only three customers for it right now, right?
Amit Sanghvi : Correct. We don't know we are targeting NB minus 1.

Aman Vij: Okay. But now it will be too late for anyone to approach you and we target that.
Amit Sanghvi : Yes. That's too late.
Aman Vij: Okay. Second set of questions is on consumer business. So, it was interesting to hear that there's this mixed metal business, which you won. I think that was a plan from a long time. Could you talk about, is that business scalable like the carbon business, even bigger opportunities there? What kind of -- like if you can paint a picture for next 2 to 3 years for this particular segment because I be lieve this is a very big market?
Amit Sanghvi: If we put aside what's going on globally economically for a second, then the business is very scalable. There're enough opportunities to do mixed material, many, many products where you do plastic and metal together. So certainly, our business is scalable. Now we don't know what's going to happen, essentially a little bit of uncertainty because of tariffs and a little bit of uncertainty because of whatever is happening in Europe economically. But in general, as a business, it's very scalable.
Aman Vij: Sure, sir. Final question is we had gotten 2 more customers for consumer business apart from our anchor customer. How is that scaling up well? Can these customers contribute meaningfully to our busine ss over the next 1, 2, 3 years o r this is like a small opportunity, good customer? And any more such customer tie -up we are looking for?
Sanjay Shah: We continue to work with these 2 customers and look at opportunities.
Aman Vij: But Sanjay, sir, can this be a scalable business or this is like a small, small kind of busin ess opportunity, not meaningful?
Sanjay Shah: It can be -- it can be a scalable business. I think it's important for us as well as the customer to understand each other, which is what we are trying to do. And I think over the next 3 years, it can become a sizable business.
Moderator: Next question is from the line of Kishore Kumar from Unifi Capital.
Kishore Kumar: I just wanted to understand how the realization is shaping up for the GLPs. Since like the commercial supplies have started now for semaglutide,

is it at a broad level? Or has it increased now?
Amit Sanghvi : Realization are they increasing or what's happening on realization. Right now, it's exhibit batches in most cases.
Amit Sanghvi: Yes. I think for -- we have started commercial supplies manufacturing for the GLP -1, and the realization will more or less -- I mean with the volume, the pricing obviously is different. So, you will see that impact.
But I think with the mix of the product we have, more focused on GLP -1 than insulin right now, even as the volumes are going to be this year, we are going to be well protected on the margins.

Kishore Kumar: Got it, sir. If you could give some broad number for the realization for the GLP pens, that would be helpful ?
Amit Sanghvi: Sorry, that will not be possible.
Kishore Kumar: Got it, sir. Okay. And if you can actually give us how much like proportion is going for the exhibit batches vis -a-vis the commercial supplies?
Amit Sanghvi : What you will see, Kishore, is that quarter 3 and 4 will be very heavily sided towards commercial supplies. Quarter 1 and 2 will have a mix. Again, commercial supplies will be 50% or more, but quarter 3 and 4 will be substantially leading towards the comme rcial supply.
Kishore Kumar: Understood, sir. And my final request is, if you can give us the volume supplied in Q1, that will be great, sir ?
Amit Sanghvi : Someone else asked that question, but I don't have that number off the top of my head. I apologize, but we will have that answer ready.
Kishore Kumar: Thank you so much.
Moderator: Thank you. L adies and gentlemen, due to time constraint, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments.
Amit Sanghvi: Thank you, everyone, for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations Adviso rs. Thank you very much and have a nice evening.
Moderator: Thank you, sir. On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2025

SEPL/SE/ Nov/25-26
17th November 2025
The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY
Sub : Q2FY26 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015
Dear Sir,
We refer to our previous letter dated 10th November 2025, wherein the Company updated the audio link of Earnings call held on 10th November 2025 to discuss the operational & financial performance of the Company for the quarter and half year ended on 30th September 2025.
In context therein, kindly find attached herewith transcript of the referred Earnings call.
A copy of the same is also available on the Company's website at www.shaily.com at https://static.shaily.com/MtdwbBaSYfwRjP2TBWgi -shaily -engineering -plastics -q-2-f-y-26-t-ranscript -pdf
Kindly take the same on record.
Thanking You
Yours truly,
For Shaily Engineering Plastics Limited
Harish Punwani
Company Secretary & Compliance Officer
M. No. A50950
ENCL: A/a

"Shaily Engineering Plastics Limited
Q2 FY26 Earnings Conference Call "
November 10 , 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th November 2025 will prevail

MANAGEMENT : MR. AMIT SANGHVI – MANAGING DIRECTOR – SHAILY ENGINEERING PLASTICS LIMITED

MR. SANJAY SHAH – CHIEF STRATEGY OFFICER – SHAILY ENGINEERING PLASTICS LIMITED

SGA, INVESTOR RELATIONS ADVISORS –SHAILY ENGINEERING PLASTICS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Shaily Engineering Plastics Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Amit Sanghvi . Thank you, and over to you, sir.

Amit Sanghvi : Thank you very much. Good evening and a very warm welcome to all the participants to the Q2 and H1 FY26 Investor Call. I have with me Sanjay Shah, Chief Strategy Officer and SGA, our Investor Relations Advisers. I hope you've had a look at our investor presentation that is uploaded on our website as well as the stock exchange.

Let me start by giving some highlights on the operational performance and the business performance in the quarter gone by. In Q2 FY '26, we have delivered strong revenue growth of 34% to INR257 crores on a year -on-year basis, with EBITDA margins expanding by over 1,000 basis points to 31.8%. The growth is attributable to improved traction in our Healthcare segment, which showed a growth of 163% on a year -on-year basis to INR98.6 crores.

The Healthcare segment's contribution to the overall revenue mix has doubled to 38% now. Let me give you a short brief on the overall business updates for Q2 FY '26. Starting with the Healthcare segment, the company actively engaged in global industry platforms exhibiting at CPHI Worldwide in Frankfurt, PDA Europe in Vienna and PODD in Boston, where it conducted over 130 meetings with multiple customers.

The quarter also marked the launch of our next -generation GLP -1 device known as the Shaily Axiom Max. It's a fixed -dose pen with no priming required, low dose force as well as a dose counter, further strengthening the company's device portfolio. In addition, the company also signed four new projects with customers across GLP -1 and other therapies.

As part of its ongoing capacity expansion, 19 new machines have been installed at manufacturing facility during quarter 2 FY '26. We're in the process of increasing capacities from 40 million pens to 80 million pens by the end of FY '26 to cater to increasing demand and are investing approximately INR125 crores for the same in FY '26. Looking forward, we expect Healthcare segment to grow at over 30% to 40% annually for the next few years.

Coming to the Consumer segment, we've been awarded 5 new projects from 3 different marquee home furnishings customers, further strengthening our presence in the consumer segment and reinforcing long -standing customer relationships. In the Industrial segment, we've been awarded 1 new project from an automotive major during the last quarter.

Lastly, on the Consumer Electronics front, as mentioned earlier on previous earnings calls, we are working on a few products, and we expect revenues to begin for this segment in H2 of this

year itself. So, that is all from my side. I shall now hand over the call to Sanjay to give you the operating and financial highlights. Thank you very much. Over to you, Sanjay.

Sanjay Shah: Thank you, Amit. Good evening, everyone. I shall share with you the highlights of our operational and financial performance of Q2 and H1 FY '26, following which we'll be h appy to respond to your queries. During the quarter , we processed 6,652 tons of polymers as against 6,186 tons in Q2 FY '25, a growth of 7.5%.

For the half year period, we processed 13,668 tons of polymers as against 12,088 tons in H1 FY '25, growth of 13.1%. Machine utilization rate stands at about 48% in

both Q2 FY '26 and H1 FY '26. We expect this to increase going forward. Exports during Q2 FY '26 and H1 FY '26 stood at 68% and 72%, respectively, of total revenue.

I shall now brief you on the consolidated result highlights for Q2 FY '26. Revenue stood at INR257 crores as compared to INR192 crores during Q2 FY '25, a growth of 34% year -on-year. EBITDA has doubled to INR82 crores as compared to INR41 crores during Q2 FY '25. EBITDA margin stood at 31.8%, an increase of 1,030 basis points over Q2 FY '25.

PAT stood at INR51 crores as compared to INR22 crores during Q2 FY '25, a growth of 134% year-on-year. PAT margin stood at 20%, an increase of 860 bps over Q2 FY 25. Coming to segmental revenue breakup for Q2 FY26. In the Consumer segment, revenue stood at INR135 crores as compared to INR139 crores during Q2 FY 25 a dip of around 3%.

In the Pharma segment, revenue stood at INR99 crores as compared to INR37 crores during Q2 FY '25, a growth of 163%. In the Industrial segment, revenue stood at INR23 crores as compared to INR16 crores during Q2 FY '25, a growth of 45%. Now coming to H1 FY '26 consolidated highlights. Revenue stood at INR503 crores as compared to INR371 crores during H1 FY '25 a growth of 36%.

EBITDA stood at INR152 crores as compared to INR77 crores during H1 FY '25, a growth of 96% on a year -on basis. EBITDA margin stood at 30.2%, an increase of 930 bps over H1 FY '25. PAT stood at INR92 crores as compared to INR39 crores during H1 FY '25, a growth of 135% on a year -year basis.

PAT margins stood at 18.4%, an increase of 780 bps over H1 FY '25. Cash PAT for H1 FY '26 was reported at INR116 crores as compared to INR60 crores during H1 FY '25, a growth of 94%. Our ROCE and ROE stood at 42.3% and 32.7%, respectively, as on 30th September 2025. The growth in business has been achieved with disciplined use of capital. Our debt to equity stands at 0.3x and our fixed asset turnover ratio stands at 2x as on 30th September 2025.
Coming to segmental revenue breakup for H1 FY '26. In the Consumer segment, revenue stood at INR286 crores as compared to INR271 crores during H1 FY '25, a growth of 6%. In Pharma segment, revenue stood at INR176 crores as compared to INR65 crores during H1 FY '25, a growth of 171%. In Industrial segment, revenue stood at INR41 crores as compared to INR35 crores during H1 FY '25, a growth of 17%.

Board of Directors of the company have approved grant of 94,500 stock options to eligible employees of the company under the Shaily employee stock option plan. This reflects the company's continued commitment to recognizing and rewarding employee contribution while also aligning the interest of employees with long -term shareholder value creation. That is all from our side. Now we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. W e take the first questions from the line of Rupesh Tatiya from Long Equity Partners. Please go ahead.
Rupesh Tatiya: Congratulations on fantastic set of results. My question is, sir, recently, Dr. Reddy has got notice of noncompliance for their AND for semaglutide in Canada. I mean, without going into whether they are your customer or not, I mean, I'm not sure, do you -- and I think Dr. Reddy was one of the very early f ilers of semaglutide in Canada. So, without going into whether they are our customer or not, do you feel that the Canadian launch now is pushed forward from, let's say, January '26 to maybe April '26 or even later? Is that how -- any comment on that?
Amit Sanghvi : Look, I think our customers are the closest to the authorities in terms of understanding what's really happening at the moment. But having said that, I have 2 comments. One is that Shaily as a company and a strategy has onboarded a majority of the generics for their GLP -1, especially sema

glutide, which means if a particular customer does launches on time or not, someone is going to launch and hoping that we are with them when they launch.
So, I think our risk is fairly covered from that perspective. Now again, we're not saying Reddy's are our customers on their program or not. What we're saying is that we've done this program with several generics, generic majors who have -- also several of them have filed in Canada. So, we are hoping that we will still be the beneficiary of that launch.
Whether the launch gets pushed out, I think January launch was always very difficult given that patent expiry in India itself is March. So, we had always planned our launch program based on a March launch in Canada. Now, if a customer launches in January, great. We're very, very happy for them and for our partnership. But I think we had always anticipated a March launch.
Rupesh Tatiya: Okay. So given this -- I mean, I think I was going through Sandoz con call also, and I think they are also very tentative about Canada approval. So, given this industry backdrop, do you feel that whatever budget we had to sell semaglutide pens in all the markets, do you feel -- is there some impact on that o r whatever is our budget that number still holds?
Amit Sanghvi : Our budget still holds. So, we have started manufacturing and supply, which means given there's no adverse market condition or health authority conditions, our budget should still hold.
Rupesh Tatiya: Okay. And any -- I mean, I don't remember if you have given a guidance, but what is the guidance for total number of pens and then GLP pens in particular in that for FY '26?
Sanjay Shah: So, Rupesh, we have not been giving any guidance. As Amit mentioned earlier, majority of the people who have filed in Canada have filed with Shaily's device. So that's where we would leave it.

Rupesh Tatiya: Okay. But -- okay. And sir, this -- I think one line of 25 million, I think, was going to come online by Q2. So, has that line come online? And how is that line doing in terms of efficiency and other things?
Amit Sanghvi : The line has -- sorry, go ahead, Sanjay bhai.
Sanjay Shah: Yes. So, Rupesh, on the line also what Amit had mentioned last time on the call is, the line would basically be operational by end of Q3 of FY '26. As part of that, we have installed 19 machines, which is what we have announced post the Q2 earnings. Amit, you want to add

something.
Amit Sanghvi : No, I was just going to say the line will -- I was going to say the same thing. The line will be operational shortly. So, it's under -- yes, there's a process to do before the line becomes fully operational. It will be shortly from now.
Rupesh Tatiya: Okay. And then the final question, sir, is on Consumer Electronics side, where -- I mean, any update, progress in terms of product developments, qualification, all that? And can we see some commercial supply or let me ask this, can we see...
Amit Sanghvi : No. I mean I mentioned we'll start commercial supplies in the -- in H2 of this financial year, which means that, of course, we've done development work.
Rupesh Tatiya: And would it become significant next year to our revenue?
Amit Sanghvi : No.
Moderator: We take the next quest ion from the line of Harssh Shah from JM Financial PMS.
Harssh Shah : Firstly, congrats on a strong execution. A few questions from my side. So firstly, on the gross margin front, especially on a stand -alone basis, if you could help us understand what has led to such a sharp improvement on a sequential basis? I understand that the healthcare revenue has been doing very well for us.
But even if I look for the last three quarters on a sequential basis, the healthcare revenue has been growing in excess of or close to about 30% -odd. Some color on gross margin would be very helpful and whether thes

e gross margins are sustainable? Yes, that's my first question ?
Amit Sanghvi : So, 2 -- So Sanjay bhai, you want to take it? Go ahead.
Sanjay Shah: Yes, Amit. So, Harssh, if you look at our gross margin improvement, we have been saying that as our own IP -led pen platforms, the revenue starts increasing, you will see improvement in gross margin. That's one of the reasons why there has been an improvement in gross margins.
We have also added some products on the other parts of the business where our gross margins are better.
So, it's a combination of these 2 factors, which has led to an improvement in gross margin. Our take is that the gross margin improvement, which is happening will continue to happen. You should -- a lot of it will also depend on the product mix which we do during that quarter. But

our take is that as our own IP -led pen platform's revenue increases, you would see improvement in margins.
Harssh Shah : Got it. Secondly, any update on the Dubai subsidiary in terms of what our plan is considering that we have sanctioned a loan of INR8 crores for c apex and some other requirements, something on that front?
Amit Sanghvi : So, we are increasing the breadth of our innovation services. So, apart from just doing the engineering work that we do in the U.K., we're increasing it from a service perspective, servicing customers for assisting with filing, with assembly setup, with testing setups. So, it's going to be for some time a service -led -- innovation service -led kind of business, primarily targeting the Middle Eastern market, Middle Eastern and Asia Pac market from here.
Harssh Shah : So any plans of setting up a capacity there maybe?
Amit Sanghvi : Not sure at the moment.
Sanjay Shah: So, Harssh, we would advise that at the right time.
Harssh Shah : Sure. Got it. And lastly, on the Consumer Electronics segment, right? So last time, if I remember it correctly, Amit sir did mention that we would like to apply for the turnover -based incentive scheme in the component manufacturing. And I believe the deadline was somewhere around 30th of September for target segment A, B, C and E. So, have you applied for that? Or how is it?
: Sanjay Shah So Harssh, from the components which we are doing, you would not have qualified for A,B,C. We will basically be looking at it separately and making an application once we have clarity on that.
Harssh Shah : Got it. Okay. And just last one question from my side. So, in the consumer segment, wherein you have won recently the new -- three new marquee customers, right? So, the scale up or probably the revenue, when should one expect to start flowing in the P&L?
Sanjay Shah So, first, there are not three new customers. These are existing customers. One is a long -term customer with whom we have been doing business; two are customers with whom we have started doing business in the current year. We have just added new projects with them. Most of these projects would have a project execution time of about 6 months to 8 months before we start supplies.
Moderator: We take the next question from the line of Ritesh Shah from Investec.
Ritesh Shah: Congrats on a good set of numbers. A few questions. Amit, the first question was on concentration risk. I think you partly addressed to it. But hypothetically, say, if I'm a customer

and if I face several delays; one is, does the customer, which is me, still continue to procure the pens or the devices from you given I would presume this is not just -in-time inventory. So that's the first question.

A second related one is, if I'm your customer, do I have that flexibility to use the same device in other EMs? So, is the concentration of device something similar, which makes it fungible? That's the second thing. And the thi

rd thing is if the second option is fungible...

Amit Sanghvi : Hello? Am I audible?

Ritesh Shah: Yes, you're audible, Amit.

Amit Sanghvi : Okay. Yes, Ritesh, so customer concentration risk, really, we sell a product or maybe two products for semaglutide. We don't just have 1 customer on a particular platform. And there is -- and therefore, we have also built the capacity needed so that we can maximize market opportunity. Even if one capacity is less utilized versus the other, we can maximize in terms of achieving our full potential for the projections we have.

I really don't see a very significant risk. And plus, our contracts would also be covered with committed volumes. If not committed volumes, there would be a sort of a pay process, right? So, a take -or-pay. Now not that we don't want to support our customers. We're -- in their time of need, we are very happy to extend support, but it has to be reasonable support.

So, capacities are limited when it comes to GLP -1, especially in the launch period, which means that those who want to get ahead of the market and secure their supplies, not miss out on the opportunity, will need to commit to capacities and have committed to capacities. And as far as supply chain is concerned, we have common materials across all our platforms. So, diverting one material to another platform is very easy to do.

Ritesh Shah: Yes. So, I just wanted to understand, so, hypothetically, if there are any regulatory risk -- delays which are there, does Shaily's dispatches get impacted? Or is it the customer is okay to stock it given eventually the demand will be there?

Amit Sanghvi : It's too detailed question. I mean it depends on the scenario. If a customer is going to get delayed by 12 months or 14 months, then they have the issue of...

Moderator: It seems like the line for the management has got disconnected. Please stay connected till I rejoin him. Thank you for waiting patiently, the management's line has been connected. You can proceed with your answers sir.

Amit Sanghvi : What did you hear last, Ritesh?

Ritesh Shah: Yes. I think you said this is too complicated a question or too detailed a question, something of that sort.

Amit Sanghvi : No, no. So, what I said after that was...

Ritesh Shah: I think we lost you over there, sir. Hello?

Amit Sanghvi : Sorry. I don't know. There is something wrong with my network today. What I was saying is that if a customer is going to get delayed by over 12 months, for example, then what would happen is that supplies will need to be delayed because they will not have enough shelf life

when they put the product on the market. But if it's -- if we're talking about a few months, a quarter here and there, it doesn't really impact supplies because everybody needs to do the volume built up for the launch.

Ritesh Shah: Right. Sir, the question over here is if say, hypothetically, the delay is 12 months, will we use the flexibility to supply the same device given we have de -risked ourselves given we supply to multiple companies?

Amit Sanghvi : Of course, of course, of course.

Ritesh Shah: Okay. That helps. My second question was, you indicated that we move from 40 million to 80 million devices by end FY '26. Just wanted to have a sense on how does the insulin pens stack up on the overall scheme of things, given incrementally our focus will be on GLP -1?

Amit Sanghvi : So, look, we're looking at potentially somewhere around 12 million to 15 million insulin, not more at this point. It's all a scale -up on GLP -1.

Ritesh Shah: Okay. And would it be possible to bifurcate between pens and auto injectors..

Amit Sanghvi : Not at this point. At some point in the future, yes; but not at this point.

Ritesh Shah: Sure. That helps. And the last one, I think you alluded to the opportunity on Consumer Electronics. Can you highlig

ht what is the scope of opportunity over here? Like, you did
indicate that the revenue is not going to be material enough next year. But if you take a 3 -year,
5-year view, how should one approach this particular segment?
Amit Sanghvi : Your guess is going to be as good as mine in terms of what we actually do on consumer
electronics. But look, there is very significant growth opportunity there. And the scope is also
very significant. So, it could be a $20 million business or could be a $100 million business, I
really don't know, but it can be very substantial.
Ritesh Shah: Sure. And just a follow -up, sir, what is the moat in this particular business that we have? So
GLP -1, we understand, but Consumer Electronics, is this something which is very, very niche
to what Shaily has offered the vendors wherein we actually stack up right at the top?
Amit Sanghvi : I don't think there is another plastic component manufacturer -- domestic plastic component
manufacturer that can achieve the requirements. The precision requirements are exceptionally
stringent in this industry. So it would be -- yes.
Moderator: We take the next question from the line of Vivek Gautam from GS Investment.
Vivek Gautam: Congratulations on best yet numbers, sir. I have recently started tracking the company, so don't
mind, sir. So, one thing is about the Chinese competition for our pen segment. And second is
any threat and oral medicine threat for the GLP -1, sir?
Amit Sanghvi : I think on orals; I answered it during the last couple of earnings calls. So far, there isn't an oral
which is as effective. Second, because -- primarily because the requirement of API is

exceptionally high and the availability -- the bioavailability of the molecule is very, very, very
low, 1/10th -- less than 1/10th of the injectable.
Is there a market going forward? Yes, there's always going to be a market for orals, but we
think it's going to be limited to 25%, probably a max of 30% Again, even if orals do come in,
they're not going to be -- they're primarily going to be marketed by the innovators. So, price
point affordability and the ROW market opportunity that we're seeing for semaglutide right
now is not something that will go away, right? So that's on the oral.
Chinese comp etition, I mean, look, there's five knockoffs of the Ypsomed , Uno Pen and the
BD Pen in China. They're doing some small volume business in China itself, nothing outside --
not a whole lot outside of China, but you will always find some markets, right, potentially
markets like India, Bangladesh or some other APAC markets where the patent regime is not so
strong, intellectual property regime is not so strong, where they can sell their products.
There is a market for everything on GLP -1s, right from bottom of the barrel in terms of price
and quality to basically selling the Rolls Royce of GLP -1s. So, I think we shouldn't worry too
much about Chinese competition. At the same time, we need to scale up, because Chinese are
exceptionally good at what they do and they can catch up in a relatively short period of time.
So, our strategy to mitigate China is to scale up the business as much as possible, become large
enough so that you cannot be uprooted.
Vivek Gautam: And sir, our product demand for the healthcare is spread out over many, many countries and
the patent is expiring in many countries. So, the opportunity size for us remains very, very
large. And I would like to, once again, congratulate you for your stupendous progress starting
from 2 injection molding machines to this stage, and it's been a great progress sir.
Moderator: We take the next question from the line of Anan t Jain, an Individual Investor.
Anant Jain: Congratulations on a great set of numbers. Amit, my first question is on, what are our Middle
East plans? Because from what I understand is, the regula

tions there say that if you have to sell
in Middle East, you have to set up factories over there. So, can you just answer this, like how -
- what are we planning to do in the Middle East?
Amit Sanghvi : Anant , I just answered that question on an earlier one. It's that at the moment, the Shaily
Innovations FZCO has a primary objective of providing services around people's clinical
batches, filing strategy, testing setup because there's lot of companies that have never done this
before. So, assistance and service around assembly setup , how to do the final assembly.
How to get the cartridge filling right, how to do testing of the pen or the final product for batch
release. So, these are the services we are going to provide out of Shaily Innovations FZCO,
primarily to start with. We will also do some design work or R&D work in the future. But this
is what we're doing to start with, particularly focused on Asia -Pac, South Asia and Middle East
market.
Anant Jain: So, we don't have plans for setting up any factories and doing large capex there in Middle East,
Abu Dhabi, Dubai, anywhere?

Amit Sanghvi : As and when we have plans and something is concrete, we will be informing the market.
Anant Jain: Great. Second question is on the Consumer business. What we have seen is it's stagnant. And is it because of the tariffs? Or do we -- and do we expect growth for this year in this business?
Sanjay Shah: So, Anan t, if you look at H1, the Consumer business has grown. And I think on an overall basis, you will see growth on the Consumer business. We have said this in the past also that there will be varying growth numbers across different segments of the business, with the Pharma business growing at the fastest and then Industrial and the Consumer because the base of the consumer business is pretty large. So that's what we would look at.
Currently, we have not seen much impact of tariffs because the tariffs came in, I believe, sometime in September -- end of September sort of a thing. So, we are not seeing much impact of tariffs. But how will things pan out is something which can -- we do not know right now in terms of how it will look in the future.
Anant Jain: Okay. One question on the Consumer Electronics side is, what we are seeing generally is that most of the companies who plan capex on the consumer electronics side, the large vendors actually expect them to do capex in and around, let's say, Bangalore, Mysore , that belt. So, are we planning a capex in that area? And how significant could be or any -- and also anything on the product approval and capex plans on this?
Amit Sanghvi : So, Anant , I think on the Consumer Electronics also, when we have something more definitive to share on our capex plans, we will certainly inform the exchange. But essentially, you're right that for sizable business opportunity, capacity will need to be created somewhere in the region where this business actually exists.
Anant Jain: Okay. Great. Last question from my end. One is, you said that we are partners with most of the players in Canada. So, like what I see is there are 6 players who are registered in Canada. So, like are we partners with 4 or 5 of them? Is that like...
Amit Sanghvi : I'd say we are partnered with 50% to 60%.
Anant Jain: Okay. Last question, just last question. Any new industries that we are targeting in the next 1 or 2 years, is there anything interesting we're doing in any other industries, which is as high tech as what we have been doing in the Consumer Electronics side?
Amit Sanghvi : I think we mentioned semiconductors last time on the last call. So, we are building a strategy around the semiconductor business and where Shaily can participate with what specific products. And some discussions are slightly more advanced. Some are slightly more nascent. But again, as and when we have

more to report, we will.
Anant Jain: So, we have identified the products here in semicon industry, I would assume we have, right?
Amit Sanghvi : Some products we have, yes.
Moderator: We take the next question from the line of Vishal Manchanda from Systematix.

Vishal Manchanda: My question is, with respect to EBITDA margins, can we expect them to sustain at similar levels in FY '27?
Amit Sanghvi : I believe so. I believe so. And I would go as much as saying that, look, if our Healthcare business is scaling and becomes a bigger part of the overall revenue, then the potential is to increase, certainly to increase.
Vishal Manchanda: Okay. On the Healthcare business, if you could share how many players we would have partnered for pen? Just the numbers, number of players you would have partnered?
Amit Sanghvi : Just on GLP -1s, we would have close to 24 -- 23, 24 partners, if I'm not mistaken. And the extended partnership, because our partners also have partners, right, multiple partners. So, the extended partnership would be very, very significant.
Vishal Manchanda: Yes, I got it. So, basically, an Indian company having a partner abroad in a different territory.
Amit Sanghvi : Yes, Indian company, European company, American company, all have multiple partners.
Vishal Manchanda: And with respect to the Consumer Electronics business, if you could share some color on when the commercial revenues can begin? And what would be the initial capex you would look to do here?
Amit Sanghvi : Too soon. I mean, we will start supplies in the second half, which is between now and March. Now what's the revenue? We don't know. But it's not going to be a very significant number, I can tell you that.
Vishal Manchanda: Okay. And existing -- you don't need to do any incremental capex for this business. It will be done out of existing capacity?
Amit Sanghvi : Small marginal capex -- yes, for the revenue, it will be existing capacity, but there's some small marginal capex will always be needed, some automation, some tooling, something or the other, but nothing major.
Vishal Manchanda: Okay. And just this pen that you have introduced in the market, the Axiom Max pen, is this

meant for GLP -1s or it is meant for other drugs on them?
Amit Sanghvi : No, our primary target is next -gen GLP -1s with innovators in mind. I would urge all of our investors to go on to LinkedIn and see the posts of the Axiom Max. It has been very well received at the conferences, and we're hoping that we will be able to onboard a large global pharma for their next -gen GLP -1 program.
Vishal Manchanda: So, how would this be like better than the existing pens that are used for GLP -1s?
Amit Sanghvi : So, the existing pens are pens kind of improvised for GLP -1s. If you look at most GLP -1s, they're fixed -dose therapies, yet still go into a multi -dose or variable dose pen. So, the Axiom Max has three, four major advantages. First, it's a true fixed dose, which means a user cannot dial anything else, but the dose that is intended so which means there's an under dose prevention, overdose prevention.

We found through research that over 96% of users don't prime the device before first use. And when you -- of course, when you don't prime, you are going to under dose. So we have taken the priming out of the device. Our device is good to go dose accurate from the first dose itself. One does not need to prime.
And lastly, that it has a -- a lot of these are once -a-week therapies and new therapies that are coming out are going to be once a month therapy. So, it's not very easy for the user to track how many doses they have taken, when will the pen -- when will it complete and when will they need to order a new one or get a new one.
So, we put a dose co

unter in it. And the dose counter really helps with understanding that what is left, when should you reorder, etc. I don't know if there is a way for me to post the -- Chorus people, is there a way to post a link somewhere? No.
Moderator: Hello, sir, yes...
Sanjay Shah: We'll share the link share on our website.
Amit Sanghvi : Okay, great. Alright.
Vishal Manchanda: And is there also some advantage in terms of lower force? Is that also an advantage here?
Amit Sanghvi : Force is -- I mean, the total extension is very, very low. We're looking at about 26 -millimeter total reach. So, if you consider, let's take one of our competitor devices and semaglutide as an example, then most of our competitor devices will be dialed up to something between a 42 and a 50 millimeters in terms of length. So, it's a very tedious process to actually inject it. So, our extension for the thumb is half of that. And the force is low, of course.
Moderator: We take the next question from the line of Het Shah from Dalal and Broacha.
Het Shah: A couple of questions from my side. Firstly, sir, what would be the GLP -1 versus the non - GLP -1 split? And within that, the exhibit and the commercial batch split? Secondly, a bit more clarity on the current capacity of the pens as on H1 FY '26. Fourthly, the U.K. subsidiary, which probably had a run rate of about INR20 crores a quarter for the past two quarters, do we expect similar run rate forward? Yes, these are the questions from my side?
Sanjay Shah: So, Het, I think we don't give the split between GLP -1s, non -GLP -1s or a mix of what we do between exhibit batches and commercial supply. So, it will be difficult for us to give that. The capacity, I think Amit also mentioned in his initial part of the speech when he started the call that our current capacities are around 40 million, and we are expanding it to 80 million.
So, the expanded capacity -- part of the expanded capacity is coming on stream in quarter 3 and part of it by end of first half of quarter 1 FY27. Again, we don't give any guidance, so it will be difficult for me to tell you what we will be looking at for Shaily U.K. or Shaily Innovations U.K.
Het Shah: Okay. I mean -- and sir, just a rough estimate, ballpark number on the run rate, that would be fine?

Sanjay Shah: Het, as I explained that we don't give guidanc e. We don't give that would not be possible for us to do that.
Het Shah: And of the 4 projects that have been signed across the GLP -1 and other therapies, if you could give a number on how many are for GLP -1?
Amit Sanghvi : So, we've got two different molecules for an emergency use. The rest of them are GLP -1s.
Het Shah: And sir, lastly, the Canada commercial batches have started, correct?
Amit Sanghvi : Yes.
Moderator: We take the next question from the line of Aman from Astute Investment Management.

Aman: My first question is on Shaily U.K. part. So, we have added lot of senior people in our team over the last 6 months to 1 year and some big consultants also. So, could you talk about, as of today, how many projects we are doing actively? And what is your vision for this division over the next 2 to 3 years?
Amit Sanghvi : All right. So, look, so far, we've been taking on several projects a year, ranging from maybe 4 to 5 to peaking at 12, 13 in a year. And this has primarily been with the generic opportunity for GLP -1 and insulin. Going forward, we are looking at increasing the complexity of our innovation, especially drug delivery.
So, apart from the next -gen GLP -1 device that we just launched at PDA, we're looking at potentially participating in the insulin delivery using patch pumps. We're looking at some complex drug delivery using our Lira on-body injector. Now these will become multiyear engagements with the customer.
They will not be -- they will not follow t

he generic model where we take on multiple customers on the same platform for the same molecule. These will be -- they will tend to be a little bit more exclusive and have a multiyear engagement where our teams are deployed for really pene trating into the global pharma, l arge global pharma innovator molecules kind of business. So that's sort of where the focus is. Will we continue to generate the same type of revenue that we are doing in U.K.? I am fairly confident that's going to also continue to increase. I don't know if that answers your question.
Aman: Sure. That helps. So, on the recent conferences that you have attended, so you mentioned 130 meetings. I don't know if you even remember, but is there a like -to-like remember for the last 1, 2 years? I just wanted to understand, has this scale with we adding a lot more devices or normally this 130 number is there? And also, were these meetings mostly for our new Axiom Max device or most of the meetings were still for say, generic platforms, which we already have?
Amit Sanghvi : So, because Axiom Max is such a focus area for us, we had 18 meetings for Axiom Max. The rest of them were for our other platforms. Some of our other platforms like the Neo spring -

driven pen are also devices that are being discussed with innovators. But Axiom Max, of course, had 18 meetings across 3 exhibitions.
Aman: And this 100, 130 overall meeting, is this a common phenomenon for Shaily or has there...
Amit Sanghvi : No, no. No, it's not. It's not. It's not. Last year in Milan and this year in Frankfurt, last year, we probably did 80 to 90 meetings. This year, we did 130. But the number was before that, probably half of that.
Aman: Sure, sir. And my final question is on the generic launches. So, one is obviously Canada, but say, Brazil, India, Turkey, these big markets are also coming up. So, I believe somewhere in quarter 1, the patents are going off patent. So, is there any impact of delay because of delay in Canada and the same authority sharing their fi les across various geographies? That is number one question. And number two question is, Canada, you talked about 50%, 60% market share, but say, Brazil, Turkey, India, these are other 3 big markets. Roughly, if you have an estimate for market share in these?
Amit Sanghvi : It's difficult. I know India, I can comment. I think India, we have a fairly dominant position. But I would assume that those who are doing India, Canada, Saudi will be the same folks, along with some regional players in markets like Turkey and Brazil, right? I believe we would still have a single dominant position. So, single -- still the single largest supplier of devices, but I don't know if it will be 50% plus or it will be 20%, 30% or 40%, to be honest.
Aman: And the first question on timelines for the launch in other markets, does it have any impact if, say, Canada delays for everybody, then -- does it have any...
Amit Sanghvi : No, Canada has no impact on any of the other markets.
Moderator: We take the next question from the line of Ankit Gupta from Bamboo Capital.
Ankit Gupta: Congratulations for a great set of numbers and the response we have received from various conferences, including CPHI. Sir, on the breakthrough on the innovator company side, as you are seeing the kind of response Axiom Max has received. So, let's say, over the next 1, 1.5 years, do you think we can -- given what visibility we have or the discussion that we are having with some of the innovator companies, we can have some breakthrough with this innovator companies and we can start supplying commercial orders to them?
Amit Sanghvi : No, commercial orders, yes. Can we have a breakthrough? Absolutely, we think we can have a breakthrough. We cannot start supplying. When innovators take on a device, their program launches are typically going to be 3 to 4

years hence. So, innovators start very early on in their
pipeline with the evaluation and the finalization of a device.
I don't see Axiom Max being on the market for 3 years -- for the next 3 y ears, b ut it's not about
the 3 years. It's about getting the right partner to work with where your scalability could be in
potentially 100 million -plus devices. That's the whole opportunity.

Ankit Gupta: But let's say, for the new programs, I understand, but let's say, adding a pen or replacing some of the existing suppliers by our pen, is that possible in already launched, commercially launched products of the innovators?
Amit Sanghvi : If the innovator has adequate margin and not on cost pressure because there's a lot of R&D work that have gone behind it. So we don't intend to sell it at a cost plus. So, if an innovator is using it as a strategy to increase their market share, then sure, it can. If not, we would also be careful about where we participate with the Axiom Max. We need to make sure it's going to be a very large scalable molecule.
Ankit Gupta: But for other products like Neo or other spring -driven devices of ours?
Amit Sanghvi : Neo has already got plenty of opportunity, and it's -- the traction is only increasing. So Neo, we don't see an issue.
Ankit Gupta: And on the innovative side as well, like we have some plans -- like we have...
Amit Sanghvi : We have traction. I just answered that to the last participant.
Ankit Gupta: Sir, on our own insulin device that we do, how do you see scale up happening there? Should we expect our own devices should do well this year or at least going forward in FY '27?
Amit Sanghvi : Yes, our own devices will do well, even for insulin.
Ankit Gupta: And how do you see volumes ramping up there? Any -- if you can share some expectations on the scale -up happening there in FY '27.
Amit Sanghvi : Most companies globally in diabetes are not focused on the insulin bit right now. So you have to allow this launch phase to pass, then people will start looking at the insulin program with some level of focus. So whether it's FY '27 or FY '28, I don't know. But at the moment, every customer we speak with potential or existing is focused on the GLP -1.
Ankit Gupta: Sure. And sir, on the new industries, that is primarily Consumer Electronics and the discussion that we are having on the semicon side. So, when do you expect these two segments to become -- scale up significantly, given how things are shaping up on the healthcare and GLP side? Do you think '28, '29, this can start contributing meaningfully, as you have said, '27 looks -- it will scale up, but given how healthcare is scaling up, it will still be a lower proportion. But let's say, '28, '29, how do you see scale up happening there?
Amit Sanghvi : So we see some sizable revenue for the segment, especially in '28. And then from there, it can scale fairly quickly . But the first decent size will only come in '28. I'm pretty sure. We will do supplies in '27, but I don't think it's going to be a very significant portion of our overall revenue.
Ankit Gupta: Sure. And just last question on -- since we'll see scale -ups happening on the sema side, on the pen -- from next quarter onwards. Do you think in terms of healthcare revenues, INR100 crores or almost touching INR100 crores and INR50 crore PAT for this quarter becomes a base for the growth for coming quarters o r there was some impact of exhibited batches or Shaily

Innovations, which we have seen in this quarter, there can be some impact going forwar d on -- of those in our numbers?
Amit Sanghvi : I mean, look, quarter -on-quarter, the healthcare business is sometimes a little sensitive in the sense that -- but this should become our baseline. So, we should do better e

very quarter.
Moderator: We take the next question from the line of Sanjay Kumar from it hought PMS.
Sanjay Kumar: First question on Wegovy. If I look at the trial status in India, there are at least 10 companies doing the Ozempic trials, but there are only 4 or 5 companies that are doing the Wegovy trials. So, do you think it doesn't matter if cust omer is launching only Ozempic o r will we miss out if our customers don't launch Wegovy because that's the weight loss version whereas Ozempic is the diabetes version?
Amit Sanghvi : In India, you will see one drug being interchanged for the other very frequently. And it's -- even those that are not doing Wegovy right now will eventually do it. So, I'm not sure if it makes a lot of difference, to be honest. There's already significant off -prescription use of Ozempic and Mounjaro, both in India.
Sanjay Kumar: Okay. What about Canada and Brazil? Or we have specific Wegovy launches?

Amit Sanghvi : Yes, there will be, but they will be -- because everybody has filed Wegovy much later. So, you will see approvals also come in later. It will be Ozempic to start with. And Canada market predominantly is the Ozempic market at the moment.
Sanjay Kumar: Okay. And you mentioned that we have 23 or 24 GLP -1 projects or partners. Can you give the breakup between Ozempic and Wegovy?
Amit Sanghvi : Sanjay, everybody who's done Ozempic would have done Wegovy as well. Wegovy in every market except the U.S. is in a pen. So, it's essentially the pen, which is the dominant market at the moment. When U.S. launches, it will be both pen and auto -injector.
Sanjay Kumar: Okay. Okay. No, the reason I asked was I heard that in India, you're supposed to file separately for Ozempic and Wegovy. And would it be the same case in Canada and Brazil as well?
Amit Sanghvi : Yes, you would have to file separately. But people's Wegovy programs have just happened later.
Sanjay Kumar: Okay. Got it. All right. So, second question on our capacity. We're going from 40 million to 80 million. A few quarters ago, we had mentioned that we are expanding Toby too. But in Q1 call, you only spoke about Harmony and N eo. So, are we expanding Toby? If yes, what would be the quantity and for which market?
Amit Sanghvi : We are expanding Toby, short answer. Quantity, not fully developed yet as a projection or business plan, but we are going to add somewhere around 10 million Toby capacity additional.
Sanjay Kumar: Okay. And this is part of the current capex or this will come a bit later?

Amit Sanghvi : No. Some of it will come now. Some of it will come in '27.
Sanjay Kumar: Okay. And which market will this be for, sir?
Amit Sanghvi : All our products, customers take it to different markets, but it will be a global product. So, it will go to Europe, it will go to Middle East. It will go -- primarily at the moment, will go to Europe and Middle East, then we'll see.
Sanjay Kumar: Okay. Next question. So apart from regulatory approval, what other risk do you see, say, something not in our control, like, say, assembly of our pens. Have we tested the assembly of our pens at the, let's say, at the customer end or the customer CDMO partner end because BD and Ypsomed pens are more established platforms. So, the companies making these assembly lines, have they configured it for our platforms?
Amit Sanghvi : I mean, of course, you have launch coming up. So, everybody is doing commercial volumes now.
Sanjay Kumar: Okay. So, the only risk that you see is regulatory approvals ?
Amit Sanghvi : Yes, primarily regulatory approvals. And then essentially, how much market share generics take up from the innovator.
Sanjay Kumar: Okay. And Axiom Max, just one question on it. So, does the dose counters have any patent around it? Is it common available mechanism o r is it unique to us?
Amit Sanghvi : N

o, it's unique to us. We have filed all the patents before we launch the device.
Sanjay Kumar: Okay. Perfect. Okay. All right. And final question, just an extension to the previous participant's one. So, semiconductor or, say, consumer electronics, not near term, but let's say, 5 years from now, I don't think they can match Healthcare segment, but can they be as big as the IKEA business for us?
Amit Sanghvi : Again, too soon to tell, right? 5 years, who knows. I mean, obviously, there is potential here, because we see the market size, right? So...
Sanjay Kumar: Yes. Can you give an estimate on the market size?
Amit Sanghvi : No, no, I cannot. I mean if you look at the combined consumer electronics being sold globally and then what is being manufactured out of India and how that will grow, it's a very large opportunity. But what will happen to Shaily in 5 years, I really don't know.
Moderator: We take the next question from the line of Kunal Bhatia from Dalal and B roacha Stock Broking Limited.
Kunal Bhatia: Congratulations on a great set of numbers. Sir, yes, I know many people have asked you a lot about Canada. Just one question from my side on the same. Sir, you were expecting the commercial launch to happen, say, in the March period. But now looking at the current

situation, what is your -- A; what's your concern? And what kind of delays do you foresee if they were to happen?
Amit Sanghvi : I don't foresee, to be honest, a delay. Now whether March becomes April or February, I really

don't know, but I don't foresee a delay. If it's not one, it's the other, someone is going to launch, someone is going to get approval. And really, in the grand scheme of things, I don't think it makes much of a difference even if it is out by 2 months. I'm not saying it is, I'm saying even if it is.

My understanding is that Health Canada will give -- given that if you look at the last 2 years, there haven't been any significant queries. This has recently cropped up. But I think file reviews should be coming to an end.

Kunal Bhatia: Okay. And sir, the commercial batches, are they in line with your expectation at this point in time or they are slower vis -a-vis your expectation in March?

Amit Sanghvi : We delayed commercial batch manufacturing by 1.5 months. But apart from that, everything else is in line with the expectation.

Kunal Bhatia: Okay. Thank you, sir.

Moderator: Thank you. L adies and gentlemen, due to time constraints, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Amit Sanghvi : Thank you, everyone for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SG A, our Investor Relations Adviso rs. Thank you very much and have a great evening.

Sanjay Shah: Thank you.

Moderator: On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

SEPL/SE/ Feb/25-26
20th February 2026
The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY
Sub : Q3FY26 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015
Dear Sir,
We refer to our previous letter dated 13th February 2026, wherein the Company updated the audio link of Earnings call held on 13th February 2026 to discuss the operational & financial performance of the Company for the quarter and nine months ended on 31st December 2025.
In context therein, kindly find attached herewith transcript of the referred Earnings call.
A copy of the same is also available on the Company's website at www.shaily.com at https://static.shaily.com/QymFOaYUQ9OmN8uKKd4H -sepl-q-3-f-y-26-e-arnings -conference -call-transcript -pdf
Kindly take the same on record.
Thanking You
Yours truly,
For Shaily Engineering Plastics Limited
Harish Punwani
Company Secretary & Compliance Officer
M. No. A50950
ENCL: A/a
 "Shaily Engineering Plastics Limited
Q3 & 9M FY '26 Earnings Conference Call "
February 13, 2026
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 13th February 2026 will prevail
MANAGEMENT :
•Mr. Amit Sanghvi – Managing Director – Shaily Engineering Plastics Limited
•Mr. Sanjay Shah – Chief Strategy Officer –Shaily Engineering Plastics Limited

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 months FY '26 Earnings Conference Call of Shaily Engineering Plastics Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.
Before we begin, a brief disclaimer. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and it may involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Amit Sanghvi, Managing Director of Shaily Engineering Plastics Limited. Thank you, and over to you, sir.
Amit Sanghvi: Thank you very much. Good afternoon, and a very warm welcome to all of you to our quarter 3 earnings call. I have with me Mr. Sanjay Shah, Chief Strategy Officer; and SGA, our Investor Relations Advis ors. I hope you've had a look at our financial results and the investor presentation that is uploaded on our website as well as the stock exchange.
Let me begin by giving you highlights of our key business development over the quarter. In Q3 FY '26, we delivered strong revenue growth along with meaningful margin expansion. Revenue

stood at INR251 crores, up 27% year -on-year and EBITDA came in at INR66 crores, up 43% year-on-year with a margin of 26.5%, representing an expansion of 310 basis points year -on-year.

The growth was driven by the continued momentum across our business verticals, importantly, the Healthcare segment's contribution to our overall revenue mix, which has now doubled to 42% compared to last year, reflecting the increasing scale of this busine ss.

During the quarter, there have been 2 important updates in healthcare that strengthen our future outlook. First and the most important, I'm very happy to announce that we're establishing a new scalable facility in Abu Dhabi for manufacturing of pen and aut o-injectors.

This is a strategic move to build capacity in the fast -growing drug delivery segment and places us in close proximity to our international clientele. The planned investment is in the range of AED130 million to AED150 million, translating to about INR300 crores to INR350 crores to build a capacity of approximately 75 million pen injectors -- pen/auto -injectors per year.

We expect this facility to be operational by Q4 FY '28, significantly scaling our global manufacturing footprint in GLP -1 and other advanced therapies. With this addition, our total pen injector capacity will increase substantially to 150 million units from the current 80 million units per year. We are also in discussions with the government in Abu Dhabi for potential financial support and we will provide an update as those discussions progress.

Second, we are very pleased to announce the appointment of Mr. Joe Kam as Chief Operating Officer of Healthcare division in Shaily effective 1st March 2026. Joe brings over 20 years of

international experience in manufacturing and operations across highly regulated process -driven industries.

Prior to joining Shaily, he held senior leadership roles at SHL in Taiwan, managing their entire device manufacturing operations across 7 sites. Previous to SHL, he's worked at Flextronics in manufacturing of of high -end medical devices, including electronics.

He holds an executive MBA from the Chinese University of Hong Kong and advanced qualifications in automation systems and engineeri

ng management. At Shaily, Joe will lead our global healthcare operations with a clear mandate to drive operational excellence, further strengthening quality and compliance, accelerating automation scale -up and building high - performance teams to support our next phase of growth.

In the Healthcare segment, beyond the upcoming facility, we have onboarded 2 new customers for GLP -1s and have also additionally signed 2 new contracts with Global Pharma for the manufacture and supply of pen injectors.

In the Consumer segment, we received a new product mandate from an existing home furnishings customer. And within Industrial segment, we commenced supplies of power tool components for a new client and added applications in LED lighting as well.

With that, I will now hand over the call to Mr. Sanjay Shah to take you through the operating and the financial highlights of the quarter. Thank you very much. Over to you, Sanjay bhai.

Sanjay Shah: Thanks, Amit. Good afternoon, everyone. I will start with the operating metrics for the quarter and the 9 -month period and then move to the financial performance. During Q3 FY '26, we processed 5,541 tonnes of polymers as compared to 6,308 tonnes in Q3 FY '25, a decline of 12%. For 9 months FY '26, polymer process stood at 19,209 tonnes versus 18,396 tonnes last year, a growth of 4.4%.

Machine utilization was flat at about 47.1% in Q3 as compared to 47.8% for 9 months FY '26. With the ramp -up of new programs, we expect utilization to improve going forward. Exports continue to remain strong and contributed approximately 71% of total reven ue in both Q3 and 9 months FY '26.

Let me now summarize the consolidated financial highlights for Q3 FY '26. Revenue stood at INR251 crores as compared to INR198 crores during Q3 FY '25, a growth of 27% year -on-year. EBITDA stood at INR66 crores as compared to INR46 crores during Q3 FY '25.

EBITDA margins stood at 26.5%, an increase of 310 bps over Q3 FY '25. PAT stood at INR37 crores as compared to INR25 crores during Q3 FY '25, a growth of 48% year -on-year. PAT margins stood at 14.9%, an increase of 220 basis points over Q3 FY '25.

Coming to segmental revenue breakup for Q3 FY '26. In the Consumer segment, revenue stood at INR123 crores as compared to INR141 crores during Q3 FY '25, a degrowth of 13%. In the Healthcare segment, revenue stood at INR104 crores as compared to INR44 crores during Q3

FY '25, a growth of 139%. In the Industrial segment, revenue stood at INR23 crores as compared to INR13 crores during Q3 FY '25, a growth of 87%.
Now coming to 9 months FY '26 consolidated highlights. Revenue stood at INR754 crores as compared to INR569 crores during 9 months FY '25, a growth of 32%. EBITDA stood at INR218 crores as compared to INR124 crores during 9 months FY '25, a growth of 76% on a Y -o-Y basis.
EBITDA margins stood at 29%, an increase of 720 basis points over 9 months FY '25. PAT stood at INR130 crores as compared to INR65 crores during 9 months FY '25, a growth of 101% on Y -o-Y basis.
PAT margins stood at 17.2%, an increase of 590 basis points over 9 months FY '25. Cash PAT for 9 months FY '26 was reported at INR166 crores as compared to INR96 crores during 9 months FY '25, a growth of 73% year -on-year.
Our ROCE and ROE stood at 38.4% and 29.1%, respectively, as on 31st December 2025. The growth in business has been achieved with disciplined use of capital. Our debt to equity stands at 0.3x and fixed asset turnover ratio at 2.0x as on 31st December 2025.
Now coming to segmental revenue breakup for 9 months FY '26. In the Consumer segment, revenue stood at INR409 crores as compared to INR413 crores during 9 months FY '25, a degrowth of 1%.
In the Healthcare segment, revenue stood at INR280 crores as compared to INR109 crores during 9 months FY '25, a growth of 158%. In the Industrial seg

ment, revenue stood at INR65 crores
as compared to INR48 crores during 9 months FY '25, a growth of 36%. That concludes the update from my side. We can now open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We take the first question from the line of Shaleen Kumar from UBS India.
Shaleen Kumar: Congratulations to the management for a fairly good set of numbers. So Amit and Sanjay bhai, 2 questions. First, on the capacity side. So can we get an update, if I missed the initial part. So we are having 2 lines coming up, right, of 25 million each. So is the first line operational?
Amit Sanghvi: The first line is going through operational qualification, should be completed next week and then we'll go into supply immediately after. The second line is scheduled to arrive in end of April, beginning of May '26. So it will get commercialized by end of July '26.
Shaleen Kumar: So fair to assume, Amit, that our commercial production from the new line will start like we'll be doing commercial production in March onwards?
Amit Sanghvi: Yes. We will have some commercial production in March, but we'll do the proper scale -up from April.
Shaleen Kumar: Got it. And for that one may be August, September, right?

Amit Sanghvi: No. That one - end of July, we should be in production. So yes, I guess, consider a month for getting the line up to speed that it's intended. We typically start at 50, 60 parts per minute on an 80 part per minute line and then scale it up to 80.
Shaleen Kumar: Got it. Got it. So Amit, we were setting up 2 lines with 50 million and now we have also setting up 75 million line, which were coming up by end of FY '28. And you have also highlighted that you have signed up 2 more customers, et cetera.
So is it again fair to assume that you have pretty confident on at least these existing lines, 50 million to be able to fully utilize in the next 12 to 24 months and that's the reason you're looking for 75 million line?
Amit Sanghvi: So all the capacity expansion we're doing, I mean, let's look at the capacity expansion in India, are more or less fully backed by commercial contracts. The Abu Dhabi expansion, I would say, is somewhere around 50% to 60% secured in terms of capacity commi tments, not fully, but it's anticipated to be 18 months out from now. So we anticipate that we will be fully backed by contracts even on the Abu Dhabi setup.
Shaleen Kumar: Yes. So basically, you're saying that 50 million is fully backed. But the point is we should be fully utilized in 12 to 24 months, right?
Amit Sanghvi: 24 months. Yes.
Shaleen Kumar: Yes, right. And 75 million, you're saying that you already have a commitment for more than 50%?
Amit Sanghvi: Yes, around 50% to 60%, somewhere in between that. Now sometimes you will see pen cannibalizing auto -injectors or vice versa, but that's a risk we have to live with.
Shaleen Kumar: Got it. And on the GLP -1 side now, how should we think about your supply, given there's a likelihood of launches coming in 1Q, should we expect that you will be start ing supplying GLP - 1 injectors in this quarter, fourth quarter?

Amit Sanghvi: We've already started supplying in the last quarter itself for commercial launches, which are planned in Canada, Brazil, India, Middle East, Turkey. So supplies have already started. We're struggling right now because our high -speed line is still not up and running. It's still in qualification. So as soon as that happens, we'll be in a better position to supply the volume that is needed.
Shaleen Kumar: Right. So basically, you're saying it will only ramp up from here. You already have a demand coming from customers.
Amit Sanghvi: Yes, absolutely. I mean, we've got customers breathing down our necks for supply.
Shaleen Kumar: Well, that's good news.

Canada, like we have a lion's share, right? Can we say that? Like possible for you to quantify like what kind of a share you have amongst the customers you have signed up or the number of customers who have filed?

Amit Sanghvi: Without breaching any confidentiality, I believe Canada, potentially the first 6, 7, 8 filers, I would say we have upwards of 65%, 75% of that share.
Shaleen Kumar: You think 75% of the customers who have filed are with you?
Amit Sanghvi: Yes. If I look at the first filers.
Shaleen Kumar: So effectively, basically, there is a likelihood that anyone who gets an approval will be using a Shaily's line in Canada. Most likely. There's a good likelihood?
Amit Sanghvi: Very good likelihood.
Shaleen Kumar: Good to hear that. Now moving on to the consumer electronic bit. If we can get to know like what's the status on that front? Like when are we probably -- are we done with the qualification? When can we expect commercial deliveries to go on -- for the consu mer electronic client?
Amit Sanghvi: I think we're coming closer to the end of the qualification cycle. But I don't have anything that I will be able to share beyond that. So we should come to an end of qualification either end of this month or early March. And hopefully, from there on, we will have a little bit more visibility on supplies.
Shaleen Kumar: So most likely, you're saying the supply will probably begin fourth quarter end of the 1Q. Can we assume that?
Amit Sanghvi: That's also my assumption at the moment.
Shaleen Kumar: The product is mostly qualified, right? Most of the qualification is done, if my understanding is correct.
Amit Sanghvi: I mean, there's a long qualification cycle. You have to always consider that one is to qualify a component, then it's to qualify the component at the assembly site. Then beyond that, there is a testing period for verification that everything works. So it's not a very short process, especially for a new supplier to enter. We assume that we are at the end of that cycle at the moment. Hopefully, we will start supply soon.
Shaleen Kumar: Got it. Got it. Last question from my side and then I'll go back in the queue. Last 2 questions actually. On the semiconductor casings, that's another excitement area you highlighted. If we can get some status update on that as well, right, where we are, l ike what kind of customers are we looking at? And when can we start seeing the commercial supplies happening on that front?
Amit Sanghvi: Look, plants in India are still are not up, So the chip manufacturing companies are not fully up and operational. I think it's going to likely be 12 months before they come up. We should see some small quantities in the new FY for sure. But I think any scale -up will largely depend on how quickly these capacities come up and how quickly they then scale from after setup. It's a direct link. Can't do anything else with the product except supply the chip manufacturers.
Shaleen Kumar: But can there be an export opportunity in that beyond the domestic supplier?

Amit Sanghvi: Not at the moment. It's not friendly to international shipping. It can be quite expensive. So in most regions, these are manufactured close to the end customer.
Shaleen Kumar: All right. All right. Last bit on the financials. While I can observe that your gross margin has been stable, but I could see there are some cost increases a little bit on the employee side and the other expenses. Just want to understand like what were the y pertaining to?
Amit Sanghvi: I think largely admin and selling expenses have gone up. So Sanjay bhai, if you want to take it, that's fine.
Sanjay Shah: You're quite well covered. Yes, you are. No problem.
Amit Sanghvi: Yes. But as you can imagine, quarter 3,

this particular year ended up with 3 very large, obviously,
exhibitions, which is a very significant cost for us. Plus we're doing these setups in Abu Dhabi and elsewhere in the world.
So you've seen a temporarily cost increase on that. But the reason it's reflecting on the margin is because we've had some income, the onetime income, which has been delayed from quarter 3 to quarter 4.
Shaleen Kumar: Okay. So can we get like what -- the nature of that income? Like what was it like? So you say that cost is already booked for that.
Sanjay Shah : So Shaleen, what happens is that basically, from U.K. and Abu Dhabi, we basically license or give access to people to our platforms where the fees are recovered over 12 to 18 months or 21 months in terms of agreed milestones with the customer. Now we would have submitted papers to the customer, that's someone who would validate that and then confirm it and then invoices would be raised.
In this case, there have been some income, which has not been booked in the quarter 3 because we have not got confirmations from the customer. So we expect that we should basically be able to do that in quarter 4.
Shaleen Kumar: So Sanjay bhai, you're saying that the cost has been incurred, but the income has yet to receive for that?
Sanjay Shah: Yes. Actually, you're right. So what happens is, as I mentioned earlier, we raise income once the customer confirmations come in. Now these are long -term contracts with different agreed milestones at the start of the contract.
Now basically we would expect the customer approvals to come in for that milestone in, say, quarter 3, some of them would have been deferred to quarter 4 or something like that. So that's the reason that income has not come in.
You would see that when you look at the difference between the consolidated numbers and the stand -alone numbers, you would see that the revenue compared in quarter 1 and quarter 2 and quarter 3, revenue in quarter 3 from U.K. and Dubai operations is lower as compared to quarter

1 and quarter 2 and that's the reason for that. While expenses have been there, you don't have corresponding revenue which is coming.
Shaleen Kumar: Got it. So basically, as we move into 4Q, we will not have these exhibition costs and also we will have a revenue coming from the work we have done in our Q3.
Sanjay Shah: Yes. And just to add to what Amit said, with exhibition costs, we also have had expenses on Labor Code implementation in terms of gratuity and leave encashment. So that expense was about INR90 lakhs to INR1 crore s.
Shaleen Kumar: And any sense on the exhibition cost, sir, if you can provide a figure like on that.
Sanjay Shah: That was substantial because there were 3 large exhibitions which we took part in. One was CPHI in Europe, then POD and PDA.
Moderator: We take the next question from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: Sir, regarding the consumer business, that continues to decline. So if you could share whether we can expect a rebound there sometime soon?
Sanjay Shah: So when you look at the consumer business, the consumer business, we have seen some decline because of overall demand slowdown, which is happening in Europe and U.S. As and when economy improves there, I think we should see a rebound.
The other thing is with the U.S. FDA or U.S. agreement happening and the EU FTA happening, once this gets signed and implemented, you should basically see some advantage coming to India as compared to its peers in terms of exports. So you would see probabl y a couple of quarters, but post that, you should see improvement happening on that part of the business.
Vishal Manchanda: Would this stabilize at current level or there can be further downside from current numbers?
Sanjay Shah: Vishal, very difficult to say because again, it depends

on how things pan out globally in these
economies, which would be difficult for us to predict sitting here. So if you look at quarter 1, quarter 2, quarter 3, while we have taken on additional new bus iness from home furnishings space from our customers, on existing businesses, we are seeing a drop in volumes. So that's something which will again depend on how does the revival happen in Europe and U.S.
Vishal Manchanda: Right. So is there not a annual commitment that these customers give you? Or these are more need -based orders that you get from your customers?
Sanjay Shah: There would be -- in some cases, there would be commitments. In a lot of these cases, this would be regular orders, which would be based on the demand. So we do have a 52 -week rolling forecast, so we have some sense of it, but then that forecast also will change with time.
Vishal Manchanda: Right. And IKEA, kind of there are press articles saying IKEA is looking to source more from U.S. for the U.S. market. Any signals that you're getting on this?

Sanjay Shah: We have not seen that. So see, what happens is when you look at it, with tariffs coming down from 15% to 18%, India will have a significant advantage against its peers for exports to the U.S.
Vishal Manchanda: Okay. Got it. And sir, just one final one on the commitments that you say you have commitments for 50% of the capacity at Abu Dhabi. Are these commitments in form of capital advances? So like do they fund 50% of your capex ? Is that the way these commitments work?
Amit Sanghvi: No. I think I mentioned this in 2 of my previous calls, but with every customer, it's different. In some customers ,we do in a structure where an advance is given. Advance can range from anything from 20% to 40%. And in most cases, it will always be a take -or-pay contract. So every year, there's a certain minimum volume guaranteed by the customer, which they have to purchase.
Vishal Manchanda: And this volume guarantees for multiple years that they provide, let's say, for the next 5 years since inception?
Amit Sanghvi: Yes. I mean, look, it's to the customer's benefit to do that because if someone is taking a pen from us for Semaglutide and they only have a contract for 1 year, next year, I may not have supply for them because this market is like that. There's more deman d than supply.
Moderator: We take the next question from the line of Harsh h Shah from JM Financial PMS.
Hars hh Shah: A few questions from my side. So firstly, once again on the consumer business. So I understand, as you mentioned that demand is kind of changing both in U.S. and Europe. But from a modeling perspective, would it be right assumption to kind of take a mid -single digit kind of growth annually in this business? Or do you probably feel that post the treaties, things could materially change in our favor?
Sanjay Shah: So Harsh h, it will depend. So I think it's a little too early to talk about it. The EU needs to be ratified. India U.S. there are a lot of discussions going on while there is some sort of a framework agreement agreed upon, but there's still some discussions which a re going on. So it's a little too early to talk about it.
Harsh Shah: Got it. Okay. No worries. On the pens' guidance in terms of volumes which you had given probably at the start of this financial year of almost around 30 million odd, would you retain that guidance for FY '26?
Amit Sanghvi: Yes. And it will be a little lower given our qualification activities are delayed by 3 months. So it will be slightly lower, but generally...
Sanjay Shah: It's the same. Broadly it's the same, right?
Amit Sanghvi: Yes.
Harsh Shah: Okay. Got it. And on the new capacity expansion in the UAE, right, if you could kind of walk us through in terms of the rationale why UAE was chosen as the location. So correct me if I'm wrong

. So is it that your focus would be more on the regulated markets where the IP protection

on the pens would be much stronger vis -a-vis markets like India, wherein there's a lot of Chinese competition as well coming in? And also some color on the revenue and the payback period you would have assumed at the current juncture for the UAE plant?
Amit Sanghvi: We'll not talk about revenue and payback in this call. I think when we get closer to taking a call on finalizing this, maybe we can announce it then. On the rationale for the UAE plant, if you look at the business for healthcare, particularly, we import resin. We import equipment and in Shaily's case, we're also importing people, right? So key senior engineering talent within Shaily running the healthca re business are expats.
Now maybe there is certainly a savings when you do all of these imports within the country. But more than anything else, the expats we hire come from regions in Asia where personal income tax is a lot lower. It's less than 50% of what it is in India. So we actually end up paying someone 2x what they should be getting paid just to bring them to India. So we're not able to, at the end of it, justify the cost of gaining this capability given the scale that we wan t to grow at.
So there's a lot of benefit of being here. I never wanted to mention this, but we lost out on a particular very large contract a year ago when Operation Sindoor happened just because the customer saw risk in their clinical program. So we have a very nice base in India. We'll continue to operate and grow that, but we need to have a business continuity plan in place. And there are large customers who will look at that very, very closely and not want to have all their eggs in one basket . So that's the rationa le.
Harsh Shah: Got it. And one last question before I get back in the queue. So the thing that you all mentioned

in the PPT with respect to the 2 new contracts with global companies for pen injectors. So would these be completely newer customers? Or how should one read t his?
Amit Sanghvi: One is an existing customer, new project, one is a completely new customer.
Moderator: We take the next question from the line of Ritesh Shah from Investec.
Ritesh Shah: Quick questions. Sanjay bhai, you indicated around 30 million pens this year. Can you give guidance for '27, '28, if it's possible?
Sanjay Shah: Ritesh, probably, I would say wait till the end of the year and then we can probably give an idea on that.
Ritesh Shah: Okay. Second question is the consumer business has actually reported a decline on a year -on-year basis. Now in a way, this should be a good thing for a gross margin if we look at it on a sequential basis. So despite stellar growth what we have seen in heal thcare, how should we comprehend the gross margin profile on a sequential basis?
Sanjay Shah: So if you look at on a stand -alone basis, the gross margins have improved on a sequential basis. So the Q2 margins were at about 55%. The Q3 margins are at about 56%. So you have seen a 1% increase in terms of gross margins. So it's been marginal, but yes, it has been there.

Ritesh Shah: Correct. And on consol basis, basically, you did indicate about the revenue which has not been booked, the cost was there. If it's possible for you to quantify that number, basically, probably at a consol level, it will help us better appreciate the number s?
Sanjay Shah: So I already indicated a number on the labor code , which is about INR90 lakhs to INR1 crore s. And then there will be costs related to exhibitions and other costs, which is there, which I think when you look at the numbers, you should be able to arrive at the number.
Ritesh Shah: No, I'm referring to at the gross margin level, you indicated

there was a revenue which was there
between consol and stand -alone you were explaining, which was not booked in Q3 …
Sanjay Shah: Right.
Ritesh Shah: And some income will be actually booked in Q4. Would it be possible for you to qualify that income number?
Sanjay Shah: Again, Ritesh, I would basically refrain from giving a number here because a lot of this is milestone based, but you will see some of this revenue getting booked in quarter 4.
Ritesh Shah: Sure. Okay. A few questions for Amit. Amit, you indicated the high -speed line under qualification. This was with respect to the first question that you answered about the next line by next week and the other one by July end. Can you detail like what are we referring to here?
Amit Sanghvi: Sorry, Ritesh, I didn't understand the question. What are we referring to in terms of the line or...
Ritesh Shah: Yes. You said high -speed line under qualification. So which qualification...
Amit Sanghvi: Pen assembly.
Ritesh Shah: Okay. So it's more procedural, okay. That's fine. And with respect to the UAE capacity what we have announced, how should we read into this capacity? Is this like on a 4 capacity cavity mould or a 8 cavity mould? And how does it stack up versus the facilit y that we have in Baroda from a technological standpoint?
Amit Sanghvi: So Baroda, we currently run a combination -- again, different on different products, but it's a combination of 4 cavity, 8 cavity and 16 cavity, right? So 16 cavity is only there for the lines which are supplying for GLP -1s. And there's only 2 lines doing that, right? All the rest of our products would be 4 and 8 cavities. In Abu Dhabi, we're looking at only 16 cavities.
There will be no 8 cavity production lines so it's basically all high -speed lines in Abu Dhabi. So each line is capable of producing somewhere around 25 million to 28 million pens or devices per year, largely automated. Even our India facility is fairly au tomated, but this would be a much higher level of automation than that.
Ritesh Shah: Sure. And in the presentation, we have indicated Q4 FY '28 as the commissioning. If we had to read on the dispatches for FY '29, FY '30, I understand you won't probably give the number, but hypothetically, if we are 100% booked, what is the dispatch quantu m it can happen? I'm not

looking at it from a commercial standpoint. I'm just looking at it from a manufacturing standpoint. Can there be any start -up issues? Or is it something which is very, very smooth?
Amit Sanghvi: That's what we are having right now. We're having start -up issues, right? That's why qualification, which should have happened in possibly in October last year, in Feb this year , it's still ongoing because the line is a very, very complicated line. And it's taking a lot more than we anticipated.

Ritesh Shah: Sure. And would it be possible for us to give some more flavor on the consumer electronics supplies that we have already started, basically how we entered in this business because historically, we have looked at high margin, high ROC E SKUs. This could be high volume, probably low margin. What is the thought process? And what is the scope of revenue margin profile opportunity that we have over here?
Amit Sanghvi: Look, it's a very big opportunity and very scalable opportunity, right? So maybe if you look at supply chain in China, each of these plastic guys that participate in consumer electronics opportunities, especially the high -end, more high -precision small par ts, high complexity, each of them do revenues of between USD300 million to USD0.5 billion - USD600 million, right, annually.
And they've all kind of grown to that level maybe within a span of 10 years, really. So what we see is that this particular opportunity is highly, highly scalable in terms that it's long -term scalable. It's a very high

amount of revenue that you can generate.
And because of the complexity, which takes out a lot of your competition, right, not everybody can do it, first of all, very, very difficult. You'll find a handful who will be actually be able to do this.
So which means that there is also margin to be earned. The margin is not going to be healthcare margins, but I'd say certainly higher than our home furnishings, much , I would say , higher than our home furnishings business. So you've got better margin, high complexity, which means there's return for someone else to enter and better margin profile. I mean, I think it's a good mix.
Ritesh Shah: Sure. And what sort of capex will we look for this particular business? I would presume like we'll be running out of capacity very quickly over here. So how should we look at the incremental capital allocation for this part of the business?
Amit Sanghvi: We're working on the capex plan. I think we don't have a very concrete answer yet, but it will be available shortly.
Moderator: We take the next question from the line of Nirali Gopani from Unique PMS.
Nirali Gopani: Congratulations on a good set of results. Amit, my first question is on the capacity time line. Now when we expect to sell around 30 million pens a few years and there in the very near future and the capacity to come up towards the end of FY '28, do you se e any capacity constraint that we might see in the next 2 years? And is there an option to add further capacity in India if needed?

Amit Sanghvi: No, no. We did not intend to add the the 25 million pen line, which is being delivered in end April, beginning of May. We never intended that in India, but we had to do it, essentially because you can't execute a full project in a foreign country in 10 mon ths.
I mean, we can do it in India in 10 months, but outside of India, it's not possible to do it in such a short time. So we decided to max out the capacity in India. We don't have any more building space left. We don't have any more factory space left in Indi a. So we'd have to build new anyways.
And when we talk about capacity, you have to understand that most of our contracts will stipulate a upside of 20% to 25% depending on what a customer is potentially signing. So for example, if we have a capacity of 80 million pens in India, the guaranteed volume that we have is 80% of that, right?
So we always have to have spare capacity available for managing launches, managing seasonality, managing a sudden spike in demand from an X product versus a Y product. So capacity essentially never gets 100% utilized and you expect that it will be around 8 0% utilized.
Nirali Gopani: Perfect. Very clear. And secondly, Amit, on Axiom, I understand that the launch will be 3 years out and it's still far. But any directional update that you would like to share on onboarding of customer or signing any contract? Any time line that when can i t happen?
Amit Sanghvi: We have quite a few advanced stage discussions ongoing, 2 in particular, to be honest, regarding GLP -1s for novel molecules. Okay. All of you keep your fingers crossed and pray for us. It could be this year. So we could look at potentially signing on a par tner, a customer for one of our more innovative products this year. Sorry, this year, this calendar year, not financial year.
Nirali Gopani: Right. Very interesting. And Amit, not looking at the quarterly numbers, but U.K., we have a pipeline to grow substantially over the next 2, 3, 4 years, right? The pipeline, in your view, looks strong for the U.K. subsidiary to deliver numbers?
Amit Sanghvi: Absolutely. We've got 7 new projects in the pipeline and each of them could have multiple customers. So we've got 7 new projects in the pipeline. In fact, we are discussing how quickly we can implement this. We don't have the resourcing available. S

o U.K. pipeline is very strong.
I don't see any challenges for the next 3 to 4 years.
Nirali Gopani: Okay. Okay. And one last question on the numbers …
Moderator: Ms. Nirali, I would request you to join back the queue for more questions. We take the next question from the line of Kunal Bhatia from Dalal and Broacha Stock Broking Limited.
Kunal Bhatia: Sir, I just had 2 questions. One was regarding the Abu Dhabi facility which we have, which we would be starting -- you've mentioned some bit about the funding on that, but if you could be more elaborative on how are we going to fund that?

Secondly, also will this facility be used only for the GLP -1 opportunity or even for other therapies? And the final question is also, if you could give some sense now since that global capacities have also increased, how are you facing the pricing end for the pens?
Sanjay Shah: Yes. So I'll probably answer the first part of the question in terms of funding. We basically look at funding it by a mix of internal accruals and debt. The implementation time, as Amit indicated in his opening remarks, is 18 months. So we will have enough of accruals, which we would be able to generate and we will be approaching our bankers as well as bankers in Abu Dhabi for funding the same. Amit?
Amit Sanghvi: On the other 2, pricing, yes, there is pressure on pricing, but it's not crashing down or anything. Anyways, you guys don't have this information and we cannot provide it.
But from what we had quoted when we first submitted proposals on high -volume offtake, it's not a whole lot different. We've seen essentially10% to 15% price erosion on those numbers. But that's a given. When you sit down to negotiate large volume contracts, you will see that happen anyways. Pricing will be under pressure for sure.
But I think most companies now have their COGS for Semaglutide somewhere in the range of $5 to $7 or $6 to $8. So let's take a low point of $6, high point of $8. I'm not sure if a $0.30, $0.40 difference really makes that much of an impact and is it worthw hile taking the risk. So to be honest, yes, we anticipate some further price erosion, but it will probably stabilize after the first 24 months of supply.
Kunal Bhatia: So sir, this was much lesser than what was anticipated earlier, if I'm not wrong?
Amit Sanghvi: Yes, the erosion is lesser. You see pen capacities are limited. If you look at API, API prices eroded very significantly. But the most complex part of the entire combination product is the device.
Sanjay Shah: And there are too many players also who are there on the device front.
Moderator: We take the next question from the line of Pritesh from Lucky Investments.
Pritesh: So I have 2 questions. One on the bridge of the capacity addition in India. So you are supposed to add 25 million, 2 lines and take it to 80 million. Did I hear correctly that one of the line is slated to come in quarter 1 of '27? Is that correct?
Amit Sanghvi: Right. One line is already at Shaily, Pritesh, and it's under qualification. It arrived in Shaily in December. It's currently under qualification. The second line will arrive end of April, beginning of May and should be qualified by end of July.
Pritesh: So the line which was supposed to be qualified in quarter 3, current quarter, is yet to be qualified. And then there are another line will come in quarter 2 next year. So that will take it to 80 million?
Amit Sanghvi: Correct.

Pritesh: Second question is, we are seeing some movements on the oral GLPs. So Novo did that. Novo launched the Wegovy one, and then there was a rip -off in the form of Him & Hers. There was a launch there. So you had some assessment of the oral GLP market of the Sema or of the GLP. Any comment there, any observa

tion, any changes on the oral as a percentage of the total GLP?
Amit Sanghvi: So look, as far as Him & Hers is concerned, there is ongoing litigation. My information is that it will be very difficult for them to come out with that product. Again, I don't want to speculate, but we'll see what happens.
Basic, the fundamental is that the oral GLP -1 is not as effective and has more side effects because of bioavailability and the API content that goes in a product, right? So it's a daily API content of 14 mg versus once a week of 2.4 mg, right?
So you can imagine you do 14 times 7 and you have your math of API comparison between oral and injectable. Oral will have a market share. They even currently do, but it's not going to impact our business.
Pritesh: And this qualification is what you're mentioning about these lines. So what are you referring

from the qualification? Basically, what has to happen?
Amit Sanghvi: Oh, so much. First, you have to assemble the whole line, then you have to qualify each and every station. So an 80 parts per minute line conducting 25 to 30 operations on the line has a lot of equipment. And you have to qualify each of those equipment...
Moderator: It seems like the line for sir has been disconnected.
Moderator: The line to the management has been connected. Sir, you can go ahead.
Amit Sanghvi: Okay. I don't know if Pritesh is still on. So it's a very complex piece of equipment. So you have to qualify each and every operation separately. And then you have to qualify the whole thing together, right? So we're at a stage right now where we've been running the line at 60 parts per minute, 70 parts per minute.
We getting high levels of rejection, 30% rejection and that doesn't have to do with the quality of the product, but has to do with the settings of why the machine is rejecting it. So we're probably in the last stage of that process right now. We should be able to get that up and running over the next few weeks.
Pritesh: Qualification is from a customer or from the USFDA?
Amit Sanghvi: No, the line. Qualification of the line.
Sanjay Shah: So Pritesh, this is an internal qualification, which Shaily does and certifies that the product is meeting our specification. So this is a qualification which we end up doing it internally.
Pritesh: So just on the margin side and I did some assessment of the margin based on the 30 million devices that you're selling. When you move towards a larger scale and this line is obviously fully

utilized and also when you move towards a larger scale of volume between what is today and then, will there be a margin differential?
Amit Sanghvi: Sorry, Pritesh, are you talking about between India and Abu Dhabi or...
Pritesh: No, no. Just healthcare. I'm talking about healthcare in general, the healthcare business in general. When you move from the current scale to the higher scale and then will there be a margin differential between what you're doing -- a margin difference bet ween what you're doing today and what you do then, considering the scale and on the other hand, considering the pricing of the product?
Amit Sanghvi: Yes. So if you look at just manufacturing margin, what will happen is we know that manufacturing higher volume product is at a lower price, right? But because of the scale, once we stabilize the operations, it's fully automated, a lot of manual interventio n. So far, we've been doing a lot manually, right?
So the overhead cost is high. We should essentially be at a point where we are able to maintain the same margins or there could be a time that we increase them. But generally speaking, these are the margins that we will maintain on the pharma business.
Moderator: We take the next question from the line of Lucky Agarwal from Equirus Securities. I would request Mr. Lucky to join back the queue again

till then. The next question is from the line of Aman from Astute Investment Management.
Aman: Sir, my question is on the India launch. So how many customers of ours do you expect -- do we have today in India? And how many do you think we'll be able to launch in March itself? And are they using mostly Harmony or are some of them also using Neo?
Amit Sanghvi: No. They're using both. We have customers that use Harmony, customers that use Neo. We have -- I think if I look at the guys who have been -- who received approval from CDSO, I think there's both Harmony and Neo. So I mean, whether it's March -- Harmony will go live in March for sure in India. Neo might be April, could be March, could be May, I really don't know. But sometime in the first 3 months of launch.
Aman: Sure. And continuing with this, we had read about that after India launch, it's like automatic approval in almost 50, 200 countries, except the big ones. So do you expect that after India launch in March, most of our customer is also launching in whatever, 50, 100 geographies, which is opening up directly after that using the same COPP?
Amit Sanghvi: I would assume wherever these guys have reach and partnerships already in place, they will launch. Everybody will prioritize volume for Canada. But beyond that, I think they will launch in all countries.
Aman: Sure, sir. And any update on Teri launch in EU or U.S.?

Amit Sanghvi: I think approval is there, but focus is on Sema right now. Teri launch will happen at some point

once this Sema launch is completed. That is my assumption or possibly the latest information I have, so.
Aman: Sure. And among the other geographies like Turkey and Brazil, do you expect it to be launched in quarter 2? Or do you see there can be further delays in that?
Amit Sanghvi: I'd say there's a very high probability of quarter 1 launches, but I don't think it will get delayed beyond quarter 2.
Amit Sanghvi: But you have to understand my information is probably just as accurate as yours, same similar sources. So I'm assuming that everybody will be able to launch, will get approvals.
Aman: Sure, sir. That makes sense. On the semiconductor side, you talked about that the product has to be near the fabs (fabrication facility) . And in my understanding, there are like 4 fabs in Gujarat.
Amit Sanghvi: Yes.
Aman: So are we in talks with at least 2 to 3 of them because some are maybe expected to commercialize their fabs in CY '27 itself? So are we in conversation with all? And do you think that do we require all 3 or 4 for this product to scale or even one is good e nough for it to scale massively?
Amit Sanghvi: Sanjay bhai, you want to take this?
Sanjay Shah: Yes. So, basically, we would be looking at working with all the 4 , is where we would talk about it. Most of these guys basically, as you rightly said, will look at starting commercial operations by next year. So that's when we would basically be looking at supplies. There will be some supplies which can probably be happe n towards the end of the year.
Aman: Okay. But we are in talks with all 4?
Sanjay Shah : Yes.
Aman: Sure. Final question is on the margin side for this quarter in Healthcare. I understand that one - off because of delay. But was there any mix change also and maybe more contract manufacturing and more insulin versus GLP -1s?
And do you expect, say, quarter 4 with the GLP -1 scaling and maybe quarter 1 back maybe even more. So do you expect it to go back like quarter 2, the margins of overall business?
Amit Sanghvi: I'd expect quarter 1 to go back for sure. Quarter 4, like I said, we're still qualifying the line. You're not going to have a lot coming from the high -speed line in quarter 4. So margins will certainly go up in quarter 4, but you will see full normalizatio n only in quarter 1.
Moderator: We take the

next question from the line of Akhil Parekh from B&K Securities.
Akhil Parekh: I have 2 questions. Amit, you couple of times mentioned that there is a difference between the supply and demand, right, the demand continues to be higher for the GLP -1 devices. Any

ballpark difference between the supply and demand you would like to highlight, specifically from a near term, like, next 12 to 18 months, what that percentage would be?
Amit Sanghvi: So demand is higher. When we look at capacity build and demand, we always look at sort of a minimum offtake plus an upside, right? Given that you look at players globally for pens, you really have, barring maybe some new Chinese entrants, which will supply into limited markets on account of IP infringement, you really have only 4 players globally. So I would assume that supply is limited and supply will only happen with firm commitments.
Akhil Parekh: So is it fair to assume no big capacities will be coming at least in near term basically?
Amit Sanghvi: We know the capacities which are already set up or in progress of being set up. But even with those capacities, we're not necessarily looking at a scenario where there's an overcapacity.
Akhil Parekh: Okay. Got it. That's helpful. And second and last question, you mentioned that capacity expansion is backed by orders from our clients. So what are the terms like if the client don't oblige and they don't buy the required order, any penalties which are the re as a part of the contract? And that's my second and last question.
Amit Sanghvi: They're full take -or-pay contracts. Now that doesn't mean that we're not going to help our customers out in periods when they need it. But essentially, if you don't buy, you still have to pay the same value.
Moderator: We take the next question from the line of Ankit Gupta from Bamboo Capital.
Ankit Gupta: Sir, on the Turkey and Brazil market, when do we expect to see Shaily devices being launched there? Any update that we have from our clients?
Amit Sanghvi: Not really. We assume quarter 1, quarter 2 next year, don't know. Don't quote me on that.
Ankit Gupta: But do you think we'll have a significant market share or partners will have significant market share in this market? Or how many players are we planning to supply there?
Amit Sanghvi: I think certainly, 3, 4 of our large customers have partnerships. So we would assume that they would be successful in those regions.
Ankit Gupta: Sure. And Amit, with both the lines coming in operations by Q1 of next year, should we expect that for the expansion capacity in India, we should be looking at, at least 70% to 80% capacity utilization for FY '27?

Amit Sanghvi: No, '28. It takes time to scale up. It's not easy. Technically also not easy.
Ankit Gupta: Sure. And by that time, we'll also have the UAE expansion coming up by -- at least by the end of FY '28?
Amit Sanghvi: Yes. Yes. With expansion, expansion lead times are -- just equipment lead times have now become 15 months. And if you have to build a facility, it goes to 18, 20 months. It's hard to

predict. You could always have a scenario where you have very low utilization in the first year. But I think generally, the business plan is solid. We need the capacity. So that's what we're doing.
Ankit Gupta: Just one last question on the innovator side. You did talk about keeping our finger crossed on getting some contracts with at least one of them in this current year. But in terms of scalability and the time line, if you can give an indication how big can t his be for Shaily? And when can we expect some supplies to start for that?
Amit Sanghvi: With innovator, from the time you engage with them on with an official agreement in place, minimum time line for launch will be som

ewhere between 2 and 3 years. And then it really depends on their success and how well the molecule does. But we're bullish. We think at a minimum 50 million pens to 100 million pens is the potential for innovators to come in. Now we don't know whether it happens in '30, '29, '31, I really don't know. But that's part of the journey.
Ankit Gupta: Okay. Okay. Just one follow -up on this. So with this UAE expansion coming in, so let's say, for the innovator also, we might have to -- and hopefully, we get the contract for innovator supplies also, are we looking for further expansion apart from the Abu Dhabi or this expansion might also cater to that?
Amit Sanghvi: If a very large volume commitment comes in where we have to do 50 million additional pens, then we will need to expand that also.
Moderator: We take the n ext question from the line of Bhavika Jain from Niveshaay.
Bhavika Jain : So basically, I want understanding on the consumer electronics side. I want to understand management view what exactly we are planning to do in the consumer electronic and from which region this is expected to come, the business?
Amit Sanghvi: We are planning to participate in anything in consumer electronics where there is high complexity, high precision and small parts, including combination parts where you have metal and plastic. And the business is obviously going to come primarily from cust omers setting up their final assembly in India.
Bhavika Jain : Just a follow -up that because of my understanding, like there are a lot of value chain shifting happening like because of China plus one and a lot of things are coming to India. So basically, understand that are we participating in that thing or we are doing something totally different? Like are we trying to cater this shift happening in the value chain or we are going to do something other than this?
Amit Sanghvi: I would say a combination. We certainly are a part of the shift , -- wanting to participate because of the shift. And I think what's different is only the parts or the type of products in which we participate. So we likely will not do simple stuff because simple stuff
Bhavika Jain : Will it be high margin... ?
Amit Sanghvi: Relatively speaking, yes. High is a very …

Sanjay Shah: It's a loaded statement. It's a loaded statement.
Bhavika Jain : It's aligned with your business margins.
Amit Sanghvi: It will be higher than our current consumer business and that's where I will end that. Yes.
Bhavika Jain : Okay. And when we are expecting this consumer electronics segment coming live?
Amit Sanghvi: Hopefully, over the next 12 to 18 months.
Moderator: We take the next question from the line of Shubham Aggarwal from Burman Capital.
Shubham Aggarwal: Sir, I just want to understand the supply and the competition side globally, like who are the large players if you comment on that. And since you mentioned that the demand will outstrip supply in the next 12 to 18 months, sir, I just want to understand why then are we talking about price erosion in the large volume contracts and from that, I mean, but if you could help out.
Amit Sanghvi: Sorry, Shubham, you were very choppy. I actually didn't get all of it. You asked something about price erosion?
Shubham Aggarwal: Yes, sir. Just want to understand the competition and supply globally, specifically for the GLP - 1 drugs and why are we looking at price erosion if you are kind of mentioned that the demand

for these GLP -1 drugs will outstrip the supply part? So just want t o understand both of these angles together.
Amit Sanghvi: Price erosion will not happen because of a demand constraint. The reason for price erosion will be end market competition, right? So you need to support your customer so that they get more market share. If they get more market share, you get more market share. I

t's as simple as that.
And if you look at the number of filers and GLP -1s in general for Semaglutide, the number is exceptionally high. So everybody -- the end customers are going to fight for volume for market dominance. And that's why you will see all of this play out in the first 24 months. After 24 months, it likely will consolidate and stabilize.
Shubham Aggarwal: Understood, sir. Got it. Secondly, sir, if you can comment on what's the capacity utilization that you currently have on the 30 million capacity currently for the healthcare space?
Sanjay Shah: So look, we don't report individual capacity.
Amit Sanghvi: Yes. But you can assume that we're adding 25 million plus 25 million, 50 million, which takes us to a total of 80 million capacity. And we're planning to supply 30 million, then we're nearly capped out.
Shubham Aggarwal: Understood. Got it. Sir, lastly, I think you mentioned that the Semaglutide prices for most of your custom ers will be at USD 6 to USD 8. This is like the price per pen or per...
Amit Sanghvi: No, I didn't say prices, I said COGS. I did not say price, I said cost of goods.

Shubham Aggarwal: Understood. So USD 6 to USD 8, including all the fill/finish costs as well as the pen device and any other cost, right?
Amit Sanghvi: That's the current COGS cost, yes.
Moderator: Ladies and gentlemen, due to time constraints, we take that as the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Amit Sanghvi: Thank you, everyone, for joining the call. We hope that we've been able to answer your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations Advis ors. Thank you and have a great evening.
Sanjay Shah: Thank you. Thank you, everybody.
Moderator: Thank you. On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: May 2026

SEPL/SE/ May/26 -27
27th May 2026
The General Manager,
Corporate Relations/Listing Department
BSE Limited
Floor 25, P.J. Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 501423 The Manager,
Listing Compliances Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Code: SHAILY
Sub : Q4FY26 Earnings Call Transcript
Ref : Regulation 30 of the SEBI Listing Regulations, 2015
Dear Sir,
We refer to our previous letter dated 20th May 2026 , wherein the Company updated the audio link of Earnings call held o n 20th May 2026 to discuss the operational & financial performance of the Company for the quarter and year ended on 31st March 2026.
In context therein, kindly find attached herewith transcript of the referred Earnings call.
A copy of the same is also available on the Company's website at www.shaily.com at https://static.shaily.com/9I2mMFBfQEGPns3H8SUq -sepl-q-4-f-y-26-e-arnings -conference -call-transcript -final-pdf
Kindly take the same on record.
Thanking You
Yours truly,
For Shaily Engineering Plastics Limited
Harish Punwani
Company Secretary & Compliance Officer
M. No. A50950
ENCL: A/a
Page 1 of 18 "Shaily Engineering Plastics Limited
Q4 & FY '26 Earnings Conference Call "
May 20, 2026
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 20th May 2026 will prevail
MANAGEMENT :
•Mr. Amit Sanghvi – Managing Director – Shaily Engineering Plastics Limited
•Mr. Sanjay Shah – Chief Strategy Officer –Shaily Engineering Plastics Limited

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call of Shaily Engineering Plastics Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a conference specialist by pressing star then zero on your touchtone phone.
Before we begin, a brief disclaimer. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance, and it may involve risks and uncertainties that are difficult to predict.
I now hand the conference over to Mr. Amit Sa nghvi, Managing Director of Shaily Engineering Plastics Limited. Thank you, and over to you, sir.
Amit Sanghvi : Thank you very much. Good afternoon, and a very warm welcome to all the participants. I would like to thank you for joining us today for Shaily Engineering Plastics Q4 and FY '26 Earnings Conference Call. I have with me Mr. Sanjay Shah, our Chief Strategy Officer; and SGA, our Investor Relations advisers. I hope everyone has had the opportunity to review our financial results and investor presentations, which have been uploaded on the stock exchange as well as company's website.
Before discussing business performance, I would like to briefly comment on a broader operating environment. The quarter has witnessed heightened geopolitical uncertainty, particularly due to

ongoing tensions across global trade corridors, which impacted fr eight movement, supply chain and input cost dynamics.
For the plastics and polymer industry, this translated into raw material price inflation and selective logistical disruptions across certain export routes. Despite this environment, we were able to navigate the quarter in a stable manner, supported by a di versified customer base, long - standing customer relationships, disciplined execution and very strong operational planning.
Coming to key business developments.
During the quarter, Shaily achieved a landmark milestone with the successful commercial launch of our Shaily Harmony and Shaily Neo pen injectors with multiple customers for Semaglutide in India as well as other global markets.
We have also today made a press release announcing this significant milestone, which can be found on our website. This is a significant achievement for us. It represents years of development, qualification and regulatory work coming to fruition at commerci al scale. The Semaglutide market is one of the fastest -growing drug segments globally, and our positioning as a supply partner in this space is a strong strategic asset.
Pen injectors manufactured by Shaily for Semaglutide have been successfully launched by our customers in the Canadian market. This marks our entry into one of the most regulated and quality demanding pharmaceutical markets in the world and is a strong validation of our manufacturing standards, regulatory co mpliance and the trust our customers place in us as a supply partner for critical drug delivery devices. In addition to the launch in Canada, Shaily's

Pen and its customer are the first to receive tentative approval in the U.S. market for Semaglutide .
Also, one of our customers received European market authorization for Teriparatide . These approvals are important validation milestones. They affirm the quality and the regulatory compliance of our manufacturing platforms across multiple geographies and therapeutic areas.
I'm pleased to share that we successfully commenced commercial su pplies to our consumer electronics customer during Q4 FY

'26.
This is a business we've been preparing and qualifying for over the past several quarters, and the commencement of commercial deliveries marks an important new growth vector for Shaily. We are now an active participant in the consumer electronics precision component ecosystem, a space characterized by high complexity, tight tolerances and less than a handful of players. We have signed a supply agreement with the Korean company for the manufacture and supply of semiconductor trays.
This marks Shaily's entry into the semiconductor supply chain, a strategically significant development at a time when India is actively being as an alternative manufacturing destination under the China Plus One policy framework. Semiconductor trays are precision critical components and our ability to win this business reflects our manufacturing depth and the trust global companies are beginning to place in Shaily.
In the industrial vertical, we received new business confirmation from customers for power tool and LED light components. These additions diversify our industrial business and expand the range of precision engineering applications that Shaily offers from automotive components to power tools and lighting infrastructure. Reflecting the confidence in Shaily's next phase of growth and the multiple new opportunities ahead of us, the Board of Directors have approved an enabling resolution to raise up to INR500 c rores.
I would like to clarify that this is intended to be an annual affair. The company will seek a fresh enabling resolution each year to maintain financial flexibility and ensure that capital is always available to seize high -quality, high -growth opportunities without delay. This is not a signal of any specific fundraise plan, but rather a disciplined approach to be prepared with capital. As Shaily continues to evolve into a diversified IP -led global manufacturing platform, serving healthcare, consumer electron ics, semiconductor trays , industrial and other consumer segments, the pace and scale of opportunity demands that we remain agile.
Having this resolution in place ensures that if and when a compelling , large , time-sensitive opportunity presents itself, the company remains ready for it. We've also taken some significant steps organizationally to strengthen our operations to deliver the scale up we have planned by onboarding Mr. Joe Kam. An announcement was made earlier in February regarding Shaily hiring its Chief Operating Officer for Healthcare.
I'm very happy to announce that Joe has hit the ground running and is taking real ownership and showcasing great leadership, taking Shaily's operation strengths further. He has a very disciplined approach and is a stickler for quality, something that we hold very close to our hearts

at Shaily. Coming to segment -wise performance. The Healthcare segment was the standout performer in Q4 FY '26 with revenue doubling in Q4 FY '26. For the full year, healthcare revenue surged 139% to INR393 crores, contributing 40% of our consolidated revenue, up from 21% in FY '25.
This shift in revenue mix is the central storyline of FY '26 and reflects the compounding benefits of our multiyear investments in R&D, in pen injector platforms and drug delivery capabilities.
The Consumer segment unfortunately de -grew in Q4 '26, primarily reflecting weaker market demand for home furnishings across Europe and the U.S., our 2 largest export markets for this vertical.
For the full year, consumer revenues were at INR511 crores, down 9%. While the near -term environment has been softer, I want to emphasize that the consumer business continues to add new customer programs, and we remain focused on building sustainability streams in this segment, particularly through consumer electronics and semiconductor trays . The Industrial segment continues to grow with Q4

FY '26 growing at 60% year -on-year.
For the full year, industrial revenues grew 41% to INR87 crores. reflecting new customer additions and expanding engineering applications. We secured new business from customers in power tools and LED lighting, both of which speak of the increasing complexity of application that Shaily is now being trusted with. As we look ahead to FY '27, our priorities are clear: continue scaling the healthcare vertical, build and scale the Abu Dhabi facility on plan, deep ly ramp up our consumer electronics and semicondu ctor programs and restore growth momentum in the consumer home furnishing segment.
The building blocks are firmly in place and the team has demonstrated consistently that we have the capability to execute.
I now hand over the call to Sanjay to walk you through the operating and financial highlights in more detail. Thank you very much.
Sanjay Shah : Thank you, Amit. Good afternoon to everyone on the call. I will start with the operating metrics for the quarter and full year ended 31st March '26 and then move on to the financial performance.
Operationally, we continue to improve efficiencies across our manufacturing network. Machine utilization improved to 47.6% in FY '26 compared to 42.2% last year. Exports continue to remain strong and contributed around 68% of our revenue in FY ' 26.
Let me now summarize the consolidated financial highlights for Q4 FY '26. Revenue stood at INR237 crores as compared to INR218 crores during Q4 FY '25, a growth of 9% year -on year.
EBITDA stood at INR69 crores as compared to INR55 crores in Q4 FY '25 a growth of 27% year on year. EBITDA margin stood at 29.3% , an increase of 420 bps Q4 FY '25. PAT stood at INR40 crores as compared to INR29 crores during Q4 FY '25, a growth of 40% year -on-year.
PAT margins stood at 17 .0%, an increase of 390 bps over Q4 FY '25. Coming to segmental revenue breakup for Q4 FY '26. In the Consumer segment, revenue stood at INR102 crores as compared to INR148 crores during Q4 FY '25, a degrowth of 31%. Amit in his opening remarks

explain ed the reasons why this degrowth happened. In the Healthcare segment, revenue stood at INR113 crores as compared to INR56 crores during Q4 FY '25 , a growth of 101%1.
Industrial segment revenue stood at INR22 crores as compared to INR14 crores during Q4 FY '25, a growth of 60%. Now coming to FY '26 consolidated highlights. Revenue stood at INR991 crores as compared to INR787 crores during FY '25, a growth of 26% year -on-year. EBITDA stood at INR288 crores as compared to INR178 crores during FY '25, reflecting a growth of 61% on a Y -o-Y basis. EBITDA margins stood at 29 .0%, an increase of 630 bps over FY '25.
PAT stood at INR170 crores as compared to INR93 crores during FY '25, a growth of 83% year -on-year. PAT margin stood at 17.2%, an increase of 540 bps over FY 25. Cash PAT for FY26 was reported at INR219 crores as compared to INR135 crores during FY '25, a growth of 62% year-on-year. Our ROCE and ROE stood at 35.8% and 26.9%, respectively, as on 31st March 2026. Our debt to equity stood at 0.3x and our fixed asset turnover ratio stood at 1.7x as on 31st March 2026.
Now coming to segmental revenue breakup for FY '26. Consumer segment revenue stood at INR511 crores as compared to INR561 crores during FY '25, a degrowth of 9%. In the Healthcare segment, revenue stood at INR393 crores as compared to INR165 crores2 during FY '25, a growth of 139%. In the Industrial segment, revenue stood at INR87 crores as compared to INR61 crores during FY '25, a growth of 41%.
That concludes the update from my side. We will now open the floor for questions.
Moderator: Thank you. The first question comes from the line of Shaleen Kumar from the UBS India. Please go ahead.

Shaleen Kumar : Congratulation Amit. Congratulation Sanjay bhai. Great set of numbers

and certain milestones
in this quarter. So , to begin with, let's talk about the healthcare. So, Amit, I would like to take what are your customers talking about. So basically, what I'm trying to understand, are your customers coming back and asking more from you given there's a good reception of Semaglutide in India and other markets have opened up. Are there instances of like that to begin with?
Amit Sanghvi : Yes. Given only 2 launches in Canada, we are asked for more product. And we're doing what we can to install more capacity as fast as we can to supply that product. So, there are instances being asked for more, certainly.
Shaleen Kumar : Okay. That's basically a great indicator. Last since you touched upon the capacity. So, we have 25 million capacity came up in March, and then we had 30 million, right, earlier. So, are you using part of that 30 million also to supply Semaglutide ?
Amit Sanghvi : No. The 25 million capacity that we installed in March is currently running at roughly 45% utilization , and not utilization , at operational efficiency. So, it's a process to get into that final optimal speed. We're going through that process of scale up. We have consistently been

1 Mentioned as 110% during the call, however the correct figure is 101%
2 Mentioned as INR 161 crores during the call, however the correct figure is INR 165 crores

producing at these levels for the last 45 days, which means that we will now be enhancing it in the coming months.
From the 30 million of original capacity, that is a mixed capacity between several product lines, including insulin, including Teriparatide , including the auto -injectors, etcetera. So, there's only a small portion of that capacity, which is being used for Semaglutide . The additional 25 million that will come in by July, August is purely for Semaglutide , which will be again used for the global markets where the product is launched.
Shaleen Kumar : So, what kind of optimal capacity we can achieve in these both the lines?
Amit Sanghvi : See, what our target is that by the end of the year, both lines should be able to produce at 65 to 67 parts per minute effect ively , which gives us a combined capacity of both these 2 new lines of around 40 million to 42 million pens combined.
Shaleen Kumar : So basically, 40 million, 42 million is something, which is the peak utilization or the optimum utilization?
Amit Sanghvi : For this year -- Yes. And then as you learn more about the lines and you figure out what upgrades are needed to take it further.
Shaleen Kumar: Got it…
Moderator: Sorry to interrupt Mr. Shaleen I would request you to please come back in the queue for further questions . Thank you. The next question comes from the line of Harsh h Shah with JM Financial. Please go ahead.
Harshh Shah : Firstly, congratulations on the new customer win in semiconductor and consumer electronics. So, 2 questions from my side. Firstly, on the semiconductor client with which you have kind of signed an agreement, right? How should one think about in terms of the supplies will be made to a fab player or an OSAT player ? And is the understanding correct that these supplies would be happening in India?
Sanjay Shah : So Harsh h, it will basically go to the OSAT players currently. Eventually, when fabs get set up in India, it will also go to the fab player. Yes, supplies will currently be made in India, but there could be a possibility where we could look at exports also to this company. We will basically be looking at supplies in India.
Harshh Shah : And when should one expect the supplies to start, sir?
Sanjay Shah : Quarter 4 of the current financial year.
Harshh Shah : Got it. Okay. Secondly, on the consumer electronics segment, right? So, you have mentioned that the commercial supplies have already begun. So, is this a case similar to semiconductor

vertical wherein the supplies would be happening in India?

Or is there a possibility that we could even export to, say, a country like China or somewhere else? And also related to this, how large is this opportunity for this specific client, if you could give some color on it?
Sanjay Shah : The supplies will happen both in India as well as it will be exported. In terms of an opportunity, I think, Harsh h, last time on the call, Amit had mentioned it over a period of 5 years, this

opportunity could be fairly large. And we have mentioned the numbers also at that point of time.
Harshh Shah : Got it. Just last, if I can squeeze in. This question is to Amit, sir. If you have to kind of give a road map, say, 5 years from now , which vertical are you most excited about, say, in terms of the potential or the scale or rather let me put it this way. If you have to rate in terms of, say, the absolute size that Shaily as a company can achieve, say, in all the newer vertical as well as your existing verticals, how would you rate them say, between health care, consumer electronics, semiconduct or?
Amit Sanghvi: I would say it's very, first, it's a tough question because nobody knows what happens 5 years out. But I would say health care and consumer electronics represent the 2 largest opportunities. which scales faster is a very difficult question. And as you can imagine, the consumer electronics market is significantly larger than the pen market. But there are very limited number of players in the pen market.
So we, as being one of the few players present in that market, have a very significant opportunity to scale up. Those 2, I would put either number 1 and 2 or both of them would be number 1. Semiconductor would be the second largest scale -up opportunity we see and then the industrial and consumer. Industrial and consumer would more or less be together. Consumer is going through a bit of a rough time right now, but it will bounce back. We've gone through these cycles in the past. This is not the first of its kind. So it will bounce back at some point.
Harshh Shah: Got it. That was helpful. I will get back in the queue.
Moderator: Thank you. The next question comes from the line of Akhil Parekh with 360 ONE Capital. Please go ahead.
Akhil Parekh: Thanks for the opportunity and congratulations on the solid execution. My first question is on the pen side in healthcare side. Would you be able to quantify the volumes which we would have done approximately for FY26? Because if I recollect well, we were guiding for around 25 million, 26 million of volumes for full year if we were able to achieve that number? That 's my first question.
Amit Sanghvi: Yes. Akhil, I don't have the exact number, but I remember the last time I saw them, they're in the range of 23.3 million or 23.5 million devices. Now I don't know the exact tally off the top right now, but they're a little lower than what we had said and p rimarily because our capacities are not able to produce what we had projected.
Akhil Parekh: Sure. This is helpful. And second, on the capacity ramp -up, right, the new capacity additions what we have been doing , I believe that we'll be adding totally 50 million by July, August, as

you indicated, of which 25 million already added. What capacity in million s should come live by end of FY28?
Amit Sanghvi: By FY28, I think what we're targeting is 35 million to 40 million pens from that capacity should more or less be in supply by end of FY28.
Moderator: Thank you. The next question comes from the line of Bhavin Rupani with Investec. Please go ahead.
Bhavin Rupani: Thanks for the opportunity. So first question is related to consumer electronics. Sir, just wanted to understand how should one look at margin profile, ROCE and incremental c

apex, which you
might need for this category?
Amit Sanghvi: It's a difficult question. And the reason is that all numbers , first, are not bad, they're quite good, but they only happen when you have scale, okay? So if you look at Shaily's history, even consumer, when we didn't have scale in home furnishings business, our EBITDA margins were single digit, profit margins were maybe ver y low single digit, right? So consumer electronics is going to go through a cycle. Maybe the ramp -up will be a lot faster, but it will go through a cycle where until you hav e a certain amount of scale, you will not be able to see great margins.
And the reason is very simple because it's a technically challenging manufacturing environment, your overheads are going to remain high even when you have less revenue. So a certain scale is necessary. Maybe that scale is 20 million, 15 million or somewhere around there before you actually start seeing good margins come in.
Bhavin Rupani: Any indicative range should be in here about consumer wear margins?
Sanjay Shah: Bhavin , we would not be able to give individual margins, it's a B2B business, and I think you understand the reason for that.
Bhavin Rupani: Right. And any incremental capex that we need for this business?
Sanjay Shah: So we have said that we would need to set up a plant down south. We are evaluating. But our estimate is we will need an initial capex of somewhere around INR100 crores when we set up the plant.
Bhavin Rupani: All right. Second question is related to sir, eye applicator . So we have recently commissioned machines for eye-applicators. Just trying to understand at what stage we are right now? And when should we expect incremental revenues flowing in from this category? And also if you can

throw some light on what could be the market opportunity over here?
Amit Sanghvi: We've done for a single customer at the moment. Market already exists for that customer. We won't be able to give you a name, but the market already exists, and it's a substitute product for one that they are importing. Again, it's meant for regulated mark ets. And we have factored the commercialization of the eye-applicator in the current financial year.
Moderator: Thank you. The next question comes from the line of Dhruv Sitlani with Everflow Partners. Please go ahead.

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Dhruv Sitlani: Congratulations on the good set of numbers, sir. So my first question to you is what is the entry barrier for someone looking to enter this space? And how long is the process for a partner to change or add an additional supplier to their drug filing made w ith regulators in, let's say, Canada and Brazil?
Amit Sanghvi: Okay. We'll talk about Canada. Canada, if you want to add another device to your filings, you have to run the full development program. It's quite time consuming. I would say nothing less than 24 to 36 months.
And one really needs to look at cost and risk. So cost is not going to be less than what you spent on the first program and then the risk of potential failure to get approval. But it's not impossible. I hope that answers your question.
Dhruv Sitlani: What is the approximate cost?
Amit Sanghvi: Look, I think on average, generic companies are spending INR100 crores, INR150 crores, I think, on a program. So I'd say probably 70%, 80% of that you would need to spend to add another device.
Dhruv Sitlani: Okay, sir. That is helpful. My second question is of the filings made in various geographies, especially Canada and Brazil, what percent of the filings have been made with Shaily device?
Amit Sanghvi: I stated this in the past. I think if I look at all the top, the first 6 filers in Canada, 70% is ours. In Brazil, it's a little bit more difficult because in Brazil, it's a lot of partnership filings, not direct from our customers and we are not privy to all the partner

s in Brazil. But I'm confident we will be in the first wave of Brazil approvals.
Sanjay Shah: Two customers who have got approval, two pharma companies who got approval in Canada, both are with Shaily.
Dhruv Sitlani: Okay sir.
Moderator: Thank you. The next question comes from the line of Dhwanil Desai with Turtle Capital. Please go ahead.
Dhwanil Desai: Hi good afternoon and congratulations for a very strong performance. So my first question is you mentioned that this year, we ended the year with 23.5 million kind of pens. And I think we were thinking about around 36 million, 37 million next year and maybe closer to 50 million the year after that. Now that the Canada approval is in place for the 2 large players, but Brazil is still nowhere in sight and India is picking up. So given all this, we still hold on to this number?
Amit Sanghvi: I mean, look, for the current fiscal year that we're in, obviously, our order book is frozen. So it's now about how quickly our capacities come up and how effectively they're able to produce. These are very, very complicated lines. So it doesn't have a who le lot to do with our skill set to produce. It has more to do with how quickly can the lines be running at the speed they are specified.

So I think for the current year, I'm fairly confident we should be on track. But of course, a big unknown at the moment is the line that comes in, in August, which is not installed yet. So I think we will be able to give you a better perspective on this pr obably towards our earnings call in September, October.
Dhwanil Desai: Okay. So a follow -up on that, sir. So our supply to both the players in Canada would have started and will ramp up. So if there is any bottlenecks on the production side, will that supply suffer? How should we look at that?
Amit Sanghvi: Bottlenecks on the?
Dhwanil Desai: So we are saying that we are ramping up the production, right, that are still in the early phases of production ramp -up. So if that doesn't go as per plan, is there any risk to the supply to any of these customers?
Amit Sanghvi: If we can't supply enough, then there is a risk, right?
Dhwanil Desai: Okay. Sir, second question is we are working with the innovators on the new project. So if you can give any update on that? And you talked in the initial commentary that Abu Dhabi capex we

are going and that's one of the kind of road map for the current ye ar. With the current geopolitical thing, any kind of rethinking on that project or any thoughts on that? So these 2 questions.

Amit Sanghvi: On the geopolitics, we don't see it as it being a long -term impact. If anything, it's a very, very short -term impact. Again, it's not really impacting our project time lines. We have factored in adequate additional time for bringing up the facility in Abu Dhabi. And we're probably eating into some of that buffer at the moment. Beyond that, it's a great region. We've got significant amount of benefits on, certainly on operational costs, ease of supply chain, availability of really, really international talen t.

As you can imagine, it would be very difficult for us to, while we have done a good job, it's difficult for us to attract very good talent in a city like Baroda. So Abu Dhabi becomes overall a much friendlier place to scale this business. And if we were lo oking at healthcare , it has been growing at almost 100% every year. If we want to continue that momentum, we need the right people. And increasingly, what we pay for expat talent in India is much, much more than what we would in a country like Abu Dhabi.

Dhwanil Desai: Got it. And sir, on the innovative part?

Amit Sanghvi: Yes. These conversations are advancing well. That's all I can say until we have some breakthrough, I won't be able to divulge any further information.

Dhwanil Desai: Got it thank you. That’s it from my

side.

Moderator: Thank you. The next question comes from the line of Bhavika with Niveshaay. Please go ahead.

Bhavika: Just want clarity on the previous commentary you did on the capacity utilization. As you say that the capacity which is live in March, we are doing 45% of operation al efficiency at the facilities currently. So by the end of FY28, we expect along with the 25 million capacity which

is going to come in July. And so I just want a number for the FY27 and FY28, what optimum utilization we can expect from the total capacity which we'll have by the end of FY27 and FY28?

Amit Sanghvi: I think first answer, I've answered these questions partially, but I'll just go through it again. Look, our projections are, what, 36 million pens this year, roughly 50 next year. So when you look at all the smaller capacities we have, for example, on Tris tan, on Toby, those products aren't in supply, right?

So when they get approval and they get into supply, those capacities will be utilized. So on semaglutide, for example, by the end of the year, we'll have about 50 million capacity. So we intend to fully or as fully as possible, utilize that over the next 2 years. And then we'll have capacity on insulin, which we also intend to utilize at least up to a 60%, 70% level. So that's roughly as capacity stands today.

So you can look at it as a range of somewhere between 40 million to 60 million kind of pen at the end of ‘24, 30 months from now.

Bhavika: Got it. And the second question I have on the margin side, like we did a quite good margin in this year. So do we expect this to sustain over time with the semiconductor segment coming in and along with the Dubai capacity? Abu Dhabi capacity sorry.

Amit Sanghvi: Short answer, yes.

We don't look at Shaily from a quarter -on-quarter perspective. Otherwise, the margins are sustainable.

Bhavika: Sustainable like at 28% and more?

Sanjay Shah: I think what we've been saying is if you look at more on a year -on-year basis, margins will be sustainable and we see margins improving. We do not want to get into numbers.

Bhavika: Thank you so much.

Moderator: Thank you. The next question comes from the line of Aman with Astute Investment Management. Please go ahead.

Aman: Good evening team. Just 2 questions, Amit. First, since our product was launched, I think, last week in Canada by both our customers, what has been the initial feedback from the customers as well as can you also talk about the feedback from India launch, both 2, 3 devices wh ich we have launched in India? Any complaints and all those things we have received?

Amit Sanghvi: Yes, I think we have 2 complaints. One was a user error. It wasn't related to the device. And one was related to the device. There was slightly, we had an issue on one of our printing.

We print numbers. So there was a small issue. But in terms of performance, there have been no complaints. There is a particular reddit forum that I tend to read from time to time, which has kind of different user experiences in India, at least on taking di fferent generic semaglutide. So happy to say at least that , people seem to have trust in the Dr. Reddy's product, which is also, I believe, marketed by Torrent.

Aman: Sure. That is helpful. Second question is, so annual launch has happened. But in your rough estimate, when do you expect the other 3 big geographies, say, Brazil, Turkey, Mexico to happen? Even rough estimate is okay for us.
Amit Sanghvi: Brazil, we are expecting very soon. I don't know if soon means end of this month, end of next month, but somewhere Brazil should come in.
Aman: Okay. And any update on, say, Turkey and Mexico, these are also big geographies.
Amit Sanghvi: I think they will only happen after Brazil, to be honest. I'm not sure if

they are able to come
before.
Aman: Okay these are from my side thank you.
Moderator: The next question comes from the line of Ankit Gupta with Bamboo Capital. Please go ahead.
Ankit Gupta: Thanks for the opportunity. Congratulations for a great year. So on our UK subsidiary, for the past 2 quarters, Amit, if you look at it, we have seen like the lowest margins as well as revenues over the past 2 years. And so earlier, in the call, you used to tell that we should be ab le to maintain the growth rate and margins there. So how should we look at the performance of the UK subsidiary with the commercial launch on the sema front happening across geographies and most of the customers woul d have been already onboarded to the platforms?
Amit Sanghvi: We're doing slightly more longer -term projects in the UK. So agreements maybe engagement with customers that are going into multiple years, milestone -based revenue, sometimes you're not able to recognize a certain revenue. But we've significantly scaled th e UK operations from a human resource perspective. Again, doing some of these more complex projects, see, we've done all the pens and auto -injectors possible.
We cannot be only doing pens and autoinjectors, right? So there is a next generation of drug delivery devices that we are working on. And those will be in development for a substantial period of time, be 3 years, 4 years, 5 years. We will still maintain ma rgins in the UK, but you will need to look at these similar services between UK and UAE, right?
So our teams in both geographies kind of work in unison. So look at a combined margin for the UK and UAE, if you were, and that will give you a better perspective.
Ankit Gupta: So this, margins that we had reported prior to the second half, should that not be considered going forward in our financials from FY27 onwards?
Sanjay Shah: I think you should probably look at margins more on a year -on-year basis than a quarter -on-quarter basis.
Ankit Gupta: And growth also should bounce back?
Sanjay Shah: Yes.

Ankit Gupta: Okay. And the second question was on the purpose of the fundraise. Of course, you have mentioned everything, but there was an interesting line that you had used that time -sensitive capital intensive and competitively raised. So if you can elaborate more on this, like what kind of capital intensity will be required here?
Is it an urgent project where you highlighted that we'll be commencing supplies from Q4. So if you can elaborate more on this?
Amit Sanghvi: I think those were not related. The resolution for fundraise is essentially an enablement option. We''re not raising any capital right now. I mentioned that in my speech. But what we are more and more now are discussing projects where the scale and volume of the project and the associated capex required are very, very high . We're looking at setting up additional capacities for devices.
I'm not going to be able to service that from India or from Abu Dhabi, so the capex will be a one-off, substantial capex for the project and this is why the resolution is there so that if such an opportunity arises, we're able to quickly act on it.
Ankit Gupta: Okay thank you so much.
Moderator: Thank you. The next question comes from the line of Raman KV with Sequent Investments. Please go ahead.
Raman KV: Hello sir. I just have 2 questions. One is with respect to the semiconductor tray. What will be our total addressable market once we start manufacturing to multiple clients? As of now, we are doing only for 1 Korean customer. But what do you think is the total addressable market for this product?
Sanjay Shah: We will be looking at supplying to everybody who's setting up semiconductor manufacturing in India, or chip manufacturing in India.
Raman KV: Let me just rephrase the question. I just want to understand out of the

total value chain of the
semiconductor, what percentage of this in terms of value will be this product?
Sanjay Shah: I think this is more of a volume game where this is a consumable and would be needed by the

semiconductor plant on a day -to-day basis. Obviously, the chip value will be much higher, this is a packing, but it's a fairly decent value .
Raman KV: Okay. Understood, sir. And sir, my second question is with respect to the pen injectables, we have an existing capacity of 30 million pens, and we have added 25 million pens in March, and we are planning to add another 25 million by July, August. So what w ill be the incremental revenue from this newly addition 50 million once it reaches your optimum efficiency of like 60%, 65% in the next 2, 3 years?
Sanjay Shah: I think we have given out a total revenue number, which is possible from the capacity. You should look at that instead of an incremental number, which will be difficult to talk about it.
Raman KV: So total as in, with respect to the total 80 million, right? What is the revenue?

Sanjay Shah: Based on the investment in fixed assets which we have, you could probably look at 2 to 2.5 x fixed asset turnover . So that’s the way to look at it.
Raman KV: Understood sir thank you.
Moderator: Thank you. The next question comes from the line of Aman Thadani with Solidarity Investment Managers. Please go ahead.
Aman Thadani: Thank you for the opportunity. And Sanjay bhai, Amit bhai I have few questions. The first was, you alluded last quarter that you were seeing some rejections as in the machines were rejecting 30%. I just wanted an update on that. Like what is the rejection rate right now in healthcare and any other manufacturing challenges that you could face at scale?
Amit Sanghvi: Rejection has come down to 8% on the line and the speed has also gone up, now what happens with increased speed and we run it for several shifts, we come across a breakdown. So that breakdown needs to be resolved permanently so that it doesn't affect the speed again. So at the moment, we are runn ing at roughly 35, 34 parts per minute on an 80 parts per minute line, which is why I said that we're running at 45% of overall equipment efficiency, but the rejections are down substantially. So yes, it's work in progress. It should be resolved. I mean, it's not an impossible task. So it's just a matter of time.
Aman Thadani: And some of the learnings from this 25 million capacity that came in phase 1 , and when you again come up with a newer capacity of additional 25 million over there, is it fair to assume that the initial rejections would be low given the learning curve we would have had till then?
Amit Sanghvi: Yes. Yes, it’s not going to be 0, but it will be lower for sure. And not so much our learning. I think what we need to start doing is we look at an investment cycle from triggering the investment to it going on stream of about 12 months. I think we need to look at 18 to 24 months now.
So we have to initiate the build soon. These are very, very complex lines. And as you can imagine, there's also a handful of suppliers globally who make these lines.
Aman Thadani: Got it. So, the second question is that two more big areas that you're looking at now that is consumer electronics and semiconductors. So, I just wanted to understand that what sort of maybe hiring or depth in talent you're looking for in these areas and w hen would that hiring begin?
Amit Sanghvi: For consumer electronics we are not doing anything in the middle east. Middle East is purely healthcare and hiring will begin towards maybe Q1 next FY all the way into September, October next year.
Aman Thadani: Got it. And then will you be looking for someone like Mr. Joe Kam that you hired for healthcare? So, would that be that sort of hiring or would it be more maybe manufacturing related?
Amit Sanghvi: No, Joe is the Chief Operating Officer. I don't need 2 of them. He is responsible for the India side. He's responsible for any site we put up globally.

Aman Thadani: For Electronics and semiconductor similar to that line you will be looking for or that are maybe not that complex. So you may not look for that. That was the question.
Amit Sanghvi: I think what we need on the consumer electronics side is a very high degree of technical expertise rather than organizational expertise. We might lean towards someone with much higher technical expertise and maybe less administration or organizational expe rtise. But again, it's candidate to candidate. We kind of take a call when we evaluate candidates.
Aman Thadani: Yes, very good. And so, just one last question. The semiconductor order that you got, basically can you qualitatively speak about it that time it took for us to qualify, how many players were we actually competing against and what is our edge in this product? That is all from my side thank you.
Sanjay Shah: I think the reason we were able to tie up with this customer is basically because of the technical

competence which we have. While the product looks very simple, it's extremely complicated and it's made of conductive plastic , the key technical competence required for the product. I don't know how many people were in discussions, but I'm sure they will be in discussions with multiple people. But then we have been, the way we have looked at it, that we will be the sole manufacturing partner in In dia.
Aman Thadani: Got it sir I will get back in the queue. Thank you so much.
Moderator: Thank you. The next question comes from the line of Hena Vora with DAM Capital. Please go ahead.
Hena Vora : Just a continuation to the previous participant's question. Just wanted to understand on the semicon trays, what sort of landscape is this? Largely China replacement sort of opportunity? Because I understand you will be sole suppliers for your client, but how do we look at it from a more 5 -year perspective over here? So who would we be competing even if it is in India?
Sanjay Shah: So see, if you look at from a global perspective, there are players in Korea, there are players in China, there are players in Philippines who basically manufacture chips trays. Some of them might come and set up shop here, so then you would be basically b e competing against them. I don't think on a long -term basis, any of the chip manufacturers would look at importing this trays on a day -to-day basis because this is something which is required by them every day to run the plant.
Hena: Okay. So I mean, assuming these players do come into India and set up, going down the line, do you think that will be sort of pressure on the profitability we will probably enjoy in the first few years?
Sanjay Shah: It's a little too early to talk about it in terms of that question. Again, a lot of it will also depend on the quality and if you have tied up with them earlier, then you have a much more longer relationship, then the customer would not be willing to make that change also. There could be multiple factors to work around that.

Hena: Okay. And sir, roughly, would we know how cost competitive, say, a Chinese player would be versus us?
Sanjay Shah: Again, it's something which is currently difficult to answer that.
Hena: Okay. Understood. And sir, one small question. I think we did speak about what sort of pen supplies we'll be doing this year. I think initially, I heard 40 million to 42 million, but then you also mentioned 36 million. So just wanted to understand the right number for FY27 that we would be targeting?
Sanjay Shah: I think Amit mentioned 36 million, right, Amit?
Amit Sanghvi: Yes, that's correct.
He

na: Okay understood thank you those were my questions.
Moderator: Thank you. The next question comes from the line of Loveleen with Systematix. Please go ahead.
Loveleen: Thanks for the opportunity Am I audible?
Sanjay Shah: Yup.
Loveleen: I wanted to know on the recently announced INR423 crores order book pen injector from a large domestic commerce company, could you clarify whether this order is generally incremental or it includes extension of any existing business order? And also, can you share any broad details regarding the customer profile?
Sanjay Shah: We are bound by NDA. We will not be able to share the name of the customer.
Amit Sanghvi: And the other details are already in the release. So it's a supply over 4 years pen injectors.
Loveleen: Okay. So it is incremental over the 4 years, right?
Sanjay Shah: It is the supplies are over 4 years. I don't understand what you mean by increment.
Amit Sanghvi: Yes, exactly. Sorry.
Loveleen: And the second question is that have we signed any agreements or entered into any commercial engagements with the innovator companies in the GLP -1 segment?
Amit Sanghvi: Not yet.
Loveleen: Okay thank you that’s it from my side.
Moderator: Thank you. The next question comes from the line of Priyanshu Jain with Growth X Infinity. Please go ahead. As there is no response, we will move to next questions. It's from the line of Shrenik Mehta with IndoAlps Wealth. Please go ahead. Your line has been unmuted please go ahead.

Shrenik Mehta: My question is about, the healthcare revenue that grew almost 139% in FY26, but the consumer declined almost 9% and now sits at almost 52% of the revenue versus 71% a year ago. Now you have this INR423 crores pen injector order that is spread over 4 years . Can you help us understand the quarterly healthcare revenue run rate that you expect in FY27? Specifically, what proportion of this INR393 crores of FY26 healthcare revenue was onetime ramp -up versus the recurring supply? And at what point does the consumer need to recover for you to sustain almost something, say, like a 25% consolidated top line growth?

Sanjay Shah: Shrenik. I think it's very difficult and we do not give out quarterly numbers, the way you are looking at it.

Shrenik Mehta: Only for the pen injector order, just kind of a run rate is what I was thinking.

Sanjay Shah: So that's what I'm saying that we do not give out that and quarter -on-quarter would be very, very difficult for us to do that. So we don't give that out. Second question is what sort of revenue comes from onetime and what is regular supplies. It's a combination. Again, we don't give the breakup of those numbers.

But this year, you will see a lot of ramp -up happening on GLP -1 with the launches which have happened in India, Canada and expected launches in other countries.

A lot of it will be basically be regular supplies, which will happen. So you will see a ramp -up on account of that.

Shrenik Mehta: Okay. And any light on when you expect or when you feel that the consumer need to recover? The consumer division?

Sanjay Shah: See, the consumer business has seen a degrowth in the second half of the year. And if you look at first half, the consumer business grew. That's because of what's happening globally with the US and Europe, 2 large economies seeing a dip in demand. In Q4, we also saw some cancellation of orders or something from Middle East because of the war happening there.

I think as and when the global situation improves, you would see that demand coming back. At the same time, as we have mentioned in the presentation also and earlier, we continue to add more products on the consumer space, and we will continue to do that. Growth will depend on how the global situation pans out.

Shrenik Mehta: Alright all the best you guys.

Moderator: Thank you. L

adies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Amit Sanghvi: Thank you very much. FY26 was marked by smooth execution and continued improvement in operational performance. Our focus remains on scaling our new capacities and disciplined fund management. We remain confident of delivering profitable and sustainable growth in the years ahead. Again, thank you, everyone, for joining the call.

We hope that we've been able to answer all your questions adequately. For any further information, I request you to get in touch with SGA, our Investor Relations advisers. Thank you, and have a nice evening.

Moderator: Thank you. On behalf of Shaily Engineering Plastics Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.